Indigo Paints (INDIGOPNTS)

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Call: Aug 2022

INDIGO
Be surprised!
Date: August 10, 2022
To, To
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza, Plot No. C-1, Block G,
25" Floor, Phiroze Jeejeebhoy Towers, Bandra Kurla Complex, Bandra (East)
Dalal Street, Mumbai- 400001 Mumbai - 400051
Scrip Code: 543258 NSE SYMBOL: INDIGOPNTS
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call.
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings call held with the analyst and investors on August 05, 2022 at 17.00 hrs (IST) to discuss the Unaudited Financial Results of the Company for the quarter ended June 30, 2022.
The above information will also be made available on the website of the company www.indigopaints.com/investors
You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited
(formerly known as Indigo cy Limited)
: ¢
Sujoy Sudipta Bose Te Cy
Company Secretary & Compliance Officer
Encl: As above
Registered Office: INDIGO Paints Limited (Formerly INDIGO Paints Pvt Ltd), Indigo Tower, Street - 5, Pallod Farm - 2, Baner Road, Pune 411045, Maharashtra
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“Indigo Paints Limited
Q1 FY 23 Earnings Conference Call”
August 05, 2022
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MANAGEMENT:
MR. HEMANT JALAN - CHAIRMAN AND MANAGING DIRECTOR, INDIGO PAINTS LIMITED
Mr. TS SURESH BABU - CHIEF OPERATING OFFICER, INDIGO PAINTS LIMITED
MR. CHETAN RAMANI - CHIEF FINANCIAL OFFICER, INDIGO PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR - GM FINANCE AND INVESTOR RELATIONS, INDIGO PAINTS LIMITED
MODERATOR: MR. MANOJ MENON — ICICI SECURITIES

Moderator:
Manoj Menon:
Srihari Santhakumar:
Hemant Jalan: Indigo Paints Limited
August 05, 2022
Ladies and gentlemen, good day and welcome to Indigo Paints Ql] FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon, Head of Research at ICICI Securities. Thank you, and over to you Mr. Menon.
Hi, everyone. Good morning, good afternoon, good evening to each one of you depending on the part of the world you're joining this call from. Representing I-Sec it's my absolute pleasure and my team's pleasure to welcome you to Indigo Paints 1Q FY '23 conference call. I will hand over to Mr. Srihari Santhakumar, GM Finance and

Investor Relations for the introductions and further course of action. Over to Srihari.
Thanks, Manoj. Thanks everyone for joining the earnings conference call for Q1 FY '23 of Indigo Paints. Today from the company, we have Mr. Hemant Jalan, Chairman and Managing Director, Mr. TS Suresh Babu, Chief Operating Officer, Mr. Chetan Ramani, Chief Financial Officer and myself Srihari, I'm heading Investor Relations here. As usual, the call will start with a quick and brief overview by Mr. Jalan followed by a Q&A. Over to Mr. Jalan.
Thanks, Srihari. Thanks, Manoj. And thank you all for joining in on the earnings call of Indigo Paints for Q1 FY '23, judging by the quarterly financials released by now, by all the listed paint companies during the recent days, including our own, it is clear that the spring is back in our steps as far as the p

aint industry is concemed and that
the dark clouds of raw material and price escalation now appear to be behind us. Our financials for Ql FY '23 have been uploaded on the stock exchange portals along with our analyst presentation and you've probably gone through them.
I will start with a summary of our financials and then move on to future strategy and guidance. Compared to Q1 of last year, our sales in Q1 of this year have registered a robust value growth of 43.56%. Our gross margin has once again improved sequentially from the preceding quarter and has reached 45.19% for this quarter, which is almost back to the level it was at a year ago. We also believe that our gross margin percentage is much ahead of the rest of the paint industry due to our unique product portfolio, judicious management of formulation costs, and trade discounts. Raw material prices having been almost steady during the past few months and minor price increases in select products have been implemented each month in line with the rest of the industry. Our EBITDA quantum has increased by 75% from the corresponding figure for the same quarter last year and PAT numbers have also increased by 71.5% on a Y-on-Y basis. EBITDA margin has risen sharply from 12.92% a year ago in this quarter to a level of 15.75% in Q1 of this year. Similarly, PAT margin percentage has increased from 7.3% to 8.9% on a Y-on-Y basis.
Now, it should be mentioned that as you may be aware, advertising and promotion spends are disproportionately high for our company compared to other larger players in this industry and any quarterly shift in the advertising patterns has a serious impact on the bottom line for that particular quarter. Now, we have traditionally been a significant advertiser on IPL tournament and that advertising consumes a very sizable portion of our advertising budget for the year.
Now you may recall that last year, the IPL tournament was truncated after April and the second half resumed in September. In contrast, this year the IPL has had an uninterrupted run in Q1, resulting in a significantly large advertising and promotional spend by us in Q1 compared to Q1 of last year by an absolute amount of more than INRS crore. Had it not been for the shift in the IPO schedule vis-a-vis last year simple

arithmetic will show that our growth in EBITDA and PAT for the quarter on a Y-on-Y basis would have been in excess of 100%.
We have given our volume and value growth numbers for each of the four major categories of paint products, consistent with our past pattern of transparent disclosure. We are happy to note that the emulsion category, which is the largest segment by value, it contributes almost half the value sales for any paint company that segment has registered a volume growth of 34.4% and a value growth of 65.7%. This is the second successive quarter where the emulsion category has registered high volume growth and this augurs well for future growth of the company.
The category in enamels and wood coatings and the category of powder paints, which is mainly putty have also registered healthy volume growth. The only minor disappointment for us has been the low volume growth in the primer and distemper category, where we will attempt to accelerate growth by higher promotional activities in the coming quarters. Now, we had mentioned in our last earnings call that we as a company are disappointed that our top-line growth has largely been in the industry band of top-line growth and we have not been outperforming the growth rate of the paint industry as was expected of us.
To this extent, we had outlined in our last earnings call of our changed focus on Tier 1 and Tier 2 towns wherein we had identified 750 such towns in India to focus our efforts in deepening our distribution presence by extensive engagement with the influencer community. Now, this act

ivity has been undertaken in great earnest across
the country and we are beginning to see green shoots in various such cities. Now, this is a long and intensive process and I think it will take another one or maybe two quarters before observable results will start reflecting in our top-line numbers. Suffice to say that we are encouraged by the results that we're seeing and are allocating even more resources towards this strategy as we speak.

Other paint companies have recently spoken about continued inflation in raw material prices, which have been plaguing our industry for the last 18 to 20 months. We at least now see a stabilizing of raw material prices and in fact a softening of these prices from the pre-levels during the last 30 to 45 days. In our last earnings call, we had predicted a gradual though small upward movement in gross margin percentage in Q1 and Q2 of this fiscal. Our Q1 gross margin results vindicate our predictions. Now with the uncertainty of prices apparently behind us and our gross margins in a very comfortable zone, the future trust will be completely on top-line growth. We will be willing to allocate higher promotional spends in future months towards both channel and influencer incentives to achieve these goals. And we are confident of achieving this objective without causing a dip in our profitability parameters.

Now, Indigo Paints will continue to aggressively invest in brand building through advertising to improve its brand equity. As you are aware Kerala is our strongest state for sales and has been exhibiting robust sales growth during the last four quarters. To2cdw further deepen our brand equity in Kerala, we have recently signed on the celluloid superstar of Kerala Mr. Mohan Lal to create television advertising content, which 1s tailor-made for the State of Kerala. Meanwhile, our association with MS Dhoni continues for enhancing our brand equity in the rest of the country.

We are progressing well on the construction of our new water-based paint plant in Tamil Nadu with civil construction and now machinery installation in full swing. As mentioned earlier, we expect to commission this plant in Q3 of this fiscal. Our expansion of distribution network and printing machine population continues as before except that it is now targeted more towards Tier 1 and Tier 2 towns. We have in the last quarter, launched a few more products at the budget end of exterior emulsions and distempers, all of which are doing very well.

Finally, you will note that any past analysis of our company performance will reveal that in every year Q1 is our weakest quarter for Indigo Paints and sales and profits rise sequentially into Q2, rise further into Q3, and reach their highest level in Q4. We expect this year to be no different. We are in a sweet spot of cost economics, wherein increase in sales will result in a disproportionate increase in profits. We sincerely hope to register a higher top-line growth trajectory in the next three quarters with a significantly higher bottom-line growth trajectory.

That's all I have to say in terms of opening remarks. We look forward to questions from your end. Thank you.

Moderator: Our first question is from the line of Abneesh Roy from Edelweiss. Please go ahead.

Abneesh Roy: Yes, thanks, and congrats on good recovery. My first question is on your comments on the raw material. I understand crude oil prices have come down. My question was on titanium dioxide and some of the other monomers, how much is the global recession which is being expected that is responsible for your view that mostly worst is behind? And could you share a bit more insights on how much of deflation you expect in these commodities?

Hemant Jalan: Okay. First of all, our exposure to solvent-based paints is much less than the other players in the paint industry. So we are not as much impacted by

crude oil prices as
some of the others maybe. It is not to say that we are not impacted at all. Main derivatives of crude oil, which are inputs into the paint industry could be the alkyd resins and turpentine. Now, those had been continuously rising in the last few quarters, especially after the Ukraine war, just two days ago there has been a significant drop in both of these prices, perhaps because of marginal softening of the crude oil. Therefore the oil marketing companies in India have dropped the turpentine prices just two or three days ago and that is leading to also a drop in the alkyd resins prices. But as I said, those don't impact us that heavily.

Monomer prices which go into making acrylic emulsions, which are a much more significant input into the paint industry has been softening. They have softened somewhat in the last quarter and in the last, I would say, 40 days starting from end of June till now, they have softened considerably more. So emulsion prices, at least, our purchase prices for August are significantly lower than what they were in July, And

July prices were slightly lower than what they were in the month of June and we do not see any near-term possibility of a further uptrend in these. There may be further marginal decline in the coming months although not by as much as they have already come off already.
Titanium which had also grown significantly and touched its peak around September of last year started softening and continues to soften and they have come off quite a lot from their peak levels that they had hit around August-September of last year by more than 20%. Along with that plastic prices, which -- polypropylene which is also linked to crude had been rising consistently all the way to March. They started dropping in the last three, four months and continue to drop month-by-month. So that's as far as raw material prices are concerned. I think almost all raw material prices that impact us are showing a softening trend and you should see slightly better gross margins resulting from that for the whole industry going forward. Of course, depends upon how much inventory one has at old prices. So whether it will reflect in Q2 or reflect full-fledged in Q3 is something that I would not hazard a guess, but the worst is over as of now.
Abneesh Roy: Sure, sir. Helpful. One follow-up on that, will it be fair to say that in H2 no more price hikes for you would be warranted based on current raw material prices? And could there be price cut also in H2 based on current raw material or do you think that's as of now highly away?

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If raw material prices even remain as they are and do not drop any further, you're quite right one does not see much need for any further price hikes. Whether there will be a price cut at all or not, I think softening of the raw materials would happen -- would have to happen a little more. Otherwise, typically if raw materials soften within a narrow range, generally, the past trend has been that the industry improves or increases its trade discounts and managers that rather than going for a price change because any change in price is somewhat disruptive to the industry. So only when raw material price dropped significantly will there be a cause for a reduction in selling prices, at the moment, I think prices would be by and large stable for the next couple of months as far as selling prices go. I cannot make any predictions beyond that because we just have to play it by the year.
Sure. And last question is generally rainfall this year has been quite good, but Bihar most likely will face a drought and Eastern UP, Jharkhand also will see a big deficit. So would you be concerned in these three, four markets because ultimately sentiments will get impacted, these are

not highly irrigated states to start with, any comments on that?
Why do you talk about drought when more than half the monsoon period is still ahead of us. So I think one keeps reading these forecasts by the Indian Met Department. So there are some regions in India that have had a deficit in rainfall as far as June, July are concerned, but they are predicting an uptick in the monsoon in the subsequent months, so we have full two months of monsoon left. So, let us see how the monsoon plays out. I don't have very deep insights into the meteorological data or the El Nino factors etc. So if there is a drought, of course, it has a long-term effect on rural demand as it does for any sector. Let us hope that that does not happen.
Our next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.
Sir, actually a bunch of questions from my side, but I'm not sure there's many people in the queue actually. So one on the pivot strategy, which you've outlined about three months of the -- and retiring et cetera. Any update, I know it's only three months, but at least did you started one?
That's what I mentioned in my opening remarks that we are beginning to see good traction. I had mentioned three months ago, if I remember correctly, my exact words were, we don't expect anything magical to happen in one quarter, it's a slightly longer-term play. We are allocating more and more resources towards that, more and

more feet on the ground to work with the influencers in these larger cities and we are expanding our manpower base in these cities to a significant extent to interact with the influencer community. So, we are beginning to see good results in several parts of India, they may not have reflected themselves completely in the results of Q1. I expect you should see some impact of that in Q2, but probably Q3 and Q4 is when you'll see the greatest manifestation of all the efforts that are going in there. It is changing the focus of the way in which we sell and that takes a little time for things to materialize.
Understood, sir. And secondly, on the new brand ambassador for Kerala and as a recall, I think Mohanlal was actually an ambassador for another brand previously. Second, just wanted to understand whatever you could talk in a public call the overarching thought process for taking a local celebrity, is it fair to interpret this by saying that look, let's say, out of the X percentage of the target audience, let's say connect with a national figure like Dhoni, so you need to reach the entire 100% in terms of the communication. So that's -- so you need a regional. And more importantly what I'm interested to know is, is it a template you would look to do incrementally and this may have implications for your, let's say, savings on ad (advertisement) spends in the medium term?

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See, first of all, your first point about Mr. Mohanlal having been a brand ambassador for another company; to the best of my knowledge that was more than 20 years ago. So it's been a long winter since he discontinued being a brand ambassador for another paint company. In the past, when we used to make ads, since Mr. Dhoni does not speak Malayalam or any of the southern languages with any great proficiency, the ads, and the content and the thinking used to be kind of like Pan Indian in nature and the language of the ad or the thinking of the script behind the ad was really in Hindi and then it was in dubbed in various regional languages.
Now because of our significantly large presence in Kerala where Kerala accounts for almost 28% or something of our revenue, there was a feedback that it is not the most ideal situation as far as that state is concerned. Also, that state has a slightly different product mix that sells ther

e. The problem that paint companies encounter in terms of
performance are also radically different in Kerala compared to other parts of India because of the coastal nature of that place and even the other larger paint companies, the number one and the number two players have been making different ads for Kerala market in the last few years.
Correct.
There was a call from our sales team that we should design the script where the script writer can think Malayalam and not think Hindi and then get translated into Malayalam and the ad should have a Kerala flavor to it. Now, because of the inability of Mr. Dhoni to speak in Malayalam we thought that having a local celebrity who is very, very popular in Kerala would perhaps enhance the creativity of that ad and it is with that, that we signed him on. As far as other states are concerned at the moment, our presence in the other Southern states, which is either in Andhra, Telangana that is the Telugu speaking region or Tamil Nadu or Karnataka is not large enough to merit such a distinct focus and in any case Mr. Dhoni is God in Tamil Nadu as you know because of his association in CSK.
Yes.
So at the moment, we don't feel the need and it would not be justifiable in terms of cost to sign on local celebrities in the other Southern states. When you come to Northern India, I think Mr. Dhoni's appeal is unparalleled and we intend to continue with him for a long time to come.
So, very clear. Thank you so much. Someone coming from that part of the world can't really think of a better brand ambassador for your company than Mohanlal sir. Second, just on the input let's say plateauing out orders or deflation question, which my friend Abneesh asked little earlier in your opinion, look there how do you see this

playing out actually? Because the reason I'm asking because there are only few consumer categories where you could actually retain some of the input correction without really changing the profit pool equilibrium. Now P&G has been one of them where you could actually do that as per past statistical evidences. So -- but having said that what we observed last year from Asian was actually let's say the 10% odd The gross margin drop in the September quarter last year was sort of a reminder about let's say the ability versus willingness to manage the profit pool. So how do you see this playing out over the next 12 months because again this may have implications for you on your profitability as well?
See the reason why it is difficult to compare both our margins and our top-line growth with the other listed players, there is a fundamental difference and that is that we are the only listed player who is 100% in decorative paints. All other players have a significant exposure to industrial paints. There are two listed players where that exposure to industrial paints is as high as 40%, 45% and for the two largest players it is somewhat lower, maybe in the 20% range. Now, If you look at it last year in Q1

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and perhaps also in Q2, the industrial segment was hit very badly largely due to a chip shortage for the automotive industry.
So, my understanding is that the other listed paint players have had a disproportionate growth in the industrial segment in QI] and may also have that in Q2 because of a weak base effect. So therefore their overall top-line growth in terms of percentage may optically look much higher than what their decorative segment has been. Some of those players are also active in other adjacencies like waterproofing and construction chemicals, which have their own cost dynamics and we are also not present in that. However, you will notice that all other players have noted a deterioration in gross margin percentage, which is directly correlated to their disproportionate increase in the industrial paint segment becaus

e as you all know,
industrial paints have a significantly lower gross margin than decorative paints.
So, we are perhaps the only company where the gross margin has increased significantly from the preceding quarter. Most other players reporting a sharp decline. So, therefore, this movement of gross margin and the top-line growth aided with a disproportionate growth in industrial sales are completely correlated and understandable. I mean, today our gross margins for this quarter are head over heels higher over the others because we are only present in the decorative space, which offers a significantly higher gross margin.
Now, how it plays out into the future for us, I do not know what the cost impacts of industrial raw materials, how they are behaving because we are not present in that space. We expect under normal circumstances that our gross margins with the softening of raw materials should steadily improve over time. What that also means is that it offers us that headroom to maybe go a little more aggressive when it comes to promotional spends, promotional spends either amongst dealers or amongst influencers, or a combination thereof to try and accelerate our top-line growth. If we do that the effect on the ultimate bottom line that is PAT number would be very, very high disproportionately. So, at least for us, I cannot speak for others the effort will be to now step up the top-line growth because we have the comfort of margins and profitability behind us and we do not see any challenge in that sphere and grow the top-line more aggressively than the others, at least as far as the decorative component is concerned. And that will naturally result in a much, much higher profit growth in the future quarters for us.
Our next question is from the line of Vishal Gupta from Phillip Capital. Please go ahead.
Yes, hi Hemant sir, Vishal here. Sir, I had one question and one of the media interview you had mentioned that in bigger cities or metros, the role of influencer is much more important than dealer, dealer is also one of the influencers, but in the sense painter, contractors and architects and in smaller places where you highlighted that dealer plays an important role. So I just wanted to know why the dynamics are different and if you can elaborate or throw some more color on this, why there is a difference in the person who is pushing the paints in bigger cities than smaller cities?
See what happens is that when you go to a very small town people tend to generally

know each other. So the dealer is not a faceless person, he's generally somebody who has an acquaintance with the consumers at large. So, therefore, he is likely to have a much more greater impact or a say in the brand selection by the consumer. On the other extreme, if we move away, not just to the Tier 1 and Tier 2 towns, let's say we move to the metros like Mumbai, a dealer is a faceless person, you don't know him from Adam and he doesn't know you. And therefore, if a totally unknown person in a very large city tries to recommend any particular brand he ts not likely to have much influence as far as the consumer is concerned and therefore the consumer places more emphasis and more trust in what's the painting contractor has to say to him.

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So the nature of selling in larger towns and small downs or the nature of brand selection changes dramatically and therefore the nature of your efforts on the ground to push your sales needs to change in a corresponding manner.

Got that. So because you are also targeting top 750 cities now, so what would be your approach apart from what you call given the higher incentive, what is the approach, how do you plan to garner share out of that because competitive intensity remains quite high, because all the top four players are present out over there

. So if you can throw some more color on it, how do you plan to gain share in those markets?

So I don't think competitive intensity changes from large towns to small towns, don't think that the other players tend to ignore small towns. Nobody does, because everybody derives a huge amount of sale from Tier 3 and Tier 4 towns. For us, It may be disproportionately higher as a percentage of our overall revenue compared to the others, but we do not like to underestimate the competitive intensity of our larger competitors when it comes to the smaller towns. When it comes to the bigger cities, you have to work with the painting contractors, you need to visit sites, you need to do sampling at the sites, and work with the painting contractor that is the influencers to convince the house owner directly into shifting into your brand. That intensity of work is perhaps not required for the Tier 3 and Tier 4 towns, where the nature of selling is very different.

So you need an army of people who have the time and the inclination to work with these painting contractors, visit the sites which they are working on and try and influence directly the homeowner at those sites to adopt your brand. All companies, therefore, have a large field force dedicated to this activity in the larger towns. We have woken up to it a little late because until last year we were getting high growth in the smaller towns and we were focusing more there. Now that our focus has shifted, we are significantly adding to the number of feet on the ground. These are not salespeople, but these are shall I say influencer management people who will work with the influencer communities, regularly visit project sites and convince the homeowners to adopt that paint. That is the nature of trust that is required. Not necessarily, more spends in terms of promotion or advertising or anything else.

Got it, got it. Got it, sir. Last question from my side, just wanted to understand, sir, what is the framework of setting up depots definitely cost-benefit analysis will go in, but just wanted to understand when we decide to setup a depot in a particular city or state what is the thought that goes behind it? Sir definitely a certain threshold of sales will be required. If you can just explain or elaborate more on it, it would be really helpful, sir?

Setting up depots or multiple depots in a state is entirely governed by logistics and we look at the time taken to deliver material from your depot to dealers in the more far-flung areas. The moment that starts crossing 36 to 48 hours, you feel the need to establish a second depot in that particular state suitably located geographically so that the areas that you were not able to service in 24 to 36 hours, you can now service more effectively from there. So it is really time taken to service the dealer, it has something to do with the logistics transport network available in various states.

For example, if you take a state of West Bengal, if you've tried to dispatch material from Kolkata to Siliguri, it will on average take about 8 or 10 days to reach there because transport services between the two cities simply do not exist. And if you talk about feeding more upcountry areas beyond Siliguri, which is the largest town in North Bengal it could take even longer. So it becomes very difficult to operate from one depot in that state. You need the depot in Siliguri. You probably need another depot somewhere in between Kolkata and Siliguri and so on and so forth in different states.

So I think, depending upon the volume of business that you have the part of the state, which is exhibiting higher growth you go on adding depots as and when it is needed

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Gaurang Kakkad:
Hemant Jalan: Indigo Paints Limited
August 05, 2022

to provide good service

to the dealers. That is the only criteria that we adopt in deciding when to add another depot.

Got it. And just follow-on to that, is it CapEx heavy that given the pain is incredible so 1s it setting up a depot what do you call a very CapEx heavy or just want...

It doesn't involve any CapEx. I don't know of any paint company, which owns the depots. They always rent it out. So it's all the committed cost so when you setup a depot, a little inventory gets added there because you have to maintain the range of stocks, maybe there is an increase in working capital to a small extent INR50 lakhs, INR60 lakhs of extra inventory get started on and you have one or two accountants and the CapEx involved is what you set up one or two computers a little cabin and you're ready to book.

Okay. Sir, fire extinguisher equipment anything required because paint is inflammable, just wanted to understand on that front anything required on that front? Fire extinguishers anything?

Fire extinguishers.

Yes, no, because paints are inflammable so accordingly I just wanted to ask.

You need approval from the local bodies and you have to keep your depot well stocked with necessary fire extinguishers. So that's not a huge cost.

Our next question is from the line of Gaurang Kakkad from Haitong Securities. Please go ahead.

Congratulations on a good recovery and good show on profitability. Sir, my first question is in terms of the Tier 1, Tier 2 entry strategy. So largely, you mentioned that there are some green shoots that you see here. So is it that largely the dealer addition which has happened in this quarter, 700 odd is primarily in this Tier 1, Tier 2 cities and based on the initial numbers, we see that the acceptability of the brand is strong? What gives us the confidence?

See dealer network in the largest cities was never a problem for us. We already had a good network of dealers in Tier 1 and Tier 2 towns. The problem was that the output per dealer in those cities was fairly low and the share of that dealer's total sale that we were getting was abysmally low. Whereas the moment we went to Tier 3 and Tier 4 towns, we were getting a fairly high share of that counter sale towards Indigo whoever our dealer was. So we analyze that the only reason this was exhibiting a distinct change when you move from Tier 3, Tier 4 to Tier 1, Tier 2 towns 1s that in the past we had not engaged actively with the influencer community there and did the kinds of things that I just outlined in response to a previous question. And unless you do that, it is very difficult to increase the share of sales in those respective counters.

So, let us say, if you go to a Tier 3, Tier 4 town and let us say, a dealer his total paint sale is, let's say, just to throw a number INR1 crore and if Indigo is getting and all these dealers are of course multi-brand as you know. So if Indigo gets INR40 lakhs to INRSO lakhs of that counter sale that's pretty good for a company of our size.

When you go through a Tier 1 or Tier 2 town, for most dealers there, total sale in the counter would be upwards of INR1.5 crore or INR2 crore and there the share of sales that we were enjoying was abysmally low. It was below INR10 lakh or so. So giving incentive to the dealer who was not going to help because as I said, the role of a dealer in these towns is much less. What we were lacking was working actively with the influencer community and visiting the sites where they were getting the painting jobs and working with them to convince the house owner to switch to our brand.

Now that's a very different kind of an activity, which we have started doing very aggressively in the last four months and we are beginning to see results. It's a long process. Other companies have been doing this for many, many years, we have embarked on this journey only during the last four months or so. So it

will take some time, but we are confident that we will get there because the acceptability of our brands and the equity of our brand is very high everywhere. So that is a big plus point for us. The quality of our product, people are very happy with, the quality, the packaging, the delivery, etc. What we need is this intensive engagement with the painters in the larger towns and that is what we are doing.

Gaurang Kakkad: Right. And in terms of product mix, you mentioned, so largely would the product mix be similar across the Tier 1, Tier 2 and Tier 3 Tier 4 towns? Say across...

Hemant Jalan: Yes, very much. It is a misnomer that more premium paint sell in the bigger cities and the economy paint sell in the smaller towns that has not borne on by reality, sometimes you find that in the very, very small towns you have a very high disproportionately high sale of premium products. So overall, I would say, the product mix does not change with the size of the town or at least that has not been our experience. We find that by and large the product mix is the same.

Gaurang Kakkad: And this would also be true for the differentiated products, right? So the share. Okay.

Hemant Jalan: Yes, absolutely.

Gaurang Kakkad: Okay. And just on the dealer addition this 4.5%, 5% Q-o-Q addition largely it is Tier 1, Tier 2 towns or still we are looking at Tier 3, Tier 4 in terms of addition for the quarter as well as incremental?

Hemant Jalan: No, there will be a mix of both. I don't have exact granular bifurcation of how much of those have happened in the larger cities and how much have happened in the smaller towns, but as I mentioned in my opening remarks, now the dealer addition and the tinting machine addition is happening much more as a percentage in the larger towns vis-a-vis the smaller towns where in most states, there is not much more room left for expansion of the dealer network, because the number of dealers available in those small towns is very low and if you already have 50% or 40% of those dealers dealing with you, it is counter-productive to try and expand your network further in those places.

Gaurang Kakkad: Right. Thanks. That helps. And on the three-year CAGR growth at the company level, if you can share what is the number?

Hemant Jalan: Top-line growth, I think the three-year CAGR came to somewhere around 17% or thereabout in terms of top-line, that's the problem that now doing a one-year growth becomes meaningless because of COVID, two-year growth also becomes meaningless because Q1 of FY '21 was even more severely impacted. So going through three-year CAGR growth, we can do the number crunching, but to the best of my memory, it was around 17%.

Gaurang Kakkad: Right. And just finally on the primer distemper part, the value growth is 28% and volume growth is 2%. So there is a 25% kind of a pricing element there, is competition having a much lower pricing element, which is why we have a lower volume growth and what is the way ahead in this category?

Hemant Jalan: You find that difference across all categories that the value growth is significantly higher than the volume growth, because prices have risen significantly. Now, we presented in four detailed buckets in the interest of transparency, our competitors choose to club it all together and that makes analysis very difficult for people like you I can understand, because it is very difficult, you start adding putty, which is a INR20 kg item, with some top end emulsions, which are INR300 a liter and try and club

Moderator:
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value and volume growth across categories. I think it leads to a khichdi, which doesn't yield much insight.

Now in some quarters, like I remember in last quarter, our putty growth in volume was very low, almost zero. Now this quarter, It's been much healthier and so on

and
so forth. So quarter-to-quarter different product buckets do tend to perform slightly differently. Again, if you do a detailed analysis, it may have something to do with which comes you ran aggressive schemes on which product category both this year and the previous year. Suppose you ran a very heavy scheme on this particular category in June of last year then you would be coming off of a high base and you may show lower growth this year. Whereas, if you ran a high scheme for some product this year during Q1 versus last year in Q1, you may show a significantly higher volume growth.
So, I think to make sense out of these volume and value numbers, you have to let a longer time period elapse and as long as on a whole year basis you are doing good growth, both in terms of volume and value, you should be all right.
Thank you. Our next question is from the line of Avi Mehta: from Macquarie. Please go ahead.
Hi, sir. Thanks for the opportunity. Sir, a few questions, first on the input cost environment just conceptual understanding, would it be a fair bit of understanding that the titanium dioxide market because for us that is a bigger chunk would it be fair to say that any correction seen in say a region like China or so would flow through to the India buy price or maybe with time-lag, but is that a right way to look at this market or no?
See I don't have that much of inputs when it comes to global macroeconomic shifts are concerned. So, to what extent do fluctuations in China or Europe or Ukraine impact India is kind of a little hard to decipher.
Sir no, what I mean from a titanium dioxide market perspective because the global commodity I wasn't sure, but I thought I'll just check it again.
So actually much more important than titanium dioxide for us are the emulsion monomers that is a much higher cost input, which constitute the overall acrylic emulsions, which are the base for all our water-based paints. That is a significantly higher input for us than titanium dioxide. And last year they were rising very high, primarily due to large shutdowns in some global plants and some of these monomers are made at very, very few places in the world and even one of those plants undergoes a shutdown, it has a huge impact on the monomer prices across the world. Titanium dioxide is a little more distributed in the sense that titanium dioxide is not made by just two or three or four manufacturers around the globe, they are made by a much larger number of manufacturers. So supply disruptions or plant outages tend not to disturb titanium dioxide as much. I think it would be more global demand-supply that influences it. How much of that is influenced by China I frankly do not profess to know, but there has been a steady softening of titanium dioxide prices starting from September. So it's been a gradual drop quarter-by-quarter and we are marginally above the levels that we were in one and half years ago. So in between things had risen very high, they have come down significantly, as I've said, by more than 20%, almost 25%. And the indications that we get from the vendors of titanium dioxide is that it is not likely that it will see an uptrend in the forthcoming months.
We get a similar signal for emulsion monomers.
Sir, if I may, where I was coming from is titanium dioxide in China is down almost 20% or so. So I thought that -- and India titanium dioxide prices are not reflecting that so which is where -- that was the basis of the question. So asked.

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Avi Mehta: NDIGO Be surprised!

So in India also -- well in India, there is only one significant manufacturer, which is

KMML and KMML have dropped their prices, they have not dropped it to the extent by which global prices have come down,

but KMML services only a small fraction of the Indian demand. So, maybe they are fully booked, I don't know. But most of our purchasing of titanium dioxide is imported titanium dioxide where we are getting the benefits of lower pricing and these materials come from China, they come from other parts of Southeast Asia, some parts come from -- some materials come from Europe also, depending upon the grade of titanium that you need and there is an overall softening across the board.

Got it, sir. And sir, could you be able to give us a broad sense on what share of inputs does it kind of account for us just to -- so that we can appreciate the moderation?

The number available and that number would vary slightly quarter-to-quarter.

No, no, not quarterly, just the broad range, sir. Is tt like 20%, 30%?

No, no it won't be that high or anything close to that. In terms of our total imports, I doubt if it will even be 10% of our total inputs. But I don't have exact numbers available right now and what happens is that certain quarters like now when you enter Q2, this is a period when generally it is the more economy range products that sell. So titanium dioxide consumption as overall consumption will go down and once you come into Q3 and Q4 those are the periods when the higher-end emulsions sell the most. So titanium dioxide consumption increases very dramatically during those quarters at least for us.

No. Got it, sir. I'll take that offline. Sir, the second bit was essentially on the institutional sales, now we've been hearing from other peers that there has been a very sharp uptick in that segment. I wanted to kind of just get your thoughts on how are you looking at that segment, that market and your strategies.

Yes, we had mentioned even earlier that we are interested in entering into the industrial coating division -- the business. However, the industrial paint business is a very diverse set, on one hand, you have very high-end industrial paints, so, we have very high-end industrial paints which are used in very high-tech areas which are very technology protected and have reasonably good margins and you have the low end of the industrial paints. So, we are not looking at entering the lower-end industrial paints because that is a very crowded area. You're talking about industrial sales, or are you talking about institutional sales of decorative paints?

I was talking with the institutional sales of decorative, sir.

I see, institutional sales of decorative paints, no, that is not the segment that we are looking at. Because that would mean selling to large builders etc. and the safety of your financial exposure is very suspect with that community and that is not a segment that we are looking at entering at this point in time.

Okay. Okay, got it, sir. And if I hear you correctly industrial you will focus only there is technology and where you can...

Yes, so we are exploring those options. We are in talk with several companies outside India. The talks have not reached a definitive stage where we can talk concretely about it. As and when something materializes, we will definitely be disclosing it to the investor community, but we are hopeful that something would happen, but I cannot put a timeframe to it.

Got it, sir, got it. And sir, if I may, just in the entire strategy piece what I liked is you've kind of been very aggressive in terms of growing, and nowhere have you kind of argued that this is what because of a new player coming in any defensive, would it be fair to say that your approach for any new player entry in particular, Grasim is

going to be, let's see what they're doing and then react, or would you be kind of looking to do some proactive steps over here just your thoughts?

Hemant Jalan: Grasim's entry is two years away. To start bothering about somebody who 1s going to enter two years from now is unne

cessarily putting yourself under any kind of a strain when it is not worth it. Let them come closer to launch and the paint industry is so large and there is so much of inherent growth and volume in the paint industry and for any large player, I mean, you've had a large group that has entered the paint industry three, three and half years ago, you know who I'm talking about and they are doing well from what I hear. But they have not disrupted the applecart for any of the existing players. So I would expect that even when Grasim enters and it is making higher commitment in terms of capital outlay. But it is not a capex driven industry

and whatever space they will occupy over a period of time, I think it will happen without disrupting anything for the existing players. So it is not something that any of the players in the paint industry are very worried about at this point in time.
Moderator: Our next question is from the line of Sameer Gupta from India Infoline. Please go ahead.
Sameer Gupta: Thank you, sir, for taking my question. I have only one, but have a slightly long question So please bear with me. So just trying to understand the consumer behavior in this paint category and my question pertains to the category as a whole might not be completely applicable to you alone, but overall category. So, sir, in many categories across FMCG and more discretionary, we are seeing which pertain to the mass and are reasonably penetrated. We are seeing a very lackluster demand environment in terms of volumes and this is primarily due to the steep inflation, which has disrupted household budgets. Now in a category like paints which has seen a 20% price increase and there is also an angle of deferment, I may postpone my painting of the house. The volume growth is pretty healthy and this is across paint players. So what in your view is driving this? Is this a repainting led demand which cannot be deferred? It is new construction, houses, share gains from smaller players or just there is ample availability of cheap labor, which is offsetting this price inflation in paints or a bit of everything? Just trying to understand this reason, sir.
Hemant Jalan: So I think that you're asking a very pertinent question, Sameer, but it is dangerous to compare a category like paint with other consumables, which are like consumer staples. Consumer staples, when you talk about strain in volume growth and I have read in the papers, large companies like Levers and P&G and the consumer product companies of the world the FMCG companies as you know them talking about a slowdown in volume growth or even a negative volume growth at times depending upon which company and which sector you are looking at. Now the fundamental difference between those and paints is that paint is something which is consumed once in four, five years as opposed to toothpaste, soaps, shampoo, which is purchased every month.
So those products, which are the staples, which are bought every month affect a household budget and I think every household has to manage its budget and in a slightly inflationary environment and the uncertainties that we have had with respect to COVID and the disruptions that is created people tend to either down trade and purchase cheaper material or they go for smaller pack sizes. And therefore that results in a slight weakening as far as volume growth is concemed. You're right, that in paints. It is a discretionary nature, some part of it can be postponed and some of it cannot. Today, the biggest trigger painting is a marriage in the house.
Now, if a marriage is taking place in our house typically both the pride's house and the pride groom's house will run go about a painting and that is not something, which is deferrable. Once a marriage date has been fixed. And since this happens once in four, five years when you repaint the house, there is a great amount of aspirational element attached to it. People today,

you were asking about consumer behavior, our
insight is that when it comes to making over their house, the house is their calling

Sameer Gupta:
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card of where they have reached. They don't want to sacrifice on that. Also, when they keep in mind that the actual cost of paint is less than typically 40% to 45% of the overall painting cost, the rest being labor and the labor cost has not increased as drastically.
So therefore a little inflation in the raw material or in the paint prices even if it is to the extent of 20%, overall impacts the painting cost by only 8%. So people tend so far not to be stingy on that and continue to paint their house as they have required in the past. Maybe the lockdowns have accentuated that because people are spending more time at home because of this work-from-home environment and therefore contrary to gut feel the postponement in painting cycle has really not happened, which is good

for our industry. So the fact that when COVID happened were we worried about what impact it will have in demand, of course, we were. But, fortunately, for us it has played out rather well and now that COVID seems to be behind us, I think we are confident that we are back on a good volume growth track as we were during the pre-COVID era.
So, therefore, don't compare it, like look at automobile sales, from what I read automobile sales are also undergoing a big jump despite the big escalation in prices of automobiles and steel and chips and other things that go into automobiles. So maybe you should look at paint more in relation to durables and automobiles and some other products. Now each industry has its own dynamics and yesterday I was reading that the air conditioning and the refrigerator for homes are not going through, they are seeing a very flattish volume in the last few months. Why it is different in paint, I don't know. I don't wrap my head too much about it, when the volume growth is good, I don't try to unearth as to why is it good. We enjoy it while it's happening.
Fair enough, sir. That's a very detailed answer, and thanks for this. My only concern here is that because this is a category, which is, as you said people consume once in four, five years, having consumed they're out of the system for the next four, five years.
So for that somebody else comes into the system, who has painted three years ago. So that goes on almost 85% of the paint consumption is repainting of existing homes, 15%, max 20% is got new construction and new construction of course the printing cannot be postponed, you typically need to paint it before you inhabit the dwelling, but the re-painting cycle has also shortened overtime. It used to be six, seven years, it's now come down to three, four years. So that has led to a higher frequency of repainting. So, yes, the volume growth continues to look good for this sector and we just hope that it stays that way for the years to come.
Thank you. Our last question is from the line of Patanjali Srinivasa and from Mirabilis Investment Trust. Please go ahead.
Hi, sir. Thank you for the opportunity. I'd like to know if we have any plans of...
I am sorry to interrupt Mr. Srinivasan, can you please switch to your handset? Mr. Srinivasan?
Yes, am I audible ma'am.
We can hear you. Please go ahead. There 1s a little echo but go ahead.
Yes, so I wanted to understand, if we have any plans of entering the waterproofing business, sir?
No immediate plans of entering waterproofing per se. We are interested in entering into the industrial paints category, if and when we tie-up with any large player and I think it will have to be done with a tie-up with some large player anywhere in the world. If they also have a strong portfolio in waterproofing, i

t is something that we

Patanjali Srinivasa:
Hemant Jalan:
Moderator:
Hemant Jalan:

may consider. But at the moment from our understanding, the waterproofing sector is getting a bit too crowded and the gross margins have dropped significantly in that sector. So, it is not a focus area by itself to get into, if it happens naturally along with some other industrial paints, it is not something that we rule out either.
Sir, and one-off our guidance like previously was that with the time our A&P as a percentage of sales will keep dropping a bit because our sales growth will be much faster, so in the recent distinct, in today's call you said that because we have some better gross margin advantage, you will still invest more on branding and all of that. So what ts the right thing to expect going forward?
No, I think we stick with what we had said and that is that A&P spends will in absolute amounts probably increase by, let's say, 5% year-on-year to take care of inflationary effect because all the television channels do tend to kind of increase their pricing for the spots by on average 5% year-on-year so that much of absolute increase in spend you have to maintain, to maintain the same degree or intensity of advertising. However, since the topline growth fortunately much, much higher than 5%, therefore the advertising cost or A&P cost as a percentage of topline continues to drop. They dropped last year from what they were the previous year and this year we expect a significant more drop maybe 1.5% to 1.75%.

Last year our A&P costs were 9.7% of top-line maybe, this year it will be closer to 8% and that is a natural decline that will happen without sacrificing the intensity of advertising, simply because the top-line increases faster than this spends on advertising. What I was talking about of signing another celebrity, I mean, the celebrity cost is but a very small portion of your advertising expense, the much, much larger expense is what you spend on those airing those commercials on television. And that in terms of overall intensity as far as our Pan-India spread is concemed is not expected to increase very much. It is the quality of the creative in one particular state, which will undergo change, taking a more local flavor out there, which would appeal more to the operation of Kerala that's all.

Thank you very much. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Thanks a lot. It has been a very engaging session. Thanks for your questions. I hope we have answered them well. If you have any follow-up questions, please reach out to Mr. Srihari Santhakumar: who is our GM Finance and Investor Relationships. I know that you have other earnings call lined up, which may have already started and you'd be anxious to switch-offs, so I will not keep you any longer. Thanks a lot, Manoj, for conducting it and giving us this opportunity, and thanks for your entire team at I-Sec and the moderator. Thank you.

Thank you very much, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference call. Thank you for joining in. You many now disconnect the call.

Call: Nov 2022

AN INDIGO Be surprised!
Date: November 10, 2022

To, To
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza, Plot No. C-1, Block G,
25" Floor, Phiroze Jeejeebhoy Towers | Sandra Kurla Complex, Bandra (East)
Dalal Street, Mumbai- 400001 Mumbai - 400051
Scrip Code: 543258 NSE Symbol: INDIGOPNTS
Dear Sir/Madam,
Sub: _Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call.
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings call held with the analyst and investors on November 07, 2022 at 16.00 hrs (IST) to discuss the Unaudited Financial Results of the Company for the quarter half year ended September 30, 2022.
The above information will also be made available on the website of the company www.indigopaints.com/investors
You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited
Sujoy Sudipta Bose
Company Secretary & Compliance Officer
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“Indigo Paints Limited
Q2 FY *23 Earnings Conference Call”
November 07, 2022
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MANAGEMENT:
MODERATOR: MR. HEMANT JALAN — CHAIRMAN AND MANAGING DIRECTOR
Mr. T.S SURESH BABU — CHIEF OPERATING OFFICER
MR. CHETAN HUMANE — CHIEF FINANCIAL OFFICER
MR. SRIHARI SANTHAKUMAR — GENERAL MANAGER FINANCE AND INVESTOR RELATIONS
Mr. MANOJ MENON — ICICI SECURITIES
Mr. ANIRUDDHA JOSHI — ICICI SECURITIES
Page 1 of 20
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Moderator:
Manoj Menon:
Srihari:
Hemant Jalan: Indigo Paints Limited
November 07, 2022
Ladies and gentlemen, good day, and welcome to the Indigo Paints Q2 FY '23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.
Hi, everyone. It's a wonderful good morning, good afternoon, Good evening, depending on the part of the world you are joining this call from. I am representing ICICI Securities also I have my colleague; Aniruddha Joshi is also there with me. It's our absolute pleasure to host the 2Q FY '23 results conference call of Indigo Paint, the management of the company's present with us. Over to Srihari from Indigo for the further proceeding.
Thanks, Manoj. Good evening, everyone. Thanks for joining the earnings call of Indigo pains for the quarter ended September 2022. On our call today, we have our Managing Director, Mr.

Hemant Jalan. Chief Operating Officer, Mr. Suresh Babu; and our CFO, Mr. Chetan Humane. We start the proceedings with a quick brief overview of the performance of the company by Mr. Jalan followed with the Q&A. Over to you Mr. Jalan.

Thank you all for joining in on our earnings call of Indigo paints for Q2 of FY '23. Now the Q2 quarter for the paint industry is what we call the monsoon quarter. So it's usually characterized by an inferior product mix. Now this year, this was further accentuated by excessive rains in many parts of India and extended monsoons across the country, which have adversely impacted the sales of products, especially for extenior applications.

Despite these headwinds, Indigo Paints has clocked a high

er top line growth compared to the rest of the industry with fast-moving profitability metrics. Now our financials for Q2 FY '23 have been uploaded on the stock exchange portals along with our analyst presentation, and I'm sure you've had a chance to go through them. Now I'll just briefly summarize our financials, give a very brief note on future strategy and guidance and then open it up for Q&A. Now compared to Q2 of last year, our sales in Q2 of this year have registered a top line growth of 23.71%.

The gross margin this year for this Q2 has been flat compared to Q2 of last year. almost identical at 41.72%. Compared to Q1, the preceding quarter of this year, the gross margins have slightly declined from 45.2% to 41.7%. Now this is typical and usually happens during Q2 for most paint companies because of the inferior product mix which pervades in Q2. However, you will note that our gross margin percentage continues to remain ahead of the rest of the paint industry by a significant margin.

We have also, like the rest of the industry, undertaken minor price increases on some select products during the quarter. And now raw material prices have stabilized and some of them are showing signs of declining. For Q2 this year, compared to Q2 of last year, our total EBITDA has increased by 44.5% and the EBITDA margin has risen from 11.92%, which is what it was a year ago to 13.92% for Q2 of this year.

Profit after tax has increased by a whopping 174%. And PAT margins have increased from 6.8% in this quarter last year, to 15.1% in the Q2 of this year. Now you will note from the presentation that part of this huge increase in PAT is attributable to a onetime reversal of some excess tax provisions of INR 16.3 crores, which pertained to earlier years, for which the assessments got completed during this quarter, and therefore, this reversal is happening. Despite this reversal, even if you take away the effect of the INR 16.33 crores of contribution to the PAT, despite that, our PAT on an absolute amount has expanded by 53.2% compared to the same quarter last year. And our PAT margin has gone up from 6.8% to 8.45% during this quarter. Similarly, if we look at the full 6-month performance of this year, the top line sales have risen by 32.5% compared to the corresponding 6 months of the last fiscal. Gross margins have been virtually flat at 43.4%, almost the same thing as the first half of last year. EBITDA in this half has grown by 58.7% compared to the EBITDA of first half of last year, and the EBITDA margin has expanded from 12.36% last year to 14.8% in the full six months of this year. PAT, again, for the full six months has increased by 127%. And PAT margin has gone up from 7% to 12.1%.

And once again, if you adjust for the reversal of the excess tax provision, even then the PAT has expanded by almost 62% and PAT margins have gone up from 7% to 8.65% during the full 6 months. Now, in line with our brand-building strategy, we continue to spend aggressively on advertising and promotion. You will note that the A&P expense for the quarter was down marginally by 7% compared to Q2 of last year. However, in Q1 of this year, we had a significant increase in the A&P spend compared to Q1 of last year, and this entire phenomenon is attributable to the last year's split of IPL, which got split between April and September. And therefore, there was a comparatively lower outlay in the first quarter and a higher outlay in the second quarter. So perhaps more meaningful to look at the A&P spend for the full six months. which have been 13.56% higher than the corresponding six months of last year.

Now, you should note that on a half yearly basis, despite the fact that we had flat gross margin, and slightly higher A&P spends, the EBITDA margin has expanded significantly for the six months from 12.36% to 14.8% reflect

ing the benefits kicking in from our economies of scale.

We have also furnished the volume and value sales growth figures for each of the four major categories of decorative paints consistent with our past pattern of transparent disclosures as has happened in the last few quarters, the value growth is always higher than the volume growth, as a consequence of the price increase of almost 20%, which was undertaken during the last 12 months.

During the quarter, you will note that the company has witnessed a small dip in our volumes for emulsion category, -4%. However, keep in mind, please, that the emulsion value growth in the preceding quarter was 34.4% and in the yet preceding quarter, that is Q4 of FY '22 was also a 43% volume growth. So because of some trade schemes, which closed out in June, maybe a small amount of the emulsion sales got shifted to the preceding quarter, which is why you see a marginal dip in the volume growth figures for emulsion.

But what is heartening to note is that in the enamel space, where the company has traditionally been somewhat weak, we have had almost a 29% volume growth, and we are now gradually getting our rightful share of the pie as far as in enamel is concerned. -- which is a fairly large segment in the decorative paint industry. We continue to focus on our network expansion -- and as of 30th September, our active dealer count stands in excess of 16,750 and our tinting machine population stands in excess of 7,700.

Now, in the earlier calls, we have mentioned regarding our pivot to focus on 750 larger towns of India, which are the Tier 1, Tier 2 towns. And we have been executing that during the last 6 months, and I'm happy to report that we are witnessing very good results from that, and we expect further boost in sales from these towns in the upcoming quarters. It is the early results that we have derived from this initiative, which is mainly responsible in our exhibiting a slightly higher top line growth compared to the rest of the industry and we expect this to accelerate further in the coming quarters. To undertake the influencer outreach program in these 750 towns, we have doubled the resources in terms of manpower on the ground to make this more effective. And we continually, continue to increase our manpower base, efforts, energy and spends in benefitting these larger cities.

Looking in the future, with industry-leading gross margins and the softening of raw material prices, which we are witnessing, we will continue our thrust to achieve higher growth through higher promotional activities and recalibrating the channel incentives. In terms of promotion, during the last quarter, the company launched a massive ad (advertisement) campaign in Kerala, a new ad to relaunch a very top-end emulsion of ours, starting our new brand, Ambassador Mr. Mohan Lal, the celluloid Superstar of Kerala backed with significant channel incentives.

We have had an early Diwali this year and monsoons, which continued almost till three days or four days before Diwali, with all that behind us, we are hopeful that the upcoming months will drive the sales further. And that we, at Indigo pains will continue to positively surprise you on both top line and bottom line growth.

That's all I have to say in terms of opening remarks and look forward to receiving your questions.

Moderator: Thank you very much. We will now begin the question-and-answer-session. Anyone, who wishes to ask a question may press star and one on their touchtone telephone. If you wish to

Abneesh Roy:
Management: Indigo Paints Limited

remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first questio

n is from the line of Abneesh
Roy from Nuvama Institutional Equities. Please go ahead.

My first question is on the demand side in Q3, sough the other players have been saying that this time the gap between the rainfalls ending and the festival season, this time it was quite short. Normally in the previous years the customer behavior is that you would like to have at least two to three weeks kind of a gap wherein the painting can be fully done, painting selection and all that. This time that was not possible in most regions because of the very short gap. And secondly, sir, last year if you remember, the sharp price hike by most of the players happened in Q3 and that led to preponderant of the demand pipeline filling, etcetera. In that context, do you see for yourself also Q3 demand being a bit challenging? You are more positive, that's why I'm asking this question. Q3 demand is it looking a bit challenging at this juncture?

So Abneesh, you're right and to some extent that whenever we have an early Diwali, see by now I think if I look at what has happened in the last 15 years, I think we have all gotten used to monsoon now continuing in India till at least 15th October. It is called a late monsoon withdrawal but if it happens 15 years in a row, I think that has become the normal monsoon pattern now. Gone are the days when the monsoon would withdraw by lst September, which was used to be the official monsoon withdrawal date. It is now a good 45 days after that. Now, Diwali date shifts from year-to-year. Last year we had a more normal Diwali time. I remember it was 4th, 5th of November or something around that time. If monsoon finishes by 15th October, you're nght, you get a good 20 days between the end of the monsoon and Diwali and you have bumper pre-Diwali sales. However, whenever you have Diwali coming in November, although you always get a great pre-Diwali sale season, it is usually followed by a lull in the next two three months. The rest of November and December and January gets kind of muted, at least as far as Northern India 1s concerned.

My own experience is that whenever we have an early Diwali, as we had this year, when Diwali was, I think, 24th of October, and the gap between the end of the monsoon and Diwali was hardly four or five days. Now people are not going to start painting their house two days before Diwali. So at that time, the pre-Diwali sale suffers. However, once Diwali is over, this lost in sales that you experience pre-Diwali tends to get made up during the next two to three months. So a lot of this, it is true, October I'm sure has been a bad selling month for all the companies in the paint industry. I'm sure it will get made up for if not completely by December, definitely by January. Because there is a latent demand that always overhangs and it gets made up.

Now what you're saying is right that last year there were huge price hikes that were undertaken, a major one that happened in early November and another fairly significant price

increase that happened in mid-December. So because of that there was some preponderant of the sales but that preponderant did not happen as getting shifted to Q2. Basically last year some of the November demand, especially for the larger players, because whenever there is a big price increase the channel tends to first put its hands on the requirement that they have for the larger players, which are more liquid stocks. So they would have, I expect, had a huge hike in their demand in October and then again in November and probably a very-very dull December. But overall, if you look at the quarter, I don't know whether it impacted it all that much.

For us, of course, we would have got some benefit in that little preponderant from November to October. The magnitude would have been smaller. So what is going to be the result as f

ar as
the entire Q3 is concerned, well, the jury is still out because we have just finished the worst month of the quarter which is October which was heavy rainfall. Also, remember it is not just rainfall you lose a lot of days during the month to holidays. You first have the Dussehra which means the three four day holiday in most parts of North India. Then you have Diwali when there is three four days of holiday and in at least two states of India in the north Bihar, Jharkhand and parts of eastern UP you have their most major festival called Chhath, which falls on the 5th and the 6th day after Diwali. So all the three festivals fell in the month of October. So the number of working days in Northern India were of course severely impacted. However, Kerala did extremely well for us in the month of October. And we expect a more normal pattern emerging from Q3 onwards because the benefits of value price increase would be present in a very small respect as far as Q3 is concerned. So the overall top line growth numbers of the industry, which in the last few quarters have been 20%, at times even 40% when you had some pre-COVID impact in the preceding year, etcetera. I think all that is going to moderate and come down to more normal levels where you don't have that pricing tailwind behind you for most of the quarter.

So let's see, I'm quite hopeful that November and December we'll see a huge upsurge in sales to make up for the slightly weak October which the industry has experienced. So let's see what the future unfolds. It's very difficult to put a number guidance on that.

Sure sir, thanks. One follow up on the demand side, you mentioned October month has been good for Kerala. So is it because of the focused marketing campaign with the brand ambassador? And in Q2 also, was Kerala growth better than the overall 23% growth? Even Kerala last two years in terms of base quarter, there has been one challenge or the other because of the COVID or because of the high rainfall, etcetera. In Q2, how was the Kerala growth?

Kerala growth was extremely good. It was fairly good, in fact more than the rest of the country per se. Part of it can be attnbuted to this new campaign that we have launched, although that campaign was launched only from 15 September, so it would have had a marginal effect as far as the entire quarter is concerned. The other thing you have to note is that Diwali is not really a festival that is celebrated in Kerala.

Abneesh Roy:
Management:
Moderator:
Jaykumar Doshi:
Moderator:
Management:
Jaykumar Doshi: Indigo Paints Limited
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And rainfall activities in Kerala during the months of September were not anything unusual whereas you must have read in the newspapers in the just the neighboring states like Karnataka it has been just deluged with rains all through September and in fact all through October and the similar has been the story in most states in northern India. So fortunately for us Kerala was a little more normal kind of a monsoon pattern nothing very excessive no flooding or water logging or anything like that coupled with of course a new campaign and good execution I mean Kerala for us has been doing very well in the last three four quarters successively so after COVID-2 was over in May of last year, I think from July onwards of 2021, Kerala has done extremely well for us.
Sure, sir, last question is on the industry leader coming out with backward integration plans of VAE, VAM and white cement their claim is this will help them in terms of unique products and reduce import dependency. Now first time a paid company in India is doing this kind of a thing. So wanted to understand, does this put the smaller paint companies in some kind of an advantage from a longer-term perspective?
No, I don't think it does. I think there is abundant supply of all kinds of emulsions, including the emulsions in India. We have not be

en using that very much in the last few years. We have
used that in the past. At the moment, we don't use VAE emulsions because we don't find them very cost effective, but they're abundantly available. And the same goes as far as white cement is concerned. So what the industry leader has to do, they are in a different scale of operation and compared to us, so they can probably answer better as to what advantages they will get, but you ask me as to whether we feel, we will be at any disadvantage, the answer is no. Today, we don't make any of our emulsions in-house and not just the market leader, but many of the larger players choose to make most of their emulsions in-house. And you still note that our gross margin is much-much higher than any of those companies. So I don't think that we suffer from any cost disadvantage by not making those products in-house. It's a different philosophy and it's a different scale of operations. So what is good for them is not necessarily good for us and vice versa.
Thank you. Anyone who wish to ask a question at this time, they may please press star and one. Our next question is from the line of Jaykumar Doshi from Kotak. Please go ahead.
What should we expect in terms of gross margin recovery in the third quarter and fourth quarter based on raw materials like is the current level and
Sir, you are not audible. Can you use the handset, please?
I can hear you, Jay, you were asking about gross margin recovery in Q3 and Q4.
And EBITDA margin as well?

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Jaykumar Doshi:
Management:
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And EBITDA margin. Normally, for us, both in terms of top line sales and in terms of bottom line, historically, Ql has been the weakest quarter. Q2 is a little better overall in top line, although EBITDA margins and gross margins are under some stress in Q2 because of the deteriorating product mix during the monsoons.
Both these numbers are much better in Q3 and the highest in Q4. So that has something to do with the product mix. This time, we have two tailwinds supporting us. One is the product mix, which changes in Q3, more exterior painting starts, many of our specialty products, especially our differentiated products, their sales mainly happens in Q3 and Q4 and they tend to push up both the gross margins and the EBITDA margins, even in terms of top line, the total sales are normally much higher in Q3 compared to Q2, and Q4 sales for us are the highest.
So the EBITDA margins are also always much, much higher in Q3 and Q4 because the same standard expenses that overhead, the advertising and all the other expense get amortized or not much, much larger top line. So I think you should see a good recovery in both the gross margin and the EBITDA margins in Q3. And you will see a further improvement in Q4 in mainly

because of top line growth and improving product mix. I won't give a specific number guidance as to by how much you expect it to increase -- but I think there will be a very noticeable increase in both the parameters that you asked about.
But reasonable to assume that given seasonality sequential increase in gross margin for Indigo paints should be better than rest of the industry?
Whether it will be better than the rest of the industry or not, I really -- I'm not privy to them, but I'm looking at our own gross margins. if you look at it last year, gross margin in Q2 was 413 and for Q3, it was 42.89%. Yes, it went up by about 1.5 to 2 percentage points. It went up further in Q4 -- so roughly in the range of 1.5% to 2% increase in gross margin sequentially into Q3 and further into Q4.
This year, there are some at the moment, at least softening raw material prices, which should help it a little further. And the same thing goes for EBITDA margins. EBITDA margins last year also rose very sharply from Q2 to Q3 by more than 2.5 percentage points and a further

increase of 4 percentage points in Q4. So something along those lines ought to happen. I can't give you a very precise number of predictions as to how it will happen, but that is the normal pattern that we experience every year between Q1, Q2, Q3 and Q4.
Understood. This is helpful. And do you expect further price increases by the industry or do you think that pricing is more or less stabilized?
I would be somewhat surprised if the industry leaders went for a further price increase. I really don't see the need for it, especially because some of the raw material prices have started softening. So I don't expect either a price increase or a price decrease at this point in time. I think the prices should be pretty much stable until the end of the year as far as our selling prices are concerned.

Jaykumar Doshi:
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Depending on the amount by which raw material prices soften, I expect to see an increased aggressiveness on the part of everyone in terms of trade discounts, and that is normally what happens when raw materials soften within a limited range. And that is already evident in the last one or two months on the ground. And we are also following suit, and I think we'll be able to match the far part of others in terms of being aggressive in trade discounts. But I don't expect any price increase in any significant manner over the next four, five months.
Was there an element of higher trade discounts in September quarter or that is something that you expect in December quarter?
No, I think that price discounts will be aggressive in the December quarter also because people -- everyone would have a little more margin to play around with -- and the earlier tailwinds of the price increase that drove your top line growth up much faster, those are not going to be very much in the play. -- and the fact that people would have had a relatively poor October month, I would expect trade discounts to be a little more aggressive in November and December. But -- that's normally what happens. So it's okay. It affects everyone in the same way.
Final bookkeeping, dealer and tinting machine additions dissimulated a little bit in 2Q versus 1Q, while you were focusing more on the larger towns. So -- is this just a quarterly sort of anomaly or
I didn't understand the question. Can you repeat that, Jay, your voice is a little unclear. What are you asking about multi-machine accounting?
tinting machine count in 2Q number drop versus 1Q.
Always, it is a little difficult to do that in Q2 because of monsoons, when we are listing not our total dealers, we're always listing active dealers. So during monsoon time, many dealers are not purchasing on a regular basis. So even though you add dealers, there are some dealers who have not done much purchasing in the months of July, August, September, et cetera. And therefore, they drop out from the count of active dealers.
So you add some and you lose some in the active count. So this is merely a count of our active dealers. It is by no stretch of imagination on account of our total dealer population. -- which would probably be in excess of 25,000. But there is a certain way in which we quantify as to the regularity of purchase and determine whether somebody has been an active dealer or not.
And tinting machine, yes, there is usually no, but even in Q1, we added about 300 tinting machines.
We have added more or less the same, maybe 281 machines in Q2-- so give or take, we are

averaging something like 100 tinting machines a month. So about 300 per quarter. In some quarters, we are lucky. It adds a little faster. In some quarters, it's marginally slower. Normally, monsoon time when sentiment amongst the dealer counters is generally at its lowest ebb. It's

Moderator:
Manoj Menon:
Managem

normally the worst time to try and push them to add a tinting machine they get a little more gung ho when Q3 and Q4 comes when their sales at the counters are much better, and they are ina better frame of mind to accept a tinting machine. So that's pretty normal, but I don't think there has been any significant drop seasonally in terms of dealer addition or tinting machine addition. Those are pretty much going on at the right pace. Of course, we'd like it to happen at a faster pace, but that's always true.

Thank you. Next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Sir, I got a couple of questions. One, before the question, actually good performance by your company in the context of the demand, which you otherwise see. So the question is anything on the general demand trends which you're observing particularly in the larger market you have. The reason I'm asking is because over the last 12, 24 months, we have clearly seen a significant divergence between discretionary and the non-discretionary part of it, whereas the discretionary urban top end part of it has largely performed very well.

And even the discretionary within staples actually have somewhat performed in, etcetera. Now of late, we kind of started hearing from, let's say, a restaurant company or a footwear company, etcetera, that there is some softness which they are actually finding. I just wanted your perspective on you have topped on comments on demand conditions based on anything which \ . you're observing?

No, we don't notice anything significant changing in the demand conditions and it's very difficult to extrapolate from what you hear about restaurants or other consumer products to paints. Many of the other sectors witnessed a huge demand slowdown during COVID and immediately after COVID, whereas the paint sector, if you recall, remains fairly resilient all through the last two years of the COVID pandemic. Of course, there were lockdown months when everything was shut down and you couldn't do anything about it. But it used to bounce back very fast when the long downs were lifted, which is why the paint industry has done fairly well during the pandemic.

And we don't notice anything adverse happening on a broader spectrum. Month to month, yes, I mean, weather patterns affect us much more than any other industry, especially rainfall -- because obviously, you don't start painting a house when it is raining cats and dogs outside. So monsoon patterns, some changes in festivity, some shifting of certain festivals from one month to the other month may make some difference when you're comparing a Y-on-Y monthly sale. But overall, I don't find anything very different, either on the positive or the negative side. I think it's pretty much demand as usual. I was hearing the commentary of some of the larger players whose results have come out and they said that in the last quarter, maybe the smaller towns have done slightly better than the larger towns.

Manoj Menon:
Management:
Manoj Menon:

The commentary was quite the opposite in the previous quarter when larger cities apparently performed much better than smaller towers. We, of course, are not -- our presence in the larger towns, as you are aware, has been slightly weak compared to the others, and that is something that we are trying to correct. But during the quarter went by -- we didn't find anything unusual about the larger cities or the smaller towns as far as demand 1s concerned.

Understood, sir. And one question on the putty business -- now given that you are the only the paint company at least till now who actually owns the asset, so just trying to understand what are the typical economic value add or ROC on a steady-state basis for a product like this, which actually generate?

On putty?

Yes.

See the reason we have decided to make putty ourselves and have always made all our putty ourselves is because of the location of our plant. We have a large manufacturing location at Jodhpur. Now that is the prime place as far as manufacturer of putty is concerned. Two basic raw materials are required for putty in large quantities. One is white cement, now the only two manufacturers of white cement are both located within a 50, 60 kilometer of Jodhpur. That is both Birla and JK White. The other raw material is dolomite. Now the best quality dolomite in the country and at a cheap price comes from Rajasthan. You have some other deposits in the Katni, Satna area of Madhya Pradesh but the quality of the whiteness of the deposit is as not as good as what you will find in Rajasthan.
Now when we are ideally located in terms of manufacturing, with all the best raw materials coming from less than 100-kilometer radius, it didn't make any sense to outsource that manufacturing to somebody else. Other people, other paint players don't have any manufacturing facility in Rajasthan. So when they are located somewhere else, they may find it more cost effective to outsource it to someone else. And some of them outsource not just putty they outsource a whole lot of other decorative paints to job workers. We have chosen not to do that.
Our cost structures at our manufacturing locations are fairly lean and thin. And I think we are able to manufacture it as effectively as any job worker would or perhaps more effectively than them. We have a much better control on quality -- and any job worker is obviously going to take some profit margin for whatever is doing.
So having all those advantages, I would presume and I don't have access to internal numbers of other paint companies I would assume that the gross margin contribution that we get from putty is perhaps or should be better than what other paint companies realized by outsourcing it and margins in any case for putty are very low. But to measure RoCE separately for different product lines is a little difficult, and that's not the way in which we look at it. I mean if you

Manoj Menon:
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look at it very objectively, with a very low margin that putty gives theoretically, it may make sense not for any paint manufacturer to ever offer any putty in the market.
But that's not how you can play the game, you cannot pick and choose and say that I will not manufacture this product because it gives a low return. And I will only manufacture products that give a high gross margin. I mean you either go all in or don't go in at all. So there are various products, for example, take enamels. Now enamels is usually sold by all companies in 30, 40 shades they usually sold at the same price for all the shares or marginally different price. But if you go on a shade-wise analysis, there are some shades, which give almost a 0 margin and some shades that give a much higher margin.
Now you can't pick and choose and say, I will not sell these shades and I will sell that shades. And the same applies to putty that it's an integral part of decorative paints. It's the first item that gets used in the house and therefore, for a strategic purpose, it is important to offer putty. And even though its margin contribution may be lower, I think all paint companies choose to engage in that product.
And for us, it's -- we are a little more comfortable than others perhaps, as I said, with a caveat that I don't know their internal figures. But because we manufacture it in-house and we are manufacturing it at the best possible logistical location, we ought to be a little more comfortable than others as far as that is concerned. One of the reasons why you see our overall gross margin much higher than the rest of the industry. This may be one of the small contributing factors towards that.
And just one upda

te. I don't know if I missed that in your commentary earlier, an update on the Pudukkottai expansion.
Yes. So the Pudukkottai expansion is now in its very, very final stages. The erection of the machinery have also all been practically done. Now we are at the last stage of doing the interconnecting pipelines and the electrical cabling and the instrumentation cabling. We were hopeful earlier that we will start our production sometime in December.
Although we still press our people on the ground to do that, and I hope they are not listening in on the call, but deep down in my heart, I know that, that will probably not happen and will spill over to January. But we are trying to maintain the pressure to commission the plant or at least start some trial production in December. Although between you and me, I think it's more likely in January. It's a large plant, a very automated plant. It will take some time to stabilize. So it's not that we'll press the button on one day in January and the full production will roll out. But at the same time, it is something that is not at all a concern because we have adequate capacity to meet the demand for the next 8, 9 months. So even if the plant commissioning or the stabilization of the plant once we commission it goes by a few weeks here and there, -- we are really not dependent on the capacity to meet the demand in the forthcoming quarters at all.

Manoj Menon:
Management:
Manoj Menon:
Management:
Moderator:
Percy Panthaki:

Sir, one follow-up here. At the full capacity utilization for the Pudukkottai Phase 1 which you're having now would expand your like-to-like capacity by what percentage from today ?
That's very difficult to answer because capacity in the paint industry is a very nebulous term. It depends upon your product mix. The same equipment can be used to manufacture a variety of different pain products. And depending upon what product mix you choose, the effective capacity changes. So that's fairly difficult question to answer. But in terms of water-based paints per se, and that is what the new plant is coming for, the existing water-based plants that we have, both at Jodhpur and Cochin, the combined existing capacity that we have is about the capacity that we are adding at Pudukkottai. So in terms of water-based space, I think it will double our existing capacity, and it should take us very comfortably for the next couple of years.
Sir, one clarification. Some of your colleagues are very much there in the call.
Yes, I hope people at Pudukkottai are not on the call because we are exerting pressure on them to start by 15 December.
Thank you. The next question is from the line of Percy Panthaki from IIFL. Please go ahead.
So my question is on your expansion strategy. All this while we have expanded by going into Tier 3, Tier 4 towns, logic at that time was that it's very difficult for a small player to really expand into the larger towns. And therefore, we are expanding via the small town route. Now you're saying that you want to shift focus a little bit and expand even in the Tier 1, Tier 2 cities. So what gives us the confidence that basically we will be able to do that now because still as a percentage of the decorative industry, our market share is still maybe around 2%. So fairly small market share. I understand in states like Kerala would be higher. But then in some of the states, it would be even lower than 2%. So just wanted some thoughts on this as to your pivot...
So the difficulty in tracking big cities has got less to do with your size or market share. It has more to do with your brand equity. So the reason that we have always given why we initially focused on going to the smaller towns is that when we were a small company, we could not afford advertising in those days. For the first 12, 13 years of our existence, we have not spent a

nything on advertising because it was not possible, we didn't come from pedigree background where we had a huge amount of money in our pockets to burn in advertising.
And therefore, we had no other options at that stage. For the last 10 years, we have invested very heavily into advertising. And you are aware of the fact that our A&P spends are almost three times what the industry average is in terms of percentage of top line. Even in absolute amounts, the amount that we spent in the last three, four years has been much, much higher than a few of the larger players who are much larger than us in size. And we have been blessed to have a great brand ambassador in Mr. MS. Dhoni, who's been with us for now 4-5 years.

Percy Panthaki:

So with that amount of ad spending that we have consistently done over the last 10 years, the last four, five years being with the help of Mr. Dhoni and his image I think that the brand equity that we have built across the country is very strong. Now when you build a brand and invest in advertising, that advertising is seen by people not just in small towns, they are seen as much by people in big cities. And along with television advertising, we have also been investing a lot in online mediums. So today, the brand equity and the awareness of the brand is very, very strong in all genre of cities in India. And therefore, we felt that it was the right time to now attack the larger cities and as we go into those cities, there is no problem about brand awareness.
Everyone is well aware of the brand and some dealers even asked where were you in the last four or five years, why didn't you come earlier? So now it is just a question of building the network there, engaging with the influencer community in these bigger cities, which is marginally different from the way in which you engage with influencers in the smaller towns.
And that is why we have put a lot of feet on the ground to do that, and we are beginning to see

the results and the effect of that result in no small measure is the cause for the slightly higher top line growth that you see in this quarter.

And we have been saying for the last two quarters that magic will not happen in three months. It will happen gradually over a slightly longer period of time. And hopefully, this breaking out of the pack in terms of top line growth percentage will only accelerate in the coming quarters. That's what we hope for and that's what we strive for.

Right, sir. One observation is that while you've sort of said that, okay, I have started with small towns and how I am also focusing on large towns. The large players are doing the opposite. I mean they were more stronger in the large towns but in the last two, three years and even going ahead, I think the larger players are focusing more on the small towns in order to get growth. Do you think that's some kind of risk or threat to your existing sort of core cost...

It is a misnomer that the larger players are only now looking at the smaller towns. I think they have been represented in the smaller towns very well for the last 50 years. If you talk of the existing four large players in the industry who are the so-called organized sector before we came in, they have all been around for more than 75 years in the country, some for 100 years. So don't please think that there is any comer of India that was ignored by them. The Tier 3 and Tier 4 towns to the best of mine knowledge also accounts for almost 50% of their sales in terms of value or something close to it.

So I don't think that any of the larger players have ignored or neglected the smaller towns in the past. -- if they have some vacant gaps here and there that they try to fill up when that's an ongoing process that will continue for the next 100 years for all companies that are there in the space. So I don't think that there is

any increased aggression or any lack of penetration of the
smaller towns by any of those players. They have been present everywhere, and they have been present as much in the larger cities

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Moderator:
Prashant Kutty:
Management:
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For us, the ratio has been different. A much smaller portion of our sales came from the larger cities, because we had chosen to remain away from it by choice earlier months. And now we are focusing them and we hope that in a year or two, our proportion of sales coming from the larger cities versus the small towns will become the same as any other paid company, large or small in India.

Understood, sir. And finally, if you can give some idea on what is the difference in margins or economics of the large towns and why they are -- I mean, if at all, they are more attractive than small towns for any paint player?

No, I don't think that there is any difference in margin or spend or expenditures or discounts or anything like that. And I sincerely doubt whether the larger towns are more attractive or less attractive than the smaller towns for any player. I think everyone has to have the equal focus on both, because both contribute almost the same to your overall sales value. Today, when we focus on the larger cities, by no stretch of imagination, do we start ignoring the small towns because that is the bulk of the sales that we do.

It's just that you have to penetrate the larger cities ina slightly different manner. The difference that comes 1s the nature of the influencer. In a smaller town, the influencer 1s an individual painter, in the larger cities, the influencer is usually a painting contractor who has 20, 30 painters employed under. And therefore, the manner in which you have to reach out or the category of people that you have to reach out too, who influence the choice of brand is slightly different in a big city versus a small town. That's all that there is.

Thank you. The next question is from the line of Prashant Kutty from Sundaram mutual fund. Please go ahead.

So firstly, just a data point. I do not know if you just highlighted that not. What is the share of differentiated products as of now that we're having? Or have you stopped sharing the data?

No. We shared that at the end of every year. Please go back to our commentary two quarters ago when the year ended. I think it was almost 30%. It was 29.6% at the end of FY '22. The reason we don't share that on a quarter-by-quarter basis is that these products by themselves have a pronounced seasonality. And therefore, these numbers will go up and down in quarter-by-quarter depending upon, which products we are talking about. And therefore, at the end of every year, we share that, and we have shared the numbers of what these percentages were at the end of each fiscal for the last four or five years. So you will notice that they have generally risen by 0.5 to 1 percentage point year-on-year. And I promise you we will share this number

when this financial year is over.
Sir, just the first question is more so on the dealer numbers. So we're obviously seeing the number increasing by about 15% to 20% for the last couple of years now, like you said that you're probably wanting to enter into the Tier 1 market, let's say, more penetrated markets. So going forward, should one assume that the revenue per dealer or the throughput per dealer --

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Prashant Kutty:
Management:
Prashant Kutty:
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would that be a bigger variant to look at? Or should the number still be considered to be a bigger number going forward... .
You're very perceptive and that is going to be the nght way to look at it as we enter the larger cities. Because in the larger cities, the potential of a dealer is usually two to

three times the
potential of a dealer in a smaller town. And therefore, if you add one dealer in a Tier 3, Tier 4 town versus adding one dealer in the Tier 1, Tier 2 town, on average, you can expect a much, much higher, almost three times the throughput per dealer in a large city versus a small town. And therefore, as we add more and more dealers in the larger cities and as more and more tinting machines get populated in these larger cities, then the throughput per dealer would jump up very fast.
So safe to assume that you'll have to look at more revenue per dealer number to be growing here on forward rather than actually the actual dealer numbers increasing?
As an internal metric, we look at both. You have to look at both. And ultimately, what you look at is none of this, you look at the overall top line and the overall bottom line. All of these are determinants to that. And that is the ultimate objective to get higher top line growth and higher bottom line growth. Number of dealers is one measure, number of tintting machines, one measure, throughput per dealer is one measured throughput but tinting machine is another measure. And there are many other metrics that we internally monitor which are all determinants to the final goal.
Sir, just another question is with regard to the fact that you are again entering into larger towns -- and one is, is that product are completely done to probably be present as the larger towns of concern or probably be accepted the dealers over here accepting Indigo as a brand in the larger town. And a follow-up to that is that -- would it also entail a higher incentive structure to those dealers because we are entering or we feel that now we are a well-known brand and do not have to have a very differentiated in the structure as compared to...
I don't think the incentive structure is any different from a small town or a large city. So we have not faced any disparity as far as that is concerned. In terms of acceptance, if you go to any new geography, but for example, there were some states that we have entered fairly recently, take Himachal Pradesh. We have kind of established a depot there just about seven, eight months ago. Now we have not been marketing there. Now there, whether you go to a small town or you go to a large city, everyone has heard of the brand, but you still have to overcome that initial inertia of a dealer getting familiar with you starting limited business with you and then slowly, slowly developing confidence in your service, in your accounting practices and your product quality and then gradually ramping it up.
We entered Jammu and Kashmir at 1.5 years ago. We faced the same problem there six, seven months ago, we have set up a separate depot Delhi, now Delhi is completely a very, very large city as a metro. So you go through the same process. So the process is the same, whether you

Prashant Kutty:
Management:
Prashant Kutty:
Management:
Prashant Kutty:
Moderator:
Hardik Doshi:
Management:
Hardik Doshi:
Management:
Hardik Doshi: Indigo Paints Limited
November 07, 2022
enter a new small town or whether you enter a large city, there will be -- nothing will happen

overnight. You will have to talk to the dealers. Dealers are obviously dealing in some of the products because you were not present, they will start buying some of your products and gradually scale it up. And that is agnostic of the size of the city. But I don't think the incentive structure changes at all from a large town to a small town.
And one last question, sir, if I may. You typically have always shared that Kerala has been a very strong market for us, and it has been growing very well for us, and we are penetrating into the next the next larger cities as well. Any data in terms of how the next seven cities or maybe the next 10 towns are there would actually be helpful if you can help us on that?
Towns or state, Kerala

1s a state.
Yes. So like I said, in the next 10 states or the next 5 states...
I mean none of them are closed in terms of the contribution of Kerala, but we have a fairly large presence in UP, in Bengal, in Assam, in Bihar, Jharkand, Chattisgarh growing fast in places like Andhra, MP, Gujarat is doing well. So there are a whole lot of states very difficult to predict. I mean they all allow the same level of sales. So you might say there are about seven, eight, 10 states that compete for the number two slot. And they're all doing well, which one will break out faster than the others to start giving a disproportionate share of our revenue is something that I can't predict. But they're all going well.....
Thank you very much and all the very best to you.
Thank you. The next question is from the line of Hardik Doshi from White Whale PMS. Please go ahead.
Thank you for taking my question. You mentioned that firstly it's good to see you growing faster than the industry leader and also the overall industry after several quarters.
I am sorry, can you speak a little louder? I am not able to follow your question.
Okay. So I wanted to just ask in terms of you finally are growing faster than the industry leader after several quarters and you said that it is because of the focus on the increasing presence in the Tier 1 and Tier 2 cities. Can you break up what percentage of your revenues is from Tier 1, Tier 2 cities this quarter versus last quarter and the same quarter last year?
We have that numbers, but I'm not sure, if I want to disclose that publicly at this open forum. But all I can say is that the growth percentage that we're experiencing in the bigger cities is much higher than the growth percentage in the smaller towns. But I'm afraid it will be a little difficult for me to share the granular numbers with you.
Okay. Yes, I mean I appreciate you do disclose a lot more than most of the competitors.

Management:
Hardik Doshi:

But I can't disclose everything. I'm sorry.
No, I understand that. But since this is a key focus area for the company, it would be good for us to kind of at least see how you're getting the traction and how it works. So maybe if you can consider that. Just secondly, I wanted to ask, so now, I mean, can you maybe elaborate a bit more in terms of this Tier 1, Tier 2 cities, right? I mean, I understand what you replied to one of the participants, basically saying that the brand name was already there and it was just about focusing on the influencers. Any metrics you can share in terms of the dealers that you're reaching out to or influencers, what are the campaigns? I mean, just some more color to help us understand how much of acceleration we can expect going forward and what will be the drivers and KPIs around it?
As we have mentioned, see what happens is that the influencer in a small town is an individual painter usually. So all along our paint cans had a token for the painter in terms of financial gratification and it is nothing unusual that we do. All paint companies do the same thing. Along with that you conduct regular painter meetings where you call a group of painters loosely associated with a paint counter and you do some demonstration and comparison of your paint versus a competitor's paint usually by means of a blind test so that you know they get convinced about the superiority of your quality. So these are two things that we have been doing religiously for the last 20 years in the smaller towns with individual painters.
Now when you start doing the same work in a bigger city, there the influencer as I said is a painting contractor, who employs 20-30 painters. Now the painter token that is there in the can is pocketed by those employees, the junior painters. You need a separate incentivization program for the contractor. So from April this year we started putting a

separate token as a
financial incentive for the contractor. Again, nothing unusual. It is what other companies have been doing. We had not been doing that till March of 2022. And we've created an online app by which both the painters and the contractors can scan their respective tokens and redeem

those tokens for cash or whatever they want. So that has been operational.
Now, when you go to a big city, it is not simply having a meeting with the contractors to convince them on the quality which used to be sufficient with the painters in smaller towns. Here even after you have demonstrated your quality by means of a blind test comparison with some competitor, even if the contractor is convinced, people in big cities, the ultimate house owner 1s usually a little more brand sensitive than a consumer in a small town and therefore the contractor needs your help in going and visiting the project site doing some sampling and convincing the house owner about switching over from some preconceived brand that he had in mind to Indigo paints.
So there is a lot more on ground activity that you have to engage in in these bigger cities to crack a site, and for that you need a separate team of people who will not only conduct these meetings with the contractors but they have the time and the energy to visit the project sites that the contractor takes them to, do some sampling of the sites, talk to the homeowner and

Moderator:
Pathanjali Srinivasan:
Management:
Pathanjali Srinivasan:
Management:
Pathanjali Srinivasan:
Management:
help the contractor convert that site to some other brand to Indigo. So that is the difference in color about the activity that you have to do.
Now a prerequisite to all of this is already a good brand equity. If you don't have that brand equity established and you're trying to visit a homeowner site and convince him of a brand that he has never heard of then the likelihood of conversion is exceedingly low and that is what is different from a small town versus a big city. In big cities people are a little more brand conscious and therefore having a good brand equity which has been being built over a long period of time becomes of paramount importance to break into these cities.
The dealer is not the main influencer. So therefore, you have to work on different parameters in a bigger city if you want to make a success of it. And it is that activity that we have been indulging in very aggressively for the last six, seven months and continue to expand the scope of this in the coming months. And that is what gives us the confidence that we will reach the rightful share that we want in terms of market share in the larger cities as what we have in the smaller towns.
Thank you. I think the next question is the last question from the line of Pathanjali Srinivasan from Mirabilis Investment Trust. Please go ahead.
Just notice that I think sometime in April we told that we focus more on Tier 2 cities. So we've added about 700 tinting machines in the last six months. So could you see roughly if around two-thirds or more of the machines we've added is more in the Tier 2 and Tier 1 cities?
Pardon? What was the question?
So we've added around 700 tinting machines in the last six months in our distribution chain. Is more than two-thirds of it is being added in Tier 1 and Tier 2?
I don't have that exact figure available with me. Maybe if you reach out to our people in the next few days, I'll have to ferret out that information and give it. But I doubt that number would be as high as two-thirds. But previously the number of tinting machines that we had in the Tier 1, Tier 2 cities were very-very low. And we are seeing a very significant uptick in that. So therefore the number of tinting machines being installed now are much higher percentage than earlier is going into the Tier 1, Tier 2 towns, that is correct.

But I doubt if two thirds of
them would be the Tier 1, Tier 2 towns. But I don't have the exact number in front of me, nght now to be able to accurately answer that question.
Sir and institutional business have we been able to get anything like off-late, what is the environment like in that?
No we are not we do not pursue institutional sales as a matter of choice that is we do not sell directly to builders or the government or any large institution like that. If there are inquiries

Moderator:
Management:
Moderator:
from any institution, it is always rooted through one of our significant dealers in that place and we have chosen to stay away from institutional business as of now.

Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to the management for the closing comments. Thank you and over to you.
Well, thank you all for a very engaging session that we have had. I hope I've been able to answer most of the questions that you've had. We're glad to see that in the last few quarters when we were almost in the same bandwidth of growth in top line compared to the rest of the industry we seem to be breaking out. And the bottom line growth is what gives us more cause for cheer that the bottom line growth is significantly more maybe by a factor of two in terms of percentage terms from the rest of the industry. I sincerely hope that we will be able to not only sustain this pattern, but also accelerate upon it. And look forward to interacting with you again at the end of next quarter. Thank you.
Thank you very much. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's call. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2023

My INDIGO Be surprised!
Date: February 16, 2023
To, To
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza, Plot No. C-1, Block G,
25" Floor, Phiroze Jeejeebhoy Towers | Sandra Kurla Complex, Bandra (East)
Dalal Street, Mumbai- 400001 Mumbai - 400051
Scrip Code: 543258 NSE Symbol: INDIGOPNTS
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call.
Pursuant to the Regulation 30 of the Securities and Exchange Board of India {Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings call held with the analyst and investors on February 13, 2023 ot 11.00 hrs (IST) to discuss the Unaudited Financial Results of the Company for the quarter and nine month ended December 31, 2022.
The above information will also be made available on the website of the company www.indigopaints.com/investors
You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited
Sujoy Sudipta Bose
Company Secretary & Compliance Officer
Encl: As above
Registered Office: INDIGO Paints Limited, Indigo Tower, Street, Pallod Farm2, Baner Road, Pune - 411045
T: +91 20 6681 4300, Email: info@indigopaints.com, Website: www.indigopaints.com, CIN: 124 114PN2000PLCO14669
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“Indigo Paints Limited
Q3 FY '23 Results Conference Call”
February 13, 2023
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MANAGEMENT:
MR. HEMANT JALAN — CHAIRMAN AND MANAGING DIRECTOR
MR. T.S. SURESH BABU — CHIEF OPERATING OFFICER
MR. SRIHARI SANTHAKUMAR — GM, FINANCE AND INVESTOR RELATIONS
MODERATOR: MR. ANIRUDDHA JOSHI — ICICI SECURITIES
Page 1 of 12
Be surprised! ‘3 INDIGO
Moderator:
Aniruddha Joshi:
Srihari Santhakumar:
Hemant Jalan: Indigo Paints Limited
February 13, 2023
Ladies and gentlemen, good day, and welcome to the Indigo Paints Q3 FY '23 Results Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you. Over to you, SIT.
Yes. Thanks, Dorwin. On behalf of ICICI Securities, we welcome you all to Q3 FY 23 Results Conference Call of Indigo Paints. Now I hand over the call to Mr. Srihari Santhakumar, General Manager, Finance and Investor Relations, for the introduction of the management, and then we will open the floor for question-and-answer session. Thanks, and over to you, Mr. Srihari.
Yes. Thanks, Anirudh. Good morning, everyone. Thanks for joining us on a Monday for our conference call. Today on the call, we have Mr. Hemant Jalan, Chairman and Managing Director; Mr. T.S. Suresh Babu, Chief Operating Officer and myself. As usual, we'll start the call with the highlights of the previous quarter, that is, the quarter ending December 31, and then we will have a quick Q&A. Over to you Mr. Jalan.
Thanks, Srihari. Thanks, Anirudh. A warm welcome to all of you on a Monday morning for our Earnings Call of Indigo Paints for Q3 FY 23. Now our financials for the quarter and for the 9 months ending 31st December '22 have been uploaded on the stock exchange portals, along with our analyst presentation. Now a small apology, there was a minor typo on Slide 16 of the analyst presentation, and the corrected

presentation was also uploaded yesterday. And I hope you've had a chance to go through them. I will start first with a summary of our financials and then move on to our future strategy and guidance. Now compared to Q3 of the last fiscal, our sales in Q3

of FY '23 have registered a value growth of
5.95%. You probably already heard the commentary from other paint majors who have all reported muted top line growth, and the reasons are the same, twofold. We had an early Diwali on the 24th of October, and monsoons pretty much continued across India until the 18th of October.
So we had a very short festive season this time, which badly dented the sales of the entire paint industry in the month of October. However, we are happy to note that the sales growth has rebounded very sharply in both November and December. Our gross margins for the quarter have further improved to 43.82%, which 1s higher by about 2% points from the immediately preceding quarter, that is Q2 of FY '23, where we had a gross margin of 41.72%.
And this gross margin 1s also about 1% point higher on a Y-on-Y basis from Q3 of the last fiscal, where we had reported a gross margin of 42.89%. We have not implemented any price increases in the last quarter as raw maternal prices have more or less stabilized. Our EBITDA for the quarter has increased to INR 40.56 crores, which 1s about 5% higher from the corresponding figure for the same quarter last fiscal, although the EBITDA margins have largely remained flat at 14.42%.
It was 14.57% 1n the comparable period of the last fiscal. PAT has increased by about 8%, and PAT margins have increased very marginally from 9.08% in the same quarter last fiscal to 9.21% 1n the just-concluded quarter. If we look at the 9-month financials, the overall sales have been 21.09% higher than

the corresponding 9 months of the last fiscal. Gross margins have improved slightly to 43.55% for the 9-month period. The EBITDA for this 9-month period has been 33.56% higher than the corresponding 9 months of the last fiscal. And the EBITDA margins have expanded significantly from 13.31% in the 9 months of last fiscal to 14.68% in the 9 months of this fiscal.
The PAT for the 9-month period has increased by 68.34% to INR 83.26 crores. Now I'm happy to note that our PAT for our entire 12-month fiscal FY '22 was INR 84 crores, and we have just about achieved that in 9 months of this fiscal. In line with our brand-building strategy, our company continued to spend aggressively on advertising and promotion. And A&P spends for the 9-month period ending on December 31 have been marginally 1% higher than the spends in the corresponding 9-month period of last year on an absolute amount.
So it should be noted that on a 9-month basis, despite having very similar gross margins compared to last year and despite a marginal increase in A&P spends, the EBITDA margins have expanded by almost 1.5% compared to the 9 months of the last fiscal, reflecting the benefits which are kicking in from economies of scale. We have given our volume and value growth numbers for each of the 4 major categories of paint products, consistent with our past pattern of transparent disclosure.
You will note that, again, the value growth 1s higher than the volume growth across all categories, which is a natural consequence to the price increase of almost 15% which was undertaken in Q3 of the last fiscal. During the last quarter-, the company witnessed a very strong volume growth and value growth in the putty and cement paints segment, where the volume growth was almost 35% and the value growth was in excess of 42%. The Emulsions segment has registered a slight negative growth in volume. However, if you look at the 9 months period, even the Emulsions segment has grown by 6% in volume and about 23% in value. Going forward, the base effects due to price hikes, etcetera, are now all behind us.
And going forward, unless something very unusual happens, we would expect volume and value growths to be almost in tandem in the upcoming quarters. We continue to focus on network expansion, and our count of active dealers stands

at 16,785 at the end of the quarter, and our tinting machine population
stands at 7,978. That 1s almost 8,000. Now I would like to specifically mention about our additions of tinting machines. Now although during the entire 9-month period of this fiscal, about 35% of our new tinting machines have been installed in our targeted 750 large cities.
But this whole idea of focusing on the large cities has really been gathering momentum starting from Apnl. And in the last 4 to 6 months, we noticed that this number is over 50% of all the tinting machines being installed. So our focus on improving the sales in these larger cities has definitely started yielding results. We note that the sales growth in these 750 cities 1s almost double the rate of sales growth observed in other upcountry areas. In terms of new products, we would like to announce that we will very soon be launching a complete range of waterproofing and construction chemicals in the retail space. These are very high-growth sectors in the economy, and they share good synergy with paint products, both in terms of product placement and our distribution network. Finally, for Indigo Paints, you may have noticed that Q4 of every year is traditionally our strongest quarter in terms of sales volumes, in terms of absolute profits and also in terms of profit margins. We expect this to continue in this fiscal.

Moderator:
Abneesh Roy:
Hemant Jalan:
Abneesh Roy:
Hemant Jalan: Indigo Paints Limited
February 13, 2023
The company has witnessed good sales growth in January '23 in continuation with the good growth it experienced in the preceding 2 months in November and December. Having consistently maintained industry-leading gross margins, we will continue to be aggressive in trade discounts to further accelerate growth while improving product mix and profitability in our seasonally strong Q4 quarters.
That's all I have by way of a presentation, and we'll be open to take questions from all of you. Thank you.
The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.
Sir, my first question is on the EBITDA margin and gross margin going ahead because you mentioned that the volume growth and the value growth will now be fairly similar, which means pricing growth will be hardly anything. So how do you get the, say, inflation, say, arising in the employee cost or in terms of advertising costs or the other costs also? Second 1s, yes, I do understand raw material scenario is coming favorable. Plus, you also mentioned that the trade discounts could go a bit higher. If I mix all these 3, how the trade will be in terms of growth and EBITDA margins for you?
So we'd like to kind of maintain the gross margins around the level they're at. Now what happens is that because of the cooling-off of the raw material prices, if you do not increase trade discounts, then the EBITDA margins would go up. If we had not increased trade discounts during the last quarter, our gross margins would have been significantly higher than the already-high level they're at. But that is really not workable because there is aggression on the ground because all paint companies are experiencing the same drop in raw material prices.
So the EBITDA margins -- I mean, the gross margin after all discounts, etcetera, that you compute your gross margin on net sales basis. Increase in employee cost in terms of inflation is a very minor component of our P&L. So employee costs do not account for a huge portion, and the minor increase that happens on a year-on-year basis does not materially affect your EBITDA margins. In terms of advertising spends, although the advertising spends on an absolute amount increases marginally year-by-year but since the top line growth is always much more than the advertising expense growth, therefore, the advertising expense as a percentage of the top line drops by about 1.5% year-on-year, and th

at is exactly what has
played out.
If you look at the 9-month period, I mean, the sales growth has been about 21%. The growth in A&P has been about 1%. And therefore, A&P as a percentage of sales has naturally dropped, and that goes straight to the EBITDA. So that will continue to happen for the years ahead because we continue to remain over-indexed vis-a-vis the rest of the paint industry in terms of advertising spends as a percentage of top line.
I hope that answers your question, Abneesh.
Yes, sir. Quite useful. My second question is on the outlook, which you have shared in the presentation on launching a complete range of waterproofing and construction chemicals. So here, is there any preponement of your strategy here? And how aggressive would you want to be because it's already -- almost every other paint company 1s present here, apart from some of the cement companies also.
So I admit that we have been a little late compared to the others in coming in into this range. We wanted to be sure about our formulations and coming up with products which are best in class. I think our trials are showing that we have kind of achieved that. And we will be quite aggressive. I expect that in Q1 of

Abneesh Roy:
Hemant Jalan:
Moderator:
Shrenik Bhandari:
Hemant Jalan:
T.S. Suresh Babu: Indigo Paints Limited
February 13, 2023
the next fiscal, we will have a formal launch of this entire range. And we will offer virtually the entire range, which other companies, both in the paint sector and in the nonpaint sector, are offering.
And we understand that 1t is this component of the portfolio, which is giving a very high growth to the other paint companies. It may comprise of maybe 10% of their overall sales, but it contributes disproportionately to the growth percentage. And since the channel of sales 1s pretty much the same, I think it 1s a synergy that we should await of.
Sure, sir. And the last question on the demand side. So -normally, you strive to grow faster than the other paint companies. In the paint costs of other companies in the Q3, companies have said that just like you, they have also seen improvement in November and December. And in Q4, they, as of now, aim to have a high single-digit to double-digit kind of volume growth. Would you also expect similar kind of numbers in Q4 in terms of volume growth?

I would expect that we would grow faster than the larger peers that we have. You have to be a little careful when you compare us with our larger peers in the paint industry. Some of them have roughly 50% to 60% only exposure as far as the decorative paint segment is concerned and about 40% to 50% exposure in industrial or automotive paints. So the trajectory of growth in those segments could be very different from what it is in the decorative paints.

And therefore, if you compare the overall volumes or the value growth of both components put together, we may not be strictly comparing apples with apples. When it comes to the number 1 and the number 2 player, yes, by and large, I understand that almost 85% to 90% of their sales does come from the decorative segment. And to that extent, they are a little closer in factor or we are a little closer and connected to them. The industry leader is so much larger to us that I don't really know whether a comparison with them is very meaningful.

But yes, if you look at the decorative paint component of the entire industry, I have reason to feel that if we are not the best, we are very close to it in terms of percentage growth, and we hope to improve upon that as we go forward.

The next question is from the line of Shrenik Bhandari from InvestYadnya.

Sir, my question is regarding dealer expansion. So we see the momentum of the active dealers. The addition has been slowed down. So if you compare it to the last 9 months and 9 months of FY 22, you added almost more than 2,000 dealers. And if we see in th

is current quarter, you have less than 1,000

dealers. So what's your view on that?

Suresh, would you like to take this question?

Yes. Mr. Bhandari, see, we have already lined up in our strategy that our concentration in terms of increasing our network was supposed to be more in the 750 bigger towns or the Tier 2 towns as we would call it. Now when we are going to these towns, obviously, we are looking at the quality of dealers rather than in the numbers. So that is one of the reasons that we have been having a lower number of dealers in terms of the pure numbers are concerned. However, we have been concentrating on increasing the throughput per dealer, and the throughput per dealer is definitely higher in this 9 months as compared to the last 9 months.

Moderator:

Tejash Shah:

Hemant Jalan:

Tejash Shah:

Hemant Jalan:

Tejash Shah:

T.S. Suresh Babu: Indigo Paints Limited

February 13, 2023

The next question is from the line of Tejash Shah from Spark Capital.

So 3 questions from my side. So first, how are you reading the consumer sentiment on ground? And usually, 3Q is also loaded with good wedding season demand also which in other categories, which are associated with this sector. You have seen that they showed reasonable demand momentum. So just wanted to understand how to read through consumer sentiment last quarter. And how are you reading as in then this current quarter?

The wedding season 1s on in full swing as we speak in Q4 also. And January and February, as we say, are heavy wedding months in Northern India. Now the pattern of the wedding season in South India is somewhat different from what it is in North India. So definitely, in terms of that, and you're quite right that the wedding season does give some kind of a boost as far as paint consumption is concerned. So we are facing very, very heavy wedding season. We have had it in January, and it will continue in February. Almost all of February, there is a very heavy wedding season.

Sure. Sir, second, just partly an academic question. Just wanted to understand Tamil Nadu plant, which will be starting in next quarter, what's the supporting distribution infra we'll be investing in terms of depot , which will be required to support the plant?

No, I don't think we are planning any increase in depots because of a new plant coming up. So you add capacity when you feel that in the next 2, 3 years, your existing capacity 1s going to be insufficient to meet your growing demand. So that is how everyone in the paint sector, to the best of my knowledge, does it. So putting up a new plant does not instantly mean increased sales or increased infrastructure because I think we plan for increase in depots as and when the need arises, and we are already represented in every corner of India. Having said that, depots will gradually increase over a period of time, which I think is quite unrelated to setting up of new capacity.

So I think the setting up of the Tamil Nadu plant has been because we feel that in the next 6, 8 months, we could start facing supply constraints from a manufacturing viewpoint, and therefore, you set up a plant, which will hopefully take care of your needs over the next couple of years. And 1t is -- each time, when you set up a plant, you set up a plant which 1s more modern and more automated than your previous attempts to keep up with technology. And we do expect to start our trial productions in the Tamil Nadu plant in the month of March. And yes, it will probably go into commercial production from April

onwards.
Very clear, sir. And sir, you spoke about trade discounts going up in the coming future. Just wanted to understand, is it a tool to boost primary sales or 1s it also that end consumer also responds to such initiatives?
No. The initiative 1s primarily to fill the channel because what happens is that because of higher disposable margins available with all the competitors, a

ll of them become super aggressive in the market.
And when we are competing in the like-to-like space, we should also be competitive with them. So that's why we are kind of hinting at increasing the trade spends. Of course, the secondaries will obviously depend upon the demand, which 1s there.
And we expect that the demand will only go up being the so-called wedding season in the North Indian market. And in general, the paint industry picks up in the second half of every financial year.

Tejash Shah:
Hemant Jalan:
Moderator:
Hiral Desai:
Hemant Jalan:
Hiral Desai:
Hemant Jalan:
Got it. And sir, last one, if I may. Mr. Jalan, you have seen industry for so many years, in fact, decades. Just wanted to understand, do you think that the current competitor intensity and the one which will actually come in next 2, 3 years, do you believe that it merits consolidation in some form? Or industry has seen worse than -- or very high competitive intensity in past and still survive without getting into a consolidation phase? Just wanted to know your thoughts on that.
I don't think there is a need for the industry to do any further consolidation. Some kind of consolidation happens on a natural course over time. You have seen a couple of smaller companies being acquired by potential new entrants during the last 1 year. I cannot predict whether more of that will happen as far as the next year 1s concerned. Amongst the larger players, I do not see anyone open for acquisition or trying to acquire the other person. So I doubt if any consolidation would happen at the level of the top 5 players. But if some company wish to acquire smaller companies, sometimes maybe in the paint sector, it could be in adjacent sectors. So that kind of consolidation has been going on, and it will probably continue in the future. But if you're talking about any material change in the structure of the paint industry, I -- at least, I do not foresee it, but I don't have a crystal ball, so I cannot really predict about the future.
The next question is from the line of Hiral Desai from Anived PMS.
So I had a couple of questions. So I think 2 years back, during the IPO, you had spoken about 2 sets of states, right? So there was Chhattisgarh, Bihar, UP, Odisha, where you are present since a while. And then there were some of these newer states, like Maharashtra, Gujarat, Karnataka, Telangana. So qualitatively, can you give us a sense of what has happened in these 2 cohorts over last couple of years?
So some of the newer states that we have entered in, like you mentioned Gujarat. Now Gujarat, I think, is registering one of the strongest growth that we have amongst all the states in India. Telangana has also registered very good growth in the last 2, 3 years. Maharashtra, a little more in line with our company growth, whereas some of our larger states, like Kerala have been actually outperforming.
And this year, Kerala has gone stronger than the company average. So I think the growth is normal. Some of the more new states that we have ventured into -subsequent to the IPO discussions that you're referring to, like Himachal Pradesh or Jammu and Kashmir or Delhi, at least Himachal Pradesh and Delhi are showing the strongest growth that we are observing on an all-India basis. So it is heart-warming that even in metros like Delhi, Mumbai and Kolkata, at least we see very, very strong growth potential.
So that 1s heart-warming for us because the whole idea has been to now shift the focus to the larger cities. I wouldn't say that 1t has happened to the same measure in a big city, like Chennai or Bangalore is yet, but that's only a matter of time. So we are seeing good growth across all segments, both the states where we have been present for 15, 20 years, and even more so in the states where we have entered more recently.
And sir, any specific underperforming st

ates and you have -any reason you'll be able to attribute to that?
So there will always be -- when you're talking about 28 states in India, there will always be 2 or 3 states, which will underperform in 1 year, and then they will start overperforming the next year. Usually, that is a result of something to do with your sales team there. Maybe you need to strengthen the sales team.

Hiral Desai:
Hemant Jalan:
Hiral Desai:

T.S. Suresh Babu:
Hiral Desai:
Hemant Jalan:
Hiral Desai:
Hemant Jalan: Indigo Paints Limited
February 13, 2023
Maybe you need to replace 1 or 2 people there. So that is a continuous process that goes on. You will always have some states, which will underperform and some that will overperform.
You can never have all states growing at exactly the same rate. But just taking order of which state grows faster and which grows lower tends to change very rapidly from 1 year to the next. So it's a function of competitor dynamics. It's also a function of how well your sales force is executing on the ground. And it 1s our job as management to identify the underperformance and make suitable changes in our teams out there to strengthen them.
The other question is on the advertising and promotion spend that you historically then shared, but we are now over in the spend -- the A&P spends will grow at single digits. But given that we are trying aggressively to get market share in these 750 cities, plus you're likely to launch the waterproofing and construction chemical. So you feel that the single-digit A&P spend growth will be enough to support all these initiatives, and especially given the competitive intensity as well?
I know, but we do track what the A&P spends of our -competitors are. So we don't try to follow the market leader because they are in a totally different orbit of operation in terms of size. But we do look at the A&P spends of the number 2, number 3 and number 4 players. And I think our absolute spends are in line, if not larger, with many of them.
So I think we have also had some brand tracking studies done during the last 6, 8 months in various states in India, and we find that the brand recall of Indigo Paints is now no less than the number 2 or the number 3 player in the country. So if it were very simple, as simple as just increasing advertising spends and increasing market share, I'll happily double our advertising spends and get 60%, 70% top line growth. Unfortunately, the world is not as simple as that. And when you attain a certain level of brand recognition, it 1s more important to focus on many other things which drive sales rather than merely concentrating on one element, which is brand salience, where I think we have done a pretty good job.
Got it. Can I sneak in one more?
We also try to be very competitive in terms of our share of voice other than the market leader. I mean, as you consider the second, third and fourth players, we try to be very competitive in terms of our percentage share of voice.
Got it. Can I sneak in one more question?
Yes, go ahead.
So sir, lastly, on the Sequoia stake sale that just recently happened. So have you had a discussion with what their long-term goals are? Because we find the 4 and 5 or where they own the Indigo stake that is that sort of slated to close. So any discussions around the Sequoia stake?
So we keep discussing with Sequoia because they are represented on our Board, and we had a Board meeting just 3 days ago. So I continue to reiterate that they are long-term investors in the company. They own 25% of the company. They sold some stake last year because of internal reasons. They may have had some pressure to redeem some money and get back to their LPs.

Hiral Desai:
Hemant Jalan:
Hiral Desai;
Moderator:
Rohan Bhuknesh:
Hemant Jalan:
Rohan Bhuknesh: Indigo Paints Limited
February 13, 2023
To the best of our kn

owledge, they do not have any immediate plans for any stake sale, but that is a
question that 1s better addressed to Sequoia rather than asking us. They continue to iterate that they have a very long-term focus on the company, however, depends on what you call by long term because they have been invested in the company now for 8.5 years.
Yes, sir, which why I was precisely asking that.
But their funds, I think, have a long life as we understand it, and there is no legal bar in them holding on for another 4, 5 years. But if you want to know whether they'll be invested for another 10 years, I sincerely doubt it because at some point in time, they will have to close out their funds from which they have invested. But beyond that, I really cannot make any predictions on behalf of Sequoia as to what their game plans are.
No, no. Fair enough. Fair enough.
The next question is from the line of Rohan Bhuknesh, an individual investor.
I just wanted to ask, what is your revenue guidance in terms of the revenue growth for the next 3 to 5

years?
That's a little hard one to predict to give any number guidance as to what will happen in the next 3 to 5 years in terms of percentage growth. It's a function of so many things. We don't know how raw material prices will behave, and therefore, we don't know what kind of pricing pressures will come on to the entire industry, which may artificially end up bumping up the revenue value growth targets. If you have a major price hike at the moment, there is no plan for that. Rather than try and give an absolute number guidance as to what our revenue growth would be.
I would say that the attempt would be to outperform the growth percentage of the entire industry. So our larger listed peers whose base 1s significantly higher than us, we should be able to outperform them and deliver a growth rate over time, which is at least 1.5%, if not twice the growth rate of theirs for the next few years. That 1s the direction in which we have been moving. And all our strategies for the last 1 year have been to attempt some course correction and shift the focus from smaller towns to larger cities where the potential of the sale of each dealer is significantly higher than the potential core dealer in a rural area or a smaller town. And I think we had mentioned even in Q1 that it is a strategy which is going to take some time to take shape.
We have reported this time that now when 9 months have elapsed since we kicked off this strategy, we are beginning to see measurable results on the ground. I sincerely hope that this will get stronger in the coming quarters. And if that happens and we are able to continue to execute this very well, then I think that the guidance that I gave you of outperforming the rest of the industry, you will gradually start seeing those numbers in the years to come.
Okay. That's great, sir. And sir, my last question is, in the last few years, we have been doing in a very fast shift, right? So what is our company doing? Or are we trying to create any moat around any products which will differentiate us from the larger peers?

Hemant Jalan:
Moderator:
Manoj Menon:

We already have a wide range of differentiated products in which we have a fairly strong moat around us. Our floor coat emulsions, our metallic emulsions, our sealing coat, our PU enamels and a whole host of other products are very differentiated products. They have been yielding approximately 30% of our top line. And so far, we have been very successful in the last 8 to 10 years as and when we have launched these products in defending our, shall I say, prima donna status as far as these products are concerned. And I don't think that there is any immediate offering coming up of a highly differentiated product which would create a major upswing in our sales.
If we can maintain the moats that we have built

around our existing products, our present foray into
waterproofing and construction chemicals are not really very differentiated products, so to speak. We'll try and come up with products which are best in the class, but these are products which are already available in the market.
The next question is from the line of Manoj Menon from ICICI Securities.
Just a couple of clarifications. See, in the recent earnings call, the market leader did allude to a likely deceleration in industry growth over the next couple of years or so. Now listening to it, [was wondering, is it probably -- I guess, honestly, we have not mentioned the growth -- industry growth. But the question to you, sir, is, do you really think that's a possibility, the way you see the industry growth aspect out there? Because the way I interpreted what Mr. Singhal said in the call was possibly that they would have probably used out a lot of the low-hanging fruits for them in terms of diversification of maybe, let's say, putty or whatever, right? So how do you see the industry growth 1s the crux of the question, sir.
See, I don't know in context -- in what context he said that, and I really cannot speak on the behalf of the paint major, the industry leader. One thing I would say is that during the last 4 quarters, the value growth figures have been a little artificially high because of the 15% price hike that happened in the Q3 of last fiscal.
So therefore, value growth has generally been 12%, 13%, 15% higher than the corresponding volume growth numbers during the last 4 quarters. Now that is now over. Sometimes, also, before the price increase, there were very sharp value growth compared to the same quarter in the previous fiscal because in the previous fiscal, you typically had 1 month or 2 months of COVID lockdowns when the sales were very low.
And then in the next year in the same quarter when you did not have a lockdown, again, the numbers appeared artificially high. I'm saying that all of this is now firmly behind us starting from January. When we look at the preceding quarter -- I mean, at the quarter in the preceding fiscal that would be starting from Q4, neither do we have any COVID disruptions which have happened in the same quarter last fiscal, nor is there a material change in pricing compared to the same quarter last fiscal. So before all this pandemic came and all this disruption and - pricing happened, the industry was growing at about low double digits, around 12%, 13%.

That used to be the norm in the industry. So I think the consensus within the paint industry is that we are back to that same normal. And unless something very unusual happens, you would expect now both volume and value numbers to be around that 12%, 13%. Now it could be a percentage or 2 higher or lower depending upon vagaries of the market.

Manoj Menon:
Hemant Jalan:
Manoj Menon:
Hemant Jalan:
Manoj Menon:
Hemant Jalan:
Manoj Menon:
Hemant Jalan:
But if -- now these numbers will look a little lower than the kind of 20% numbers of growth that you were seeing in the last couple of years, but those were for artificial reasons. Otherwise, I do not recollect anyone talking about any demand deceleration because that is simply not happening. On the ground, everybody 1s experiencing good market conditions. And I really don't know what further context that statement that you're referring to was made in, so I would hesitate to comment.
Very clear. The one -- another context I asked this question was because we cover like, let's say, 5 restaurant companies, 5 apparel, 5 footwear companies. There is a -- there is some trend, which you could plot to say that there is defintely a predicted slowdown, at least in some parts of discretionary consumption. So if I heard you correctly, you're essentially saying that there is no usage growth or like-for-like volume decelerat

ion, which you anticipate to happen in trends?
Correct.
Loud and clear. Secondly, specific to Indigo, if you could just talk about your journey in NPDs, some of the products which you have launched in the last 6 to 12 months. And how does the pipeline look currently?
So new products?
Yes. Yes, sir.
I don't think there's been any major new product launch that we have done. Well, it depends on how you define a new product. There are a lot of tweaks that go on, and that 1s happening across the industry that at a particular product or a price range in, let's say, emulsions, you come out with an extra sheen variant or you come out with a dust-free variant or you come out with -- multiple variants come out of the paint products. I mean, if you go back 10 years ago, emulsions were sold in virtually 2 price points, both exterior emulsions and interior emulsions.
Now all companies have virtually 4 price points. And within each price point, you have 2 or 3 variants of that. So the number of, shall I say, sub-variants that have emerged over the last 10 years have been quite overwhelming. And that 1s more the kind of new product launch that we are witnessing across the industry and even for ourselves. Waterproofing 1s going to be a major foray for us, waterproofing and construction chemicals.
We have had 1 or 2 small products in this range for some time, which are doing well, and we thought it would be a good time now to enter full scale with a full range of products in this sector. There is a lot of demand from the trade and from the sales team. And we are getting ready to launch that in Q1.
And lastly, if I may, the market leader's margin band used to be, let's say, 22, 23 which it does appear now that 1t is certainly down, let's say, high teens to 20. So how do you see this as, let's say, impacting every other player in terms of the headroom for absolute -- percentage margin?
So I won't like to comment on the margins of the market leader. And you have to understand that the scale of operation is about 20 times ours. So we are really not in the same ballpark. And therefore, the pressures and pulls that apply to the market leader could be very different from the pressures and pulls on costing and margins that apply to a company like us.

Manoj Menon:
Hemant Jalan:
Moderator:
Hemant Jalan:
Moderator:
I don't think we try to imitate the market leader in terms of bottom line margins or EBITDA margins.
We look at our own margins. If you look at the number 2, number 3, number 4 players who are a little more comparable in size to us, although, strictly speaking, there are also companies that are much larger than us, then I think our EBITDA margins have been pretty healthy and more or less in line with the number 2, number 3 and number 4 players, sometimes better than them, sometimes maybe half of

percentage point lower than some of them.
But I think we are fairly good on both EBITDA margins and on PAT margins compared to the number 2, number 3, number 4 players who we track a little more closely than the market leader.
Loud and clear, sir. Lastly, actually the decorative plant comes on stream in the new fiscal. Would it be fair to assume that you'll have a certain cost savings and -- which essentially would mean you'll have higher resources to drive accelerated growth?
No, I don't think it is going to give any significant cost saving. I mean we already see most of South India and Central India at the moment for water-based paints was serviced from our Cochin plant, and our Jodhpur plant would cater to North and East. Now the Cochin plant is kind of reaching the brink of its full capacity.
And therefore, with the growth that was happening in Southern India and in Central India, it was necessary to augment our capacity -- manufacturing capacity in the southern part of India. So either we could have expanded our Cochin

plant or we could have gone for a new plant at Pudukottai in Tamil
Nadu, which shows the latter because space was more easily available there as compared to Cochin. And strategically, we wanted to have 3 locations for manufacture of water-based paints.
Sometime next year, we would be thinking of also starting manufacture of solvent-based paints in Northern India at Jodhpur because our solvent-based paints are presently only manufactured in Pudukottai in Tamil Nadu. And there is a lot of growth that is happening in the northern and eastern parts of India for solvent-based paints. So there 1s a need to have a manufacturing location somewhere in the north for that. And that would definitely give us some cost advantages as far as logistics 1s concerned for that segment of the portfolio. But I don't really see the Pudukottai plant as giving us any major cost advantage, which we will -- which would be very visible on the P&L in the next year.
Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Thanks. Thank you all for participating in this earnings call. As I said in my opening remarks, always, Q4 is the heaviest quarter for Indigo Paints and a very vital quarter for us. We have been off to a good start in the month of January. We hope to sustain the momentum in the months of February and March, and Q4 does have a disproportionate weight on our overall annual P&L in terms of sales, profits and profit margins. And we sincerely hope we'll come out with a good set of numbers when this quarter is over. Thank you all for joining in on this call. And I look forward to continually engage with many of you on a one-to-one basis in the days ahead. Thanks.
Thank you. On behalf of ICICI Securities Limited, that -concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

My INDIGO Be surprised!
Date: February 16, 2023
To, To
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza, Plot No. C-1, Block G,
25" Floor, Phiroze Jeejeebhoy Towers | Sandra Kurla Complex, Bandra (East)
Dalal Street, Mumbai- 400001 Mumbai - 400051
Scrip Code: 543258 NSE Symbol: INDIGOPNTS
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call.
Pursuant to the Regulation 30 of the Securities and Exchange Board of India {Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings call held with the analyst and investors on February 13, 2023 ot 11.00 hrs (IST) to discuss the Unaudited Financial Results of the Company for the quarter and nine month ended December 31, 2022.
The above information will also be made available on the website of the company www.indigopaints.com/investors
You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited
Sujoy Sudipta Bose
Company Secretary & Compliance Officer
Encl: As above
Registered Office: INDIGO Paints Limited, Indigo Tower, Street, Pallod Farm2, Baner Road, Pune - 411045
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Q3 FY '23 Results Conference Call”
February 13, 2023
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MANAGEMENT:
MR. HEMANT JALAN — CHAIRMAN AND MANAGING DIRECTOR
MR. T.S. SURESH BABU — CHIEF OPERATING OFFICER
MR. SRIHARI SANTHAKUMAR — GM, FINANCE AND INVESTOR RELATIONS
MODERATOR: MR. ANIRUDDHA JOSHI — ICICI SECURITIES

Moderator:
Aniruddha Joshi:
Srihari Santhakumar:
Hemant Jalan: Indigo Paints Limited
February 13, 2023
Ladies and gentlemen, good day, and welcome to the Indigo Paints Q3 FY '23 Results Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you. Over to you, SIT.
Yes. Thanks, Dorwin. On behalf of ICICI Securities, we welcome you all to Q3 FY 23 Results Conference Call of Indigo Paints. Now I hand over the call to Mr. Srihari Santhakumar, General Manager, Finance and Investor Relations, for the introduction of the management, and then we will open the floor for question-and-answer session. Thanks, and over to you, Mr. Srihari.
Yes. Thanks, Anirudh. Good morning, everyone. Thanks for joining us on a Monday for our conference call. Today on the call, we have Mr. Hemant Jalan, Chairman and Managing Director; Mr. T.S. Suresh Babu, Chief Operating Officer and myself. As usual, we'll start the call with the highlights of the previous quarter, that is, the quarter ending December 31, and then we will have a quick Q&A. Over to you Mr. Jalan.
Thanks, Srihari. Thanks, Anirudh. A warm welcome to all of you on a Monday morning for our Earnings Call of Indigo Paints for Q3 FY 23. Now our financials for the quarter and for the 9 months ending 31st December '22 have been uploaded on the stock exchange portals, along with our analyst presentation. Now a small apology, there was a minor typo on Slide 16 of the analyst presentation, and the corrected

presentation was also uploaded yesterday. And I hope you've had a chance to go through them. I will start first with a summary of our financials and then move on to our future strategy and guidance. Now compared to Q3 of the last fiscal, our sales in Q3

of FY '23 have registered a value growth of
5.95%. You probably already heard the commentary from other paint majors who have all reported muted top line growth, and the reasons are the same, twofold. We had an early Diwali on the 24th of October, and monsoons pretty much continued across India until the 18th of October.
So we had a very short festive season this time, which badly dented the sales of the entire paint industry in the month of October. However, we are happy to note that the sales growth has rebounded very sharply in both November and December. Our gross margins for the quarter have further improved to 43.82%, which 1s higher by about 2% points from the immediately preceding quarter, that is Q2 of FY '23, where we had a gross margin of 41.72%.
And this gross margin 1s also about 1% point higher on a Y-on-Y basis from Q3 of the last fiscal, where we had reported a gross margin of 42.89%. We have not implemented any price increases in the last quarter as raw maternal prices have more or less stabilized. Our EBITDA for the quarter has increased to INR 40.56 crores, which 1s about 5% higher from the corresponding figure for the same quarter last fiscal, although the EBITDA margins have largely remained flat at 14.42%.
It was 14.57% 1n the comparable period of the last fiscal. PAT has increased by about 8%, and PAT margins have increased very marginally from 9.08% in the same quarter last fiscal to 9.21% 1n the just-concluded quarter. If we look at the 9-month financials, the overall sales have been 21.09% higher than

the corresponding 9 months of the last fiscal. Gross margins have improved slightly to 43.55% for the 9-month period. The EBITDA for this 9-month period has been 33.56% higher than the corresponding 9 months of the last fiscal. And the EBITDA margins have expanded significantly from 13.31% in the 9 months of last fiscal to 14.68% in the 9 months of this fiscal.
The PAT for the 9-month period has increased by 68.34% to INR 83.26 crores. Now I'm happy to note that our PAT for our entire 12-month fiscal FY '22 was INR 84 crores, and we have just about achieved that in 9 months of this fiscal. In line with our brand-building strategy, our company continued to spend aggressively on advertising and promotion. And A&P spends for the 9-month period ending on December 31 have been marginally 1% higher than the spends in the corresponding 9-month period of last year on an absolute amount.
So it should be noted that on a 9-month basis, despite having very similar gross margins compared to last year and despite a marginal increase in A&P spends, the EBITDA margins have expanded by almost 1.5% compared to the 9 months of the last fiscal, reflecting the benefits which are kicking in from economies of scale. We have given our volume and value growth numbers for each of the 4 major categories of paint products, consistent with our past pattern of transparent disclosure.
You will note that, again, the value growth 1s higher than the volume growth across all categories, which is a natural consequence to the price increase of almost 15% which was undertaken in Q3 of the last fiscal. During the last quarter-, the company witnessed a very strong volume growth and value growth in the putty and cement paints segment, where the volume growth was almost 35% and the value growth was in excess of 42%. The Emulsions segment has registered a slight negative growth in volume. However, if you look at the 9 months period, even the Emulsions segment has grown by 6% in volume and about 23% in value. Going forward, the base effects due to price hikes, etcetera, are now all behind us.
And going forward, unless something very unusual happens, we would expect volume and value growths to be almost in tandem in the upcoming quarters. We continue to focus on network expansion, and our count of active dealers stands

at 16,785 at the end of the quarter, and our tinting machine population
stands at 7,978. That 1s almost 8,000. Now I would like to specifically mention about our additions of tinting machines. Now although during the entire 9-month period of this fiscal, about 35% of our new tinting machines have been installed in our targeted 750 large cities.
But this whole idea of focusing on the large cities has really been gathering momentum starting from Apnl. And in the last 4 to 6 months, we noticed that this number is over 50% of all the tinting machines being installed. So our focus on improving the sales in these larger cities has definitely started yielding results. We note that the sales growth in these 750 cities 1s almost double the rate of sales growth observed in other upcountry areas. In terms of new products, we would like to announce that we will very soon be launching a complete range of waterproofing and construction chemicals in the retail space. These are very high-growth sectors in the economy, and they share good synergy with paint products, both in terms of product placement and our distribution network. Finally, for Indigo Paints, you may have noticed that Q4 of every year is traditionally our strongest quarter in terms of sales volumes, in terms of absolute profits and also in terms of profit margins. We expect this to continue in this fiscal.

Moderator:
Abneesh Roy:
Hemant Jalan:
Abneesh Roy:
Hemant Jalan: Indigo Paints Limited
February 13, 2023
The company has witnessed good sales growth in January '23 in continuation with the good growth it experienced in the preceding 2 months in November and December. Having consistently maintained industry-leading gross margins, we will continue to be aggressive in trade discounts to further accelerate growth while improving product mix and profitability in our seasonally strong Q4 quarters.
That's all I have by way of a presentation, and we'll be open to take questions from all of you. Thank you.
The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.
Sir, my first question is on the EBITDA margin and gross margin going ahead because you mentioned that the volume growth and the value growth will now be fairly similar, which means pricing growth will be hardly anything. So how do you get the, say, inflation, say, arising in the employee cost or in terms of advertising costs or the other costs also? Second 1s, yes, I do understand raw material scenario is coming favorable. Plus, you also mentioned that the trade discounts could go a bit higher. If I mix all these 3, how the trade will be in terms of growth and EBITDA margins for you?
So we'd like to kind of maintain the gross margins around the level they're at. Now what happens is that because of the cooling-off of the raw material prices, if you do not increase trade discounts, then the EBITDA margins would go up. If we had not increased trade discounts during the last quarter, our gross margins would have been significantly higher than the already-high level they're at. But that is really not workable because there is aggression on the ground because all paint companies are experiencing the same drop in raw material prices.
So the EBITDA margins -- I mean, the gross margin after all discounts, etcetera, that you compute your gross margin on net sales basis. Increase in employee cost in terms of inflation is a very minor component of our P&L. So employee costs do not account for a huge portion, and the minor increase that happens on a year-on-year basis does not materially affect your EBITDA margins. In terms of advertising spends, although the advertising spends on an absolute amount increases marginally year-by-year but since the top line growth is always much more than the advertising expense growth, therefore, the advertising expense as a percentage of the top line drops by about 1.5% year-on-year, and th

at is exactly what has
played out.
If you look at the 9-month period, I mean, the sales growth has been about 21%. The growth in A&P has been about 1%. And therefore, A&P as a percentage of sales has naturally dropped, and that goes straight to the EBITDA. So that will continue to happen for the years ahead because we continue to remain over-indexed vis-a-vis the rest of the paint industry in terms of advertising spends as a percentage of top line.
I hope that answers your question, Abneesh.
Yes, sir. Quite useful. My second question is on the outlook, which you have shared in the presentation on launching a complete range of waterproofing and construction chemicals. So here, is there any preponement of your strategy here? And how aggressive would you want to be because it's already -- almost every other paint company 1s present here, apart from some of the cement companies also.
So I admit that we have been a little late compared to the others in coming in into this range. We wanted to be sure about our formulations and coming up with products which are best in class. I think our trials are showing that we have kind of achieved that. And we will be quite aggressive. I expect that in Q1 of

Abneesh Roy:
Hemant Jalan:
Moderator:
Shrenik Bhandari:
Hemant Jalan:
T.S. Suresh Babu: Indigo Paints Limited
February 13, 2023
the next fiscal, we will have a formal launch of this entire range. And we will offer virtually the entire range, which other companies, both in the paint sector and in the nonpaint sector, are offering.
And we understand that 1t is this component of the portfolio, which is giving a very high growth to the other paint companies. It may comprise of maybe 10% of their overall sales, but it contributes disproportionately to the growth percentage. And since the channel of sales 1s pretty much the same, I think it 1s a synergy that we should await of.
Sure, sir. And the last question on the demand side. So -normally, you strive to grow faster than the other paint companies. In the paint costs of other companies in the Q3, companies have said that just like you, they have also seen improvement in November and December. And in Q4, they, as of now, aim to have a high single-digit to double-digit kind of volume growth. Would you also expect similar kind of numbers in Q4 in terms of volume growth?

I would expect that we would grow faster than the larger peers that we have. You have to be a little careful when you compare us with our larger peers in the paint industry. Some of them have roughly 50% to 60% only exposure as far as the decorative paint segment is concerned and about 40% to 50% exposure in industrial or automotive paints. So the trajectory of growth in those segments could be very different from what it is in the decorative paints.
And therefore, if you compare the overall volumes or the value growth of both components put together, we may not be strictly comparing apples with apples. When it comes to the number 1 and the number 2 player, yes, by and large, I understand that almost 85% to 90% of their sales does come from the decorative segment. And to that extent, they are a little closer in factor or we are a little closer and connected to them. The industry leader is so much larger to us that I don't really know whether a comparison with them is very meaningful.
But yes, if you look at the decorative paint component of the entire industry, I have reason to feel that if we are not the best, we are very close to it in terms of percentage growth, and we hope to improve upon that as we go forward.
The next question is from the line of Shrenik Bhandari from InvestYadnya.
Sir, my question is regarding dealer expansion. So we see the momentum of the active dealers. The addition has been slowed down. So if you compare it to the last 9 months and 9 months of FY 22, you added almost more than 2,000 dealers. And if we see in th

is current quarter, you have less than 1,000
dealers. So what's your view on that?
Suresh, would you like to take this question?
Yes. Mr. Bhandari, see, we have already lined up in our strategy that our concentration in terms of increasing our network was supposed to be more in the 750 bigger towns or the Tier 2 towns as we would call it. Now when we are going to these towns, obviously, we are looking at the quality of dealers rather than in the numbers. So that is one of the reasons that we have been having a lower number of dealers in terms of the pure numbers are concerned. However, we have been concentrating on increasing the throughput per dealer, and the throughput per dealer is definitely higher in this 9 months as compared to the last 9 months.

Moderator:
Tejash Shah:
Hemant Jalan:
Tejash Shah:
Hemant Jalan:
Tejash Shah:
T.S. Suresh Babu: Indigo Paints Limited
February 13, 2023
The next question is from the line of Tejash Shah from Spark Capital.
So 3 questions from my side. So first, how are you reading the consumer sentiment on ground? And usually, 3Q is also loaded with good wedding season demand also which in other categories, which are associated with this sector. You have seen that they showed reasonable demand momentum. So just wanted to understand how to read through consumer sentiment last quarter. And how are you reading as in then this current quarter?
The wedding season 1s on in full swing as we speak in Q4 also. And January and February, as we say, are heavy wedding months in Northern India. Now the pattern of the wedding season in South India is somewhat different from what it is in North India. So definitely, in terms of that, and you're quite right that the wedding season does give some kind of a boost as far as paint consumption is concerned. So we are facing very, very heavy wedding season. We have had it in January, and it will continue in February. Almost all of February, there is a very heavy wedding season.
Sure. Sir, second, just partly an academic question. Just wanted to understand Tamil Nadu plant, which will be starting in next quarter, what's the supporting distribution infra we'll be investing in terms of depot , which will be required to support the plant?
No, I don't think we are planning any increase in depots because of a new plant coming up. So you add capacity when you feel that in the next 2, 3 years, your existing capacity 1s going to be insufficient to meet your growing demand. So that is how everyone in the paint sector, to the best of my knowledge, does it. So putting up a new plant does not instantly mean increased sales or increased infrastructure because I think we plan for increase in depots as and when the need arises, and we are already represented in every corner of India. Having said that, depots will gradually increase over a period of time, which I think is quite unrelated to setting up of new capacity.
So I think the setting up of the Tamil Nadu plant has been because we feel that in the next 6, 8 months, we could start facing supply constraints from a manufacturing viewpoint, and therefore, you set up a plant, which will hopefully take care of your needs over the next couple of years. And 1t is -- each time, when you set up a plant, you set up a plant which 1s more modern and more automated than your previous attempts to keep up with technology. And we do expect to start our trial productions in the Tamil Nadu plant in the month of March. And yes, it will probably go into commercial production from April

onwards.
Very clear, sir. And sir, you spoke about trade discounts going up in the coming future. Just wanted to understand, is it a tool to boost primary sales or 1s it also that end consumer also responds to such initiatives?
No. The initiative 1s primarily to fill the channel because what happens is that because of higher disposable margins available with all the competitors, a

ll of them become super aggressive in the market.
And when we are competing in the like-to-like space, we should also be competitive with them. So that's why we are kind of hinting at increasing the trade spends. Of course, the secondaries will obviously depend upon the demand, which 1s there.
And we expect that the demand will only go up being the so-called wedding season in the North Indian market. And in general, the paint industry picks up in the second half of every financial year.

Tejash Shah:
Hemant Jalan:
Moderator:
Hiral Desai:
Hemant Jalan:
Hiral Desai:
Hemant Jalan:
Got it. And sir, last one, if I may. Mr. Jalan, you have seen industry for so many years, in fact, decades. Just wanted to understand, do you think that the current competitor intensity and the one which will actually come in next 2, 3 years, do you believe that it merits consolidation in some form? Or industry has seen worse than -- or very high competitive intensity in past and still survive without getting into a consolidation phase? Just wanted to know your thoughts on that.
I don't think there is a need for the industry to do any further consolidation. Some kind of consolidation happens on a natural course over time. You have seen a couple of smaller companies being acquired by potential new entrants during the last 1 year. I cannot predict whether more of that will happen as far as the next year 1s concerned. Amongst the larger players, I do not see anyone open for acquisition or trying to acquire the other person. So I doubt if any consolidation would happen at the level of the top 5 players. But if some company wish to acquire smaller companies, sometimes maybe in the paint sector, it could be in adjacent sectors. So that kind of consolidation has been going on, and it will probably continue in the future. But if you're talking about any material change in the structure of the paint industry, I -- at least, I do not foresee it, but I don't have a crystal ball, so I cannot really predict about the future.
The next question is from the line of Hiral Desai from Anived PMS.
So I had a couple of questions. So I think 2 years back, during the IPO, you had spoken about 2 sets of states, right? So there was Chhattisgarh, Bihar, UP, Odisha, where you are present since a while. And then there were some of these newer states, like Maharashtra, Gujarat, Karnataka, Telangana. So qualitatively, can you give us a sense of what has happened in these 2 cohorts over last couple of years?
So some of the newer states that we have entered in, like you mentioned Gujarat. Now Gujarat, I think, is registering one of the strongest growth that we have amongst all the states in India. Telangana has also registered very good growth in the last 2, 3 years. Maharashtra, a little more in line with our company growth, whereas some of our larger states, like Kerala have been actually outperforming.
And this year, Kerala has gone stronger than the company average. So I think the growth is normal. Some of the more new states that we have ventured into -subsequent to the IPO discussions that you're referring to, like Himachal Pradesh or Jammu and Kashmir or Delhi, at least Himachal Pradesh and Delhi are showing the strongest growth that we are observing on an all-India basis. So it is heart-warming that even in metros like Delhi, Mumbai and Kolkata, at least we see very, very strong growth potential.
So that 1s heart-warming for us because the whole idea has been to now shift the focus to the larger cities. I wouldn't say that 1t has happened to the same measure in a big city, like Chennai or Bangalore is yet, but that's only a matter of time. So we are seeing good growth across all segments, both the states where we have been present for 15, 20 years, and even more so in the states where we have entered more recently.
And sir, any specific underperforming st

ates and you have -any reason you'll be able to attribute to that?
So there will always be -- when you're talking about 28 states in India, there will always be 2 or 3 states, which will underperform in 1 year, and then they will start overperforming the next year. Usually, that is a result of something to do with your sales team there. Maybe you need to strengthen the sales team.

Hiral Desai:
Hemant Jalan:
Hiral Desai:

T.S. Suresh Babu:
Hiral Desai:
Hemant Jalan:
Hiral Desai:
Hemant Jalan: Indigo Paints Limited
February 13, 2023
Maybe you need to replace 1 or 2 people there. So that is a continuous process that goes on. You will always have some states, which will underperform and some that will overperform.
You can never have all states growing at exactly the same rate. But just taking order of which state grows faster and which grows lower tends to change very rapidly from 1 year to the next. So it's a function of competitor dynamics. It's also a function of how well your sales force is executing on the ground. And it 1s our job as management to identify the underperformance and make suitable changes in our teams out there to strengthen them.
The other question is on the advertising and promotion spend that you historically then shared, but we are now over in the spend -- the A&P spends will grow at single digits. But given that we are trying aggressively to get market share in these 750 cities, plus you're likely to launch the waterproofing and construction chemical. So you feel that the single-digit A&P spend growth will be enough to support all these initiatives, and especially given the competitive intensity as well?
I know, but we do track what the A&P spends of our -competitors are. So we don't try to follow the market leader because they are in a totally different orbit of operation in terms of size. But we do look at the A&P spends of the number 2, number 3 and number 4 players. And I think our absolute spends are in line, if not larger, with many of them.
So I think we have also had some brand tracking studies done during the last 6, 8 months in various states in India, and we find that the brand recall of Indigo Paints is now no less than the number 2 or the number 3 player in the country. So if it were very simple, as simple as just increasing advertising spends and increasing market share, I'll happily double our advertising spends and get 60%, 70% top line growth. Unfortunately, the world is not as simple as that. And when you attain a certain level of brand recognition, it 1s more important to focus on many other things which drive sales rather than merely concentrating on one element, which is brand salience, where I think we have done a pretty good job.
Got it. Can I sneak in one more?
We also try to be very competitive in terms of our share of voice other than the market leader. I mean, as you consider the second, third and fourth players, we try to be very competitive in terms of our percentage share of voice.
Got it. Can I sneak in one more question?
Yes, go ahead.
So sir, lastly, on the Sequoia stake sale that just recently happened. So have you had a discussion with what their long-term goals are? Because we find the 4 and 5 or where they own the Indigo stake that is that sort of slated to close. So any discussions around the Sequoia stake?
So we keep discussing with Sequoia because they are represented on our Board, and we had a Board meeting just 3 days ago. So I continue to reiterate that they are long-term investors in the company. They own 25% of the company. They sold some stake last year because of internal reasons. They may have had some pressure to redeem some money and get back to their LPs.

Hiral Desai:
Hemant Jalan:
Hiral Desai;
Moderator:
Rohan Bhuknesh:
Hemant Jalan:
Rohan Bhuknesh: Indigo Paints Limited
February 13, 2023
To the best of our kn

owledge, they do not have any immediate plans for any stake sale, but that is a
question that 1s better addressed to Sequoia rather than asking us. They continue to iterate that they have a very long-term focus on the company, however, depends on what you call by long term because they have been invested in the company now for 8.5 years.
Yes, sir, which why I was precisely asking that.
But their funds, I think, have a long life as we understand it, and there is no legal bar in them holding on for another 4, 5 years. But if you want to know whether they'll be invested for another 10 years, I sincerely doubt it because at some point in time, they will have to close out their funds from which they have invested. But beyond that, I really cannot make any predictions on behalf of Sequoia as to what their game plans are.
No, no. Fair enough. Fair enough.
The next question is from the line of Rohan Bhuknesh, an individual investor.
I just wanted to ask, what is your revenue guidance in terms of the revenue growth for the next 3 to 5

years?
That's a little hard one to predict to give any number guidance as to what will happen in the next 3 to 5 years in terms of percentage growth. It's a function of so many things. We don't know how raw material prices will behave, and therefore, we don't know what kind of pricing pressures will come on to the entire industry, which may artificially end up bumping up the revenue value growth targets. If you have a major price hike at the moment, there is no plan for that. Rather than try and give an absolute number guidance as to what our revenue growth would be.
I would say that the attempt would be to outperform the growth percentage of the entire industry. So our larger listed peers whose base 1s significantly higher than us, we should be able to outperform them and deliver a growth rate over time, which is at least 1.5%, if not twice the growth rate of theirs for the next few years. That 1s the direction in which we have been moving. And all our strategies for the last 1 year have been to attempt some course correction and shift the focus from smaller towns to larger cities where the potential of the sale of each dealer is significantly higher than the potential core dealer in a rural area or a smaller town. And I think we had mentioned even in Q1 that it is a strategy which is going to take some time to take shape.
We have reported this time that now when 9 months have elapsed since we kicked off this strategy, we are beginning to see measurable results on the ground. I sincerely hope that this will get stronger in the coming quarters. And if that happens and we are able to continue to execute this very well, then I think that the guidance that I gave you of outperforming the rest of the industry, you will gradually start seeing those numbers in the years to come.
Okay. That's great, sir. And sir, my last question is, in the last few years, we have been doing in a very fast shift, right? So what is our company doing? Or are we trying to create any moat around any products which will differentiate us from the larger peers?

Hemant Jalan:
Moderator:
Manoj Menon:

We already have a wide range of differentiated products in which we have a fairly strong moat around us. Our floor coat emulsions, our metallic emulsions, our sealing coat, our PU enamels and a whole host of other products are very differentiated products. They have been yielding approximately 30% of our top line. And so far, we have been very successful in the last 8 to 10 years as and when we have launched these products in defending our, shall I say, prima donna status as far as these products are concerned. And I don't think that there is any immediate offering coming up of a highly differentiated product which would create a major upswing in our sales.
If we can maintain the moats that we have built

around our existing products, our present foray into
waterproofing and construction chemicals are not really very differentiated products, so to speak. We'll try and come up with products which are best in the class, but these are products which are already available in the market.
The next question is from the line of Manoj Menon from ICICI Securities.
Just a couple of clarifications. See, in the recent earnings call, the market leader did allude to a likely deceleration in industry growth over the next couple of years or so. Now listening to it, [was wondering, is it probably -- I guess, honestly, we have not mentioned the growth -- industry growth. But the question to you, sir, is, do you really think that's a possibility, the way you see the industry growth aspect out there? Because the way I interpreted what Mr. Singhal said in the call was possibly that they would have probably used out a lot of the low-hanging fruits for them in terms of diversification of maybe, let's say, putty or whatever, right? So how do you see the industry growth 1s the crux of the question, sir.
See, I don't know in context -- in what context he said that, and I really cannot speak on the behalf of the paint major, the industry leader. One thing I would say is that during the last 4 quarters, the value growth figures have been a little artificially high because of the 15% price hike that happened in the Q3 of last fiscal.
So therefore, value growth has generally been 12%, 13%, 15% higher than the corresponding volume growth numbers during the last 4 quarters. Now that is now over. Sometimes, also, before the price increase, there were very sharp value growth compared to the same quarter in the previous fiscal because in the previous fiscal, you typically had 1 month or 2 months of COVID lockdowns when the sales were very low.
And then in the next year in the same quarter when you did not have a lockdown, again, the numbers appeared artificially high. I'm saying that all of this is now firmly behind us starting from January. When we look at the preceding quarter -- I mean, at the quarter in the preceding fiscal that would be starting from Q4, neither do we have any COVID disruptions which have happened in the same quarter last fiscal, nor is there a material change in pricing compared to the same quarter last fiscal. So before all this pandemic came and all this disruption and - pricing happened, the industry was growing at about low double digits, around 12%, 13%.

That used to be the norm in the industry. So I think the consensus within the paint industry is that we are back to that same normal. And unless something very unusual happens, you would expect now both volume and value numbers to be around that 12%, 13%. Now it could be a percentage or 2 higher or lower depending upon vagaries of the market.

Manoj Menon:
Hemant Jalan:
Manoj Menon:
Hemant Jalan:
Manoj Menon:
Hemant Jalan:
Manoj Menon:
Hemant Jalan:
But if -- now these numbers will look a little lower than the kind of 20% numbers of growth that you were seeing in the last couple of years, but those were for artificial reasons. Otherwise, I do not recollect anyone talking about any demand deceleration because that is simply not happening. On the ground, everybody 1s experiencing good market conditions. And I really don't know what further context that statement that you're referring to was made in, so I would hesitate to comment.
Very clear. The one -- another context I asked this question was because we cover like, let's say, 5 restaurant companies, 5 apparel, 5 footwear companies. There is a -- there is some trend, which you could plot to say that there is defintely a predicted slowdown, at least in some parts of discretionary consumption. So if I heard you correctly, you're essentially saying that there is no usage growth or like-for-like volume decelerat

ion, which you anticipate to happen in trends?
Correct.
Loud and clear. Secondly, specific to Indigo, if you could just talk about your journey in NPDs, some of the products which you have launched in the last 6 to 12 months. And how does the pipeline look currently?
So new products?
Yes. Yes, sir.
I don't think there's been any major new product launch that we have done. Well, it depends on how you define a new product. There are a lot of tweaks that go on, and that 1s happening across the industry that at a particular product or a price range in, let's say, emulsions, you come out with an extra sheen variant or you come out with a dust-free variant or you come out with -- multiple variants come out of the paint products. I mean, if you go back 10 years ago, emulsions were sold in virtually 2 price points, both exterior emulsions and interior emulsions.
Now all companies have virtually 4 price points. And within each price point, you have 2 or 3 variants of that. So the number of, shall I say, sub-variants that have emerged over the last 10 years have been quite overwhelming. And that 1s more the kind of new product launch that we are witnessing across the industry and even for ourselves. Waterproofing 1s going to be a major foray for us, waterproofing and construction chemicals.
We have had 1 or 2 small products in this range for some time, which are doing well, and we thought it would be a good time now to enter full scale with a full range of products in this sector. There is a lot of demand from the trade and from the sales team. And we are getting ready to launch that in Q1.
And lastly, if I may, the market leader's margin band used to be, let's say, 22, 23 which it does appear now that 1t is certainly down, let's say, high teens to 20. So how do you see this as, let's say, impacting every other player in terms of the headroom for absolute -- percentage margin?
So I won't like to comment on the margins of the market leader. And you have to understand that the scale of operation is about 20 times ours. So we are really not in the same ballpark. And therefore, the pressures and pulls that apply to the market leader could be very different from the pressures and pulls on costing and margins that apply to a company like us.

Manoj Menon:
Hemant Jalan:
Moderator:
Hemant Jalan:
Moderator:
I don't think we try to imitate the market leader in terms of bottom line margins or EBITDA margins.
We look at our own margins. If you look at the number 2, number 3, number 4 players who are a little more comparable in size to us, although, strictly speaking, there are also companies that are much larger than us, then I think our EBITDA margins have been pretty healthy and more or less in line with the number 2, number 3 and number 4 players, sometimes better than them, sometimes maybe half of

percentage point lower than some of them.
But I think we are fairly good on both EBITDA margins and on PAT margins compared to the number 2, number 3, number 4 players who we track a little more closely than the market leader.
Loud and clear, sir. Lastly, actually the decorative plant comes on stream in the new fiscal. Would it be fair to assume that you'll have a certain cost savings and -- which essentially would mean you'll have higher resources to drive accelerated growth?
No, I don't think it is going to give any significant cost saving. I mean we already see most of South India and Central India at the moment for water-based paints was serviced from our Cochin plant, and our Jodhpur plant would cater to North and East. Now the Cochin plant is kind of reaching the brink of its full capacity.
And therefore, with the growth that was happening in Southern India and in Central India, it was necessary to augment our capacity -- manufacturing capacity in the southern part of India. So either we could have expanded our Cochin

plant or we could have gone for a new plant at Pudukottai in Tamil
Nadu, which shows the latter because space was more easily available there as compared to Cochin. And strategically, we wanted to have 3 locations for manufacture of water-based paints.
Sometime next year, we would be thinking of also starting manufacture of solvent-based paints in Northern India at Jodhpur because our solvent-based paints are presently only manufactured in Pudukottai in Tamil Nadu. And there is a lot of growth that is happening in the northern and eastern parts of India for solvent-based paints. So there 1s a need to have a manufacturing location somewhere in the north for that. And that would definitely give us some cost advantages as far as logistics 1s concerned for that segment of the portfolio. But I don't really see the Pudukottai plant as giving us any major cost advantage, which we will -- which would be very visible on the P&L in the next year.
Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Thanks. Thank you all for participating in this earnings call. As I said in my opening remarks, always, Q4 is the heaviest quarter for Indigo Paints and a very vital quarter for us. We have been off to a good start in the month of January. We hope to sustain the momentum in the months of February and March, and Q4 does have a disproportionate weight on our overall annual P&L in terms of sales, profits and profit margins. And we sincerely hope we'll come out with a good set of numbers when this quarter is over. Thank you all for joining in on this call. And I look forward to continually engage with many of you on a one-to-one basis in the days ahead. Thanks.
Thank you. On behalf of ICICI Securities Limited, that -concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

Registered Office: INDIGO Paints Limited, Indigo Tower, Street-5, Pallod Farm-2, Baner Road, Pune - 411045
T: +91 20 6681 4300, Email: info@indigopaints.com, Website: www.indigopaints.com, CIN: L24114PN2000PLC014669

Date: June 02, 2023
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001
Scrip Code: 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol: INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call.
Pursuant to the Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings call held with the analyst and investors on May 29, 2023 at 11.00 hrs (IST) to discuss the Audited Financial Results of the Company for the Financial Year ended March 31, 2023.
The above information will also be made available on the website of the company www.indigopaints.com/investors

You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited

Sujoy Sudipta Bose
Company Secretary & Compliance Officer

Encl: As above

"Indigo Paints Limited
Q4 FY '23 Results Conference Call"
May 29, 2023

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN AND MANAGING DIRECTOR – INDIGO PAINTS LIMITED
MR. T.S. SURESH BABU – CHIEF OPERATING OFFICER – INDIGO PAINTS LIMITED
MR. CHETAN HUMANE – CHIEF FINANCIAL OFFICER – INDIGO PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER, FINANCE AND INVESTOR RELATIONS – INDIGO PAINTS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Indigo Paints Limited
May 29, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Indigo Paints Q4 FY '23 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.
Manoj Menon: Hi, everyone. It's a wonderful morning from Bombay to all of you. Representing I-Sec it's our absolute pleasure to host once again the results conference call of Indigo Paint. The company is represented today by Mr. Hemant Jalan and team. Over to Srihari from the company for further intros and taking the call forward. Srihari, over to you.
Srihari Santhakumar: Thanks, Manoj. Good morning, everyone. Thanks for joining us on a Monday for this earnings call. Today from the management side, we have with us Mr. Hemant Jalan, our Chairman and Managing Director; Mr. Suresh Babu, Chief Operating Officer; Mr. Chetan Humane, CFO; and myself I am Srihari. As usual, we'll have a quick overview of the results for the quarter ended March 31, 2023, followed by quick Q&A. Over to Mr. Jalan.
Hemant Jalan: Should I start Manoj? Okay. Thank you all for joining in on the earnings call of Indigo Paints for fourth quarter FY '23. Now our financials for the quarter and for the year ended 31st March 23 have been uploaded on the stock exchange portals, along with our analyst presentation, and you probably had a chance to go through them. Now before I start with a summary of our financials, I'm happy to announce that Indigo Paints has crossed the milestone of INR1,000 crores on a net revenue basis and I would like to thank the entire team at Indigo paints, our suppliers and all our customers for aiding us in this journey.
Coming to our Q4 results. Compared to Q4 of FY '22, our sales in Q4 of FY '23 has registered a value growth of 12.86%, which is largely in line with the industry. However, the EBITDA has increased significantly by 33.4% from a number of INR53.77 crores in Q4 of last year to INR71.73 crores in Q4 of this year. The EBITDA margin that we have clocked in this quarter of 22.04% is the highest for our company in the last two years. Correspondingly, our PAT has grown by 40.74% on a Y-o-Y basis from INR34.59 crores in Q4 of last year to INR48.68 crores in Q4 of this year and the PAT margin has expanded to a very healthy figure of 14.83% compared to 11.89% in Q4 of last year.
As guided before, the favourable product mix in the fourth quarter every year has once again boosted the profitability of the company. If we look at the entire fiscal FY '23, revenues grew by 18.47% whereas the EBITDA grew at a much faster pace by 33.5% and the PAT numbers grew at an even faster pace of 56.98%. The growth in the profitability metrics are probably the highest in the paint industry.
The EBITDA margin and the PAT margin also expanded significantly this year, and we closed the year with a healthy EBITDA margin of 16.91% and a PAT margin of 12.18%. For the year

under consideration, the company has realized a total PAT of INR131.94 crores compared to INR84.05 crores in the previous fiscal.
The Board of Directors has recommended a dividend of INR3.50 per share compared to INR3.00 per share in the last fiscal. In line with our brand-building strategy, our company continued to spend on advertising and promotion aggressively. Although the absolute spend on A&P remained largely unchanged from the previous fiscal.
However, the A&P spend as a percentage of net revenue has naturally declined from 9.7% in F

Y '22 to 7.7% in FY '23. As guided before, we expect this declining trend to continue in the future with absolute advertising and promotion spends increasing at a much slower pace than the increase in our net sales. As usual, we have given our volume and value growth numbers for each of the four major categories of paint products, both for the quarter and for the entire fiscal. We can observe that the value growth and volume growth numbers are largely in sync. We witnessed a positive volume growth in all the segments. During Q4, the company witnessed a very strong volume growth in the primer and others category segments where the volume growth was 37.6% and also in the Putty and cement paint segment, where the volume growth was 42%. In the emulsion segment and the enamel segment, value growth in the quarter is slightly higher than volume growth due to favourable product mix within the segment. If you look at the growth numbers for the entire fiscal FY '23, as expected, the value growth numbers were significantly higher than the volume growth numbers, largely due to the steep increase in paint prices in Q3

of FY '22.
We continue to focus on network expansion, much more on improving the throughput per active dealer and also increasing our tinting machine population steadily. Our count of active dealers and tinting machine population stood at 16,496 active dealers and 8,273 tinting machines on 31st March 2023. On the new product front, Indigo Paints has already launched its complete range of waterproofing products very recently, and the same have started hitting the shelves of the dealers as recently as last week.
As announced earlier, Indigo Paints has acquired a 51% stake in Apple Chemie India Private Limited on the 3rd of April this year through a combination of primary capital infusion into the company and secondary share purchase transactions with the promoters.
Indigo Paints also has an option to acquire additional stake in Apple Chemie at the end of three years. Apple Chemie is a fast-growing company in the construction chemicals and waterproofing space with a five-year CAGR of around 30% in top line, manufacturing and supplying products in the B2B space to various reputed infrastructure projects in the Western states of India. Apple Chemie has a wide range of products, which are complementary to Indigo paints. They also have a marquee clientele, which includes all major engineering and construction conglomerates in the country and with the government's massive infrastructure spending plan and the established client base, Apple Chemie is primed to soon become a pan-India player.
This partnership has enabled Indigo paints to widen its product offerings in the waterproofing and construction chemical space. Apple Chemie by itself, which was earlier largely present in

Western India, will continue to focus on the B2B segment and now on a pan-India level. Finally, the company has internally taken many, many initiatives to drive the top line growth to becoming 1.5x to 2x the industry growth rate. Many of these initiatives have now started showing positive results. April 23 has been an exceptionally good month for the company for top line growth and May 23 appears to be headed in a similar direction.
With already industry-leading gross margins and healthy profitability, we now expect the top line growth to start leading the industry average in the upcoming quarters. In line with our expected top line growth, we need to keep expanding manufacturing capacity. Our new paint plant at Pudukottai in Tamil Nadu has started trial production very recently and will enter commercial production in a few weeks. We are now beginning to start work on setting up a state-of-the-art 90,000 KL per annum paint plant at Jodhpur. That is all that I have as far as introductory comments are concerned, I look forward to fielding your questions. Th

ank you.
Moderator: Our first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.
Abneesh Roy: Congrats on very good set of numbers. My first question is on water proofing and Construction Chemicals, both B2B and B2C. What would be your expectation for FY '24 broad numbers?
And say if three years down the line, what will be the expectation. And in terms of sales team, would you be able to leverage your current team or then the investments needed there?
And in terms of advertising, how do you see one, you have got Indigo paints brand and then the waterproofing and construction chemicals plant. How do you see synergy benefit there? And how much advertising could go up in this part of the business?
Hemant Jalan: Okay. Now as far as the waterproofing and construction chemicals segment is concerned, now there would be the B2B segment, which would be led by Apple Chemie. Last year, they did a top line of around INR42 crores to INR43 crores which was concentrated in one or two states in Western India.
With guidance from our side, they are now pushing to expand their sales team on a pan-India level and have appointed people in six, seven other states of India where large infrastructure projects are going on. The client base is pretty much the same across all states. And therefore, we expect very healthy value growth as far as Apple Chemie is concerned.
It's too early in the game for me to give a very specific number guidance, but we'd expect them to be fairly aggressive. As far as our own launch of waterproofing products in the retail space under the Indigo name is concerned. If you look at other companies that have made a foray into that, the leading two companies in the decorative space in India, they report that the waterproofing and construction chemicals at the retail level is beginning to hit 8% or 9% of the entire top line.
It would be ambitious to think that we would reach something like that in the very first year of operation. But definitely two to three years down the road, we should be able to get a similar percentage of our top line growth coming from the construction chemicals and waterproofing segment.

At the moment, we plan to use the same sales team because the channel is completely overlap.
Today, waterproofing and construction chemicals are no longer in a jump space for the paint industry. They've become a very integral part of the brand portfolio. And therefore, at the moment, we intend to use the same sales team.
In future, if we feel that there is a need to have a separate sales team for that, we will consider maybe for channels which are not selling paint products, if the need arises, we will consider that.
In terms of advertising, you will note that even these waterproofing products are being sold under the same umbrella name of Indigo brand, albeit with a separate subsection, which we have called the Protect plus series.
We do have plans on launching advertising campaigns for the construction chemicals and waterproofing space with our brand ambassador Mr. Dhoni and since the products have just been launched, we'll wait for a few months, let the product placement fully happen. Let us get some feedback from the market. And maybe in the second half of the year, you will see some good advertising as far as that is concerned.
Abneesh Roy: Sure, sir, two quick follow-ups on that. One is in terms of manufacturing of waterproofing and construction chemicals, current infra of Apple Chemie, is it enough? And second, in terms of advertising, you earlier said that as a percentage of sales, it will keep coming down because of the operating leverage, because of strong growth in sales, will it still come down now taking into consideration spend on waterproofing and Construction Chemicals?
Hemant Jalan: Okay. First of all, Apple Chemie's manufacturing capacity will only ca

ter to Apple Chemie's
production and sales, which is on a B2B segment. And that is quite adequate at the moment to cater to a much, much larger sales than what they are doing. However, having said that, they are also considering expanding their manufacturing capacity in certain segments of waterproofing and construction chemicals, that may happen over the course of the year.
As far as manufacturer of waterproofing products and construction chemicals, at the retail level is concerned, they are not manufactured at Apple Chemie's, they are being manufactured at Indigo paints and our existing infrastructure is more than adequate to take care of that because the equipment's required to make these products are very similar to the equipments required to make paints.
So we have had to make absolutely zero addition as far as plant and machinery is concerned to cater to this. Second question on advertising we still maintain that our advertising spend totally are not going to increase by a huge amount this year. It's just that the products that you focus on advertising, I mean, we have been advertising our decorative paints for a fairly long time and achieved a fairly high level of brand recall.
I guess that part of that advertising budget will be spent, as I said, during the second half of the year in advertising these construction chemicals and waterproofing products. But I don't think that that is going to change the overall budget of A&P spends in any significant way. To answer your question, yes, A&P spends as a percentage of top line can be expected to continue to decline in the years ahead as our net sales increases.

Abneesh Roy: Sir, that's very helpful. My last question is on your Tier 1, Tier 2 market growth. You said April and May, very strong growth and you expect in FY '24 industry-leading growth. And even in Q4, the growth in Tier 1 and Tier 2 has been double of Tier 3, Tier 4. So I wanted to understand a few examples of Tier 1, Tier 2, where you have seen good success recently, and it's a very tough market. We know these are dominated by the number 1, number 2 players, respectively.
So what is working now because the last three years also, there have been some issues like the floods and COVID due to which your growth rate could not be to the desired level, that was is initial expectation. But now what is giving us the confidence that we can have the industry-leading growth.
Hemant Jalan: I'll ask Suresh to answer that question.
Suresh Babu: See, in the Tier 1 and Tier 2 towns, as we had specified in our Strategy 2.0, we have started focusing specifically on these bigger towns and we were having contractor programs to address the contractors. We are selecting the dealers very cautiously. The team was asked to specifically focus on these dealers and that has actually started yielding the results. Our schemes to these dealers have also become quite aggressive in line with that of competition in the bigger markets.
So I think this will -- all this aggression will help us in the coming years and in the coming quarters. And we will also continue not to let down our guard on the up-country markets.

Moderator: Next question is from the line of Gaurav Gandhi: from Glorytail Capital Management. Please go ahead.
Gaurav Gandhi: Congratulations on the good set of numbers. Just one question from my side. I have observed that the industry leader because of the age old relations with the dealers has been in a significant bargaining power regarding discouraging the dealers to keep products from other companies.
How does this impact us? And how do we deal with these kind of situations?
Hemant Jalan: See, to ask a dealer not to stock a product of another company would be in contravention to laws and fair marketing practices, we would not expect an industry leader with the kind of governance that they have to engage in such u

nfair trade practices and frankly, we don't see any evidence of that on the ground.
Having said that, all dealers across India are largely multi-brand. Each company that is represented on any dealer outlets will always try to aggressively expand its share of that counter sales. So that kind of aggression always goes on. And it has been going on for the last 25 years, it will continue till eternity.
So I don't think that any company has the power or the inclination to wipe out any other competitor from any dealer outlet, ultimately, a dealer has to think for himself or herself as to what product mix and what brand mix best suit the requirements of the consumer and best suit his profitability goals that he may have for his shop.
So yes, of course, there is a constant aggression not just by the industry leader, but by all players, including us to gain market share at any dealer counter and that is healthy competition, and that will continue for all times to come.

Moderator: Our next question is from the line of Anupama Bhutra from Arihant Capital. Please go ahead.
Anupama Bhutra: Sir, my question is on Apple Chemie. So what kind of margins are we expecting? Is it going to be on the same line since it's B2B? And the other question is what kind of like there was a margin contribution from better product mix and incremental volumes. If you can just quantify little bit.
Hemant Jalan: The first question, the EBITDA margins of Apple Chemie are pretty similar to that of Indigo paints. And therefore, the addition and top line that will happen as a result of consolidation are not likely to be either margin dilutive or margin accretive. So I think that there, we don't have much to worry about. I'm sorry, I couldn't hear your second question clearly. Could you kindly repeat that?
Anupama Bhutra: Yes, yes. The second question is, again, regarding margins only since we witnessed a very good margin expansion. So I just wanted to understand what kind of benefit product mix like better product mix, which has got into margin and incremental volume. So if you can a little bit quantify what kind of basis points have they contributed in.
Hemant Jalan: So our margins, which our gross margins, if you note, have always been the highest in the paint industry, including higher than the industry leader by a fairly significant stretch. Now one of the contributors of that is the fact that we have a large arsenal of differentiated products where we kind of dictate the pricing terms, and they are now constituting 31% of our total portfolio. Now always, many of these differentiated products have a slightly disproportionate share of sale in Q4 because the weather conditions are more conducive for application of some of these products.
And therefore -- and this is a guidance that we have always given, both in terms of top line sales as well as in terms of margin.
Normally, Q2 is better than Q1, Q3 is even better than Q2, and Q4 is our strongest quarter. Now that has historically been the pattern. If you omit COVID effects, which may have come in somewhere in between during the last two, three years, and we expect that trend to continue. So yes, I mean an EBITDA margin of 22% that we have posted in Q4, are we going to maintain that EBITDA margin in Q1? The answer is no. It won't happen. But if you look at the overall year where we have registered an EBITDA margin of 16.91, I think, we would expect a significant increase of that on a year-on-year basis as far as the whole fiscal is concerned.
One of the contributors of that will be the gradual drop in A&P spends as a percentage of top line, where we are still very, very overweight compared to the rest of the industry. And the other is the constant increase in our sales, especially the sales in our differentiated products. So I think the margin outlook for the whole year looks very, very healthy compare

d to the last year.
Moderator: Our next question is from the line of Hiral Desai from Anived PMS. Please go ahead.
Hiral Desai: Congratulations on achieving the INR1,000 crores revenue threshold. So I had a couple of questions. Am I audible?
Hemant Jalan: Very audible Hiral Ji. Go ahead.

Hiral Desai: Yes. So sir, the question was it's been a year since we had embarked on the strategy of focusing on the 750 cities. Obviously, the idea was improving the throughput per dealer. So just wanted to get a sense, it's been a year, would you be able to share some numbers or have you been able to improve that? And in case you can't use the numbers, then you could use 100 as a base and just give us a sense of what has happened.
Hemant Jalan: So we have mentioned that in Q4, the growth rate in the larger cities, the Tier 1, Tier 2 towns have been almost twice that of the growth in the up-country markets. Now the fact that it has been a year since we announced it, some of these initiatives do take time to fructify and to start yielding measurable results on the ground.
We had to drastically increase the force of people that we have, what we call the BTL staff, below-the-line staff who engage with painting contractors in these larger cities, it's not just engaging with painting contractors, but then visiting their project sites, helping convert some of those sites to Indigo from other competitive brands.
So to get all these people recruited to get them properly trained and to start actioning the work on the ground probably took the better half, the better part of the first half of last year. It is really from October onwards that we started seeing some measurable increase in the growth in the larger cities. It has gathered pace in the Q4.
It seems to be gathering much more pace as far as Q1 is concerned, which is why we are saying that we are pleasantly surprised at the top line growth that is being recorded in April and so far in May, which is not yet complete. I'm sure much of that is due to this initiative of focusing on the large cities that we have.
Hiral Desai: Got it. Sir, the other question was just when you compare sort of our portfolio with the rest of the industry and by industry, I mean next of the market leader, what would be the share of your products for us versus, let's say, the number 2 or the number 3 player?
Hemant Jalan: Well, you can -- it's the decorative paint market is roughly INR50,000 crores or so. And if we do slightly over INR1,000 crores, then the overall pan-India market share would be a little over 2%. And you would expect the industry leader to be having slightly more than 50% or something around that order of magnitude.
Maybe the number two player should be having, let's say, about 17% to 20% or something in that range. So we have a long way to go in catching up with the bigger players. But I think we are well on our way to close the gap between them and forthcoming years.
Hiral Desai: Sir, lastly, I think on the EBITDA margin, obviously, there is some leverage on advertising. There is obviously some leverage, which would be possible on freight now that we have not seen in this year. So how should we think about the freight as a percentage of revenues as we go along?
Hemant Jalan: So we have presented in the analyst presentation, I mean, freight last year, as a percentage of top line was 8.9%, and this year is largely unchanged at 9%. You have to bear in mind that as the

top line grows and the product mix becomes more favourable, you would expect freight expense as a percentage of net revenue to slightly decline.
But then you also have to take into account the huge increase that has happened in the last year in petroleum prices and therefore, the cost of diesel, which has driven up freight expenses to some extent. So therefore, if you

look at the last four years, our freight expense has steadily declined from 10.5% of net revenue in FY '20 to now a level of 9%, we would expect this to keep moderating, although the effect is not likely to be as drastic as the decrease in A&P spend as a percentage of top line, so assuming that oil prices now remain stable, you would expect something like about 0.5% leverage to kick in from freight declining as a percentage of net revenue.
You would expect at least 1.5% to kick in from declining A&P spend as a percentage of top line, definitely not in absolute terms. So those are the two levers, which are definitely going to help improve our margins as we go forward.
Hiral Desai: Fair enough. This is super useful. Wish you guys a very good FY '24?
Moderator: Our next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.
Keyur: Sir, two questions. First question is on the gross margin. So the kind of expansion we have seen in Q4. So going ahead, where should gross margins settle considering so if there is any seasonality in Q4? Or do we expect any incremental gross margin being used for greater volume

growth. So how -- what kind of trajectory do you see for gross margin expansion? That is first question.
Hemant Jalan: I think as far as the whole year is concerned, we'd be happy if we can maintain the gross margins at what we have or maybe with a very marginal improvement -- so for the entire year, if you see our gross margin has been 44.5%, which is significantly higher than anyone else in the paint industry. And by the way, we have been, at least in the last two quarters, been very, very aggressive in scheme discounts to dealers. Despite that, we have managed to get extremely good gross margins in the fourth quarter, 46.82%. As I said, 46.82% in the fourth quarter is not likely to be a number that will sustain in Q1 because the product mix in Q1 is never as favourable as it is in Q4. So maybe there could be a marginal decline in the gross margin percentage in Q1. Basically, it is the month of June that always drags down this gross margin percentage for Q1 because depending upon when the monsoon starts, if the monsoon does hit in the first week of June, then the product mix during the monsoon months does become a little unfavourable as far as gross margin contribution is concerned. But I'm pretty sure that with the continued aggression that we have had in the last two quarters in terms of discounts and trade schemes to garner top line growth, the gross margins would probably continue to lead the industry by a significant margin, but there would be seasonal variations as far as Q1 to Q4 are concerned, and that is very inherent in the business.
Keyur: And second question is on the waterproofing. So our acquisition of the Apple Chemie based on your commentary, it seems that that would primarily focus on B2B business. So the acquisition

purpose is only to get access to B2B business, and we'll continue to work on B2C from this stretch. Basically, if you can just clear how both of this structure would work for the waterproofing?
Hemant Jalan: So two parts to that answer. See, so far, Indigo paints had zero exposure as far as institutional sales or industrial sales was concerned. All our competitors have anywhere from 15% to maybe 45% exposure in industrial paints as a group may not necessarily be in the waterproofing sector somebody is heavily focused on automotive paints, somebody is focused on protective coatings as far as large industries are concerned, and some are focused on a wide variety of other things like oil coatings, powder coatings and so on and so forth. That segment has so far been a zero contributor to our top line.
Now we see huge growth in infrastructure happening Apple Chemie, which has a client base ranging from marquee names like L&T and Shapoorji Pallon

ji and so many other very, very large prestigious infrastructure development companies to expand their base from one or two states to maybe 10 states in India, I think, would give a lot of top line muscle and added growth in the years to come, both to Apple Chemie and also to the consolidated numbers of Indigo paints.
Secondly, when it comes to the decorative portion or let's say, the retail portion of waterproofing chemicals and construction chemicals. Now the retail portfolio of these products have a much lower specification than what is applied in the infrastructural projects when you're supplying these chemicals to build expressways or bridges or irrigation canals or dams, you can well appreciate that the specification and the technology being used to manufacture products for that segment is much superior to what is required when it comes to housing projects or bungalow construction, etcetera.
So therefore, we have taken and benefited a lot from shall I say, consultancy expertise from Apple Chemie to design our retail portfolio to provide best-in-the-class products as far as the retail space is concerned compared to all other competitors who are already operating there and also leverage the technological advantage in giving state-of-the-art products to the retail sector.
So therefore, the rationale for acquisition of Apple Chemie was twofold. One was to increase or to initiate our footprint into the industrial segment of the B2B segment. And the second was to learn from them and tailor-make our products in the waterproofing space, which is fast becoming a very large contributor to the top line of all paint companies.
Keyur: Understood. Sir, just one follow-up. So whatever our initiatives will be on say decorative or industry paint or, say, decorative paints on the institutional client’s side, would that be rooted to Apple Chemie or that remains in the Indigo Paint only?
Hemant Jalan: Apple Chemie I think will continue to focus only on construction chemicals and waterproofing because that is where their strength and their forte lies. At the moment, we have not launched any products, paint products per se as far as the institutional sector is concerned. If and when we launch it, that would be by Indigo paints or could be by a JV with some other company depending

upon whom we tie up, if at all, we need to tie up with someone, but I don't think that Apple Chemie would be playing a role as far as paint products are concerned on an institutional basis.
Keyur: Understood sir, very clear.
Moderator: Our next question is from the line of Utkarsh Somaiya who's an individual investor. Please go ahead sir.
Utkarsh Somaiya: Can you please tell me what is your capacity utilization for FY '23 and for Q4?
Hemant Jalan: Measuring capacity utilization in the paint industry on an overall basis for a fiscal or for a quarter, Utkarsh is not very meaningful. For any paint company, that number is likely to be somewhere in the range of about 60%. It also depends upon what product mix you choose to make. The same equipment, depending upon what product you wish to churn out from that equipment, it can give you an output of, let's say, 30,000 litres a day or 10,000 litres a day with that same equipment depending upon the product.
So capacity utilization or even the notion of capacity is a slightly fuzzy number when it comes to decorative paints. What is more important in decorative paints is not the overall capacity utilization, but what is the capacity utilization during the peak months.
Paint products, as you are well aware, undergo a seasonality and typically, they witnessed two sharp peaks during the year. One comes around the time of October, just before Diwali, when the northern states of India witnessed a big spurt in painting activity, which we call the festive season, which is confined to North India. But that gives an overall pe

ak to the demand.
The second is the peak that comes usually around March. March and April are two heavy painting months for climate reasons. The weather is very conducive. It's neither too hot, not too cold. It is just before the heavy marriage season, which comes in, in May. So that is the other time when the paint industry typically experiences a peak.
So your capacity has to be able to take care of the peak demand in October and March. Now there, what we found is that the capacity utilization during the March that has just gone by was pretty high. So it's not a number for the entire quarter, but what happens in that specific month when you need to service the demand. Paint products are very bulky.
You don't have the flexibility of making a lot of paint products in advance and storing them for two months, three months because the storage space that they will require would be humungous.
And so all paint companies fluctuate their production to meet the seasonal pattern of demand.
Now whenever you see that during a peak month, you seem to be approaching some kind of, shall I say, bottleneck or you foresee such a bottleneck coming 1.5 years down the road, that is when you initiate some capacity expansion activity. So we manage to get by this peak of March 23 without any loss of sale. The Pudukkotai plant that we had initiated construction of almost two years ago is just coming on stream.

So it will be sufficient to take care of the peaks for the next two to three phases, that is October 23, March 24 and perhaps October of 24 also. Beyond that, we foresee a possible bottleneck coming in by the time we hit March 25, which is why we are now initiating setting up a large -- much larger capacity paint plant at Jodhpur, which is one of our existing facilities.
So that two years down the road, when we face a spurt and demand in March 25, we are not caught napping. So that is how the paint industry typically views capacity. Overall capacity utilization during the year is a much great relevance.
Utkarsh Somaiya: Understood. So this INR250 crores in CWIP in your balance sheet that doesn't include the Jodhpur plant, right yet?
Hemant Jalan: No, we haven't even started anything on the Jodhpur plant. It's almost completely accounted for by this Pudukkotai, Tamil Nadu plant. And the moment we declare it in commercial production that would translate and shift from CWIP to fixed assets.
Utkarsh Somaiya: Right. And historically, have been seeing you've been doing a fixed asset turnover of 3 to 3.5x. So would we expect to continue something like that going forward?
Hemant Jalan: It depends how you calculate that fixed asset turnover, do you include CWIP in the fixed assets? Do you not include it? Do you include idle cash, which is invested in treasury operations as part of assets or not? Different people have different metrics and ways to use it. And I can't say that one method is right or one method is wrong.
But whatever method that you use consistently, you'll find that our fixed asset turnover has been steadily going up from last fiscal to this fiscal and also on a quarter-on-quarter basis, and if you choose the metrics of including CWIP, then the fixed asset turnover will go up in proportion to our sales. As the sales will increase in the next year, you would expect that number to go up

because we don't see any material change in fixed assets during the next 12 months other than
the CWIP shifting to fixed assets.
Utkarsh Somaiya: Right. So including the new CWIP plant and the current fixed assets, would it be fair to assume your peak sales should be around INR1,700 crores to INR1,800 crores?
Hemant Jalan: Thanks for the compliment. We would expect that to happen this year. I don't mean the time actually materializes or not, let us wait and see. But going from a number of almost INR1,100 crores to INR1,800 crores would be a very w

elcome outcome if it were to happen. Just wish for
the good wishes from you and the numbers get accumulate.
Utkarsh Somaiya: No what I meant was, I didn't mean when you could achieve it, but is it possible for our peak sales to touch INR1,700 crores, INR1,800 crores with the current capacity at...
Hemant Jalan: Yes, absolutely. With the capacity that we have set up at Pudukottai, which will, I mean, we have already started making small quantities of paints there. It's still not reached a level of continuity to be called as commercial production. But with this capacity, I think we'll be able to cater to much more than INR2,000 crores of sales far in excess of that in fact.

I think it should be sufficient to take us to a level of maybe about INR2,400 crores, roughly, give or take, a few hundred crores here and there depending upon the product mix variation. It is to go beyond that, to go beyond a level of INR2,500 crores that we need to initiate some capacity expansion at Jodhpur, and that will take 21 months to 24 months to fructify. So we hope it will come on stream sometime before March 25. And hopefully, we'll be touching peak sales or that run rate to cross INR2,500 crores at that point in time.
Utkarsh Somaiya: And what is the capex for the Jodhpur plant for the next 2 years...
Hemant Jalan: It has not yet been fully worked out. So I cannot give. We are just starting work on that. We are collecting all the estimates, etcetera. It would be a little premature to talk about that. The total capex, net of input tax credit for the Pudukottai plant is coming at around INR270 crores or thereabouts. I would imagine that it would be something of that same order of magnitude. But I cannot give a specific number guidance now until all the estimates have been fine-tuned.
Utkarsh Somaiya: And do you plan to raise debt or equity will it be funded through internal accruals? Whatever the number...
Hemant Jalan: Completely through Internal accruals, we see no reason to raise either debt or equity to fund these expansions.
Moderator: Our next question is from the line of Aniruddha Joshi from ICICI Securities Limited. Please go ahead.
Aniruddha Joshi: Sir, 2 questions. One, we have seen there is a very strong growth in the entire portfolio, except the emulsions. So when do we see the emulsions also coming back to the growth rates? And is there any impact, any region-wise or is segment of emulsion getting impacted? Can you throw more light on that? And secondly, you indicated that there are additional schemes as well as discounts as of now. So what is the extent right now? And generally, what is the normal scheme versus the what are the 3 schemes right now? Yes, that's it from my side.
Hemant Jalan: Volume growths in different categories happen at different paces. If you go back to the previous year, you will find that we had a very healthy growth in the emulsion category. And the growth in the putty category was significantly lower. The growth in enamel category was also lower. This year, the reverse has happened. The putty and the enamel category have grown much stronger and also the distemper category, where we have had an unprecedented growth compared to the emulsion growth.
So these things change from year-to-year, there is no specific reason that I can assign as to why in a certain year, certain categories grow much faster than the other categories, other paint companies unfortunately do not disclose such granular data. And therefore, it is very difficult for us to compare with others and see whether we did better than them on certain categories or worse than them in certain categories.
I wish other companies would disclose this data and maybe you people as a community should demand such data from the other paint companies because then it becomes easier to compare as to whether it was an industry-wide phenomena or something spe

cific to our company. In the

absence of that data, we are just left with comparing our overall top line value growth with the

overall top line value growth of others. So that is something that I really can't do much about.
As far as discounts are concerned, previously, Indigo Paints used to be fairly conservative when it came to trade discounts. And I would say our overall quantum of discounts as a percentage of sales was probably much lower than that of the larger players in the industry. Since that was serving us well in the past, and we were getting good top line growth without starting with much higher discounts, we were fine with it.
In the last 6 months, specifically from maybe Q3 onwards of the last fiscal, we decided to get much more aggressive and start matching the quantum of discounts as a percentage of sales that other larger companies were offering. And today, I would say that our quantum on discounts are definitely on par with the rest of the industry. When we embark on increasing discounts, we thought that our gross margin percentages would decline.
And we were prepared for some sacrifice in gross margin to leverage higher top line growth because the higher top line growth would, in any case, have meant a higher EBITDA growth and a higher PAT growth. To our pleasant surprise, our gross margins have held themselves despite very aggressive increase in discounts. And we continue, I mean, yes, the gross margin percentage would have been probably higher than the high levels that they are already at had we not undertaken that activity.
But I think it has helped us run up good top line growth without sacrifice to the bottom line. And I think you will see a much clearer indication of that in the quarters ahead when our top line growth, hopefully starts outstripping the rest of the industry.
Moderator: Our next question is from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Sir, first, I just wanted to kind of understand the construction chemicals bit. There has been suddenly a lot of interest from almost everyone in this space. I just wanted to appreciate what has changed over the last few years, which has made this segment so attractive because this was something that was existing earlier as well, but almost no one in the paint industry was kind of so focused on it. So if you could share your thoughts on what has made this more attractive over the last few years and why you kind of looked at this now, I would appreciate that.
Hemant Jalan: So I think the change that has happened and it has happened gradually over the last 4, 5 years.
Previously, construction chemicals and waterproofing chemicals in the retail space were largely sold through cement outlets. There was a certain overlap as far as paint outlets and hardware stores is concerned, but the proportion of sales of this portfolio through paint dealers was much less than what it is now.
Previously, this product was largely something that was sold through cement dealers. And therefore, it was not as aligned to the paint industry as is now the case. Over time, maybe because of the entry of some of the larger paint companies into this space. gradually, we find that the share of sale of this set of products from the paint outlets has been steadily increasing. And now it can no longer be called as an adjacent space. I mean, take for example, I'll give you another product, wall putty.

Now wall putty has been around for maybe 15 years. So the originators of this wall putty were originally Birla White and JK White. Initially, it was largely sold through different channels. People who sold either cement or people who sold tile adhesives or people who sold various other kinds of hardware products, they were the prime sellers when it came to wall putty. And the market leader in the

earlier days by far, I mean, Birla and JK probably together accounted for more than 90% of the wall putty that was sold.
Now that changed over time. And gradually, wall putty became one of the prime products to be sold by a paint outlet. And as that happened and as the entry of paint producers into this segment accelerated, the combined share of both Birla and JK in the putty segment has dropped considerably, considerably. I mean, today, I think that all the paint producers put together account for at least as much sale of wall putty as the 2 regional originators of wall putty are concerned, if not more than them.
I don't have exact granular numbers, so I cannot give exactly. But roughly all the paint producers put together account for almost half of the putty sale inside the country. I see the same trend happening gradually as far as the construction chemical and waterproofing space is concerned. So more and more of that sale is getting transferred into the paint outlets. People are finding innovative ways of combining some of these waterproofing products with some paint products and then applying them.
And these are learnings that we get when we interact with the paint dealers that some of the products are developing, shall I say, unintended users where some of these construction chemicals, some of these waterproofing products are getting mixed with putty or getting mixed with primer and other products before application. This is just hastening the becoming of all of

these as mainline paint products because they no longer can be called ancillary products. So I hope that answers your question.
Avi Mehta: Fair enough, sir. I think I understood. Basically, now the channel has become easier to kind of set to and the applicator also has kind of started adopting it...
Hemant Jalan: Exactly. Previously, you brought in a very good point that I had missed out, previously to do waterproofing, there were a separate set of applicators. The painter never got involved in it. So you appointed a separate applicator to apply these waterproofing products and the painter was entirely different. Now over time, the painter has learned how to do it.
And typically now when a householder wants his home repainted, it first says that do waterproofing combined with painting activity. So the painter community has become expert at applying these waterproofing products and they take these projects in tandem that they will first do the waterproofing and then continue and apply your paint products and sometimes mix up the 2 products themselves also.
Avi Mehta: Got it, sir. Got it. No perfectly clear. So this is very helpful. So the second bit, I just wanted to kind of clarify, you pointed towards in the earlier question that capacity utilization is a fuzzy number. It can be 30k-10k litres depending on the product. Now this difference is because of

what, whether it's a premium product or an economy product, is that what kind of defines that? Or what is this fuzziness related to? Or was this just a timing bit that you were talking about?
Hemant Jalan: No, no. See, for example, when you are making primers, now in the same equipment that you make primers, you make emulsions also in the same equipment. But when you make a primer, which is a product which is not subsequently going to be printed at the point of use, your tolerance level at the production shop floor for certain parameters can be much wider.
When you are making an emulsion base, which is going to be tinted ultimately, the tolerance level on certain technical things like contrast ratio, etcetera, those tolerance levels have to be much, much finer as compared to a primer because should there be a variation of even 1%, then at the point of tinting when the stainers are added by a tinting machine, the uniformity in the end colour would not exist.
And therefore, to finalize a batch, if you're

making a 10,000-liter batch of an emulsion base
versus making a 10,000-liter batch of a primer in the same equipment, the time that it takes to finalize the batch and start packing can be off by a factor of 2 and sometimes by a factor of 3, and therefore, what I say is that the capacity, if you just list out your equipments and say how much of throughput can I get out of it, the relevant question is, what is the product mix that you want to take out of that.
Depending upon that, your effective capacity and the effective throughput can go up and down reasonably significantly. Now of course, all companies have a certain product mix. And although there can be variations in their product mix, the product mix does not vary to completely switching over to primers or to completely switching over to emulsions.
And therefore, you give a broad guidance on what your effective capacity is given a certain product mix. But seasonally, and the product mix just changed for every company with 1 quarter to another depending upon the weather conditions, therefore, that capacity number does fluctuate a little bit.
Avi Mehta: Got it, sir. And also if I forget, even if I'm not looking from a quarterly perspective to more years perspective as well, the same capacity might be favourable for a large primer or a lower economy kind of thing. But as it moves up the curve and you have essentially made your brand much stronger, you need to set up more capacities for that same volume because now you need your capacity will be. Is that the correct way to look at this? I'm not...so essentially, the more premium you earn, the more...
Hemant Jalan: In my sense, you're saying you're right that as you move up the ladder, the share of emulsions in your overall portfolio does tend to increase. When you are a smaller company, normally, the share of distempers and primers are significantly a larger percentage of your portfolio.
Emulsions are the products which are the most branded and therefore, as you move up the scale and as you start commanding greater brand equity, you would expect emulsions to gradually start occupying a higher percentage of your product portfolio.

And therefore, even if the total throughput is the same, you may need some more capex by way of more equipment addition because emulsions are going to be more time consuming compared

to making primers or distempers.
Avi Mehta: Got it, sir. Got it. Sir, just I'm sorry for taking a lot of time. Just 2 bookkeeping ones. One, I just wanted to clarify the adv spend bit. Now we have seen a decline on an absolute basis in this year. and I just wanted to get your sense how you would kind of look at it from FY '20 to whatever I spent on ad spends, that number I will grow in the next year. Is that the way you are looking at it internally and that still might be lower as a percentage of sales?
Hemant Jalan: So adv spends we look at an absolute amount, which has largely been unchanged from FY '22 to FY '23, we think that the level of advertising that we are doing is quite adequate for the size of company that we are at, perhaps a little overweight. Initial years when we started advertising, we had to punch much above our weight on advertising because we were a newer brand and to compete against brands which were well established for a 50-, 60-, 75-year period, we had to shout much louder than them, and we have been doing that. Thanks to our continued advertising and aggressive adv spends over the last 10 years in continuation, and we have been steadily increasing our absolute spends on advertising over these 10 years.
I think we have reached sufficient brand recall. Obviously, the brand recall will probably not reach the level of the market leader, and it won't be that even for the number two and the number three player, but something adequate and commensurate with our size. And therefore, the further

increase in ad spend on an absolute amount, we'd like to retain this level, some inflationary effect happens from year-to-year, most TV channels do increase their pricing on a year-to-year basis. marginal adjustments you make, depending upon which states become of slightly higher priority and which of slightly lower priority.
So a modest 5% to 10% increase in total A&P spends do happen. And since your top line grows significantly faster than that, therefore, the A&P spend as a percentage of top line keeps declining for a company like us.
Avi Mehta: Got it, sir. And sir, lastly, on the receivables bit, I wanted to get your sense on how should I look at this line because in 2020, we were at almost about 60 days of sales. We are currently at around 65, 70 days of sales. So I would love to hear your thoughts on how should we look at this number on an ongoing basis...
Hemant Jalan: Which slide are you looking at?
Avi Mehta: Sir, I was just looking at your receivables number and taking it as a percentage of sales or...
Hemant Jalan: Okay. If you look at that, you have to understand that there are a lot of quarterly fluctuations that happen. Now if you look at Q4 of this year, the number of days outstanding is looking at 32.37.
Avi Mehta: It is INR200 crores of receivables on almost about INR1,000 crores roughly...

Hemant Jalan: I'll tell you slight aberration that happens in the traditional method of accounting for that, see the sales pattern is not uniform, now the way you're calculating it, you look at the turnover, you divide by 12 to get a monthly figure. And then you look at the receivables at the end of the year and divide it by the monthly sales and arrive at some percentage of what your number of days of outstanding are, 2 or 3 errors that creep in, in that analysis. One is that the receivables include the GST component.
The sales figures do not include the GST component. So you are up by 18% straight away, but that is, of course, across the board. The other is that if your sales are very heavy in the months of February and March, the way we calculate days of outstanding is that we look at the sales that have happened in the last 45 days of that quarter because that is what is going to be outstanding at the end of that quarter rather than coming up with an average for the whole year.
So if you look at that way, for that, of course, you will need slightly granular data as to what the outstanding is, what the sales have been in the last 45 days or maybe what they have been in February and March and use that as a basis for calculating the outstanding, then we don't find any variation. And we in fact, we find a slight drop in our number of days outstanding for each of the quarters compared to the corresponding quarters of last year, although the variation is not more than 2 to 3 days.
Avi Mehta: Sir, I was not looking from a quarterly basis, sir, I was looking more from an annual basis. So maybe let me rephrase the question. Instead of focusing on the number whatever that number was in, say, 2020, before COVID versus what it is actually COVID had kind of happened. But yes, I mean, at that 2020 number, if it was x, now it might have gone up a little, but how do you look at it from a structural...
Hemant Jalan: 2020 would be a big aberration. Please remember that, now on the 20th of March, there was a complete lockdown and curfew inside the country. So sales that happened during that time, and we have March, as you know, is our heaviest selling month. And therefore, the sales that we had in March of 2020 was abnormally low. We would have had a huge amount of sales coming in that 10-day period, which went under a lockdown and the sales became zero.

And therefore, March 2020 would not be a good yardstick to determine as to what our outstanding figure at the end of the year is concerned, I would urge you to go back

to March '19
to get a more representative figure, which was not affected by COVID. And again, FY '23 has not been affected by COVID. Unfortunately, I don't have the numbers of March '19 right in front of me, so I cannot give a quantitative reply.
But if you were to look at March '19 numbers as to what our outstanding were at that time, and I can ask Srihari to compute those numbers and send it across to you, Avi. That would be much more representative. March '20 would be a complete aberration because so much of sales did not happen, which should have happened in the second half of March in 2020.
Moderator: Sorry to interrupt Mr. Avi Mehta, may we request that you return to the question queue for follow-up questions. There are several participants waiting for their turn. Our next question is from the line of Marsal from Individual Investor. Please go ahead.

Marsal: Yes. You recently acquired this Apple Chemie for this waterproofing and construction chemicals. So is this company like equity factor accretive? Or like how do you think about this business?
Hemant Jalan: Can you repeat your question? I couldn't quite understand. What did you want to know about the company?
Marsal: Apple Chemie, we have acquired 51% stake. So this company is engaged in the construction chemical and the waterproofing?
Hemant Jalan: Yes.
Marsal: Right? So this company is in profit or in loss currently?
Hemant Jalan: No. It's very much a profit-making company, it has an EBITDA percentage of about 18% to 19%, and it has a healthy PAT. It's not at all a loss-making company. And it has been a profit-making company and a taxpaying company for many, many years.
Marsal: Very good. From my experience, I have seen that with waterproofing business needs a lot of just very solid attention to detail kind of thing because like I think that in this sector or in this industry, some sort of guarantee is given to the buyer or to the end user. So some...
Hemant Jalan: Some kind of what is given... sorry, your line is a little muffled.
Moderator: Sorry to interrupt. Mr. Marsal, may we request that you use your handset for optimal module quality.
Marsal: Hello, is it better now?
Hemant Jalan: Yes. Better. Please, can you repeat what did you say about waterproofing products?
Marsal: In waterproofing generally, for example, the seller provides a guarantee to the end user that okay this waterproofing will give you, I'm giving guarantee for 10 years, okay, there will not be any leakage of the water from your roof or whatever. And suppose if that waterproofing is not done properly, then we can get some claim. So are we providing only waterproofing material? Or are we executing the waterproofing also?
Hemant Jalan: No, we are not executing that. As I said, this company supplies to large infrastructural development conglomerates like L&T or Shapoorji Pallonji etcetera, who, in turn, are providing the guarantee to whichever project they undertake, suppose they're doing for Pune Metro or Mumbai Metro or to some irrigation project.
Our products of Apple Chemie have also been used on the new Samruddhi Expressway that was constructed from Nagpur to Bombay, and they are being used in both the Bombay Metro and the Pune Metro projects and many other such infra projects in Maharashtra and Gujarat. So those guarantees are given by the actual executor or the applicator of that project, which, in this case, could be L&T, it could be Shapoorji Pallonji or could be a host of other companies that do that.

Apple Chemie has to provide this product, they sell to the L&Ts of the world. and L&Ts would be testing the products at the time of acceptance and there is no long-time warranty that Apple Chemie has to provide to these people as far as the ultimate application and the end user is concerned. That b

ecomes the responsibility of the infrastructure developer.
Marsal: Very nice, sir. And sir, second thing that like you say, your this March quarter has been really phenomenal, very good. So is this stand a one-off because of the March ending? Or like are you going to sustain this kind of performance in this current year also?

Hemant Jalan: Are you talking about top line or bottom line?
Marsal: Top line.
Hemant Jalan: I mean we are not very happy with our top line numbers for the Q4 because it has been largely along industry trends and I think that a company with a base slightly smaller than the top 3 players in the paint industry, we ought to be delivering top line growth much higher in terms of percentage compared to the industry leaders. And to that extent, I would say that we are disappointed that we could not do it in Q4.
We are fairly confident with the trends so far in the last 50 days of this year, that we will be able to demonstrate that as far as Q1 is concerned, Profitability-wise, in terms of profitability growth, you will find that we have generally outstripped the other paint companies on a Y-on-Y basis or even if you look at any particular quarter, our growth on a Y-on-Y basis and all the profitability metrics have been significantly higher than almost the entire industry.
And that trend we expect to continue. But when it comes to specific things like EBITDA margins, they have a certain seasonality associated with it, and therefore, to assume that Q1 EBITDA percentage would be the same as what we achieved in Q4, it would probably not happen, but it would be much, much better than what it was in Q1 of last year because there is a seasonality associated with paints. And the EBITDA margins will go up and down with the quarters depending upon the seasonality product mix.
Marsal: Very nice, sir. Sir, I have a very constructive feedback for you. I mean like being like investor of Indigo, we would like to use Indigo paint only in our home. So I was very particular to find some dealer in Kolkata. When I browsed your website, I can see in Kolkata, it is showing 47 dealers. But when you scroll down the dealer name and address, you can see only 15. So I think there is a problem...
Hemant Jalan: Yes, that... You please get in touch with our Mr. Srihari or he will get in touch with you, find out your exact location in Kolkata and refer you to a dealer of ours in Kolkata, who is located close to your house and maybe even arrange for salesman or a BDO person to visit you and help you out, thank you for considering Indigo Paints for painting your house. It will be our delight if you do that.
Marsal: Because sir, like we have got this apartment in new town like which is happening locality here. So I was really particular to use only Indigo. So how can I get the contact detail of Mr. Srihari?

Hemant Jalan: He will get in touch with you. He will get your contact coordinates from from ISEC, that is ICICI Securities that is hosting this call, and he will get back to you by the end of the day today.
And when you say new town, I guess you're talking about Raja hat area of Kolkata.
Marsal: Yes, yes,
Hemant Jalan: We will refer you to appropriate dealer don't worry. I'm familiar with Kolkata...
Marsal: Yes. Very good, sir. And sir, in the meantime, kindly ask your IT team also to fix the issue in the website also so that like people can browse all the details...
Hemant Jalan: Does get updated every 3 months. So we'll make sure and thanks for this feedback. We will make sure that if the updation has not happened recently, the list of dealers in Kolkata City do get updated very soon.
Moderator: We move to our next question. Our next question is from the line of Sheela Rathi from Morgan Stanley. Please go ahead.
Sheela Rathi: Sir, my first question was, and I would like to thank you for the detailed response on waterproofing ear

lier. The question here is what would be the addressable stand for the paint companies in the waterproofing segment?
Hemant Jalan: Sorry, I didn't get your question. What would be what stand?
Sheela Rathi: Sir, the addressable TAM, total addressable market for the paint companies in the waterproofing segment.
Hemant Jalan: I don't have exact figures for it, but I'm told that the addressable market at the retail space for waterproofing products is something of the order of about maybe INR8,000 crores or thereabouts, I may be off by 20%, 25%, but maybe about INR8,000 crores is the addressable market at the retail level, I'm not counting the B2B segment. The total market for waterproofing and construction chemicals as a report that I had read recently is closer to INR15,000 crores per annum.
The retail segment may be roughly half of that. So that's a pretty large portfolio I mean with the paint industry, the decorative paint industry without the waterproofing segment being somewhere in the range of INR50,000 crores to INR55,000 crores and additional INR8,000 crores is potentially 13%, 14% of its size, which is why some of the industry majors in the paint are targeting 9% to 10% of the top line to come from this segment.
Sheela Rathi: Absolutely. And that brings me to the second question actually, how do you think of the recent

foray by one of the waterproofing companies into the paint segment? Does that change anything for us, especially with respect to the advertising cost and obviously, the competitive intensity?
Hemant Jalan: Not really. From what we heard from the management and what we are also noting on the ground, there is at the moment, kind of like testing the waters in 3 states of India. They have announced Telangana, Andhra Pradesh and Odisha as being their focus for the next 12 months, whether that changes or not is something that time will tell.

On the ground, we have not seen any significant activity as yet in any of those 3 states to cause a concern for us. Paint industry is so large and grows so well that entry of any new entrant is never a point of concern to anyone in the paint sector. The market is large enough to absorb these new entrants, some old entrants also depart from time to time.
So what sales any particular company garners and you're obviously referring to Pidilite and there was an earlier question similarly talking about Pidilite, talking about JK and talking about Grasim, etcetera, how much sales they end up achieving in their first year or second year or third year is much less of a concern to any of the existing players. We wish them well.
The concern is does their entry in any way shake up the market and change the dynamics of the paint sector in terms of profitability? And the answer is a big no. I don't think any of these new entrants would be able to get such a large share of the market to be able to disturb the dynamics of the market.
So I don't think that the profitability or the growth of any of the existing players is going to be witness any significant impact. And so far, as far as the company that you're talking about, we have not seen any aggressive play on the ground. So we have to just wait and watch and be watchful of the environment, but we don't consider that as a point of concern at all.
Moderator: That was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.
Hemant Jalan: Thank you. It's been a good quarter in terms of bottom line. We would have obviously liked the top line to be much better. And I know that the investor community and the analyst community expects better top line growth from us, which is quite justified. We are hopeful that in the coming quarters, we would not disappoint you and come up with not just good bottom line numbers that we have been coming up with but also mu

ch more aggressive top line numbers. And we look forward to that and look forward to your combined best wishes to help us achieve that. Thank you.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

Registered Office : INDIGO Paints Limited, Indigo Tower, Street -5, Pallod Farm -2, Baner Road, Pune - 411045
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August 12, 2023
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai - 400001
Scrip Code : 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No . C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol : INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for quarter ended June 30, 2023
Pursuant to the Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst and investors on August 08, 2023 at 11 .00 hrs (IST) to discuss the unaudited Financial Results of the Company for the quarter ended June 30, 2023.
The above information will also be made available on the website of the company www.indigopaints .com/investors
You are requested to take note of the same .
Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: as above
DAYEETA
SHRINIVAS GOKHALEDigitally signed by
DAYEETA SHRINIVAS GOKHALE Date: 2023.08.12 14:23:07 +05'30'

“Indigo Paints Limited
Q1 FY202 4 Earning s Conference Call”

August 08, 202 3

ANALYST : MR. MANOJ MENON – HEAD OF RESEARCH - ICICI SECURITIES

MANAGEMENT : MR. HEMANT JALAN - CHAIRMAN & MANAGING DIRECTOR - INDIGO PAINTS LIMITED
MR. CHETAN HUMANE — CHIEF FINANCIAL OFFICER -

INDIGO PAINTS LIMITED
MR. SURESH BABU - CHIEF OPERATING OFFICER - INDIGO
PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR - INVESTOR RELATIONS -
INDIGO PAINTS LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to Indigo Paints Q1 FY202 4 Earnings Conference Call hosted by ICICI Securities . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistan ce duri ng the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Manoj Menon from ICICI Securities . Thank you and over to you Sir!

Manoj Menon : Hi everyone, as usual it is a wonderful good morning, good afternoon , good evening or even good night depending on th ose part of the world you are joining th is call from. Representing I-SEC it is an absolute pleasure to hos t the m anagement of Indigo Paints once again for the Results Conference Call . Now over to Srihari from the management for introducing the team members and further proceeding s. Thank you.

Srihari Santhakumar : Good morning everyone. Thank s for joining the ca ll toda y. Yesterday we have uploaded both the standalone financials as well as consolidated financial s for the quarter ending June 30, 2023, and to discuss the same we have from the management team today Mr. Hemant Jalan, Chairman & Managing Director ; Mr. T.S. Suresh Babu, Chief Operating Officer ; Mr. Chetan Humane - Chief Financial Officer and myself Srihari . As usual have a quick brief on the performance of the company followed by Q&A. Over to Mr Jalan !

Hemant Jalan : Thanks Srihari . Thank you all for joining in on th e earnings call of Indigo Paints for Q1 FY 2024. As Srihari mentioned our financials for the quarter ending June 30, 2023, have been upl

oaded on the Stock Exchange portals along with our analyst presentation and we hope that you have had a chance to go throu gh that. After the acquisition of a 51% stake in Apple Chemie India Private Limited we have published both the standalone and the consolidated financials for the quarter. It is quite satisfying to see our strategy 2.0 as you analyst s tend to call it, which was announced about a year ago at the same analyst call forum .This strategy is playing out successfully and it is heartening to see Indigo Paints getting back to the trend of growing at 2 x to 3x the industry growth rate. This phenomenon was p art of ou r success story for 10 years prior to our IPO. Unfortunately, our growth rate taper ed down to a level closer to the overall industry growth rate during FY 2022. Naturally, we as a company were very concerned and we announced a modified strategy 2.0 f or the forthcoming years. It sometimes takes some time f or a modified strategy to fructify into results a nd I am happy to see that the modified approach is finally bearing very tangible results.

I shall first elaborate on the standalone results of the com pany for the quarter. Compared to Q1 of last year our sales in Q1 of this year have regi stered a value growth of 23.67%, which is far ahead of the industry growth. Our gross margins at 47.58% are significantly higher than the gross

 margin of 45.19% on a Y-o-Y basis . I may add that our gross margin percentage has consistently been t he highest in the entire paint industry by a very wide margin. Our EBITDA has increased significantly by 35.3% from a figure of 35.28 Crores in Q1 of last fiscal to Rs.47.73 Crore s in Q1 of this year. Our EBITDA margin of 17.23% clocked in this quarter has also expanded significantly from 15.75% registered in the comparable period of last year. Correspondingly, the PAT numbers have grown by 57.15% on a Y-o-Y basis from Rs.19.9 Crore s last ye ar to Rs.31.29 Crores in the corresponding quarter this year and our PAT margins have also expanded to a healthy 11.15% compar ed to 8.87% in Q1 of last year.

I will now come to the consolidated results and on a consolidated basis our revenues grew by 28.76% t o a figure of Rs.288.42 Crores . While the EBITDA grew by 39.21% and the PAT grew by 58.29% the EBITDA margin on a consolidated basis was 17.03% and the PAT margin on a consolidated basis was at 10.78%. Both the management teams at Indigo Paint s and Apple Chemie are working together to bring out the synergies in sales, in purchase, in finance and in distribution activities. Apple Chemie has started expanding its operations outside the state of Maharashtra and has ramped up the sales and marketin g team in various parts of India. We expect that Apple Chemie will shortly start supplies of its products in various parts of India outside Maharashtra and will soon become a truly pan Indian company in the days to c ome.

Coming back to Indigo Paints in line with o ur brand building strategy our company continued to spend aggressively on advertising and promotion. During the last quarter we have launched a new advertisement campaign to promot e our economy range of products. A lthough the absolute spends on ad vertising and promotion remained largely unchanged from Q1 of last year our A&P spends as a percentage of net revenue has dropped from 9.4% in Q1 of last year to 7.6% in Q1 of this year. As guided before , we expect this declining trend to continue in the fu ture as w e expect that the advertising spends will grow at a much slower pace than the increase in topline sales. We have also given our volume and value growth numbers for each of the four major categories of paint products in the analyst presentation being consis tent with our past pattern of transparent disclosures. We can observe that the value growth and volume growth s are largely in sync .

During the last quarter, the company witnessed very high volume and value growth in all categories of paint product s. The gr owth was particularly high in the p utty category as well as in the cate gory of primers and distempers, g rowth in the categories of enamels and also in the emulsion category were also quite impressive. We continue to focus on network expansion and improving the throughput per active dealer as also increasing our tinting machine population. Our count of active dealers and tinting machine population stood at almost 16 ,700 for active dealers and 8,657 for our tinting machines on June 30, 2023. We have al so added two new depots in North India during the last quarter to increase our distribution efficiency. We intend to open a few more depots in the forthcoming quarters to further strengthen our distribution network.
 On new product front , a comprehensive ra nge of wa terproofing products at the retail level have been launched across the country and this range is picking up very good sales traction. On capex , trial production has been carried out successfully at our new water -based plant in Tamil Nadu and we are very sho rtly expecting our final few statutory approvals for commencement of commercial production. We hope this will happen in the next couple of weeks. Work has also started at the proposed new water -based plant to be commissioned in J odhpur of 90,000 K L per annum capacity which we expect will be up and running by the end of FY 2025. To keep p ace with the demand for solvent -based products , a solvent -based paint plant will also be set up at Jodhpur. This plant will be having a capacity to produce 12,000 KL per annum and is expected to be operational sometime in the next fiscal. We have worked very hard during the past year to restore our topline growth to a level of 2 x the industry growth rate. Towards this end , we have initiated a large number of measures du ring the last fiscal including our focus on Tier -1 and Tier-2 towns as opposed to our earlier focus on smaller Tier-3 and Tier -4 towns.
Many other strategic initiatives were also undertaken in a phased manner last year some of which cannot be elaborated upon in p ublic for confidentiality reasons. These initiatives do take some time to show results although green shoots were clearly visible in the second half of the last fiscal the full manifestation has emerged in the last quarter. I might say that we hav e gon e significantly beyond our stated goal of achieving 2 x the industry growth for we have ended up at more than 3 x the industry growth on a standalone basis and about 4 x the industry growth on a consolidated basis. Now , we fully understand that the tru e test of su ccess will be proven only if we manage to maintain the superior growth for t he several successive quarters.
We a t Indigo shall leave no stone unturned to demonstrate precisely that. Q2 has started off on a very positive note for us and our high g rowth mom entum of Q1 has certainly carried forward in the month of July. I sincerely hope that Indigo Paints will be successful in exhibiting continued outperformance of industry growth rate in the coming successive quarters to insti ll confidence in our sh areholder s of our ability. As always , Indigo 's focus is not just on growth but on profitable growth. In terms of bottomline growth and various profitability parameters , I might add that our track record has been quite impeccable. We shall strive our best to ensure th at this track record remains intact in the future. That is all th at I have to say in terms of introductory comments. I welcome any questions that people may have who are listing in. Over to you Manoj !
Moderator : Thank you very much. Ladies and gen tlemen we will now begin the question -and-answer session. Ladies and gentlemen we will wait for a moment while the quest

ion queue assemble s.
The first question is from the line of Abneesh Roy from Nuvama Institutional Equities . Please go ahead.
Abneesh Roy : Thanks and congrats on very good set of numbers. My first question is 3 x the growth of the industry earlier you had pointed out that 40% increase in this on -ground sales team you are doing
 and also new loyalty programme for paint contractors so has this already g iven the full benefit and which one is working better and any learning s, any tweaking you would need in either of these?
Hemant Jalan : Thanks for the congratulations on the numbers. Now you know when you initiate three or four

different initiative s, it is very hard to separate the results of them and say which initiative has contributed what. Some of these have a multiplicative effect rather than a simply additive effect, so it is very difficult for me to quantify as to which of these initiatives ha ve yielde d more. I think they have to be taken all in tandem and as far as tweaking ahead is concerned certainly that is an ongoing process and you keep tweaking these things. So you know when we have added to the sales force it is certainly not the end of it, we have planned on a more phased wise increase in sales force in every quarter for the next few quarters , also in our BTL team which engages with the contractors further engagements with the contractors and the painters, both in physical form and in t he digita l format and all of the things t hat we have been talking about, s o I think that is an ongoing process. We hope that what we have demonstrated in the first quarter will not only be sustained, but we hope it will be accelerated upon in the quarters to come a nd that is what we as a company will strive for.

Abneesh Roy : One followup here. The same team is now selling waterproofing also or there is a separate team ?

Hemant Jalan : No, it is the same team at the moment because by and large there is a very large ove rlap between paint dealers and selling of this retail waterproofing and construction chemicals. So by now I think these waterproofing products at the retail level are almost an integral part of pain t offerings for most companies, s o at the moment, yes, it is the same team that is selling both.

Abneesh Roy : Sure and my second question is on slide #15. Here I see almost 8% difference between the value and volume growth of primer, distemper and others , is this a price cut , is this a mix which is s different an d why is it in terms of pricing differen ce versus emotions and enamels if you could explain that ?

Hemant Jalan : Thank you for asking this question. I was hoping somebody would notice it and you see that in all other categories the volume growth an d value g rowth s are pretty much in sync but when you come to the primer and distemper category the volume growth as you rightly pointed out is 9 % points ahead of the value growth. Now this is exactly what we are saying that this is the fallacy that stems i n when y ou start combining products together. Now , in this particular case where we are combining primers and distempers, both of which are relatively low value added, but distemper being the lower value compared to primers, our growth in distemper volumes has been disproportionately high compared to our volume growth in primers. Therefore, the overall volume growth when you put the two together becomes higher than the value growth. Now you can see for yourself, even though we have split up the paint categor y into f our different

categories , the fact that we have combined primers and distempers and others in one category shows the contradictions that come between volume growth and value growth because of disparate things being put together. Now imagine if we st art foll owing what our other competit

ors do of combining all the products into one then you can understand what we consistently say that volume growth numbers really mean nothing unless you give more granular details of what volume growth and value growth s are in different segments , so I hope that answers your question.

Abneesh Roy : Yes, that was quite helpful. My last question is on the advertising spends and growth in the Tier-1 and Tier-2 market. In FY2023 your Tier-1, Tier 2 market was around 32% has it now bec ome 35% and second is when you are expanding so much in these tough markets where your legacy presence has been lower versus the Tier-3, Tier-4 how come you are able to save on advertising spend because the saving on advertising spend seems slightl y ahead of expectations , I understand the other players are more at 4 to 5% of the revenue you are still maybe 7 .5 to 8%, but it used to be in double digits so it seems the savings are add to our expectation ?

Hemant Jalan : See, the growth even in this quar ter in Tier-1 and Tier-2 towns has been about 1 .5x the growth in the smaller towns. So as far as the whole year of last year is concerned you are right, the Tier-1 and Tier-2 towns together had started contributing 32% which was a jump from 25% what they contribut ed in the year before that. I have not analy zed the contribution that has come in from Tier-1, Tier-2 towns as far as the quarter is concerned. It is more meaningful to analy ze it when the full year is over. We hope that by the end of the year it w ill star t contributing at least about 38% or so of our total revenue, maybe 40% if we are lucky. Now you talk about advertising spend. So see, advertising spends has nothing to do with Tier-1 towns or Tier-3 towns. Your TV ads percolate through all genres of towns equally. Now , the advertisin g spends have not tapered down t he advertising spends are pretty stable and in the course of the year you will find that there will be a slight increase in the advertising spends, but the growth in the advertising spends will be lower than the topline growth and therefore as a percentage of topline they will decline and that is what we have been saying for the last two-and-a-half years and that is why the EBITDA margin will keep improving and I think that the level of adv ertising we are doing now is quite sufficient. We have done brand track studies in many states and we find that the recall of our brand name is perhaps a little disproportionately high compared to our brand share or market share and therefore disproportion ately ju st going on increasing on advertising we do not think is going to give us that much of incremental value. It is more important now to spend on other things our engagements with the influencers in various formats, both in terms of manpower costs as well as the incentivization that we do for the influencers and the efforts that we put on the ground to engage with them, it is those that are going to drive the growth and the proof of the pudding lies in the eating and the quarterly results clearly demon strate t hat the path that we have chalked out on is bearing the desired results.

 Abneesh Roy : Thanks. That is all from me.

Moderator : Thank you. The n ext question is from the line of Namit Arora from Indgrowth Capital . Please go ahead.

Namit Arora : Thank you for the opportunity and H emant Ji thank you for your very detailed thoughts in the opening remarks as well as Q&A . I have two questions. One is that in Apple Chemie are you still looking at any gaps in the capabilit y or product or geographica l presence to sort of augment those would you continue to look at acquisitions that is my question number one and question number two was I know you talked of a very positive first quarter and continued momentum in second quarter, but are there any things either macr o or mic ro that you worry

about? Thank you.

Hemant Jalan : Apple Chemie itself I think has the capabilities of becoming a pan Indian player. So , I do not think that there are, we are looking actively to acquire a similar company in another geography. I think it is b est that we organically grow Apple Chemie to cover various geographies in India. As far as product segments are concerned, yes, there are other product segments which are allied to that line in construction chemicals which Apple Chemie may not be e ngaged i n today. I wo uld not say that we are going out of the way to engage with any such company, but we are always welcome to look at such opportunities as and when they come and if such an opportunity does come up, which add synergy to the business of Apple Che mie we would be more than happy to look at it as and when it comes if we think it is a good fit. Your second question about macro and microenvironment that may worry us or be of concern at this point in time, not really so. The paint industry has b een fai rly resilient with changes in macro environment over the last 10 , 15 years if you see both inflation graph in India, the overall economic growth, GDP growth they have gone through good spells and bad spells, but the paint industry has been fairly re silient towards all of that and also when it comes to a smaller player, a relatively smaller player like us most of our growth comes from gaining market share from others because our base is very small , so minor changes in macro environment I do not think will af fect us in any significant way. In terms of micro parameters, yes, the raw material prices have been benign during the last four quarters I would say , they have shown a continuous declining trend. I think they are pretty steady now for the la st coup le of months. If something were to happen to upset that and if raw material prices suddenly start moving northwards and there is no indication at the moment that that could happen, but if that were to happen then it would affect the entire paint ind ustry a nd the paint industry will again have to tighten its be lts a little bit on trade discounts, etc ., but I do not foresee any major change in the macro micro environment that would cause a sleepless nights at this point in time.

Namit Arora : Thank you very mu ch for your answers to both the questions and all the best to the entire team . Thank you.

 Moderator: Thank you. The next question is from the line of Hiral Desai from Anived PMS . Please go ahead.

Hiral Desai : Hi Hemant Ji congratulations on a super q uarter.

Hemant Jalan : Thank you HiralJi.

Hiral Desai : Just on the Apple Chemie B2B business if you could sort of spell out how large can it become over next three years or so just wanted your thoughts on that ?

Hemant Jalan : See Apple Chemie last year if I remembe r correctly was somewhere around 42 Crores or thereabouts. They have largely been operating in Maharashtra with very pedigreed customer base of some of the largest infrastructural companies in the country like L &T and Shapoorji Pallonji, B. G. Shirk e, and Afcons and so on and so forth, largely being Maharashtra focused. T heir order book at the moment seems to suggest that from within the same geography and the same customer base they could do maybe 40% or more growth in the existing geography with their existing customer base. Now , the same customer base exists in every corner of India and you know how much the infrastructure space is being invested in by the Government of India and so we have encouraged Apple Chemie and they have followed our guidan ce and they have recruited large number of sales and marketing teams in about 8 -9 other states during the last quarter. Now B2B business takes a few months ’ time to fructify into results. We expect that a reasonable order flow from some of the other geogra phies w ill commen

ce in Q2 and will probably gather a lot
more momentum in the second half of this year , so it is a very small company where the sky is the limit in terms of opportunities , they certainly have the capabilities, the technology and the patents to ex ecute it. Now , how fast the numbers will grow over what period of time is something that is very difficult to speculate, but in a couple of years to reach a number of 200 Crores in topline is not unforeseeable, i t is something was a very practical an d possi ble. How soon that will happen is something a little difficult to predict because we have invested in that company just three months ago and let us see the ir strategy playing out for a couple of quarters before we start giving any specific number gu idances , but whatever it is, the growth can only be northwards at a high trajectory and we sincerely hope that that happens.

Hiral Desai : Actually the numbers that I was thinking about so more like 20 0 Crores in three years so I think.

Hemant Jalan : Great men think alike.

Hiral Desai : Nothing else on the business.

Hemant Jalan : Thank you HiralJi.

Moderator : Thank you . The next question is from the line of Anupama Prakash Bhootra from Arihant Capital . Please go ahead.

 Anupama Prakash : Cong ratulations for the great set of numbers. So my question is just a followup question, it was
related to Apple Chemie only, so Apple Chemie has open ed those for institutional segments and you have answered what kind of opportunities just a followup question as in how the marg ins are impacted once we grow substantially in th is segment ?

Hemant Jalan : Anupama ji, the EBITDA margins and all the other profitability parameter margins of Apple Chemie are pretty similar to our set of numbers. So , therefore growth in Apple Chemie is not likely t o be either margin dilutive or margin accretive. So , I think that our EBITDA numbers on a consolidated basis or the gross margin numbers or even the PAT numbers as a percentage are not going to change in any appreciable manner because they do operate in product ranges where they have a technological edge because of which they command some kind of a pricing premium. In many of their products they are competing against very high value imports and really do not have too many competitors within India so to sp eak and therefore we are not worried about any margin dilution that will happen with the expansion of Apple Chemie .

Anupama Prakash : Fine I got it. Thank you.

Moderator : Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities . Pleas e go ahead.

Aniruddha Joshi : The question is most of our peers have indicated about this strategy in projects business, indicating this business is becoming much larger and they are having separate teams for tracking architects as well as other larg e contr actors, influencers , etc., so I understand that the ROC E in this business is relatively lower, but still what will be our strategy on this side of the business over a period of let us say next three odd years that is question number one and secondly we are growing at a phenomenal rate so you want to point out some of the regions or states which are doing relatively better for us as far as the growth is concerned and which are the other regions where we can see more similar kind of growth performance and a lso last question, third question on Jul y I guess we have indicated that Jul y has been a blockbuster month so any particular reason why we are seeing such strong growth whereas the peers are not yet able to such a report strong growth ?

Hemant Jalan : Let Suresh Babu , our COO answer some of these questions that you have asked .

Suresh Babu : Good morning Aniruddha . Regarding that first question of projects team and focus on projects , Aniruddha we ha ve just about started giving little

bit of focus on the pro ject bu siness. We have
recruited a senior person who would be heading that vertical from Pune a nd I think going forward we have identified certain geographies where we will be setting up teams for catering only to the project business , but that is just sta rting I would say , there is a long way to go in that. The second one was regions of higher growth , Aniruddh a, it is quite difficult to tell y ou or reveal

 to you which are the exact regions, but it is more or less on the lines of what we were doing earlier. M ost of our regions other than Kerala are also growing quite high and K erala also has been registering double digit growth .. that is about it.

Hemant Jalan : You are talking about July, so you are saying that July we have witness ed very high growth. So you sai d compa red to competitors and frankly I have no idea what competitors have registered in the month of July. All I can say is that if the trajectory of their stated results in Q1 have continued in July and that is a very big if, I do not know whether they h ave gon e up or gone down, our momentum in Q1 has definitely more than sustained itself in July that is all I can say . Unfortunately , we will have to wait for three months to see how the other competitors are doing in Q2 and only then will we find out as to whether we continue to outperform them by the same factor or not as far as Q2 is concerned , but ye s July has been good and pretty much the same pattern as April, May, June, so four months in a row w hen we a re doing good growth that kind of augurs well, giv es us c onfidence that this is sustainable and not a one -off result.

Aniruddha Joshi : Yes. S ir this is very helpful. Thank you.

Moderator : Thank you. The next question is from the line of Tejash Shah from Spark Capital . Please go ahead.

Tejash Shah : Thanks for the opportunity and con grats on very good set of numbers. A couple of questions from my side. The first one when I see your network expansion and if I just compare d June this year versus the previous June basically 21 versus 22, so we had moved from s ome 14,000 odd dealers to 1 6,700 dealers and now 16,500 dealers in the last year and then this year the addition has been slightly underwhelming , so just wanted to understand that is it like 2 -3 quarters back you h ad highlighted that after a point t he focu s should be to increase throughput per store so are we kind of drifting towards that part of the strategy or we are reading too much into th e slowdown on dealer addition as of now?

Hemant Jalan : A little o f both, increasing dealer count is always th e focus . Even when we talk about Tier-1 and Tier-2 towns it is not that we are short of dealers we have a large number of dealers there. Our tinting machine population was low in these towns and the throughput per dealer was very low as far as the Tier-1 and Tier-2 cities were concerned. So you are right. Just adding dealers for increasing a head count is not what is going to give you disproportionate results , concentrating more on throughput per dealer is likely to give you much more disproportionate resul ts. So yes, between the two increasing throughput per dealer is on a higher focus for us than simply increasing dealer count, although we still focus a lot on increasing the dealer base. Now if you look at the tinting machine count which is one of the prim ary det erminants of throughput per dealer you will find that that has been very healthy. From last June to this year June we have added about 1220 tinting machines so that is averaging a hundred a month and if you look at this

 quarter itself we have added almost 400 tinting machines so that is like 125, 130 a month which is a pretty good number, so adding more tinting machines with the deale

rs that we have is what is going to give the higher throughput per dealer and that will give us more bang for the effo rt in the intermediate term and of course the dealer count will slowly keep inching up as it is happening, maybe at a slightly slower pace now.

Tejash Shah : Got i t and like in FMCG in early days there used to be a thumb rule to expand your distribution by 10% one can expect revenue growth of 3% are you seeing any such t humb rule which can play out in our sector?

Hemant Jalan : No, we have not done it any analysis on that, but I would say that in any particular geography a disproportionate increase in the num ber of dealers becomes somewhat counterproductive because when you increase the competitive intensity between the dealers their profit margin starts going down because they each start undercutting the other to sell their products an d after some time their interest in selling your brand starts waning a little bit. So it is a fine edge, a very tight rope that you had to walk as to how many dealers to increase so that your distribution efficiency improves , your sales go up at the same time you have to keep the interes t of the dealer alive in profitability of your product so that they do not start losing interest in your product. Now I may add that in the last one year we have also stated in the past that we have started focusing on appointing a lot of wholesale rs, so some of these dealer additions that are happening, a large percentage of them are wholesalers. Now a wholesaler in turn starts catering to another fifty small outlets so we only talk about active dealers who are engaged directly with us. We do not report sort of touch points that we have increased upon as some of the other paint companies like to report because we think that is not very quantifiable and very difficult to get exact data on and we would be very hesitant to give out a number that we can not audi t and verify in a very specific manner so many of the dealer additions that are happening or happening with wholesalers. So actually our touch points are increasing far more than what the numbers may show and the tinting machine count is more repre sentativ e of the intensity of sales that the dealer is engaging in.

Tejash Shah : Perfect Sir and the kind of expansion that we are seeing from industry in the recent past in terms of adding dealers and then this is for industry and for us as well do you se e the cr editworthiness of the credit quality curve we are going down that or is it still maintaining the same ?

Hemant Jalan : Absolutely credit is not something that we sacrifice on at all. We are very, very strict on our payment terms and our outstandings in terms of number of days have been pretty consistent and marginally going down by one or two days or something. So , I do not think that we use credit as a tool to grow that is a very dangerous strategy to tread on and certainly Indigo Paints would never b e party to using credit as leverage for growth that is not at all in our DNA.

 Tejash Shah : Very excellent Sir. Last question hypothetically obviously crude has been very volatile o f late, but hypothetically let us say for the rest of the year if raw materi al baske t has to go benign from here as a strategy would you like to pass on the benefit to consumer and how do you see the comp etitive intensity behaving in the hypothetical scenario?

Hemant Jalan : Two questions to that. A whether we would like to pass on by a pr ice cut unfortunately that decision is always taken by the market leader we do not take those decisions. It really makes not much of a difference because what happens is that when raw material prices started going benign for the last few quarters, although the prices were not reduced of paints, but the discounts of the trade schemes that were offered by everyone started getting

ramped up by all players in the industry, s o the revenues that we report as per Ind -AS method of accounting is net of all discounts . So suppose the market leader were to announce some kind of a price cut in the months ahead hypothetically as you said what is likely to happen is that it will be accompanied with a reduction in the quantum of trade discounts that will also be con currentl y happening, s o on a net basis I do not think the topline is going to change very significantly. Now , the other question that you asked about increasing incoming competition from other players I think any new competitor would play a price war in pai nts at i ts own peril and it would be silly on their part if they attempted to do that because paint is not a product which is as elastic in terms of pricing the demand for paints and people do like to buy good quality paint because it is a statement that t hey make for their house and generally we have seen that undercutting prices and offering products at a lower price gives the impression rightly or wrongly to the customer that this is an inferior quality paint and those kinds of efforts have not been succ essful i n the past. Now , taking your argument one step further hypothetically as you kept saying suppose a new competitor w ant to engage in some kind of a price war in certain paint segments what would happen , I think logic would dictate that whoever has th e strong est gross margin is likely to be hurt the least and a paint player with low gross margins and low EBITDA margins is likely to be impacted more. We for many, many quarters or many years have always been the industry leader in gross margins. So I think we ar e likely to be the least impacted should such a situation arise, which to begin with I think is quite unlikely.

Tejash Shah : Very clear Sir. Thank s and the all the best to the team.

Moderator : Thank you. The next question is from the line of Sriram R, an Individual Investor . Please go ahead.

Sriram : Two questions. One is can you give the g eographic split south, north, east and west and second is your product mix breakup how much would be em ulsions and the other categories just breakup of these?

 Hema nt Jalan : I think you are asking for questions which I do have the answers to, but I would hesitate in sharing such granular information at this forum as to how much does each segment contributes . In general broadly I can say North India was the place wher e we ent ered the last and many states in North India like Jammu and Kashmir, Himachal Prad esh, Delhi, even Punjab, and Uttarakhand, we are fairly recent entrants in the last two to three years, some cases four years that we have entered those states, s o ov erall N orth India' s contribution is somewhat less than other parts. The only place where we have been disclosing our contribution to the total topline has been the state of Kerala, which last year if I recall was above 28% so that makes South India a littl e kind o f heavy although we are pretty strong now in both East and West India and gaining market share in all those regions but specifically to give you contribution of each region or each product line to our overall turnover I think would be parting with informat ion which would be somewhat confidential and I would not be very comfortable in sharing that information. We are sharing our growth numbers in all pai nt categories separately, which is far more than what anyone else in the paint industry discloses and I am afraid that as far as we are willing to go.

Sriram : Five years from now , do you still expect Ker ala to contribute one third, what is your sense on ?

Hemant Jalan : I think with the high market share that we have in Ker ala we cannot expect the growth in Keral a to be as much as our ambitious growth plans for other parts of India. The share of Kerala in our overall p

ie has been gradually going down each year and if you see our transcripts of our earlier presentations, etc ., a couple of years ago that num ber was about 32% it kind of goes down by about 1.5% , 2% every year and that is good because it makes us less dependent on the vagaries of one state. Having said that K erala itself has been growing phenomenally well during the last 8 -9 months, almost at pa r with o ur overall company growth rate, so yes we expect Kerala to continue to contribute a fairly significant portion of our revenue, but I would be surprised if it continues to be, some time ago it was 33% today it is 28% logic would suggest that it may come dow n to 25% in a year or two but it will still be heavy.

Sriram : Thank you so much. All the best.
Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you and over to you all!
Hemant Jalan : Well, thank you all for listening in patiently, for all your accolades, for our good results and for the very interesting questions that you have had. We look forward to engaging with you in e very successive quarter and we at Indigo Paints hope to continue our good performance in the quarters to come. So l ove to engage with you on a one -to-one basis as many of you have been doing and of course collectively in this conference call every quarter. Thank y ou all for your patience.
 Moderator : Thank you . On behalf of IC ICI Securities we conclude today' s conference. Thank you all for joining . You may now disconnect your lines.

Call: Nov 2023

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T: +91 20 6681 4300, Email : info@indigopaints .com, Website : www.indigopaints .com, CIN : L24114PN2000PLC014669

November 11, 2023
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai - 400001
Scrip Code : 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No . C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol : INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for quarter half year ended September 30, 2023
Pursuant to the Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst and investors on November 06, 2023 at 11 .00 hrs (IST) to discuss the unaudited Financial Results of the Company for the quarter and hlaf year ended September 30, 2023 .
The above information will also be made available on the website of the company www.indigopaints .com/investors
You are requested to take note of the same .
Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: as above

"Indi go Paints Limited
Q2 FY '24 Conference Call"
November 06, 2023

MANAGEMENT : MR. HEMANT JALAN – MANAGING DIRECTOR
MR. SURESH BABU -- CHIEF OPERATING OFFICER
MR. CHETAN HUMANE -- CHIEF FINANCIAL OFFICER
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER –
FINANCE & INVESTOR RELATIONS

MODERATOR : MR. MANOJ MENON -- ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Indigo Paints Q2 FY '24 Conference Call

hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.
Manoj Menon: Hi, everyone. It's a wonderful good morning, good afternoon, good evening depending on the part of the world you are joining this Indigo Paints Second Quarter FY '24 Conference Call.
Without much ado, I'll hand over to the management for the introduction of the management team and further proceedings . Thank you.
Srihari Santhakumar: Thanks, Manoj. Thanks, everyone, for joining the conference call today. Today, we'll be discussing the financial performance of the company for the quarter and the half year ended September 30, both on a standalone and con solidated basis. From the management side, we have Mr. Hemant Jalan, MD of the company; Mr. Suresh Babu, Chief Operating Officer; Mr. Chetan Humane, CFO.
Over to Mr. Jalan for the performance highlights.
Hemant Jalan: Thank you. Thank you all for joining i n on the earnings call of Indigo Paints for Q2 FY '24.
Now, our financials for the quarter and for the half year ended 30 , September 2023 have been uploaded on the stock exchange portals along with our analyst presentation, and we hope you've had a chance to go through them.
At the very outset, I'd like to highlight the consistency in our top -line growth. For the last two quarters in a row, Indigo Paints has witnessed an industry -leading growth rate and that too by a factor of more than 3x to 4x, which indi cates significant market share gain by the company.
While it is heartening to see the sustained top -line growth, the team is now motivated to propel this growth further.
We expect to increase the gap between our growth rate and the industry growth rate in the upcoming quarters. This is all a consequence of various initiatives which we undertook last year, which are starting to bear fruits now. I shall first elaborate on the standalone results for the quarter and the half year, after which I will get on to t he consolidated results.
Now, compared to Q2 of FY '23, our standalone sales in Q2 of FY '24 has registered a value growth of 11.48%, which is far ahead of the industry growth rate. Our gross margin of 45.72% in Q2 FY '24 is higher than the gross margin of 41.72% on a Y -on-Y basis by 400 basis points and we continue to maintain the leadership position within the industry on gross margins.
EBITDA in the quarter has increased by 23.72%, from INR33.8 crores in Q2 of FY '23 to INR41.8 crores in Q2 of this year. The EBITDA margin is 15.45% this quarter, which is significantly higher than 13.92% registered in the comparable period last year.

If you will recall, last year in Q2, the company had a one -time gain of INR16.3 crores due to a tax reversal pertaining to e arlier years. After adjusting for this one -time gain, which was recorded in Q2 of last year, our PAT in this quarter has increased by 25.92%. From a figure of INR20.76 crores last year same quarter to INR26.14 crores in the quarter just ended.
The PAT marg in has also expanded from 8.45% in the same quarter last year to 9.56% in Q2 of this year. This is despite a significant increase in our depreciation expense this quarter due to commissioning of our new plant at Pudukkottai. If I talk about the stand -alone half-yearly results, our sales have grown at a healthy 17.33% from INR466

crores in H1 of last year to
INR547 crores in H1 of this year. Once again, this growth rate exceeds the industry growth rate by about 4x to 5x.
The gross margins have expanded from 43.39% in H1 of last year to 46.7% in H1 of this year.
EBITDA has increased by 29.64% to INR89.5 crores in H1 of this year compared to INR69 crores in H1 of last year. And the EBITDA margin has expanded to 16.35% from a figure of 14.8% in H1 of last year.
Once again, after adjusting for the one -time gain of INR16.3 crores due to tax reversal in H1 of last year, our PAT has increased by 41.2% to INR57.4 crores this first half compared to INR40.6 crores clocked in H1 of last year. And of course the PAT margin has expanded from 8.65% in H1 of last year to 10.37% in H1 of this year.
If we move now to the consolidated results for the quarter, our revenues have grown by over 15% to INR279 crores, while the EBITDA grew at 24.76% and PAT grew by 21.98%. The EBITDA m argin was 15.1% and the PAT margin on a consolidated basis was 8.97%. Once again, the PAT growth rate numbers have been adjusted for the one -off gain recorded last year due to tax reversal.
The sales growth rate at Apple Chemie, our subsidiary, is expected to pick up considerable pace

in the upcoming quarters because they have made a significant increase in their sales force across the country and the effect of that is beginning to kick -in. On a consolidated basis, for the half year ended September 30, 202 3, our sales growth was at a robust 21.6%. Gross margins expanded to 46.46%. EBITDA increased by 32% to INR91.2 crores, while the EBITDA margin expanded to 16.1% from 14.8% in H1 of last year.
Again, after adjusting for the one -time gain last year, the PAT increased by almost 40% to INR56.84 crores compared to INR40.64 crores clocked in H1 of last year and the PAT margin expanded to 9.9% compared to 8.65% in the first half of last year. Now, the advertising and promotion spends have been largely in line wi th our guidance and our stated strategy. During the quarter just ended, while the overall advertising and promotion spends increased by almost 8% to INR15.8 crores, however, expressed as a percentage of revenue, the same has gone down. And this trend is ex pected to continue in the next many quarters.
In the Q2 quarter just ended, we had launched a new advertising campaign to promote our economy range of emulsions, both for exterior and interior surfaces. In the current month, in November, we have just launc hed a Kerala -centric advertisement, which has already gone viral.

The advertisement features both our brand ambassadors, Mr. M S Dhoni and Mr. Mohanlal, in the same ad, to promote our premium differentiated product, which is the dirt -proof and waterproof r ange of exterior paint. We have mentioned in our analyst presentation our volume and value growth numbers for each of the four major categories of paint products, being consistent with our past patt ern of transparent disclosures.
You will note that during this quarter, the company witnessed very high volume and value growth in the putty and cement paint category and also in the primer and distemper category. Fairly good growth in the emulsion category, whereas the growth was somewhat muted in the enamel and wood coating category.
Volume growth numbers are slightly higher than value growth numbers for almost all the categories, because across the range, the growth in the economy range products exceeded the growth rate of the premium range products. We continue to focus on network expansion, although we give a larger emphasis on improving the throughput per active dealer.
Increasing the throughput per dealer is driven largely by increase in our tinting machine population. Our count of active dealers sto od at 17,148 as on 30 th September, and our tinting machine population stood at 9,114 on the same da

te. You will note that ou r tinting machine
addition is gathering considerable pace. We added 457 machines in Q2, compared to 384 machines that we added in Q1, compared to 295 machines that we added in the yet preceding quarter, which was Q4 of last year.
During the quarter just ended, we have also opened two more depots, one in Eastern India and one in Western India, to increase our distribution efficiency. We i ntend to open a few more depots in the next quarter to further strengthen our distribution network. On the capacity front, we are glad to announce that our new water -based plant at Tamil Nadu went on stream at the most opportune moment on 18 , September. Op portune because it was timely to cater to the high demand during the ongoing festive season. We have also started civil work at our new water - based plant, which is being set up at Jodhpur, which is expected to get commissioned in another 18 months.
Finally , as the saying goes, the proof of the pudding lies in the eating. And the back -to-back industry -leading growth rate for two quarters in a row is proof that the new measures taken by our team last year are working very well on the ground. Backed by this co nviction, we are undertaking further new initiatives. And one such initiative is our foray into project sales. We are building a team to venture into project sales in several states of India. And we are also setting up a separate team to focus on construct ion chemicals and waterproofing products across all depots in the country.
Q3 has started off on a very positive note for us. And the growth rate that we have witnessed in sales in October has surpassed the growth rate that we have seen in any given month during the last three years to four years. If you follow our results carefully, you will note that Q3 is historically a much better quarter for us than Q2, both in terms of sales as well as profitability. And Q4 is always our best quarter on both accounts. Hence, all I can say is that the best from Indigo Paints for FY '24 is yet to come. Thank you.

And we now look forward to taking your questions.
Moderator : Thank you very much. Our first question is from the line of Abneesh Roy from Nuvama Institutional E quities. Please go ahead.
Abneesh Roy: Congrats on industry -leading growth and gross margins. My first question is on staff cost. It is up 5% quarter -on-quarter and 45% Y -o-Y. You also said that, you are setting up a team for the project business. And for waterproofing and construction chemicals, it is underway. So if I take additional incremental cost in terms of project team and fully deployed waterproofing and construction chemicals also, where do you see this quarterl y staff cost? It was around INR 26 crores broadly in Q2. Where do you see this stabilizing in the next few quarters?
Hemant Jalan: I think the increase in manpower that will happen in project sales and in construction chemicals is going to be a very, very small percentage of our existing staf f cost. The senior level additions that we had planned are already in place and they have already been reflected in the staff costs of the last quarter. What we need to add are people more at the middle management level. And the size of the team that we wi ll be building at this stage is not going to be prohibitively high. And therefore, I don't expect the employee cost to rise very substantially from the level at which they are at.
Maybe 4% or 5% on an absolute amount could be the possible increase that we are looking at. So it's not very material as far as our margins are concerned. Because these increase in employee costs do end up giving a significant return in terms of increase in the top line sales and therefore also in the bottom line. And therefore, t hey are well absorbed in the cost structure.
Abneesh Roy: My second and last question is on the demand side.

So, one is one other paint company had said that in Kerala the demand is a bit weak. I wanted to understand how you have faced demand there. Especial ly, given the new advertisement with Mohanlal and Dhoni is being done there. Is it helping you grow a bit similar to some of the other markets?
And second, on a PAN -India basis, enamels and wood coatings as you highlighted, that has been a laggard. So do you think in Q3 you would expect recovery in that part of business?
Hemant Jalan: See, Kerala has shown muted growth in the last couple of months. And that has been called out by other companies also. We are much more exposed to Kerala as a percentage of r evenue than other companies. So you would have expected us to be much more adversely affected by this phenomenon. Fortunately for us, the other states are galloping at a very healthy rate. And they have made up for this somewhat muted growth in Kerala.
We have had growth in Kerala on a positive level in each of the months. But yes, the growth levels have been somewhat low. I understand that some companies have even registered negative growth in Kerala. I do not have precise figures to substantiate it. As fa r as this new advertisement is concerned, that advertisement has hit the TV screens only from 1st of November. So its effect will be visible as far as Q3 is concerned.

These ups and downs in different parts of India are not uncommon in the paint industry. And I do not think anyone has any logical reason as to why they happen. In a particular quarter, some regions grow very fast and some regions grow slowly.
And the reverse happens probably in the next quarter. So these things are hard to predict. But despit e having more than 25% of our sales in Kerala, we are still registering way over industry top-line growth. And that means that the other states are doing extremely well. And that is a good sign as our dependence in Kerala comes down.
Abneesh Roy: And on th e question on enamels and wood coatings?
Hemant Jalan: So enamels and wood coatings, again, look at last quarter. Now, we had very good growth in enamels in the last quarter. So it was like 35% or something if I remember correctly. So again, these quarter to quarter variations happen. In some quarters, some segments grow much faster than other segments. I think it's more meaningful to look at it in the entire year as such. And that evens out these quarterly blips and dips that happen. So I won't read too mu ch into it. But yes, in the putty segment, we have consistently been growing very well.
Last quarter, if I remember correctly, our emulsion growth was somewhat tepid. And this quarter, that has bounced back. Enamels was very good last quarter. And it has b een somewhat neutral this quarter. And I think that a statement to that effect has been made by some of the other larger paint companies also, whereas we continue to do extremely well in the primer distemper category.
Unfortunately, we don't have this segm ent-wise breakup of value volume growth from other companies. So it is difficult to benchmark as to how we are doing in each segment vis -a-vis the competition. But we disclose all these numbers consistently for the last 3 years since we have been listed. I wish you would use your influence with the other paint companies to disclose in a similar manner so that benchmarking becomes a little easier.

Moderator : Thank you. Our next question is from the line of Atharva Bhutada from Purnartha. Please go ahead.
Atharva Bhutada: Congratulations on a great set of numbers. So I have two questions. One was, how we have been able to boost industry with such high sales growth when the whole industry has been growing at 3%? Can you please explain how we have been able t o get so much demand for our products? And what strategies have been chosen to grow so quickly?
Hemant Jalan: So you want to

know why we are growing much higher than the entire industry?
Atharva Bhutada: Yes, sir.
Hemant Jalan: I guess, we must be doing a better job of execution. And secondly, you must remember that our base is somewhat lower than them. So we have loads of catching up to do. So unless we grow at a much higher rate than the rest of the industry, it would be impossible to catch up and overtak e some of the companies that are significantly larger than us. And that is something that we very much want to do. We have spelt out the strategies that we have undertaken in the last fiscal year.

And that was to shift our focus to the larger cities in Ind ia where we were underrepresented. To focus much more on tinting machine installations, which is happening now, to engage much more with the influencer community, the larger printing contractors in these larger cities, which also we have been doing for the last 18 months, and to significantly ramp up our sales force, where we felt that over the last few years, the size of our sales force had not quite kept up with the increase i n sales that we had registered.
So we made some fairly large increases in our sa les force in Q1 of this year, or maybe it started in Q4 of last year. And now, every quarter, we are making modest increases in the size of our sales force. And that is helping us all of this put together is helping us register a significantly higher growt h than the rest of the industry, which we hope will continue into the quarters ahead.
Atharva Bhutada: And so, other paint companies have hinted a slowdown in rural spending. And also downgrading happening in rural demand. So are we seeing an uptick in dem and in the rural areas, or have we lost any market share to the local players due to downgrading?
Hemant Jalan: No, I don't think so. We do not see any stress in rural demand for paints. We have a fairly strong presence in all the Tier 3, Tier 4 towns in I ndia. And we find that the overall growth rate in rural sectors is just about the same as far as the growth in the urban sectors is concerned. So at least from our end, from our perspective, we have not noticed any slowdown in rural demand. And I don't thi nk we have lost any market share to any local player.
If that would have happened, then our top -line growth rate would have been much, much lower than what it is today. So I think we are gaining market share. It's hard to say at whose expense we are gainin g market share.
Moderator : Thank you. Our next question is from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas. Please go ahead.
Kaustubh Pawaskar: So my question is on the project sale space where you are trying to build up your team. So I ju st want to understand whether initially you would like to go with a few states and then you want to expand this business? Or you want to get into the states where you have a good presence?
Hemant Jalan: Are you talking about this project sales?
Kaustubh Pawaskar: Yes, sir.
Hemant Jalan: Yes, you're absolutely right. We would like to. We have selected about eight states in India where our retail presence is the strongest relative to our overall portfolio, because to do good project sales, you need to have a strong presence on the retail sector also. You need high visibility in the retail space to be able to venture into project sales. And since it is a new area for us, we would hesitate in going big bang and starting project business in every part of India.
So we are attempting to do that initially in about eight states. We will see how the going goes, what kind of traction we get, what kind of corrective actions, if any, are required in our approach, and then gradually scale up on an all -India basis.

Kaustubh Pawaskar: Right, sir. So in terms of product portfolio as well, are

we looking at a different kind of a product portfolio for this particular stage? Or we will be taking over our current portfolio under this particular business?
Hemant Jalan: No, it will be the same portfolio completely. And some companies are known to perhaps give a

separate line of products for project sales, which are priced a little lower, and perhaps the quality is also not on the same level as the retail products that they of fer. We do not intend to imitate that. Yes, project business is a little more competitive in price, but I think we can handle it within our existing portfolio without diluting our product quality and coming up with a separate range for project sales.

Kaust ubh Pawaskar: Right, sir. So my second question is on the differentiated product strategy. This was one of our strategies in the past to drive, or it was one of our key growth drivers. But, recently we have not been emphasizing more on this. So anything on the innovation front which you would like to comment going ahead, which you are planning to add to your portfolio in the coming quarters ahead or maybe, you know, another one year -to two-years?

Hemant Jalan: So even the differentiated products that we had launched eight -years, 10 -years ago, at the end of every year, we do report their contribution to our overall top line. And every year, we are happy to find that there is at least a 1% increase in their share in our overall sales, which means that they con tinue to grow at a faster rate than the rest of the portfolio. There are a lot of new products that keep coming up that I won't call them very, very differentiated.

Those are more of minor variations or, different variations with higher shee n or higher dir t resistance, et cetera, and existing categories that keep getting launched. That is, I think, something very inherent with the industry and something which most companies do regularly. So it does not require special mention.

As far as coming up with a real ly innovative, different product is concerned, yes, there are some products that are on the anvil, but I would hesitate to talk about them unless they actually get launched. Some of them could be very, very material, but they're also more challenging to develop. And we have been working on them. But even without that, more than a 30% contribution in our portfolio from differentiated products is not at all a bad number and we are happy to let that existing portfolio continue to grow.

Kaustubh Pawaskar: Right , sir. And one last one on the construction chemical. So we have seen many paint companies entering into this space and there is a lot of competition in this particular space. So, how you would be looking at your product and how you are planning to expand it or maybe compete with these large players who are already there, some of them have a considerable market share. So, how are you planning to compete with these large players in this space?

Hemant Jalan: So we are competing with them on the paint front. S o, construction chemicals is no different. I mean, there is no product category in the consumer space which is devoid of competition or devoid of presence of some very large established giants. So we have made a very successful foray into the paint industr y. Being a rank outsider, we have definitely come to the number five position in paints over the years, fighting the might of very, very large and very well -established

and very well -run companies. So I don't understand as to why it would be any different when it comes to construction chemicals.

We are blessed with very, very high quality know -how, which has flown to us from our acquisition of Apple Chemie, who are a very, very sound technology -driven company in the construction chemicals and waterproofing space. Of course, they operate in the B2B space, but aided with that acquisition, I think, a

re the products that we have launched. Our first emphasis is on product quality, that the product quality has to be superior to whatever else is available in the ma rket. We do that for every paint product and we have followed the same philosophy with construction chemicals.

The second is to advertise and build a brand. We have recently shot a TV commercial, which will probably air from maybe January, on construction chemicals with our brand ambassador, Mr. M S Dhoni, to try and do some sensible brand building in this space. And the third is to build a network outside the paint dealers, because a lot of construction chemical sale happens through cement dealers or throu gh other hardware dealers. Let Suresh speak a little bit about that.

Surendra Thundiyil: We have actually started building a parallel team to cater to what you typically call the building material counters, which specialize in selling more of this construc tion chemical. So we are sure that today we are catering to almost 21% of our existing base in terms of having put the materials in the shelf space. So going forward, we will see more traction coming in and definitely it will start figuring out in terms of total share to the total sale of ours.

Kaustubh Pawaskar: Thanks for the understanding and all the best for your future conference.

Moderator : Thank you. Our next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Laks hminarayanan: In terms of your active dealers, which you have on the printing machines you are actually present, how many of these active dealers are multi -paint dealers? And second, in terms of the

machines you have installed, in how many places will you be the only machine?
Hemant Jalan: Almost all paint dealers in the country are multi -brand. It's very, very rare to find a single brand paint dealer of any company anywhere in India. So I would say that more than 99% of the dealers would be multi -brand. An d to find a dealer where ours is the only printing machine would also be exceedingly rare. Most paint dealers today have a minimum of two tinting machines of different companies and many have three or more. So finding a paint counter where we are the only one who is having a tinting machine may be in some remote rural areas. That could be true. But in urban centers, it would be very hard to find such a dealer.
Lakshminarayanan: And when you appoint a dealer or put in the machine, what would be your proposit ion to the dealer? Is it a wide range of products or is it better incentive to the dealer? What kind of challenges do you face and how do you counter them?
Hemant Jalan: So it is a difficult proposition. Obviously, the dealer understands that he would make a slightly more margin by selling Indigo Paints compared to an industry leading brand because our width

of distribution would not be as intensive. And therefore, a dealer selling Indigo Paints would typically not face competition from another dealer selli ng Indigo Paints who is 50 yards away or 100 yards away.
So our dealers are a little more spread out and therefore they enjoy a higher margin. However, the higher margin in itself does not convince a person to install a tinting machine. He is also concerne d about what volume of sale will he be able to generate. Unless he sees a higher or a significant volume of demand coming in, usually the dealer will not give you the floor space to install a tinting machine. So that requires a lot of working with the infl uencers. It requires a lot of sustained brand building efforts in terms of advertising.
And once the dealer sees enough demand coming in for your product, either directly from the end consumer or from the influencers, which are the painters or the contractors, once he sees that coming and once he is convinced that he can sell a sizable portion of Indigo Paints t

hrough
the tinting machine and thereby earn a much higher overall margin, that is the time when a dealer is convinced to install a tinting m achine.
So installing tinting machines is not easy because most dealers already have two brands of tinting machine. So when a dealer wants to install your tinting machine, he is usually displacing some other tinting machine which is already there in the co unter. Now, another value proposition that we have, which aids in this process, is that even our tinting machine is very unique in its structure. We are the only company that offers a tinting machine with an embedded computer inside it.
All other tinting machines offered by our competitors require a separate external PC or a laptop to power it, which becomes a sizable investment on the part of the dealer. And it consumes additional shelf space to put that PC or a laptop. Our tinting machine is very compact . It does not require any external computer to power it because it's embedded within that. And that also becomes an added attraction as far as the dealer is concerned.
Lakshmi narayanan: And in case of any competition, a large or small competition coming in , how do you look at it? What would be the proposition? Typically, it would be a reduction in the realization of the end customer or it would be higher margin or it could be putting more machines because you outlined that putting machines is not easy. It h as to be done holistically. How do you think about any new entrants coming in or big or small in this?
Hemant Jalan: So it is not for us to speculate on what strategy a new entrant would adopt and how they would circumvent the various modes that exist in t his sector. That question is better addressed to the management of the proposed new entrant into the space. Whatever strategy they may choose to adopt, I don't think the paint industry is losing sleepless nights over it.
The industry is large enough to acc ommodate more players and we are of the firm conviction that any new player, no matter what be its corporate size, is going to have to make a gentle entry into this sector and grow incrementally because it takes time to establish distribution network to populate printing machines, to build a brand and to establish the connect with the influencer community.

And in such a large industry with decorative paint sales being in excess of INR60,000 crores per annum, any new entrant who may achieve whatever volu me t hey want, whether it is INR 1,000 crores, INR1,500 crores, INR2,000 crores, is not going to cause any kind of a disturbance as far

as the overall industry is concerned. So this is not the first time when a large group has entered the paint sector and this w ill not be the last.
And going by past track record, no new entrant has ever shaken up the industry or caused any disruption into the profitability pool. So we just have to wait and see as and when the new entrants will come. They are welcome. They will ke ep us all on our toes and I don't think anything materially will happen to any paint company which is already there.
Lakshminarayanan: So profitability pool will not go through any material changes, is what you are hypothesizing?
Hemant Jalan: I don't expe ct it to because if somebody uses price as a lever to enter this industry, I don't think that that would be a sensible strategy for any company because this is not a product which sells on low pricing. In fact, having a slightly premium pricing position sl ightly aids the entry of any new entrant into the sector. So I don't expect that low pricing is a strategy which is going to work for anyone. And I sincerely doubt that any new entrant would go down that path because that would be at their own peril.
Moder ator: Thank you. Next question is from the line of Varun Singh from ICICI Securities. Please go ahead , sir.
Varun Singh: So my que

stion is on the existing discounting which is happening in the market. I understand your commentary that this is not a segment where a price as a primary vector for consumers to make decisions. But still, having said that, like whatever discounting which is happening currently, do you think that will have a repercussion on the brand or the brand perception itself? Any commentary you wish to offer?
Hemant Jalan: On whose brand?
Varun Singh: Sir, I'm saying in general, because of higher competition, excess discounts, offers, etcetera. are being rolled out. Will that not have some …¦
Hemant Jalan: I don't think that excess discounts o r something have anything to do with competitive intensity. I mean, the competitive intensity has not changed significantly in the last 12 months. This is a factor of variation in raw material prices. Now, typically, the industry is accustomed to a certain range of gross margins and therefore a certain range of EBITDA and PAT margins, which is fairly good and fairly steady.
Now, what happens is that whenever raw material prices go up by, let's say, 10%, 15% or 20%, rather than immediately go for a price inc rease, which is a complex exercise, it means changing MRPs and there is a lot of material in the pipeline. So it causes a lot of unnecessary disruption. What paint players do is that they will lower their discounting, etcetera, to the trade and therefore, in an indirect manner, it gets passed on to the consumer without causing any supply chain disruption. The reverse happens when commodity prices ease.

Now, in the last 12 months, we have seen an easing of commodity prices, which started maybe May, June of last year and kind of bottomed out a few months ago. And during that period, the industry had two choices, either lower the prices from whatever escalation they had taken when raw material prices went up very, very sharply two years ago or give higher disc ounts, which in a way gets passed on to the end consumer. So they don't get retained by the dealer by and large. So the industry at the moment has chosen to increase the level of discounting. It is being done by every player in the industry.
Last three months, prices have been reasonably steady. If there were to be any significant move further in the downward direction, then quite possibly instead of further increasing discounts, the industry may resort to a price cut. But that does not appear visible on th e horizon at this point in time, prices look quite stable, very, very minor upturn visible in the last couple of months, but too minor to cause any significant change in the discount structure.
And in case the raw material prices start moving up, you will find this discount level slowly shrinking until you reach a point where price increase becomes a necessity. So I don't think that it affects the brand value of any company. And I don't think that this increase in discount has any relation to the competitiv e intensity, which has not undergone any change in the last 12 months.
Varun Singh: Got it. Understood, sir. Very clear. And the second question is on Apple Chemie. So, sir, wha t is the three -year view? How do you see growth rates and hope for differentiation over the years, sir?
Hemant Jalan: So Apple Chemie was a very strong B2B player in construction, chemicals and waterproofing in the state of Maharashtra, with very strong marquee clients like L&T and Shapoorji Pallonji and B.G. Shirke and A fcons and a whole lot of other leading infrastructural project executors. So they have been supplying products to, Pune Metro, Mumbai Metro, now the new trans -harbor link coming in Mumbai, the Samruddhi Expressway from Nagpur to Bombay and so on and so forth.

Now, after our acquisition, we have pushed them to expanding their sales force outside Maharashtra in many regions. So they have made a very radical change

in their sales force. Now,
they have sales offices in 8 -10 parts of India outside Maharashtra. B eing a B2B business, it takes a little time to get your products approved. Maybe even with the same vendor, even if it is L&T or even if it is Shapoorji Pallonji in Delhi or Hyderabad or Chennai or Kolkata, you will have to go and get the product approved at each location. And they have started getting their approvals and they have started getting their orders from these newer geographies.
And this we expect to grow. We are roughly looking at for the whole year, this financial year we expect that the top li ne would grow from 45% to 50% or thereabouts in this year. And depending on how the scale up happens, once we get the confidence that these new geographies are yielding the desired results, we will push them into further strengthening the sales force in all of these geographies and maybe some other geographies which they have not yet looked at. So the sky is the limit. It's a huge industry with massive potential.

And, there is a possibility. I'm not saying that it will happen, but I'm saying even 100% growt h on a Y -on-Y basis is not inconceivable given the potential that exists and given the fact that they have been so far operating in just one limited geography with considerable success.
So we are quite optimistic about Apple Chemie. I don't want to give a number guidance as to where Apple Chemie will end up in turnover in the next two to three years. We are looking at a INR55 crore s to INR60 crore s turnover in the current fiscal. Whether next year it scales up to INR100 crores or a little less than that or much more than that, I think we'll have to take it one step at a time, see the results for this year before giving any guidance for the next fiscal. But we are very optimistic about very high growth rate as far as that company is concerned.
Varun Singh: Understood, sir. And any scope for differentiation compared to other players into the segment?
Hemant Jalan: They do have some differentiated products which other people in the country are not manufacturing, where they compete with imported products. And bec ause of their sound technology, they are able to operate at a much, much lower price than the imported counterparts and still deliver extremely high gross margins in some of those products.
Now, differentiation in this sector, when you talk about B2B, it a ctually changes from site to site, because the grade of cement being used in one project in a city could be quite different from the cement being used in another project in the same city. The quality of sand varies and therefore, you have to keep tailor ma king the additives and construction chemical to suit each project. And you virtually have to set up a mini mobile lab at each project site to continuously monitor that, because even during the course of execution of a project, the quality of sand or the quality of cement may undergo some change.
So a minor change is required and some customization is required at the level of construction chemicals. And you have to be very nimble on your feet to keep doing that, if you want to sustain, because all of these p rojects typically last for about three years and many changes happened in the quality of ingredients during that three year period. So that kind of change, differentiation, being very service oriented, having mobile labs at the sites of large projects are something that they do, which is what has made them successful in the past.
Varun Singh: Understood, sir. And sir, one last question, what would be our progress on Strategy 2.0 and if you could highlight the success of it in some micro macro market in Indi a for us?
Hemant Jalan: No, I can't give you granular information at the state level as to which state it has worked better and which state it is not. Obviously, the strategy is

working very well. Otherwise, we would not
be registering more than 4x the ind ustry growth. So the proof of the success of the strategy is there before you in terms of numbers. All I can say is that, our team is confident that this gap between Indigo Paints and the rest of the industry in terms of growth percentage, we would expect it to only widen in Q3 and Q4.
There are many markets in India, which in the last quarter have given us in excess of 100% growth. And these are not tiny territories. These are some fairly big states where we already had a good presence. Why some state give s you 100% growth and some state gives you a 5% growth is a question that is difficult to answer. It all depends upon how well the team there is executing.

We would like all states to rise and give us at least a 50% growth rate. That is all our endeavor and that is the direction in which we are pushing. And we hope we come up with much better industry leading performance in Q3. That is our attempt.

And as I said, October has been a spectacular month. The growth rate that we have witnessed in October of this year, I have not seen in our company in any month during the last three years , four years. So it has been a pleasant surprise. Can we sustain it in November, December? We certainly hope so. But we keep our fingers crossed.

Varun Singh: Got it, sir. Very c lear.

Moderator : Thank you. Our next question is from the line of Nilesh Patil from ICICI Securities. Please go ahead.

Nilesh Patil: We have indicated that the growth in Tier 1, Tier 2 cities have outpaced the growth in Tier 4 and Tier 3 cities. We just wa nted to understand whether in Tier 1 and 2 cities as well, the premium product sale has led to economic products? Is it a fair understanding?

Hemant Jalan: The growth rates? Yes. I mean, overall growth rates in the economy sector in Q2 have grown much fast er than the premium range products, across all sizes of cities. That is more a phenomena of what happens during this quarter, which is a monsoon quarter. Typically, I mean, the painting is led by exterior painting and most of your premium products in terms of share of total pie happen to be your exterior range products. And exterior products do suffer a muted growth rate during this period, because of monsoon. Q2 is completely a monsoon quarter. And the product mix changes substantially.

So it is not surpri sing that most companies have reported a higher growth rate in the economy range products. And so have we, which is why for every company, the volume growth rate is a little higher than the value growth rate, because in a price stable scenario, if all prod ucts were to grow at the same rate, theoretically, there should be zero difference between value and volume growth.

The fact that volume growth exceeds value growth means that the lower end products have grown at a slightly faster pace than the premium ran ge products. And to answer your specific question, that is true both in Tier 1, Tier 2 towns as well as in the smaller towns, at least as far as last quarter is concerned.

Nilesh Patil: Yes, understood. So in Q3 or you can say in H2, the pricing growth is likely to revise, can we assume that?

Hemant Jalan: That's very hard to predict. We are seeing a growth in both segments, the premium segment and the economy sector, which segment will grow faster. Now, if the premium sector growth will outstrip the economy sector growth, of course, the share of premium products naturally rises in Q3. But when you do a year -on-year comparison, it was also higher in Q3 of last year.

Now, whether the growth rate of the premium segment will be higher in Q3 compared to the economy segment is something very hard to predict. But overall, the share of premium products

definitely rises in Q3 and Q4, which i

s why gross margins improve tremendously during Q3 and Q4 an d so do EBITDA and PAT margins.

So that I can safely predict that the gross margins would be significantly higher in Q3 and much more higher as we go forward into Q4. And the same you would notice for EBITDA margins and PAT margins. Now, whether the difference between value and volume growth rates, would reverse or flip itself is something that, frankly, I don't think I can make an honest prediction.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Hemant Jalan: Thank you. T hank you all for giving us a very patience hearing and joining in this call. I wish you all a very, very Happy Diwali and a joyous festive season. And we look forward to interacting with you again three -months from now. Thank you.

Moderator : Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2024

Registered Office : INDIGO Paints Limited, Indigo Tower, Street -5, Pallod Farm -2, Baner Road, Pune - 411045
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February 16, 2024
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai - 400001
Scrip Code : 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No . C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol : INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for quarter and nine months ended December 31, 2023
Pursuant to the Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst and investors on February 12, 2024 at 11 .00 hrs (IST) to discuss the unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2023 .
The above information will also be made available on the website of the company www.indigopaints .com/investors
You are requested to take note of the same .
Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: as above
DAYEETA
SHRINIVAS GOKHALEDigitally signed by
DAYEETA
SHRINIVAS GOKHALE
Date: 2024.02.16
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“Indigo Paints Limited
Q3 FY '2 4 Results Conference Call ”
Febru ary 12, 202 4

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN AND MANAGING DIRECTOR
MR. T. S. SURESH BABU – CHIEF OPERATING OFFICER
MR. CHETAN HUMANE – CHIEF FINANCIAL OFFICER
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER FINANCE AND INVESTOR RELATIONS

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Indigo Paints Q3 FY '24 Earnings

Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this con ference is being recorded.
I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.
Manoj Menon : Hi, everyone. As always, it's our absolute pleasure at I -Sec to host the results conference call of Indigo Paints. Today morning, we have Mr. Hemant Jalan, Chairman and Managing Director from the company; Mr. T. S. Suresh Babu, Chief Operating Officer; Mr. Chetan Humane, Chief Financial Officer; and Mr. Srihari San thakumar, General Manager Finance and Investor Relations. Without much ado, over to the management for opening remarks, and post which we will open the floor for Q&A.
Srihari Santhakumar : Thanks, Manoj. Thanks, everyone, for joining the conference call tod ay. As mentioned before, today, to discuss the results, we have with us Mr. Hemant Jalan, Mr. Suresh Babu and myself, Srihari. We have already uploaded the financial results and the investor presentations along with the disclaimer on the websites of the co mpany as well as on the stock exchanges. I hope you had a chance to go through them. I request Mr. Jalan to give an overview of the performance followed by the Q&A.
Hemant Jalan: Thanks, Srihari. Thanks, Manoj. And thank you all for joining in on the earni ngs call of Indigo Paints for the third quarter FY '24. We are happy to report yet another quarter of industry -leading growth. It's the third quarter in which Indigo Paints has grown by 3 x to 4x times the industry growth rate, indicating consistent market share gain by the company. The growth in sales was accompanied by an equally good growth in the profitability metrics as well. Now we'll first look at the performance of the company on a stand -alone basis, followed by the results on a consolidated basis.
First, the stand -alone. Compared to Q3 of last year, our sales in Q3 of FY '24 have registered a value growth of 21.33%, which is once again almost 4x of the industry growth this quarter. Our gross margin of 48.43% in Q3 of FY '24 is significantly higher th an the gross margin of 43.82% on a Y -on-Y basis, and we continue to maintain the leadership position within the industry in terms of gross margins for the last 14 to 15 quarters in succession.
EBITDA has increased by an impressive 50.18% from a figure of INR40.56 crores in Q3 of last year to INR60.91 crores in Q3 of this year. The EBITDA margin of 17.85% dropped in this quarter has also expanded from 14.42% registered in the comparable period of last year. The PAT has increased by a robust 43.55% to INR37.70 crores, compared to INR26.26 crores dropped in the same quarter last year. And this expansion of PAT is despite the depreciation load of the company increasing by over 52% on account of the new plant at Tamil Nadu coming on stream. The PAT margin for thi s quarter has expanded to 10.96% compared to 9.21% in the same quarter last year.
Details of our 9 -month stand -alone results have been elaborated upon in our investor presentation. And for the sake of brevity, I shall not repeat them here. Suffice to say that this is the third consecutive quarter when we have outstripped the top line growth of the industry by a

factor of around 4x, and this is amply reflected in the 9 -month cumulative figures when you compare them with our peers.
Now coming to the consolid ated results. For this quarter, our revenue grew by 25.78% to INR353.77 crores, while the EBITDA grew by 53.46% and the PAT grew by 42.98%. The EBITDA margin on a consolidated basis was 17.59%, and the PAT margin was at 10.52%. The sales traction has picke d up at our subsidiary, Apple Chemie. And we have started getting new orders from s

tates outside Maharashtra as a consequence of the expansion of Apple Chemie's selling territory.
On a consolidated basis, our outperformance on top line growth is about 5x t hat of the industry. We expect even better growth from Apple Chemie in the ensuing quarters as they further ramp up their salesforce in regions across India. The detailed 9 -month consolidated results have also been uploaded in the investor presentations. And once again, I shall refrain from repeating all the numbers here.

I'd like to now give you some operational details about the last quarter going beyond the simple financial numbers. Now during the last quarter, the overall advertising and promotion spen d increased by almost 26% to INR32.53 crores, primarily due to the advertisement that we aired during the World Cup Cricket series and the seasonally high spends, which generally occur in the months running up to Diwali. However, we are well within our ann ual advertisement budget. And although our A&P spends will increase every year, we expect the spend as a percentage of revenue to decrease on an annual basis by about 150 basis points. Despite the significant increase in A&P spend this quarter, I would lik e to highlight that the EBITDA margins have substantially expanded this quarter, indicating gains, A) due to operating leverage; and B) due to better gross margins. And we expect the EBITDA margins to improve further in the upcoming quarter. We have also r ecently launched a new advertising campaign to promote waterproofing products in our retail range, which has been very well received by the audience.

Now in line with our consistent disclosure practices, we have given our volume and value growth numbers fo r each of the 4 major categories of paint products. During the quarter, the company witnessed very, very healthy double -digit volume growth across all product categories, and the value growth has been pretty similar and largely in sync with the volume grow th, as you would expect, for a year where there have been no significant price changes.

The value growth in the emulsion category of 18.2% has been particularly healthy and outstrips the volume growth of 14.3% in the same category, which is a clear indicat ion of the gradual premiumization in our emulsion sales. We continue to focus on network expansion, improving the throughput for active dealer and increase our tinting machine population. As on December 31, 2023, our count of active dealers stand at 17,745 and the tinting machine population stands at 9,510. The throughput per dealer, if you do the simple math, has gone up significantly in the last 1 year. During the quarter, we also opened 2 more depots, 1 in North India and 1 in Eastern India, to increase our distribution efficiency.

On the capex front, civil works are progressing well in the new water -based plant being set up at Jodhpur, and orders for most major items of plant and machinery have already been placed. The plant is expected to commence opera tion by the end of FY '25. Work is also expected to start very soon on the proposed solvent -based paint plant at Jodhpur.

As mentioned in our previous call, to focus on waterproofing and construction chemical products, we have already set up a separate tea m in all depots to exclusively work with the channel partners and influencers to promote these products. Along with this, as mentioned a short while ago, we have also launched a new advertising campaign for the waterproofing products. We have witnessed an excellent boost in sales for these products in the month of January, which is typically the start of the season for sale of waterproofing products. We are hopeful that this segment will make a very meaningful contribution to our top line in the ensuing quarters.

Similarly, we have also entered the segment of project sales by setting up a separate

team in
select depots to cater to paint demand in the institutional sector mainly of large new constructions happening across India. However, this is a segment whi ch has a longer lead time gestation period, and it will probably take several quarters before this segment starts contributing meaningfully to the top line, but it is a vital segment in the paint sector and something in which we need to invest our efforts in.

With three quarters of consistent industry -leading growth, we are quite confident of the strategic path we have taken to put the company on a super normal growth trajectory. With our differentiated product portfolio, our pivots like focus on Tier 1 and Tier 2 cities, enhanced engagement with influencers, foray into waterproofing and construction chemicals, foray into project sales and the infrastructure play through our subsidiary, Apple Chemie, we expect this industry -leading performance to continue de spite the competitive environment.

Finally, if you study the sales trajectory of our company over the last 3 years, you will notice that in our case, the fourth quarter is the quarter of highest sales, highest gross margin, highest EBITDA margins amongst a ll the 4 quarters of the fiscal year. This year will be no different, and we expect significantly higher sales number in Q4, accompanied by very good bottom line triggers.

That's all I have to say as an opening remark, and I look forward to receiving your questions. Thank you.

Moderator: Thank you very much. We will now begin with a question -and-answer session. The first question is from is Mihir Shah from Nomura.

Mihir Shah: Congrats on a very good set of numbers. So firstly, on volume growth and market share, volume growth has been super strong across subcategories. So firstly, on market share, whom should we

attribute most of the share gains from? Clearly, it is coming from both organized and maybe
unorganized as well as we can see it in the results. But as from your side, would you say you are
gaining more from organized players or unorganized players?

Hemant Jalan: I think it is mainly from the organized players who are the dominant category holders as far as the paint sector is concerned. When we compare our value growth with the value growth of other organized players who are our larger peers in the industry and if we outperform them in growth, it is very simple that subst antial growth in market share is coming at the expense of others. Now it would be very marginal pickup from the 4 other larger players. So we probably don't disturb their growth plans in isolation because we are still relatively small to at least the 2 or 3 larger players in the industry. So they may not feel the pinch. But of course, our market share does grow at their expense. Whether some of the growth comes at the expense of the unorganized player is really hard to measure because no accurate data is av ailable on what the growth of the unorganized sector has been in the same period, but I would largely attribute it to growth at the expense of the larger players.

Mihir Shah : Got it. No, I was just asking because your consumer will largely be choosing from the organized pallet versus the unorganized products that are there. So I also was thinking about the same. Sir, supplementary to this, can this disproportionately higher sales be attributed to any regional SKU or across regions you are seeing similar gro wth?

Hemant Jalan: I think it is pretty similar across Pan India. I don't think there is particular regional SKU to this growth. I think, overall, I mean, if there is one region which has perhaps grown a little faster than all the other regions, which is p erhaps the Northern part of India. But otherwise, we have had fairly good growth coming across all regions as far as the last quarter is concerned.

Mihir Shah : Got it. So my second

question is on pricing. I believe you would have also taken some price cuts along with industry. Please correct me if I'm wrong here. And how should one think about pricing going forward as are more price cuts likely because we don't see gross margins significantly higher than historical averages, it's not like a material differe nce. And raw material prices are also pretty much range bound of course, with some volatility also being there. So would you expect more price cuts in -- to continue? Or do you think that these are sufficient enough?

Hemant Jalan: See, that's a question th at is best put to the industry leader because all price changes are initiated by the industry leader. Now you're right that a price drop has happened in the middle of January, and that is in Q4. And that has happened on select premium range products.

Now f ortunately or unfortunately, our share of sales in the premium range is somewhat less than the larger players in the industry. So to that extent, we are perhaps a little less impacted by this price decrease. But what happens is that whenever there is a pri ce decrease, one notices a corresponding decrease also in the incentives offered to the trade in those same categories. May not be exactly to the extent of price drop, but at least 60%, 70% of that does get covered by reduced schemes as far as the trade is concerned.

Now I do not know what has prompted the industry leader to lower the prices substantially for those segments in view of the fact that raw material prices have relatively remained stable over the last 6, 8 months. That's a question that you'll h ave to answer them. And whether they are

contemplating any further price cuts in some other segments is also a question that I'm not in a position to answer. You will have to ask that question to the industry leader.

But one is not overly worried about the se things because a large portion of any price cut if and when it happens, does get covered by slightly reduced incentives and margins to the trade in terms of discounts. So it's not a point of very great concern. And I don't think that EBITDA numbers woul d be very significantly corrected even for the larger players in Q4 and certainly not for us because our exposure to that segment is somewhat smaller.

Mihir Shah : Got it, sir. Sir, lastly, on gross margins. I understand the math that you've strain on EBITD A margins. But how should one think about the industry -leading gross margins that you command at this point of time? Over the medium term, clearly, there is also a tailwind of mixed improvement with waterproofing products, et cetera. Would you think that t here is -- what kind of headroom that you see in gross margin improvement over the medium term?

Hemant Jalan: I don't think there is much more headroom left for gross margin expansion beyond this. It may fluctuate by 0.5 or 1 percentage point in either dir ection as we go forward. Of course, Q4 is

usually in the quarter where we get the highest gross margin. Now our gross margins have outpaced even the industry leader for the last 3 to 4 years consistently in every quarter.
A large portion of that has to do with our differentiated product portfolio, which contributes over 30% of our sales, where our gross margin contribution is very high because we kind of own that space. And sales of most of those differentiated products, due to weather reasons, climate reasons, reached their peak in Q4 , because Q4 is the 1 quarter where you do not have any rain whatsoever, and all stars are so called aligned to promote painting activities in India. And therefore, in Q4, every year, if you'll notice, our sales are high, our gr oss margins are the highest, our EBITDA margins are the highest.
So at the end of 9 months, our EBITDA is around 17% or something and we'd expect a substantially higher EBITDA in Q4. So we do ex

pect to close the year with a year -round
EBITDA margin of some where in the range of 18.5%. And that is pretty much the guidance that we had given a year ago, and we stand by that.
Moderator: The next question is from the line of Jay Doshi from Kotak.
Jay Doshi: Congratulations on good results. I have a couple of ques tions. The first one is with respect to just a clarification on your comments on the TV interview today. Did you mention that you were targeting INR2,000 crores sales next year FY '25?
Hemant Jalan: I'm saying that in this particular year, when we end at t he pace at which we are growing, we expect to end somewhere around INR1,350 crores to INR1,400 crores. Now our outpacing of the rest of the industry is kind of widening with every successive quarters for the last 3 quarters.
If we continue on that trend, which we hope to do, then INR2,000 crores, as I mentioned, would be a stretched target to aim at. I also clarified that we may fall a little shy of that but that is the range at which we would attempt to achieve as far as next year is concerned.

Jay Doshi: So it's more of an aspiration and...
Hemant Jalan: It is a target. Because if we do INR1,400 crores this year, then to achieve INR2,000 crores, we'd have to do somewhere around 40% growth, which I agree is a little ambitious. It would depend on 2 things: a, it would depend on how fast the overall industry grows. Now the industry growth for the last 2 quarters has been somewhat tepid, as you may have noticed. And therefore, although we outpaced the industry, even our growth of 25% this quarter on a consolidated basis, I would consider somewhat disappointing.
If the industry had grown by 8% to 10% this quarter, probably our top line growth would have been in the 35% to 40% range. So if the industry dynamics pick up and the growth for the overall industry bounces back to the 8% to 10% range in which it has been historically. Then for us to think of a 35% to 40% growth rate vis -a-vis -- compared to the rest of the industry is not completely unachievable target. In fact, we would be disappointed if we do not do that.
But of course, having said that, I have no means of predicting as to what the industry growth would be next year, whether it would climb up back to 8% to 10% or go higher than that or be a little lower than that. So to th at extent, of course, we keep our fingers crossed.
Jay Doshi: Understood. Second is I heard you in opening remarks mentioned that you're targeting 150 basis point savings from A&P spend as a percentage of sales. Does that apply to FY '25 as well?
Hemant Ja lan: Yes, I think it will more or less apply to FY '25 also. And at the end of FY '25, we will take a call as to whether we start once again ramping up. I mean, if that happens, FY '25 also, we maintain more or less the same ad spend with a minor maybe 5% increase, and the top line increases by whatever, 25%, 30%, 35%, 40% growth, then I think the A&P spend by the end of FY '25 would reach a level where we will have to think going forward as to whether we start ramping up the A&P spend by a slightly higher amount.
And if that happens, then in FY '25, we should be looking at an EBITDA margin of close to 20%, which would be very healthy. And we'll have to take a call as to where to invest the extra surplus available, A&P is one avenue to spend that money. There are many other levers that you can pull, which have to work in tandem. I think our advertising salience has reached a fairly high level and the brand is very noticeable, identifiable. And at this point in time, we don't think much benefit accrues fro m a substantial escalation in A&P spends.
Jay Doshi: Understood. The reason for asking that question was because all your peers are indicating increase in A&P spend in view of new competition that's coming in. So I j

ust was -- wanted to
clarify that one.
Hemant Jalan: Small correction, Jay. I have heard peers talking about slight increase in A&P spend, but I have not heard anyone saying that it is as a consequence of a new entrant coming in. So I think it is a fairly independent activity, and I significantl y doubt whether any of that is as a consequence of

any new entrant's proposed entry. But that is a surmise that you are free to take.
Jay Doshi: I mentioned increase in terms of percentage of sales, A& P spend as percentage of sales?

Hemant Jalan: Even as a percentage, and say whether it is a consequence of some new entrants coming or an independent action is something that I'm not very sure of.
Moderator: The next question is from Lakshminarayanan K G from Tunga Investments.
Lakshminarayanan K G : One is the Pudukottai plant, which is 50,000 KLPA, and the Jodhpur plant. When would that be coming on stream?
Hemant Jalan: The Tamil Nadu plant is already onstream. It went on stream in mid -September. And it is running fairly well. And we are well past th e teaching stage of that plant, and it is in very smooth production.
In Jodhpur, I mentioned that we expect the plant to come onstream towards the end of the next fiscal. So we are targeting March '25 as a date to commission that plant. We are some distanc e away from it. So that target could move by 1 or 2 months in either direction.
It's not very critical because all these capexes are done with a slightly long -term view in mind, and it would not impact our sales in any way if the plant does get commissioned a little earlier or later, but that is with a long -term view that we are doing all that.
Lakshminarayanan K G : Okay. It's a bit -- and excluding the Apple one, what is the total capacity right now?
Hemant Jalan: See the capacity has to be meas ured across various different kinds of paints because different kinds of paints use different kinds of equipment. So there is a particular capacity for making putty, for example, which is roughly about 10,000 to 11,000 tons per month. So that will translat e into roughly 125,000 tons per year. Then there is the cement paint, where the monthly capacity is somewhere in the region of about 1,200 tons per month, and that is more than adequate because that is not a segment that grows very fast.
There is a separat e category for solvent -based paints, where our current capacity is about 13,400 kiloliters per annum at the moment only in Tamil Nadu. We are starting work on setting up a similar capacity plant at Jodhpur of about 12,000 KL per annum. When we come to the largest category, which is the water -based paints, our total capacity at the moment at Cochin is about 42,000 KL per annum.
At Pudukottai, that is Tamil Nadu, where we have set up, it will be somewhere in the region of about 55,000 KL per annum. At Jodhpur , the present capacity is 54,000 KL per annum. And that, with the new project that we are setting up, will go up to 90,000 KL per annum. So that new project at Jodhpur is a combination of capacity increase and complete modernization of the existing facilit ies and automation.
So capacity in the paint sector, just like volume growth, are meaningless when they are just added up arithmetically. You have to look at them from each category of paints and come up with multiple capacities for different lines of prod ucts.
Lakshminarayanan K G : So what is your broad sales mix across regions?
Hemant Jalan: Pardon?

Lakshminarayanan K G : Your sales mix across regions?
Hemant Jalan: Sales mix in what unit would you want them?
Lakshminarayanan K G : No, I just wanted to unde rstand from your total revenues, how much would come from the Southern markets, how much would be from...
Hemant Jalan: So that is a kind o

f information that we would be reluctant to share at a great level of detail. But I would say that because of our dis proportionate presence in Kerala, I mean, South does contribute more than -- significantly more than 25%. If you look at the geographical split of 25% at each place, pretty good in East and pretty good in West. North is the reason -- is the region where we had made the kind of last entry into India, but that is also the region that is growing the fastest for us, perhaps because of the base effect. So pretty even across all the 4 parts of India, North, South, East, West with minor differences, but I'd be a l ittle shy of sharing very exact numbers as far as that is concerned.
Lakshminarayanan K G : Some time back, you had mentioned that these capacities will actually bring down your freight rates, which is around 9% or so for products right now. I just want to understand what is the optimal distance you like to travel from your plant? And how these plants setting up would actually bring down your freights...
Hemant Jalan: Coming from that, you see, freight rates come down from -- for 2 reasons. One is the proxim ity.

So definitely, a lot of regions in Southern and part of Eastern India also are now getting service from our Tamil Nadu factory for water -based paints, which were earlier serviced by Jodhpur.
So for example, states like Tamil Nadu itself, Telangana, An dhra, Karnataka and Orissa, parts of Maharashtra, parts of Chhattisgarh, they are more economically serviced from our Tamil Nadu plant than Jodhpur. So those regions from the last quarter onwards have been serviced largely from our Tamil Nadu plant as oppo sed to being serviced by Jodhpur. And that does lead in some reduction as far as freight is concerned.
When the solvent -based plant is set up at Jodhpur, which would also happen hopefully by March of 2025, then solvent -based space in the entire northern an d eastern parts of India will start getting service from Jodhpur instead of the whole country being serviced from Tamil Nadu as is happening now. So that will also bring down slight freight rates.
But the greatest contribution to reduction in freight rates happens with the premiumization of your range. The premium range product, let us say it is selling at INR400 a liter, encounters the same freight as an economy range product, which may be selling at 1/3 the price. So the freight expressed as a percentage of top line is highly dependent on the premiumization of your product mix. As the premiumization improves, the freight rate, all other things being constant as a percentage of top line starts comin g down. So those are the 2 forces that drive the freight cost, at least as far as primary and to some extent, even secondary freight is concerned, the premiumization of your range and, of course, the distance from your factories.

Lakshminarayanan K G : Got it. One last question in terms of among your dealers, you have around 20,000 approximately dealers. How much would be -- I mean all of them are multi -brand, I guess, right? So it was a little...
Hemant Jalan: Your voice is a little faint. Could you speak a little louder?
Lakshminarayanan K G : Sir, I assume that all of them are multi -brand. So in general, in these places, what would be your share in the outlet? Would it be in excess of 50%? Or how do you look at it?
Hemant Jalan: You're right when you say th at almost all of them are multi -brand. But if our share in those outlets across the country were more than 50%, then our turnover would have been 4x of what it is. So unfortunately, that is not the case.
So the idea is to increase the throughput for dealer as we have mentioned in our call, and let's say, on average, if our share of counter sale, and we have not done that exact mapping for dealers across the country. Let me say it is 25%, then the challenge

is to move that incrementally to 35%
and then to 45 %. And as you do that, even without any network expansion, you get very substantial increase as far as sales is concerned.
So if you will notice in the last 1 or 2 years, the expansion in our network is -- it is happening, but it is happening at a slower p ace than the actual increase in sales because a lot of that increase in sales is happening because of increased share of the counter sale. And the thing that is more closely correlated with all that is increase in our tinting machine population.
When the t inting machine population increases and as more and more of our dealers adopt our tinting machine, the throughput per counter for those counters, which have tinting machine, tends to go up very drastically. That is the number that we track more closely tha n simply the increase in the dealer count.
Moderator: The next question is from Aditya Bhartia from Investec.
Aditya Bhartia: Sir your strategy of penetrating Tier 1 and Tier 2 markets appears to be paying out exceptionally well. And these are the areas wh erein one would anticipate competition from larger guys to be a lot more intense. So what has really kind of contributed to it? And if I may just add to it, how would our pricing and dealer incentives be different versus, let's say, some of the larger guys ?
Hemant Jalan: I don't think there is any difference in either the pricing or the dealer incentives in larger cities versus smaller towns. All the dealers, whether they are in a large city or in a small town, and these dealers are all multi -brand, openly admit that the margin that they make by selling an Indigo product is significantly higher than the margin that they make selling by a larger brand on the same counter. And that is not a surprising piece of news to us.
We have known that all along, and the dealer community also knows that. So I don't think giving higher incentives to the dealer results in anything at all. What is more important is to get the pull from the customer, and that pull from the customer is generated by working more intensely with the influencers, the painters and the painting contractors who generate the demand and make a recommendation for your brand.

And that is an activity that is painstaking. It takes time. It takes a lot of effort. It does not consume a whole amount of capital in terms of money or investments, but it does take a lot of time and effort and patience for that to gradually happen.
And as and when that happens, the dealer is already incentivized. He is already making more margin by selling Indigo versus some of our l arger peers. And therefore, no further incentive is required and is not very instrumental as far as driving sales is concerned.
Aditya Bhartia: That's very well explained, sir. That helps a lot. If we may look maybe 1 year, 1.5 years back, which was the ti me when we were struggling a bit to outpace our competition, versus that you had outlined a very clear strategy of penetrating larger towns and booking on the contractors and painters.
Do you think it's only these things which have contributed to such a si gnificant improvement in performance? Or is there something else also that we should be aware about? What were the challenges that you saw maybe 1.5 years back...
Hemant Jalan: I would say that, that strategy that we laid out is largely what is responsible for the outpacing that you see now. So it is something that we realized maybe in hindsight, we realized it a year later than when we should have realized it. But when we did realize it and made corrections in our sales strategy, in the number of salespeop le that we had on the ground and the number of below -the-line people that we have on the ground who talk and work with the influencers in the market, that is largely the reason for this outpacing of sales growth, wh

ich we have regained
now.
Now there are o ther contributors also. For example, our foray into waterproofing chemicals, that contributes significantly now to the top line on our standalone company, Indigo Paints. And there is also meaningful contribution coming in from our subsidiary, Apple Chemie, which adds up as far as our consolidated results are concerned. So that's another thing that is propelling us.
We are looking at entering into more areas. As I said, we have formed a separate vertical for project sales, although I would not be too optimis tic about making huge gains in that space in the next fiscal, it will probably take at least 1 year, 1.5 years before that starts yielding meaningful contribution towards the top line.
But the waterproofing is an easier space, and we have a natural affinity towards it. I think we have a very distinct product advantage in terms of quality. We are already supporting it aggressively with advertising. And I'm confident that the waterproofing segment will be one of our fastest -growing segments going forwa rd into the next fiscal.
T. S. Suresh Babu : And to add to that, we also have started our focus on adding wholesale dealers in most of the markets. We have a separate vertical now tracking that. And in fact, we have that vertical tracking for our key dealer s to contribute approximately 50% of our sales. So that has also substantially helped us add to the increasing pace of sales.
Moderator: Next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: Sir, I wanted to just understand the 4Q -- I mea n your comment on sales growth in particular. So you pointed to industry growth uptick required for us to reach that 35%, 40% sales growth target that we typically have. But if I look at your own target for FY '24, it does suggest that your growth will mov e to a similar kind of trajectory of 35%, 40%, it is just by calculated. This is despite the fact that other players are saying that Jan is weak.
So I was just trying to kind of combine the two statements and kind of understand them. Does it mean that our growth now has become a lot more our own driven. And hence, this is more a conservative stance that you are taking right now for FY '25. If you could help me understand how should I look at the se two statements that you made?
Hemant Jalan: Away with 10 months gone in this fiscal. And for 9 months, our growth has been somewhere in the region of about 20%, 19% or something on a consolidated basis a little better, I think it would be difficult.
Although the fourth quarter accounts for a much higher share of our revenue compared to other players, it would be difficult to think beyond 25% growth for the entire year at best if we have a wonderful quarter this year than on a consolidated basis, we could be talking about somewhere in the range of 25% to -- I mean on a consolidated basis, we are doing a lot better than on a standalone, so I don't know whether your question is aimed at the standalone results or the consolidated results.
On consolidated basi s, so for 9 months, we have grown at over 23%. We'd be happy if that number goes up to 27%, 28% or something. And that will lead us to, I think, somewhere around INR1,350 crores upwards as far as the sales for this year is concerned.
Now I don't think that our growth is independent of the industry. Yes, we do outperform them

by a wide margin, but the underlying sentiment in the market does affect us all. So if you...
Avi Mehta: Sorry, sir. If I can clarify, sir. What I've...
Hemant Jalan: For the industry, when in Q2, I think, if I recall, the industry growth was around 2% or something, and we grew by some 11% or 12% or thereabouts. I don't have the exact numbers in front of me. So it does affect our growth rate when the underlying growth rate becomes slow and sluggish.
So with two success

ive quarters of sluggish growth for the industry overall, I'm fairly optimistic that very soon, if not later, the growth for the industry will bounce back. And if the industry starts doing its traditional 8%, 9% growth, it m akes it a lot easier for us to achieve a 35%, 40% growth.
Avi Mehta: No, no, sir. Okay. So let me clarify, sir. When you say 4Q is expected to be better, I mean, at least even if I look at standalone or consol, your sales growth also is moving up. And if I look at 4Q expectations from or commentary from the other players, they seem to suggest Jan was weak, and they are not very -- the confidence on 4Q is relatively lower. So that is why I thought that maybe what you are doing is actually resulting in a far sharper divergence and divergence

will actually rise as we go forward is what where I was thinking, but maybe am I right in that understanding is what I wanted to get...
Hemant Jalan: That is right and partly wrong in the sense that it is not totally independent of the industry. Now if people have told you that January was somewhat weak, it was fairly decent for us. It was not outlandish. So if it was weak for others, then I can understand as to why, I mean, our outperformance would have probably conti nued in January.
But if others will grow at 3% to 4%, then I think we can't hope to do much more than 20%, 25%. But if others grew at 8% to 9%, that means the market is buoyant, and it makes it easier for us to go to 35% to 40%. That's all I'm saying. So t he outperformance is a consequence of what we are doing internally. But the baseline is a consequence of what the market sentiments are, which are really not only beyond our control, but very difficult to predict.
Market conditions are to change very s uddenly in the paints sector. Sometimes in the positive and sometimes in the negative direction, and they happen miraculously across the country in almost 1 week and I've never been able to understand why that happens. But historically, that's how markets change. And let's just hope for the best. That's all we can say.
Avi Mehta: No, no, fair enough, sir. No, I understood the equation, sir. Excited here. The second bit I wanted to understand was more on the new player entry. Now barring the near term, becau se we all will -- there will be an action, we will obviously respond. But if I look at it more from a 2 -year or a 3-year perspective, this industry has been very rational in terms of the way it looks at pricing, the way it looks at the consumer. Are you in any way worried that, that might change given the new player might -- is coming from outside the industry? And your thoughts on this would be very useful.
Hemant Jalan: No, I don't think that the rational behavior that you alluded to is likely to suddenly become irrational. The new entrant that you are talking about is also known to be a very rational player in whichever sector it operates. And therefore, we would not expect a conservative solid player like Grasim to come up with anything irrational.
First of all, coming up with irrational pricing is likely to hurt a new entrant more than help them, and I do not expect a group with such solid foundations to behave in an irrational manner, nor do I expect the industry to respond in an irrational manner becau se despite all the hype that exists in media and amongst analysts about the threat of a new entrant, I don't think the existing players within the paint industry are overly worried about it. And the reason is that everyone knows the huge barriers to entry that exist in this sector and the time it takes to circumvent those barriers.
Now nobody is saying that the new entrant will not succeed or will succeed partially or something. All we are saying is that the time taken to overcome all the barriers that is r equired is considerable. And therefore, it's not a 2 -year

or a 3 -year period, you more talk about a 7 -, 8- year period for any player with whatever might it may have to make a very meaningful mark as far as this sector is concerned.
And if in that time peri od that company were to grow and become a significant player and that is entirely possible, the industry growth would have been sufficient that none of the existing

players either top line growth or bottom line growth would be impacted in any measurable manner. And therefore, I don't see any concern within the industry as far as the new entrant is concerned. All new entrants are welcome. They will keep the existing players on their toes. Competition is always welcome. And that's all that there is to it.

Avi Mehta: Okay, sir, fair enough. That's very, very helpful. Sir, just one bookkeeping, if I may. You pointed towards premium salients being lower. Is there a number you could share for us? Like where does it stand in terms of percentage? And how does it con trast with the industry?

Hemant Jalan: See, what happens is that qualitatively, as far as the premium end of the paints are concerned, the market share of the market leader would be disproportionately high as far as that segment is concerned.

As you go down the steps, when you come to the #2 player, their share in the premium segment would be probably the second highest and probably a slightly lower contribution from the overall pie coming from them. And as you move down to the smaller and smaller playe rs, the share of premium paints that we sell as a percentage of the overall pie does get smaller. So to that extent, we are somewhat less impacted when a price drop is announced as far as the premium segment is concerned.

Conversely, if a price drop is ann ounced for the economy range, we would be affected far more by that in case we feel that they're not able to cover it by reduced spend as far as schemes for the dealers are concerned.

Moderator: The next question is from the line of Jitark Shah from SBI Pe nsion Funds .

Jitark Shah: Congratulations on a great set of numbers. Sir, my question is just slightly on the qualitative part regarding the painter community and how you try to sort of influence them to engage more with you. So I'm aware that you have som e sort of apps wherein they can participate and they typically try to engage with you in the form of marketing prospects.

But just wanted to understand how are you differentiating it as compared to the other larger players who also have similar strategies. So if you could throw us some light on that, that would be helpful. That's all.

Hemant Jalan: I'll ask Suresh to answer that question. Yes, Suresh.

T. S. Suresh Babu: As far as the contractor scheme or incentive program is concerned, yes, we are also riding on the back of a digital platform to ensure that if they get their points while scanning some sort of code, which we are inputting into the cans. One point of differentiation is that what we give as an incentive payout is probably 3 to 4x higher than that of the industry. That's one part.

The second part is that we try to ensure that these contractors get to know our quality through the blind test that we do, and this we do prior to enrolling them into our scheme. And subsequently, having enrolled them, we als o have our business development officers who kind of visit their site, help them convert the sites by discussing it with the customers, and that's how

we kind of do it. So I think that we have an edge there as far as the efficiencies, the way we drive our incentive program is concerned.

Jitark Shah: Got it. And sir, so have you checked whether, like in any numerical metrics as to how the stickiness coming through it or any form of repeat ratios in form of the recommendations you get from the

same painters a gain and again for the customers. Any quantitative metric that you have alluded to?

T. S. Suresh Babu: Yes, yes. We do have. We track the performance of the contractors who are enrolled with us because we get the data of how much they are scanning, which a re the products they are scanning, all those details we have. And so I think that in itself is a good metric to look at the outcome.

Moderator: The next question is from Sonal Minhas from Prescient Investment Advisors.

Sonal Minhas: Great set of numbers, s ir. I just wanted to understand from a qualitative perspective as to you have been delivering, I think, industr y beating numbers for a while. And you've been a newbie since 2011, '12, '13, '14.

So just trying to understand like from a longer -term perspec tive, how do you see like the likes of mergers as -- the number 2, 3, 4 ranking companies see you, react to you in the market? Are you still below the radar for them essentially in the geographies that you work with?

Hemant Jalan: Yes, I don't think we are below the radar for anyone. We are large enough for everyone to take note and to track what is happening to us. The good thing about this industry is that the inherent growth in the industry is so healthy that one person's growth does not necessarily come at the expense of the other.

So although the number two, number three, number four players may see us in the back view mirror and see that we are growing at a faster rate than them, but inherently, I don't think that

we specifically impact the growth rate of any of those companies. If so, it is so marginal that it
is not even noticeable. And therefore, there is no need for any of them to do anything reactionary
in nature to stop us or to halt us in our tracks, nor do we see any such move by them, and for
good reason.
I mean there is very little that any player can do to stop a smaller player from growing faster.
And it's a healthy industry, which is largely cooperative with each other on non -competitive
events. And we do interact that industry for at least once in 6 months or 1 year. And I have not
seen anything retaliatory in nature by any of those players as far as we are concerned. So no, we
remain good friends with everyone.
Sonal Minhas: I understand that, sir. And secondly, I just wanted to understand, like you talked about the
journey of the premium products, basically trying -- are you trying to break into that particular
category? And the role of influencers, the role of the painters basically in that? Is B2B adoption
also a key there?

And just tryin g to basically understand that in the premium paint category, is it Asian? Is it
Akzo? And like what does it take to actually have a good premium products, which the channel
accepts in terms of quality of the product, in terms of like just any serviceabili ty growth?
Hemant Jalan: So I will look at it in any other sector, as an example. I mean, take automobiles. I mean generally,
if a newer player comes into the automobile sector, it would start from the entry level or the
economy range products. Even the la rge players in India, like Maruti, or whether you take your
Hyundai's or whatever Tatas or Mahindras, I mean no one has yet is trying to, let's say, compete
with the Mercedes or a BMW.
Because it takes a much longer time for you to penetrate the premium segment, and it has to
happen sequentially. The only exception in this case, I may say, has been Akzo, which
traditionally has been a premium end player only. And therefore, despite being the number four
player in the decorative space in India, probably has a slightly larger market share in the premium
range as opposed to its overall market share in the paint industry.
But otherwise, you would expect and Asian Paints being a market leader to have much more
than its overall market share, a higher m

arket share in the premium end segment, slightly lower
for Berger, slightly lower for Nerolac and even lower as far as we are concerned. And as the
company grows, the premium end grows faster on a smaller base, and it takes a while before you
can start equaling the larger players as far as the premium end paints is concerned. One has to
just be patient, keep working with the influencers.
You alluded to the B2B segment. The B2B segment for new constr uction is generally not the
largest consumer of premium end paints. Builders would tend to put -- and shall I say, either the
economy range paint or the lower end of the premium paints as far as new construction is
concerned. The luxury segment, which is t he highest end, is not something which most buil ders
are accustomed to putting.
So I don't think the B2B sales is something that will get you there. It is more capturing the
customer's mind and the influencers mind and having a lot of patience for that seg ment to deliver
its rightful share of the pie.
Sonal Minhas: I understand. But from a product chemistry perspective, sir, our products for Indigo are
comparable to a Dulux premium or luxury or the...
Hemant Jalan: Yes. We would like to think that they are better. But having a better paint...
Sonal Minhas: On an absolute scale?
Hemant Jalan: Yes, yes, on an absolute even by scientific tests and all that, at least by the test that we do in our
lab, we feel that our paints quality -wise are definitely the best in any segment. But it is one thing
to have a good product, but it is another thing to make the customer convinced that it is the best
product. And the two are entirely different.
Moderator: Next question is from Arkopratim Pal from Sanjay Agarwal Broking.

Arkopratim Pal : Based on your latest sales, your sales growth increased at approximately 17%. And in that
scenario, what is the corresponding volume growth rate?
Hemant Jalan: We have uploaded that, Mr. Pal, in our investor presentation, both on the stock exchanges and
on our website. So we never give an overall volume growth because we personally think that,
that number is utterly meaningless.
So we always give our volume and value growth in 4 distinct categories of paints. One is the

cement paint plus putty, which are the powder paints, where our volume growth has been 24% and value growth has been 25%. The second is the emulsion category, which is the largest category, where the volume growth has been about 14% and the value growth has been 18%. The th ird is the solvent -based paints, which are enamels and wood coatings, where the volume growth has been 27% and the value growth has been 25%.

And finally, we have the ancillary or the lower category water -based paints, the primers, distempers, others, wher e the volume growth has been 38% and the value growth has been 35%. We have given that whole tabular chart in our presentation. So the overall value growth has been 21.33% on a standalone basis and not 17% what you have alluded to.

Arkopratim Pal : Good. Th is is very helpful. My second question is your operating profit margins is currently around 18%, which is impressive as compared to previous quarter. Could you please elaborate on any potential change in OPM that might be anticipated for this end quarter?

Hemant Jalan: For the fourth quarter, you will expect -- we expect to see a significantly higher EBITDA margin. And that has happened in every single year in the past years because the products that contribute the most to the gross margin, some of our diff erentiated products they tend to sell the maximum in fourth quarter.

So our EBITDA margins historically, both the gross margins and the EBITDA margins have historically been the highest in Q4 compared to Q1, Q2, Q3, and we'd expect a significant increase i n EBITDA margin from Q3 levels to Q4 levels, and that will si

gnificantly raise the overall EBITDA margin for the entire year. Just now for 9 months, it is close to 17%. We expect that EBITDA margin to go up to about 18.5% by the time the whole year is over .

Moderator: We'll have to take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Hemant Jalan: Well, thank you all for participating in this Q3 -- earnings call of Indigo Paints. We look f orward to interacting with you again 3 months from now. And have a Happy Holi in between. Thank you all.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your l ines.

Call: May 2024

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May 28, 2024
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001
Scrip Code: 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol: INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call.
Pursuant to Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings call held with the analyst and investors on May 23, 2024 at 12:30 hrs (IST) to discuss the Audited Standalone and Consolidated Financial Results of the Company for the Financial Year ended March 31, 2024.
The above information will also be made available on the website of the company www.indigopaints.com/investors

You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: As above
DAYEETA
SHRINIVAS GOKHALEDigitally signed by
DAYEETA SHRINIVAS GOKHALE Date: 2024.05.28 14:33:35 +05'30'

“Indigo Paints Limited Q4 FY24 Results Conference Call”

May 2 3, 202 4

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN & MANAGING DIRECTOR , INDIGO PAINTS LIMITED
MR. SURESH BABU - COO, INDIGO PAINTS LIMITED
MR. CHETAN - CFO, INDIGO PAINTS LIMITED

MR. SRIHARI SANTHAKUMAR – GM (FINANCE),
INDIGO PAINTS LIMITED
MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Indigo Paints Q4 FY24 Results Conference Call hosted by IC ICI Securities.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask question after the presentation concludes . Should you need an assistance during the conference call , please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon from IC ICI Securities. Thank you a nd over to you, sir.
Manoj Menon : Hi, everyone. It is a wonderful good morning, good afternoon, good evening depending on the part of the world you are joining this conference call from.
As always, it is our absolute p leasure at IC ICI Securities to host the management of Indigo Paints for the Results Conference Call.
Over to Srihari from the Company for the intro of the participants and further proceedings.
Thank you.
Srihari Santhakumar : Thanks, Manoj. Good afternoon, everyone. Thanks for joining our Earnings Call for the Year Ended FY24.
We have uploaded the refreshed Investor Presentation along with the disclaimer in the websites of the Stock Exchanges as well as in our Company's website .
For today's discussion , from the management side, w e have Mr. Hemant Jalan - CMD of the company ; Mr. Suresh Babu - the C OO; Mr. Chetan - CFO and myself, I am the GM F inance here.
As usual, we will begin the proceedings of the meeting with the quick overview of the Financial Performance for the Quarter and the Year Ended FY24 by Mr . Jalan, followed by the quick Q&A. Over to you, s ir.
Hemant Jalan : Thank you all for joining in on the Earnings Call of Indigo Paints for Q4 FY24.
I hope that you have all had a chance to go through our Financial Results as well as our Investor Presentation uploaded on the Stock Exchange portals.
At the outset, we are very happy to report that for the fourth consecutive quarter, we have outperformed the industry topline growth rate.

On a consolidated basis , Our topline has grown by over 18% for the quarter against an industry average of less than 1% growth. Although our aspirations were certainly higher , considering the moderation in underlying demand, I would say our performance is certainly more than satisfactory. On the profitability fr ont as well, we have registered good percentages in gross margin, EBITDA margins and PA T margins.
First, let me come to the standalone results. Compared to Q4 of FY23, our sales in Q4 of FY24 have registered a value growth of 12.5% which is more than four times the industry growth . As usual, we have maintained the pole position in terms of gross margin. Our gross margin for the quarter of 49.3% is not only the highest in the industry by a fairly wide margin, but also the highest in the history of our compan y. This indicates our ability to grow fast while keeping our profitability intact.
Our EBITDA for the quarter has increased from Rs. 71.7 crores in Q4 of last year to Rs. 82.3 crores in Q4 of the last fiscal FY24, registering a growth of 14.7%. The EBITDA margin of 22.5% clocked in this quarter is significantly higher than the 22.0% registered in the comparable quarter of last year. Our PAT has increased by 10% to Rs. 53.5 crores compared to Rs. 48.7 crores clocked in Q4 of FY2 3. The PAT margin for the quar ter has moderated slightly from 14.8% clocked in Q4 of last year to 14.5% in Q4 of this year, primarily due to the higher depreciation on account of our new plant which has been commissioned in Tamil Nadu.
Now , on standalone basis again , for the Full Fisca l FY24, we have clocked a healthy double digit topline growth of 16.9% and have achieved a total net revenue of Rs. 1,255 crores . Our EBIT

DA for the full year expanded by over 28% to Rs. 233 crores and our EBITDA margin for the full year clocked 18.5% , sharply up from 16.9% in FY23 and has been almost exactly in line with our earlier guidance. Our PAT for the full year rose to Rs. 149 crores and PAT margin rose to 11.7% despite a significantly higher depreciation burden in the second -half of the year.

Now , moving on to the consolidated results :
For the quarter, our revenue grew by 18.3% to Rs. 384.9 crores, while the EBITDA grew by 17.9% and PAT grew by 11.8%. The EBITDA margin for the quarter on a consolidated basis was 22.0% and the PAT margin on a consolidated basis for the quarter was 14.0% .
Our subsidiary , Apple Chemi e has registered robust growth of 50% in Q4 of FY24 and we expect them to register strong growth in the upcoming quarters as well. For th e full fiscal FY24, on a consol basis, I ndigo Paints has achieved a revenue of Rs. 1,306 crores, which is a robust 21.7% growth over FY23 and it is far ahead of the industry growth rate. The EBIT DA for the full fiscal has grown by over 31% to Rs. 238 crores in FY24 and the EBITDA margin has impr oved from 16.9% in FY23 to 18.2% in FY24. All other numbers are given in detail in our Investor Presentation, and I shall not repeat them here for the sake of brevity.

I woul d like to give you some more operational details about the last quarter, which go beyond the simple financial numbers. During the last fiscal, our overall A&P spends as a percentage of revenue decreased from 7.7% in FY23 to 7.4% in FY24. Going forward, we intend to somewhat increase our A &P spends in FY25 by supplementing our TV adverti sing spends with significant spends on digital media as well, which has been an area where we have been somew hat passive in the past. However, t he overall increase in A &P spends wil l be less than the expected topl ine growth in revenue and hence the A&P spends as a percentage of revenue is e xpected to continue to decline.
In line with our disclosure practices, we have given our volume and value growth numbers for each of the four major categories of paint products. For the quarter , Q4 of FY24, the Company witnessed over 20% value and volume growth in the putty segment and in the primer + distemper segment. In the emulsion segment, although the volume growth was in mid tee n double digits, the value growth lagged slightly due to price reduction undertaken during the quarter. Growth was somewhat muted in the enamel and the wood coating segment . When viewed for the entire fiscal, we have witnessed very strong double -digit growth across all the four segments, and you will notice that the value growth and volu me growth numbers have moved pretty much in tandem across all categories. We continue to focus on network expansion on improving the throughput per active dealer and increasing our tinting machine population .
As on 31st March 2024, our count of active deal ers was over 18,000 and our tinting machin e population was almost 10,000.
On the CAPEX front, civil works are progressing well in both the new water -based paint plant and the solvent based plant being set up at Jodhpur. We are also proceeding to double our putty manufacturing capacity at our existing facility at Jodhpur. As mentioned earlier, during the year, our focus on waterproofing and construction chemical products have started yielding good results with mid-single digit contribution to the revenue pie and we are witnessing good sales traction in many states for these products. We expect sales of these products to pick up further in the new fiscal.
As a responsible corporate citizen, Indigo Paints has undertaken several sustainability initiatives to imp roving our ESG performance. We have started deploying electrical vehicles for the last mile delivery of our products to reduce our carbon fo

otprint and are planning to set up solar
panels at our existing manufacturing facilities and at our head office at P une in a great push towards green energy. We have also committed to set an emission reduction target with science - based targets initiative . On the CSR front, we have extended educational assistance to over 300 underprivileged girls in and around Pune city. As part of our healthcare support , at Kochi, where we have a manufacturing plant, we have tied up with Ca ncure Foundation to provide free dialysis and palliative care facility to the underprivileged sections of society. As part of providing community care , we have extended health insurance to over 1000 plus families of the painter community in the state of Bihar and we are extending this medical insurance , health insurance

cover to over 1600 more families of the painter communities in the state of Orissa a nd Chhattisgarh as well.
Finally , I would say that we have come a long way since we met you for the first time during our IPO, which was slightly more than three years ago. During the last 4 years, while our sales have more than doubled from Rs. 625 crores in FY20 to Rs. 1,306 crores in the last fiscal, our EBITDA has expanded 2 .5 times from Rs. 91 crores then in FY20 to Rs. 238 crores in FY24. And our PAT has tripled or more than tripled from Rs. 48 crores in FY20 to Rs. 149 crores in FY24. For the upcomin g year, we expect the Company to continue to outpace the industry

growth by a wider margin while maintaining and improving our profitability metrics.
That i s all I have to say as an opening comment . I look forward to taking your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of A bnee sh Roy from Nuvama. Please go ahead.
Abneesh Roy : My first question is , you mentioned the support programs for painters, so wanted to understand is this because competition has been going up a bit because ultimately all paint companies will target the same painter community? Astral has also completely relaunched under the Ast ral brand paints across many markets, and J SW Paints claims to have clocked Rs. 2,000 crore s revenue in the fifth year of launch. And now, of course, the Big Daddy has also come , Birla Opus, s o if you could comment in terms of the influencers , painters , how has the overall support schemes by you or the industry changing and any insights if you can give , how it can change further?
Hemant Jalan : See, when it comes to the CSR initiatives for the painter community, it is truly what it is. It is a CSR initiative . It is not a business initiative to drive sales. We would like to reach out to various underprivileged sections of the society . Since the painter community is a community that we interact with on a daily basis, we have selected that community . When we sel ect painters for coverage of health insurance, there is a very strict guideline given by us to the team below that this enlistment of painters should have absolutely no relationship to whether they are supporting Indigo P aints or not supporting Indigo Paints. We don't even look at that parameter at all. We are simply trying to reach out to the painter community as a whole as one of the underprivileged sections of society and we are providing this health cover . So, I don't think that this CSR initiative shou ld at all be looked at as a competitive tool or a business tool to drive up sales, because I don't think that there is any intent or not part to link the two together.
Moderator : Thank you. We will move to the next question from the line of Percy from I IFL. Please go ahead.
Percy : Sir, couple of questions on the competitive intensity. So, firstly , I see you have about 10,000 tinting machines, 18,000 dealers. So, in terms of throughput per dealer or per tint

ing machine,

you would be significantly lower tha n what the large 3-4 players are at, so if a new entrant is coming in and sort of wants to make a place for himself at the dealership, would you not be an easy target to sort of replace? That is the first question , sir?
Hemant Jalan : See, this speculation about this new player has been going on for the last 2.5 to 3 years. Now, so far all the narrative has been on a speculative framework , what will they do? What impact they will have, etc. Now their launches happened three months ago. So, as we speak, they are very much there on the ground. We see absolutely no impact of their presence on our topline , bottomline , our tinting machine adoption or our dealer adoption , whatsoever. Now , I feel strongly that the competition that we face from the existing large pla yers like Asian Paints, Berger paint s, Kansai Nerolac, Akzo Nobel , etc. , is infinitely higher than what we are likely to face from any new incumbent, at least for the next 4-5 years. And therefore, our focus has been for the last 10 years and will continue to be in the next 5 years to focus on competition that we face from these large 4 incumbents who are giants in the industry, extremely well managed companies, models of corporate governance and co rporate excellence and the level of competition that we have faced from them has al ways been of a very high inte nsity. So, I don't see the competitive intensity changing significantly by a few new entrants coming and that has been our consistent narrative in the past. Now, once this quarter is over and that is not very far away, it is time that these speculative and what if scenarios give way to hard numbers because now it is high time that hard numbers have to do the talking. So, when the quarter is over a nd when you see the hard numbers coming out, not only from the existing players and ourselves, but by any of the new incumbents, I think the numbers will do the talking and you will be able to find out as to whether they have had a measurable impact on eit her the topline, bottomline or any other metrics of the existing players. My feeling is very strongly, at least as far as our Company is concerned, we have not seen any measurable impact on our network, and it has not come as a surprise to us.
Percy : Just one comment on that point is that probably one quarter is too short time to judge anyone by a new entrant would at least take 1 to 1 .5 years.
Hemant Jalan : Absolutely right. We are perfectly willing to wait for 2 quarters , 3 quarters as long as it takes for you to get convinced that any new entrant, irrespective of how well or how badly they do, that is none of our business to forecast. But to see whether they have a measurable impact on the existing players in the industry , time will do the talking , let us wait for that. What else can we say?
Percy : Sure, s econd question, little related to that is with the new player coming in, what kind of change, if any, have you seen in the competitive environment or rather terms of trade s with dea lers or with painter contractors. And I am not talking about whether you have made any change in your

terms of trade, but more in terms of, is the new entrant offering anything new, either in terms of

the quantum of incentives or in the way that they have offered versus what the normal practice has been?

Hemant Jalan : In terms of your first part of your question, what impact have we seen on all those parameters? The brief answer is so far the impact is not even perceptible. As to what they are offering and what is different about their offering, I reiterate we are really not obsessed with any new entrant. We are completely obsessed with the competition that we face with Asia n, Berger, Nerolac , Akzo and we will continue to be obsessed with t

he competition that we face from them. We have outperformed them consistently in the past and particularly so in the last four consecutive quarters and that remains our focus going forward. So, pardon me, but we really do not have that obsession about the newcomer as many analysts or many people in the media have, and we don't think that it will have any measurable impact on us. As to what their offerings are and what is different about their offering, it is better ask to the management of those new players entering the lin e. It is not fair for us to comment on that.

Moderator : Thank you. We have our next question from the line of Rajesh Mangal from Rajesh Mangal & Company . Please go ahead.

Rajesh Mangal : Sir, my first question is regarding the proposed CAPEX, t his liquid 1. 02 lakh KLPA and putty plant 1.38 lakh MTPA, what will be the CAPEX cost and when this will be committed and how to fin ance this?

Hemant Jalan : The CAPEX cost for the new water based plant that is coming up at Jodhpur is roughly of the order of about Rs. 270 crores. The CAPEX cost for the new solvent base plant coming up at Jodhpur is somewhere in the region of about Rs. 40-Rs. 45 crores and the CAPEX cost of the expansion of the existing p utty facility at Jodhpur is less than Rs. 15 crores. As to the secon d part of your question, when are they likely to come on stream? We expect the putty expansion to be completed by November, December of this year, hopefully a little earlier. The solvent based plant, we are hopeful of commissioning certainly by March 25 an d as far as the water based plant is concerned, although we are pushing for March 25 , but because of availability of labor which has been a problem for civil construction during the last few months , there is a possibility of it slipping by a couple of mont hs. As far as the means of financing is concerned at the moment, the intent is to finance this entire CAPEX by internal accrual s. And we feel fairly comfortable with our treasury balance and with the profitability coming in, the cash flows coming in during the year that we should be able to manage it entirely by internal accruals.

Rajesh Mangal : Sir, my second question is during the year FY23, our CWIP is Rs. 251 crore s and in FY24 this is Rs. 15 crores . So, what is the addition we have made and what is the impact on the topline and bottomline also?

Hemant Jalan : So, basically what has happened is that we were in the process of implementing a large water based Greenfield project in Tamil Nadu. And therefore, last year, in March 2023, you have rightly pointed out to a very large CWI P that was there on the books. That plant went into commercial production in mid -Septemb er, at which time that entire plant was capi talized. And therefore, it has led in the second -half of the year to a significantly higher depreciati on expense after the commissioning and going into commercial production of that plant. And that has of course slightly impacted our PAT margins, although the PAT and the EBITDA has still grown , it doesn't affect the EBITDA, but the PAT has still grown at a very healthy pace. The small amount of CWIP that you see on the balance sheet of March 24, I would expect that almost all of it relates to the ongoing CAPEX going on at our Jodhpur facility where we have embarked on the CAPEX ventures that I have already outlined.

Rajesh Mangal : Sir, what is the capacity added in F Y24 we have and w hat is its impact in FY25 for this volume growth and topline growth?

Hemant Jalan : See CAPEX in paint industry is generally implemented a year or two befor e you see a bottleneck coming. O ur business is somewhat seasonal, so CAPEX and capacity expansions are designed for peak demand that happens, which usually happens either in the month of October or in the month of April. Those are the two peak months

that we face huge surge in d emand and therefore the CAPEX, you can't relate that because you have done capacity , therefore it will lead into topline growth. This is not a commodity and therefore capacity has really no relation to sales, unless you are in a situation where you are los ing orders for want of material. And I don't think

any paint companies allows itself to fall into that kind of a situation. So, the capacity expansion that we have done at Tamil Nadu is about 50,000 kiloliters per annum and that will keep us very comfortab le for the next 4-5 years because that plant services most of southern India and small parts of central and east India, as far as water -based paint requirements are concerned . The capacity expansion that we are undertaking at Jodhpur in the water base plant is keeping in line with the expected demand that will surface more in the northern and in the eastern parts of the country, which are fed from our Jodhpur plant , our third plant and in Cochin really caters to the Kerala requirement and our Jodhpur plant caters to most parts of western India, northern India and large parts of eastern India. So, those decisions are based on logistics and there is no one to one correlation between capacity increase and the topline growth.
Rajesh Mangal : Sir, I think when we increase our capacity , but no doubt, sir, we will increase our topline also , our production will increase so that we can be able to market that product , sir, what I think?
Hemant Jalan : I think it is the other way round. Mr. Rajesh, when you see t opline growth coming, then you go for a capacity increase so that you do not run into any bottlenecks and supply in the forthcoming quarters o r the forthcoming years. It is not the other way round where you make a CAPEX and then that CAPEX drives your topl ine growth . So, this is a marketing -oriented business where the market forces decide your topline growth. And as you see the topline growth coming, you

decide the appropriate times to implement capacity additions , so that you do not face any supply bottlen ecks going out into the future.
Rajesh Mangal : Sir, our estimation for topline growth is around 16% and EBITDA around 18 %-19%?
Hemant Jalan : No, we have not given any guidance on topline growth numbers for the year because those are somewhat related to the underlying demand situation and what the industry growth would be. The only guidance that we will give you is that whatever is the industry topline growth , we are fairly confident of continuing on our earlier trajectory of growing at least three times the industry topline growth. Now , if the industry topline growth comes back to the earlier levels, which has been the norm for the last 10 -15 years of industry registering a value growth of somewhere between 7 % to 9%, if that happens, then we should be lookin g at the topl ine growth somewhere around 25%, maybe even 30%. But suppose the industry witnesses or continues to witness a slump in demand growth and the industry growth is 1% -2%, t hen I am afraid we will have to be satisfied with the topline growth of clo ser to 15 %, 17%, 18%. So, I have no means of predicting as to when the demand revival will really happen in a very meaningful way. And to that extent we don't give any specific number guidance as to what the topline growth will be going forward.
Rajesh Man gal: Last question, sir, in the investor presentation at scre en #30 , we have given the picture of Atal Setu and Mumbai Trans Harbour L ink etc. , any specific reason behind this?
Hemant Jalan : So, those are related to our subsidiary , Apple Chemi e. Those are not projects that Indigo Paints directly is involved in, so we have mentioned and on that same page you will see the logo of Apple Chemi e at the top. So, Apple Chemi e makes construction chemicals and waterproofing products for th

e B2B segment , not for the retail segment . For the retail segment, these products are made at Indigo factories under the Indigo brand name, but for Apple Chemi e, they are into the B2B business of th is same product portfolio where the specifications of the products are significantly different and therefore all those projects that you see on page 13 , our projects where Apple Chemi e has been consistently supplying , they have supplied their products at the Atal Setu, at the Sam ruddhi Mahamar g from Nagpur to Mumbai , at Cid co Pune, the Mumbai Trans Harbour Link and the Versova -Bandra Sea Link and many other landmark projects not only in Maharashtra , but now increasingly elsewhere in India also , in at least 8 -9 states of India.
Moderator : Thank you. The next question is from the line of Lax minarayan an from Tunga Investments. Please go ahead.
Laxminarayanan : I have a couple of questions. One, in terms of the dealers that you actually on board, how many dealers are first generation dealers and how many of them are somehow related to the paint industry? So, in general, how things have moved and are more people interested to open dealership as a first generation?

Hemant Jalan : So, it is a mix of both. Most of the dealers that we onboard are existing paint dealers and they are dealing with one or more of the larger paint companies . You do have cases of people who are in allied businesses. They may be in the cement business or the tile business or hardware business or pipes business and they look to diversify and open up a paint counter. Usually , those kinds of dealers who are onboarded at least in their initial few years , for us, they are d ealing almost exclusively with I ndigo Paints and over time, they may or may not choose to diversify

their offering by having some other of the leading brands also there. But I don't have exact numbers as to out of the new dealers onboarded, how many of them are first generation and how many of them are existing dealers , but I would expect that at least 90% of the dealers being onboarded are existing paint dealers who have already been in this business for a significant amount of time.
Suresh Babu : Having said that, definitely there is a greater affinity for the younger generation , first generation , new dealers to opt for Indigo as the main brand . That w e have been seeing increasingly , but to put a number to that is slightly difficult.
Laxminarayanan : The second question is that I was just checking the overall pain t cost per square feet almost 55 %-60% in Metro happens to be lab or cost. So, how you see it at a Company level and how do you think about decreasing price, increasing price, how much is actually the custom , it actually affects the customer , is it fair to assume that more than 50% of the cost of painting is actually labor cost ? In your case how it is because I think on the lower value segment, there will be more labor cost of the proportion and as we go up t he later cost as a proportion of cost slightly comes down, we just want to hear your views on that.
Suresh Babu: It is not exac tly like that because when you are using economy range emulsions, the per square feet painting rate is much lower as compared to using a premium range or a luxury range. So, for an economy range , I would preferably say that maybe the rates might vary betw een Rs. 8 per square feet to Rs. 1 2 per square feet , for the luxury range it will vary from Rs. 4 0 to Rs. 45 per square feet, very close to that of using starting range of wallpapers. So, there is nothing like that if you are using economy range emulsions , then the proportion of material cost will be significantly lower than that of labor cost. It is not like that.

Hemant Jalan : They will be to some extent, what he is saying is right that labor cost being somewhat agnos

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of the rate of paints that you use as a percentage of the total painting cost, labor would involve a slightly lower percentage as you move up to the premium segments and a slightly higher percentage as you move to the economy emulsions. But then what happens is that the labor requirement also ch anges , the amount of surface preparation , you have to do for a premium end paint is a little more than what you do for an economy range paint. But having said that, I think your analysis is more or less right that in general the labor cost of painting is a little more than

the cost of the paint itself. And therefore, you are right in saying that the elasticity of demand with respect to pricing of the paint is fairly low. So, minor changes in pricing of paint products do not materially affect the overall d emand of paints because the elasticity is low , the overall effect on the overall painting cost is fairly minor.
Laxminarayanan : Because if you broadly look at it, even in a Metro city, the cost of painting a three -bedroom apartment comes to, let us say, 70 ,000 or so , then the cost of, even if the pain t cost is reduced by 10% it affects only to that extent. It is not going to be material, so I am just trying to understand that part ?
Hemant Jalan : That is true not only in Metro. It is true across India. So, the labor costs for painting are not very different from metros to Tier 2 cities to Tier 4 town s, more or less uniform across the spectrum.
Suresh Babu : It might be slightly higher on the Metro , not t oo much, ye s.
Laxminarayanan : That leads to another question , in terms of this, a lot of companies, for example, last quarter there w as a reduction in paint cost and there is a leader who is saying that I will offer 10% more in terms of pa int it is because entire pricing strategy seems to be not affecting the end consumer, it doesn't reach the consumer , only 40% of the cost reduction reaches. So, I just want to understand, how the industry or especially you think about price reductions, etc. , in this context ?
Hemant Jalan : See, we are not the leaders in pric e reduction. Price reductions always happen. They are initiated by the market leader which is Asian paints. Now for whatever reasons and we cannot be spokespersons for that large company, what causes them to take a price drop or a price increase they may b e having their own reasons to do it , but being a very dominant industry leader, when an industry leader takes a price cut, all others are kind of forced to follow suit. Now , that need not result i n a direct effect on the bottoml ine because usually when pri ce drops happen , they are accompanied with also marginal reduction in the discounts that you offer to the trade. And since the revenue s that we all report are net of all discounts, it does have some impact on the value topline figures, but the effect gets slightly muted . Now again, when you come to a new incumbent offering, free material 10% etc. , as I said, the impact of their efforts so far have not been visible on the ground and therefore I don't think that those impact the industry in any meaningful man ner, whatsoever.
Moderator : Thank you. The next question is from the line of Priyank Ch heda from Val lum Capital. Please go ahead.
Priyank Chheda : Sir, I wanted to know what is the share of differentiated portfolio out of the whole of the

standalone portfolio that we have and how has that grown in last 1 or 2 years, if you can hig hlight that that would be great?

Hemant Jalan : So, it remains around the 30% m ark on our overall revenue and as a percentage earlier, we used to see a steep climb happening year-on-year. I don't think we see that anymore. It is kind of stable around 30% some year it goes up to 31, some year it drops to 29 , but that whole portfoli

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is now growing at almost the same pace as our overall basket of goods.

Priyank Chheda : Sir, the question is what has really resulted into market share gains versus industry 3 x growth that you have as a strategy, what is actually driving the market share gai ns? Is it the complete portfolio or is it distribution led? If you can focus what is the source of the market share gains that we are looking at?

Hemant Jalan : It is usually not one parameter. There are many things moving in tandem, so it all boils down to execution on the ground. So, some of it would come from new dealer addit ion, some of it will come from wholesaler addition, some of it will come from new products and adjacencies like for example, we have forayed into waterproofing chemicals and construct ion chemicals on the retail space which affect our standalone. So, maybe 4 %-5% extra growth comes from there. Some of it is brand building. We continue on a very aggressive brand building pattern. So, we are able to grow our share at existing counters with our existing dealers and therefore snatch away some small incremental shares from the other four larger paint companies. So, I think it is a combination of all of these things that result in a higher growth rate. Now, I do not have access to detailed info rmation from the other players to see why their growth has lagged behind, and which sectors they have not been doing well, so I cannot answer the question as to what specific area have we outperformed them. But this outperformance has not happened only in the last one year. If you look at the last 15 years, we have been consistently outperforming them in growth , at least in growth percentages, so you go back to 10 years in time when we were a Rs. 65 crores Company and we are today at Rs. 1,300 crore s compan y. So, we have grown by a factor of 20X in the last 10 years. I don't think there is any other large Company that has grown anywhere close to that multiple. So, I guess there is something different in our DNA which causes us to execute better on the ground . It has also to do with manpower. We are able to retain our manpower with very low attrition rate. We are able to incentivize our manpower by high variable pay and ESOPs . We incentivize the dealers better and this is nothing new , we have been doing it for a long time in terms of annual turnover etc. , we are very fast on decision making. So, it is a combination of various things and that all put together , I guess makes the DNA of Indigo Paints.

Suresh Babu : Having said that, particularly if you look at last fiscal, we had a huge focus on wholesale addition. So, this wholesale dealer addition earlier was not there as a focus area for our company , but last year it was definitely a focus and there we made significant gains in that area. We made inroads into man y wholesalers who were typically not doing our products, but doing that of competition. So, that was one area of gain. The other thing is that we significantly increased our feet on th e ground, which means our salesf orce, so significant numbers were ramped up in our salesforce which also added . In terms of our activity with contractors, there was a significant

push , in terms of additions of business development officers and thereby the gains which we had from gaining the market shares of larger contractors were very good . I think put together all of this really added to the overall increase in the growth as you see as opposed to that of competition .

Priyank Chheda : The another question is on the two new segments , of course, when you highlighted waterproofing segment and the Apple Chemie, now after one year in Apple Chemie we have seen a good growth but it is on a very smaller scale as a revenue share. How do you see this broader sales as a share going ahead , growing in your whole business and also on the similar

lines, how would the share of waterproofing segment grow ahead in a medium to long term?

Hemant Jalan : Good question. So, of course, you are absolutely right when you say that at the moment Apple Chemie’s contribution to the overall consolidated business is fairly small. Last year , they have done something like about Rs. 51 crores of topline revenue and compared to that our standalone revenues have been like Rs. 1,255. So, it is a fairly small number. Hav ing said that, the smaller the subsidiary, the more is the potential for growth. And in their business, the way infrastructure is exploding and with the kind of technological edges that they have , so earlier they were only

focused in state of Maharashtra a nd in answer to one of the earlier questions you referred to slide 30 of our presentation when almost all the projects shown where Apple C hemie was supplying were in the state of Maharashtra. Now that is not true anymore. Now , they are getting large orders from southern India, from northern India, from eastern India, and they have spread their marketing team to 8 other states. So, the growth rate that is possible in Apple Chemi e as a percentage is definitely going to be far in excess of the growth rate that Indigo Paints is going to achieve on a standalone basis. They are t alking about growth rates going beyond 50 %-60% as far as this fiscal is concerned . Now, certainly Indigo on a standalone basis is not going to grow at 50 %-60% or highly unlikely that we would. So, therefore, their share in our total consolidated business will progressively grow overtime, although it is likely to remain fairly small going forward.
The second question about the con tribution of waterproofing and construction chemicals in our own standalone business , during the last 6 -7 months, we rolled these products out only around April, May of the last fiscal . In the last six months , they are contributing around 5 %-6% of our topline, which is fairly significant. Now , we understand, and we don't have exact numbers for that, but we understand that the corresponding numbers for the two largest players in the paint industry is closer to 8 % or 9% of their topline. So, we have some dist ance to grow, and we hope that our numbers will reach 8% to 10% and give us an additional fillip to our growth plans for FY25. So, the products are doing very well. Obviously, even this number to reach so soon of about 5% contribution to the topline is a w elcome surprise to have happened in such a short time.

Priyank Chheda : And one last question on the expansions that we are undergoing, how should we view freight cost going ahead which is 8 %-9% of your sales, how should that fall further meaning contributing directly to the EBITDA margins ?
Hemant Jalan : Some moderation should happen, but freight is always a challenge , you are always fighting with the transporters to reduce freight and they are a lways fighting for some reason or the other to increase freight charges. So, I would say the logistical element to reducing freight cost i s less. The greater gains will come from premiumization of your product range. As the growth in the premium segments a nd luxury segments increases, which they are increasing in the company, freight cost as a percentage of topline naturally comes down because freight costs are agnostic to the price of the goods being transported . You pay the same price for transporting putty which is let us say a Rs. 20 kg commodity and you pay the same cost per kg when you are transporting a high-end luxury paint which is Rs. 400 a liter commodity. So, the percentage of freight cost to your topline is very much a function of the basket of goods that you are selling. So, I don't think the freight cost and the gradual premiumization and some improve in logistics with the new capacities coming up in different parts of the

region will contribute a little bit towards improvement of EBITDA , but I think that improvement is going to be over masked by the improvement that will gradually happen over time by more and more premiumi zation of our basket of goods .
Priyank Chheda : Can we differentiate how do we define premium products and what would be that share in our revenue in standalone?
Hemant Jalan : I don't have those numbers available right now, and I think we will be reluctant to share such detailed informations in public, but suffice to say that the share of premium and luxury products, their contribution in our overall portfolio would be somewhat less than what the number one and number two players have b ecause it is the premium and the luxury segments where brand consciousness is the highest and therefore a Company like Asian paints would have a disproportionately high share of the market when it comes to the premium and luxury segments and even a Berger, Nerol ac would have a slightly lower percentage in their basket of goods , I would imagine. And as your brand strength grows and as the pull from the influencer community improves and as you move up the value chain , these things happen gradually over time. There is nothing magical that can happen in one year.
Moderator : Thank you. The next question is from the line of Rahul Agarwal from Himalya Investment Advisors. Please go ahead.
Rahul Agarwal : Sir, you have always talked about gross margins being the highest in the industry led by the contribution from differentiated products. Can you talk a bit about how different is the margin profile across the various products and how would it compare versus in the differentiated products versus the others?

Hemant Jalan : I don't think that we woul d like to get into that detailed level of disclosure as to what the gross margin profile across each of those differentiated products are. But suffice to say that naturally the gross margin contribution from the differentiated produc ts where we have an overwhelming high market share would naturally be higher and since the overall contribution to the pie is around 30% , it does bump up our gross margins a bit. I don't know if that is now any more the real reason why we maintain a 4% gap in gross margin with the market leader , maybe a 6%-7% gap with the number two player and maybe 10 % to 15% gap from the number three player. There may be other reasons at play. I think we are very alert on our toes when it comes to sourcing of raw material s from across the world . We are very alert on looking at our product chemistry and employing newer and newer additives, which sometimes enhance the quality and at the same time result in a cost saving. So, I guess we are very alert on all those factors whi ch contribute towards the consistently higher gross margin. Differentiated product is the only one of those reasons.

Rahul Agarwal : And over the last few years and obviously historically as well you have consistently added the tinting machine population quite substantially , so first the dealers which have tinting machines , of our dealers who have tinting machines, would they also have tinting machines from other brands or typically just one tinting machine per dealer even for our dealer base ? And second, how is their productivity compared ?

Hemant Jalan : I think that the norm across India is for a dealer to have 2-3 tinting machines. It is very rare to find the dealer now anywhere in India who has only one brand of tinting machine . So, definitely when you are installing a tinting machine, the person already has at least one, if not two brands of tinting machine, sometimes 3 and that is what makes this job a little difficult because of lack of floor space the dealer will adopt your tinting machine only when he wants to throw one of the existing tinting machines to his back

yard or godown or something and wishes to switch over to your brand . So, the larger companies have been around for such a long time and have populated their tinting machines so heavily across t he dealer population in India. And t hese are all very well run companies , you must appreciate, and we have the highest regard for them, so displacing any of their tinting machines and putting your own tinting machine is not as easy a task as it sounds. And therefore it is always a struggle. But ye s, to answer your question, it is very rare to find a dealer who has only our tinting machine.

Rahul Agarwal : And then how does the productivity compare for dealers with your tinting machine versus those who don't?

Hemant Jalan : Almost 3x as a matter of rule. And the productivity goes up materially if a dealer adopts a tinting machine . This is on an average, there will always be exceptions, there will be somewhere where it will be 10X and there is somewhere it will be 1 X. So, not everywhere does it work, but on an average, I would say about 2-3 times definitely the productivity goes up.

Rahul Agarwal : And differential product , sir you mentioned that you are market leaders there, what would your guess be of the market sha re that you have in these differential products across various products?

Hemant Jalan : In some of those products, we are probably the only one around and in some of them , I would say that we maybe 80 %, 90%. They will vary across the 6 -7 different different iated products that we have. It depends upon how you define the market. If we have a very unique offering like we have a dirt proof and waterproof exterior emulsion , there is no other product like that available in the market. So, if you define the universe as only being products which are both dirt proof and waterproof, then you could say that our market share is 100%, but it is not that the product is in isolation, it competes against some other offering of the other companies. So, it is hard to de fine what universe you assume and therefore that market share number, maybe it is likely.

Rahul Agarwal : And one last thing from my side , in terms of the margin profile that we give to the channel partners, you mentioned that there hasn't been much of a change with the entry of competitor s, but how does it compare versus the market leader and number two player , you have always said it is higher, but in your assessment how different would it be?

Hemant Jalan : See, this is you have to understand the dynamics by which this industry functions. No Company gives any margin to the dealer. The dealer decides the margin. You have a certain landed price to the dealer, which is pretty similar across all companies, whether it is the market leader, whether it is us or wh ether it will be any new incumbent. What happens is that the density of dealer population determines his ultimate margin . Now, the higher your density of dealers and it is the highest for obviously the market leader, Asian paints , the more pressure and mor e competition exists between the dealers of the same Company and that competition within the dealers of the same Company is what drives down the ultimate selling price and therefore it drives down the ultimate margin that a dealer earns. Now , people will still sell the market leader product despite having much lower margins because of the huge consumer pool that brand enjoys . Now today , obviously we do not have the same density of dealers as an Asian Paints

does, not even close to it and we choo se not to go there at this stage. So, our dealers would
naturally face less competition from any adjacent Indigo dealer and therefore naturally their
margins will become slightly higher because they will be able to sell the product at a lesser
discount tha n the MRP and therefore at an effectively slightly higher price and if you get to a

very small player who is very new in the market and has appointed very few dealers, the effective
of the margin of the d ealer would be still higher. Th at is how it works. A nd as your market pool
increases and as the brand gets stronger, you gradually increase your dealer population and every
year as the dealer population goes up, the margin that the dealer retains will incrementally come
down overtime. So, that is really how this industry works.
Rahul Agarwal : And you said that the landed price would be similar across all companies, but the consu mer price
may be different?

Hemant Jalan : Yes, they will be similar. Now each Company will offer some extra benefits , if you achieve these
growth targets you get X percentage extra during the course of the year or you get a trip to
wherever Bangkok or Dubai or Europe or something. So, there are a whole of other frills and
shall I say, bells and whistles that people add and to compare t hat becomes very difficult because
not everybody gets it. They are generally linked to growth targets the dealers achieved and they
are different for a small dealer and they are different for a large dealer and so on and so forth.
But by and large, ye s, I would say that the landed cost of paint products to dealers across all
brands would be roughly the same.
Rahul Agarwal : And even though the dealer is selling probably to the end consumer, the pricing that he is getting
for Asian Paints would be much higher than what he may get for you, I think because ?
Hemant Jalan : No, they reverse , quite the reverse. That is what I was saying.
Rahul Agarwal : Because there is not enough local competence for others.
Hemant Jalan : Because of the competit ion, because there is another dealer who is 25 yards away who is also
selling tha t same brand of a large company, b ecause of that, he will have to drive down the
selling price and therefore end up with a slower margin. And therefore when he is selling an
Indigo Paints product with lesser interdealer competition , he is usually selling the Indigo Paints
product at a marginally higher price to the consumer than the market lead er. And because there
is no elasticity of demand and because there is an inherent per ception that price equals quality ,
therefore a customer is more likely to buy an Indigo brand if it is pitched by the dealer at a
slightly higher price than the market leader. He is less likely to buy an Indigo brand if it is pitched
to him at a price lowe r than the market leader.
Moderator : Thank you. The next question is from the line of Karthik Ch ennappa from Indus Capital. Please
go ahead.
Karthick Chennappa : Sir, I have three questions. The first question is the comments that you made in your opening
remarks on the A&P spend s where you said that you ar e intensifying the spend through digital
channels. Are there any nuances or change in consumer behavior that you have noticed which
has actually forced you to focus on this channel?
Suresh Babu : Yes, what we have witness ed is that our customers, from TV, they are moving away from
conventional medium, that is TV, print, OOH etc., now basically what we have noticed is that
the avail ability of content has got so fragmented, and it is so convenie ntly now available on the
so-called second screen which is the mobile that significant amount of people have become
second viewers. They w atch the TV also and they alongside they are watching their mobile
handsets and things like that, and the splurge of O TT platforms. All these have caused people to
start consuming content from things other than TV. So, that is what has prompted us to get

investing in the digital medium so that the consumers who are now moving away from the
conventional medium , we can even address their concerns as far as awareness t

o the brand Indigo
is concerned.
Moderator : Thank you. That would be the last question for today and I would now like to hand the
conference over to Mr. Manoj Menon for closing comments.
Manoj Menon : Over to Hem ant sir for closing comments, please. Thank you.
Hemant Jalan : Thanks Manoj. Thanks all of you for joining in on this call on what I would expect is a hot May
afternoon. It has been a pleasure talking to you and we look forward to interacting with you
again in the not so distant future when this quarter is over. So, thanks a lot for your attention and
for your very insightful questions that you have asked. Thanks a lot.

Moderat or: Thank you. On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Aug 2024

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August 12, 2024
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai - 400001
Scrip Code : 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No . C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol : INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Call for quarter ended June 30, 2024
Pursuant to the Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst and investors on August 07, 2024 at 11 :00 hrs (IST) to discuss the unaudited standalone and consolidated Financial Results of the Company for the quarter ended June 30, 2024.
The above information will also be made available on the website of the Company www.indigopaints.com/investors
You are requested to take note of the same.
Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: as above

"Indigo Paints Limited Q1 FY-25 Earnings Conference Call"

August 07, 2024

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN AND MANAGING DIRECTOR .
MR. SURESH BABU – CHIEF OPERATING OFFICER .
MR. CHETAN HUMANE – CHIEF FINANCIAL OFFICER
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER FINANCE AND INVESTOR RELATIONS .

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Indigo Paints Q1 FY25 Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.
Manoj Menon: Hi everyone, it's a wonderful morning, afternoon, evening, depending on the part of the world you are joining this call from. Representing I-Sec it's our pleasure and privilege to host Indigo Paints Management once again for the Results Conference Call.
Before, I hand over to the management. Just want to highlight that we have upgraded this stock to an add from hold today morning, and as it stands right now, out of the five paint stocks we cover, we have an add rating on AkzoNobel, Indigo and Kansai. Our negative stance on reduced rating on Asian and Burg er space. Now over to Srihari for further proceedings please. Thank you.
Srihari Santhakumar: Thanks Manoj. Good morning everyone and thanks for joining the Earnings Conference Call of Q1 FY25. We have uploaded the Investor Presentation in the Stock Exchan ge as well as in our website along with the relevant disclaimers.
As usual, in the call today we have Mr. Hemant Jalan – CMD of our Company; Mr. Suresh Babu - Chief Operating Officer, Mr. Chetan Humane our CFO and myself Srihari.
We will begin the call with a quick brief of the Performance Highlight by Mr. Hemant Jalan followed by the Q&A session. Over to you sir.
Hemant Jalan: Thanks Srihari. Thank you all for joining in on the Earnings Call of Indigo Paints for Q1 FY25. I presume you have gone through our Financial Results as well as our Investor Presentation uploaded on the Stock Exchange portals.
We have once again reported industry leading growth rate for the fifth consecutive quarter despite subdued market conditions. On a consolidated basis, our top line has grown by over 7.8% for the quarter. Although the growth is good relative to the industry performance, we at Indigo Paints are not enthused by this growth. We feel that we could have certainly done much better, but given the tough market conditio ns, we had to settle for this 7.8% growth level.
First, let me come to the Standalone Results of the Company:
Compared to Q1 of FY24 our sales in Q1 of FY25 have registered a value growth of 6.1%, this tepid growth rate can be attributed to the stark slowd own in the Kerala market. We understand from our sales team on the ground that Kerala has shown a negative growth for all the paint players. And since Kerala is a very significant contributor to our top line, it has served to drag our overall growth rate down. However, various other states did extremely well to compensate for the poor showing in Kerala and provided significant contribution to our top line growth. As usual, we have maintained the pole position in the industry in terms of gross margin, which is

significantly higher than all other major paint players. However, due to price cuts, slightly elevated channel discounts and a temporary spike in certain raw material prices, the gross margin reduced slightly from 47.6% in Q1 of FY24 to 47.0% in Q1 of FY25.
The EBITDA has decreased marginally from 47.7 crores in Q1 of last ye

ar to 45.8 crores in Q1
of this year, registering a marginal negative growth of 4.1%. The EBITDA margin reduced from 17.2% in this quarter last year to 15.6% in Q1 of FY25 largely due to a sharp increase in employee cost of around 23% to 24% on a Y-on-Y basis. Last year, we had drastically expanded our sales force size in Q2 of FY24 to increase the number of feet on the ground in more states. Hence, the employee costs in the quarte r just gone by is significantly higher than the corresponding figure for Q1 of FY24. Of course, if the top line growth had been a little higher, this would have been comfortably absorbed without resulting in any minor EBITDA drop.
Going forward, there will not be a significant increase in employee cost on a Y-on-Y basis from Q2 onwards, and we do not expect to see this aberration in future. The PAT has also decreased from 31.3 crores in Q1 of last year to 26.5 crores in Q1 of this year, which is primarily due to the additional depreciation charge incurred by the Company on account of the commissioning of our Tamil Nadu plant in September 2023.
Now coming to the Consolidated Results:
For the quarter, our revenue grew by 7.8% to Rs.311 crores, while the EBITDA showed a

negative growth of 3.5% and PAT was down by 15.4% for reasons identical to what I have just stated. Our subsidiary Apple Chemie has registered a robust growth of about 47% in Q1 of FY25 on a Y-on-Y basis. We are pleased to announce that Apple Chemie is the first and the only construction chemical Company in India to have recently received NABL accreditation for its laboratory. With good sales traction for two consecutive quarters in a row, and with the investments made by Apple Chemie in terms of expansion of its sales force and marketing activities to various additional states in India, we expect them to register strong growth in the upcoming quarters as well.

Let us now look into some more operational details about the last quarter:

Going beyond the simple financial numbers. Our freight cost as a percentage of top line has shown a decline compared to the corresponding quarter of last year. The advertising and promotion spends as a percentage of revenue decreased from 7.6% in Q1 of last year to 7.2% in the quarter just gone by. Going forward, we intend to supplement our TV advertising spends with significant spends on digital media as well. Towards that end, we have already started several initiatives and will soon intensify our engagement with the target audience through digital media. However, the overall increase in A&P spends will be less than the expected top line growth in revenues, and hence, the A&P spends as a percentage of revenue is expected to continue to decline, albeit marginally .

In-line with our disclosure practices, we have given our volume and value growth numbers for each of the four major categories of paint products. For the quarter Q1 FY25, the Company witnessed over 29% value growth and 24% volume growth in the primer and distemper segment, and the healthy 8% value and volume growth in the putty segment. Value growth in the emulsion segment and in the enamel segment were lower than volume growth numbers primarily due to

the industry wide price cuts undertaken in the second half of the last fiscal. Nevertheless, even in the subdued market, we witnessed a positive volume growth across all categories. And you will notice that the value and volume growth numbers have been largely in tandem with each other. We continue to focus on network expansion and increase our active dealer base and our tinting machine

population. As on 30th, June 2024, our count of active dealers was about 18,500 and the tinting machine population crossed the milestone of 10,000 numbers and closed at 10,210 .

Aside from the waterproofing and construction chemicals being marketed by our subsidiary Apple Chemie, we have also been selling similar waterproofing products in the retail space at Indigo Paints for the last year or so, and this segment is already contributing about 5% to 6% of our standalone top line. We expect the contribution from this segment to increase to around 8% to 10% of our top line as we move forward. On the CAPEX front, work is progressing well, on the state of the art water based paint plant being set up at Jodhpur and the solvent based plant also being set up at the same location.

Now we focus on our ESG Initiatives:

We have extended the electrical vehicle last mile delivery service in three more states in India. We are also targeting installation of one megawatt of renewable energy via rooftop solar installations in this fiscal. On the CSR front, we continue to extend educational assistance to about 150 under privileged girls in and around Pune city. We have also extended our health insurance program for the painter community to the states of Orissa and Chhattisgarh, apart from Bihar. We intend to extend this program to more states in the coming months.

Finally, we have witnessed high sales growth in the month of July, of a kind which we have not witnessed in any single month during the last seven or eight months. Whether this growth rate will continue into August and September is something that we do not know, and we keep our fingers crossed. With the industry have taken much needed price hikes of about 2% overall during July and August. It augurs well for an improvement in gross margins in future quarters. We sincerely hope that we shall exhibit a sharp uptick in both our top line and bottom -line growth from Q2 onwards.

Thanks everyone, and that is all that I had in terms of opening comments. I look forward to your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Gautam Rajesh from Ever Flow Capital. Please go ahead.

Gautam Rajesh: So, my first question was on, are you seeing any due to increase in competitive intensity and margin pressures on your differentiated products that you have in your portfolio?

Hemant Jalan: We have not so far seen any change in the competitive landscape as far as our Company is concerned, and therefore there has been no pricing pressure as a result of any new incumbent entering the field. If that had been so, I doubt if the industry would have gone for significant price hike now. So, obviously, at the moment, there is no change in the competitive landscape, and as we have repeatedly said in the past, we do not expect any significant impact from any new incumbent on our top line or bottom line for quite some time to come.

Gautam Rajesh: So, like for a differentiated product as of now, there is no competition that you are seeing?
Hemant Jalan: None that we have witnessed so far.
Gautam Rajesh: Yes. And my second question was on, has there been any changes in consumer prices or for channel margins, painter or dealer incentives in the industry after the entry of Birla Opus and how have we responded, I know you have said, there is no action from our side. But is there any changes that we are doing or seeing due to the Birla Opus entry into the market?
Hemant Jalan: No, I don't think that there is any change visible with the e

ntry of Birla Opus. The competition amongst the existing players remains strong as always, and that is the major competitive intensity that we are likely to face in the next few years, having said that. Whenever the demand scenario becomes slightly muted, as it has been for the last two quarters in a row, for the entire paint industry, naturally there is a tendency to have a minor uptick in the channel discounts to scramble for whatever top line growth you can get in a muted demand scenario. So, there may have been a very minor uptick as far as channel discounts are concerned, but to attribute it to the entry of any new incumbent would be fairly farfetched at this point in time.
Moderator: Thank you. The next question is from the line of Abneesh Roy from Nuvama Wealth. Please go ahead.
Abneesh Roy: Thanks, Abneesh from Nuvama Institutional Equities. My first question is on the Kerala issue. You said yours and even the industry's performance in Kerala, suddenly there is some weakness. Is that continuing even in first 37 days of Q2 and what will be your sense, is it any seasonal factors or base issue, or any festival related shift in terms of dates?
Hemant Jalan: Abneesh , I really don't know why Kerala market is performing badly for everyone. We can hypothesize and put all kinds of micro economic or macro -economic issues or political issues or climatic issues into it. But to be honest with you, I don't think anyone really understands why the market has really had a steep negative drop. As far as Q1 is concerned, we have seen an improvement as far as July is concerned. But to be able to extrapolate and say that there is a sharp recovery in Kerala going forward, we have to wait and watch. It's too early to comment as far as August is concerned, you have seen the severe landslides that have happened in certain districts in Northern Kerala, but that was only a part of the Kerala. And of course, heavy rainfall is built into the base also, Kerala does experience high rainfall. So, it experienced high rainfall last year also during this period. So, that is nothing very unusual. But yes, July has come back into positive growth for us, as far as Kerala is concerned, but it has witnes sed a prolonged slowdown, and therefore whether it sustains going forward is anyone's guess,
Abneesh Roy: Right. My second question is on the waterproofing business. So, I remember earlier you had shared a kind of a target or a vision that maybe 8% to 10% of your business should come from waterproofing. You already reached 5% within one year, which is a very good achievement. So, could you talk more about it when you expect your final target of say 8%, 10% and which regions you are doing well, it is still overall 17 crores quarterly run it. So, still these are numbers which can go up sharply, but which cities or which locations you have seen more success?
Hemant Jalan: See the entire portfolio, waterproofing and construction chemicals is a fairly broad portf olio. And even when you talk within that, amongst waterproofing products, which are the major

contributor at the retail level, there are various different products. So, there are some products that do extremely well in Eastern India, like West Bengal, there are certain products that do very well in Northern parts of India and Western parts of India. So, it's kind of distributed across India. In general, that segment has been growing very well it's just been slightly over a year since we launched that range, and already contributing more than 5% to our top line. So, I can't give a time frame as to when we would reach o

ur target of 8% to 10% but hopefully another year, year and a half, we should be there and it is a fast growing segment for all the paint playe rs as what we hear from their narrative. So, we expect to ride that wave and register high growth in that segment.
Abneesh Roy: Sure. Last question, so new plant in Tamil Nadu, and we have seen staff cost and amortization obviously increase because of that also. So, the sharp staff cost increase is it only because of Tamil Nadu, adjusting per say the normal inflation which is there for the current employee base. So, is there anything because of the new competition this step has been taken. Second is in terms of capacity utilization, if you could take us how this factory will evolve from a next two years perspective?
Hemant Jalan: So, the increase in manpower costs that we talked about, of course part of it is the normal salary

hikes that happen in April. But as I mentioned last year, towards the end of Q1 and really at the start of Q2 we had taken a decision to significantly increase the number of feet on the ground in many, many states in India. So, our sales force had expanded by roughly 35%, 40% in numbers in Q2 of last year, and that led to a significant increase in manpower base, which has yielded results also. This quarter when we compare with Q1 of last year when that manpower increase had not happened, then the increase looks very sharp of almost 24% and that has been the cause of a marginal drop in our EBITDA numbers. As far as the Tamil Nadu plant is concerned, its contribution to our cost is significantly higher depreciation expense, because it is the state of the art plant in which we have spent around 300 crores of CAPEX, and therefore there is a significant increase in the depreciation burden on the Company, and that will continue in Q2 also, and from Q3 it will normalize because it will be built into the base of the Company. When you build large plants, you build it keeping the next four years in mind. So, we have a unit at Jodhpur, we have a unit in Cochin, we have one in Tamil Nadu at Pudukottai, which regions of India they serve depends upon logistics and the logistical efficiency. So, naturally , Tamil Nadu plant is catering more to the Southern and some of the Central and Eastern states of India. Most of the Northern, Western and Eastern states are catered to by Jodhpur unit, where we are undergoing, again a major brownfield expansion. And Keral a is more or less taken care of by the Cochin unit. So, we expect, once the new capacities at Jodhpur come on board, we expect that this would more or less meet our CAPEX requirements for the next four years or so, during which time naturally, the capacity utilizations would inch up year-on-year at each plant, and these capacity utilizations also vary quarter -to-quarter depending upon the seasonal mix of requirements in different parts of India.

Moderator: Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Sir my question is on differentiated product portfolio. So, you have launched six products in FY24, how many of them would be a part of a differentiated portfolio that you have, and also in

waterproofing, if you can touch upon what is the differentiated unique positioning that we are selling to our customers when it comes to a portfolio of a product versus the market. So, that's question number one.

Hemant Jalan: Not much of new differenti ated product launched in the last fiscal. And I don't think we alluded to that, the share of these differentiated products that we have had

over the last 17, 18 years have more or less remained constant. We have launched a couple of variants of existing emulsions and distempers in the last couple of quarters, I would not really call them as being significantly differentiated products. They are more as variants of existing products like we have a stain free version of interior emulsion, which has been offere d by other companies in the past, we have come up with an economy range of distempers. So, nothing very differentiated about the products that have been launched in the recent past. As far as the waterproofing products are concerned, I wouldn't say that anything is really differentiated. We just feel that our quality of the products is much, much better than what is available in the market by any of our competitors, and that strength in quality comes from the technology that we have been able to inherit from our subsidiary Apple Chemie, which supplies similar products, of course of a much higher specification to large infrastructural projects across India for the building of metro lines and highways, expressways, dams, etc. So, naturally, the level of techno logy that they possess is of a very high degree, and we have been able to develop a retail range with their assistance, which we feel is significantly better than competition, and that is beginning to show itself in the market with high growth.

Priyank Chheda: So, sir how do we communicate this differentiated quality, or a better quality with a very solid tech, when our sales person would be communicating it to their dealers, and dealers would be communicating into their influencers. How is the communicatio n being dissipated further?

Hemant Jalan: So, largely this communication happens by product demonstration, vis-à-vis competition, during various meetings that we organize with groups of painters and groups of painting contractors. Now, when it comes to wall emulsions, it is a little easier to show because there are simple scientific tools available which a person can carry and demonstrate to what your coverage, what your opacity and what your whiteness and brightness is vis-à-vis competition. It becomes a little more difficult when it comes to waterproofing products, because to demonstrate the superiority in technology requires sophisticated laboratory equipment which are not very mobile and cannot be carried out in the field very easily. So, some makeshift arrangements are done like you can take a tea strainer, or you can take a sponge, kind of a substrate and apply your product on it, and a competitive product on a like-to-like substrate, and put water inside the strainer and show whether the water leaks through or not after application. So, these are some of the makeshift arrangements that our team employs to try and demonstrate the technical superiority. But, I admit it becomes a little more difficult in the waterproofing space for lack of sophisticated

equipment out in the field.
Priyank Chheda: Perfect. Sir my next question is on the active dealers that we have and the throughput that we get from the active dealers. So, now what we understand from the ground channel sets is that, a entry level dealer will somewhere around say Rs.2.5 to Rs.3 lakh per bill as a starting point to become an active for a competitors, not for you. But what I am saying is, over last five years, what we have seen is, from Rs.4.5 to Rs.5 lakh per dealer per annum. We have reached to Rs.7

lakhs per dealer per annum as a sales which is grown at 6% CAGR . So, now, how should we see and at Rs.7 lakh, we are still fairly at the point where dealers st

art their billing for the full year. So, how should we see this sales growth coming up from the existing dealers, as far as the throughput that you would like to see from all our active dealers and then also, if you can highlight there have been few appointments of the wholesale dealer that we have done which we were not present. So, with those appointments coming in, how should this sales per dealer number move, going ahead?
Hemant Jalan: I will let Suresh answer that.
Suresh Babu: See what happens is, that most of these dealers as you rightly pointed out that the throughput keeps increasing because we invest in deploying tinting machines at these counters. And when the tinting machine is deployed at the counter typically the average sales just shoots up by 3x, 4x of the existing sale of that particular dealer. And we also support it through our contractor programs and painter programs. We have a separate set of videos or business development officers who work very closely with the contractors in terms of demonstrating the product quality and encouraging more -and-more of such contractors to apply our product, tryout our product so that actually kind of helps in increasing the sales throughput per dealer. And apart from that, as you rightly pointed out we have been focusing on the wholesale dealer base. We have now in excess of 700 wholesalers and the throughput per wholesaler is pretty high. That comes to the range of Rs.4 to Rs.5 lakhs to start with. So, that also is helping and increasing the throughput. So, to answer your question, the throughput will keep increasing as the time comes goes by.
Priyank Chheda: Okay, perfect. And just a last question, so overall on a growth strategy last time you did highlight, the last quarter call about your reasons and the strategy that you are gaining market share which was a sharper execution, new dealers, waterproofing as well as, increasing the sales throughput. So, now these are the four, five broader blocks which you are deploying to grow faster than the industry. So, where is the energy further required, where is the further attention required in terms of a broader blocks that you are building up, where that can lead to a significant growth accelerating it further?
Hemant Jalan: Well, it all comes down to execution and the focus always is on better and better execution, to keep analyzing as to which regions you could have done better, whether you need some supplement in the manpower strength, or an upgradation in the manpower skill level, or a slightly different focus. Maybe some regions may not have been as active as others in appointing wholesalers or developing their larger dealers. So, it's a micro analysis, and that goes on 365 days in a year, and ultimately it's all a matter of execution. If you can execute, well, then we continue to outpace the industry as we have been doing for five quarters. There is no one lever that we can pull to drastically change the growth trajectory. It's a combination of all the things that Suresh mentioned that you have to keep, a little bit will come from new dealers, some will come from wholesale addition. Some will come from more tinting machine installations which will raise the throughput for dealer. We have many programs to encourage dealers to grow into larger and larger dealers by means of various long term loyalty programs which stretch to almost four years or so. So, there are various things that we do, and we continue to do, and the fact that

we are outpacing the industry by a significant margin on a consistent basis is testimony to the fact t

hat the strategy is by and large working out.
Priyank Chheda: Great. Just a last clarification, so when we mentioned that, whenever we install the tinting machine in the active dealer the sales throughput increase. So, going ahead the addition, if you can just give us a broad sense about what would be the active dealer additions per annum that you are looking out going ahead, and what should be the tinting machine additions per annum that we should model it ahead, and I assume that tinting machine addition should be far higher than the active dealer additions?
Hemant Jalan: Well, not necessarily but as a proportion, if you will find that the number of tinting machines as a proportion of our active dealer base that keeps growing up. The tinting machine addition speed

is roughly to the tune of 1300 to 1500 per year. And we don't believe in giving free tinting machines to anyone, because we don't think that it generates much value or perceived value in the minds of the dealer. So, we do charge a nominal amount from the dealer as a right to use basis, so that he has some skin in the game, and installs a tinting machine only when he is serious about using the tinting machine, rather than it being lying as a decorative shall I say, paperweight inside his premises. So, we are a little selective about how we give the tinting machine so that they are effectively utilized. But, if we continue at our present pace which is 1300 to 1500 tinting machines a year that is a satisfactory trajectory to be on.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec India. Please go ahead.

Aditya Bhartia: Sir my first question is on the product mix. Last eight quarters or so, we have seen low value product categories like cement and putty and primer and distemper growing at a pace much faster than let's say emulsions and even enamel in the last few quarters. So, what has that been on account of and as we start seeing rural picking up, should we expect of further acceleration in the same trend?

Hemant Jalan: No, I don't think the product mix changes too much across urban and rural India. That is a misnomer that, the lower category products sell in the rural areas and higher category products sell in urban India. We live in urban India, and we have that misconception, but it is a misconception. The product mix has a significant seasonality factor built into it. Now, as we go forward in Q2 the weightage of things like distempers and putty and even enamels will be significantly higher, whereas emulsions a significant part of which are exterior emulsion, their sales go for a toss in Q2 because of the monsoons. So, different products have differen t weightage in different quarters. For example, a very high percentage of distempers are actually sold in Q2 so, the sale of distempers in Q2 is a very high proportion of the overall sale of distempers in the whole year. And enamels also tend to have a very high sale in Q2 just before the festive season. Whereas when it comes to emulsions, their sales are higher in Q3 and they kind of go through the roof in Q4. Putty is a little more steady and consistent throughout the year and so are primers. So, differen t products have different seasonal patterns, and Q2 is usually the quarter when the product mix deteriorates for everyone. So, if you will look at our historical performance quarter -by-quarter for the last several years, you will find that the gross margin s and the EBITDA margins in Q2 are always the lowest in the whole year. So, I am pretty sure

you are likely to see that in the upcoming quarter also, because there is always a deterioration that happens in the product mix in Q2 and that recovers sharply in Q3 and it is the highest for us in Q4 by a very wide margin. So, that's how the trajectory goes. So, I don't think that there is any particular category which has outperformed or underperformed during the last few years. Distempers maybe, we have done higher growth in distempers in the last one, one and a half years, due to certain variants that we have introduced in the market which have done well, but nothing exceptional.

Aditya Bhartia: Sir the seasonality point well taken. But the year-on-year growth picture that you presented in the presentation. If I just tabulate it across quarters, it seems that cement and putty category has been growing at roughly, let's say 35%, 40% annually every quarter. Primers, distempers, almost 30% odd. Again sir, if I look at emulsions, the growth has been lot slower and for the last two quarters, emulsions as well as the enamels and wood coatings categories have actually been seeing very muted growth actually declined. So, that is what I was trying to refer to, if these are year-on-year numbers.

Hemant Jalan: In your observation, I don't have the numbers for the previous quarters right in front of me to be able to verify, but since you have done that analysis, I trust the figures that you are giving. See, putty is an item. Cement paint is not a high growth item, so the major contributor in that category is really putty. Now, putty becomes important because it aids in the selling of other higher value items. Otherwise, putty is a low margin item, but still all paint companies focus extensively on putty sales, because it is when putty sales go up it, it tends to take other products along with it, because putty is the entry point for the painting of any house, and therefore putty becomes important and therefore of a lot of focus as far as we are concerned.

Aditya Bhartia: Sure understood sir. Sir my second question was on employee expenses, that you mentioned that employee expenses rose sharply on a year-on-year basis on account of new additions that we had made in sometime Q2 last year. But, I look versus the personal expense that we had in Q2, Q3 or Q2 of last year, till there is a substantial increase, like versus Q4 of last year itself, on a quarter -on-quarter basis there is almost like a 30% increase in employee expenses. So, just wanted to understand that a little better as well.

Hemant Jalan: So, we started ramping up our sales force in Q2 of last year. So, many people joined in Q2, some joined in Q3 and some may have even joined in Q4. So, overall, as far as the year was concerned, we had a very significant increase in our sales force sizes. Most of the people did join in Q2 from what I recall, and Q1 the base was low, and therefore you see a very sharp uptake of about 24% in Y-on-Y numbers in this quarter as far as employe e cost is concerned, the uptake that you will see in the subsequent quarters will be a lot milder than that on a Y-on-Y basis. And there is about a 12% average salary hike that happens every year, which does increase the employee cost by that percentage amount even without an increase in headcount. Normally, when the growth in the industry is good, these are really not any major talking points, because they get comfortably absorbed with the higher turnover and the higher margins that you earn as a consequen ce. It is when the growth becomes muted that all these minor aberrations start manifesting at themselves in a larger than life format shall I say. And that has been pretty much the story as far as this quarter is concerned, not

just for us but for the entire paint industry.

Aditya Bhartia: Sorry, just to clarify on this point, last year FY24 if I look at personal expenses for the fourth quarters actually there is not a major variation at the lowest side it was roughly 23, 24 crores that we saw in first quarter and fourth quarter. Otherwise it was 25, 26 crores in second quarter and third quarter. So, if our numbers have increased.

Hemant Jalan: That is an increase of about 10% without an increase in the salary levels in the mid-year we don't go for any salary hike. So, if there was a 10%, 12% increase in the head count which caused that shift from Q1 to Q4 as what you have said. I don't have the exact numbers for every quarter right in front of me, but to that you add the 12% salary hike that happens in April, and Q1 versus Q1 of last year, the difference becomes 24% which is what I had stated.

Moderator: Thank you. The next question is from the line of Kaustav Bubna from BMSPL Capital. Please go ahead.

Kaustav Bubna: So, previous participants asked that, I am sure this is a common thought process going on in analyst minds regarding the paint industry, is the effect on Birla Opus entry now, you said that and other competitors have also said that, it's not going to impact them as people are thinking so what I wanted to understand is, could you explain to me why you think that, why the main part is why, why do you think that this player's entry will not impact our financials in the years going ahead. So, wanted to understand is it because you think that the cash flow position of the existing paint players is too good for a player to come in and make a dent. Is it because you think the numbers are too aspirational. Could you please answer why, why do you think so I could better understand.

Hemant Jalan: See, for the last three years you are right the analyst community has been speculating on what kind of disaster a Birla Opus will cause to the paint industry. The existing players have been at pains to give various reasons why they did not expect that to happen. Now that six months have gone by almost since the inauguration of their factories and their launch. I guess it is time for that speculative game to end and for hard numbers to start doing the talking. So, it is for you to collect information as to what kind of top line growth they have clocked in the last quarter, and going forward, what kind of numbers they would be clocking. This is an industry the decorative part of it is easily 60,000 crores per annum. The reason of the why that you want to know is that, from past experience when many big names have entered India in the paint sector, starting from Nippon Paints, Jotun Paints, Sherwin Williams, JSW, who has also been around for five, six years, the barriers to entry are such that it takes considerable time for anyone to ramp up and start becoming a meaningful threat to the existing players, many of whom are very large. Now, if somebody in a 60,000 crore industry is, let's say doing 1500 crores or 1200 crores, or even 2000 crores, it does not change the competitive landscape in any significant effect, either for top line or for bottom line in an industry which is historically seen reasonably good growth happening on a year-on-year basis. So, therefore, irrespective of how a new entrant does, and I am no one to comment on whether their plans are ambitious or not ambitious, that is for them to decide. All we are saying is that, any effect of a new entrant. If somebody were to come and capture let us say, 15,000 or 20,000 crores in this market, definitely

it would be a disruptive effect. We do not see that happening for a long time to come by any incumbent whether it is Birla or whether many others who have also announced or have entered the industry. So, the competition that we face, we have been born in this industry 25 years ago without a silver spoon

in our mouth, and no one gave us a chance of survival against the giants like an Asian Paints or a Burger or a Kansai or an Akzo. But we have survived for 25 years, and we have grown in size, and we have at least reached that kind of a playing field on which the larger players play, and we have done that by consistently outpacing the industry performance . And these are not small or mild companies to be taken lightly Asian Paints or a Burger or a Kansai or Akzo, these are some of the best run companies that you can find in the Indian corporate space, and they have all existed for close to 100 years or more . So, having learnt our survival instincts and having, shall I say, reached within calling distance of the number four player in decorative space, we have enough survival instincts that we have learned over the last 25 years to be able to survive many new entrants who have entered over the last 25 years. Some have gone, some are still around and many more will come. So, I don't think that there is anything to fear about any new incumbent, at least for the next four, five years, until if they execute well and they become a large force to reckon with. We expect the major competition for us to continue to come from the four players who are larger than us and the competitive intensity that they offer is pretty severe, but we have weathered that for 25 years, and I am sure we will weather that for the next 25 years too.

Kaustav Bubna: Excellent. Thank you so much for that answer. And last question, I couldn't find this information online. Wanted to understand, you said Kerala is a big contributor to you. Could you explain to me a top five states and how much does that contribute to your overall revenue, how much, which are your top five states?

Hemant Jalan: I don't think I would like to share that kind of detailed information about state wise, but there are after Kerala, which is of course our top contributor. We have many, many states which are contributing pretty heavily and growing heavily. There are large states in North and Central India, like UP, MP, there is Bengal, there is Bihar, there is Chhattisgarh, there is Gujarat, there is Maharashtra, these are all fairly large contributors to us, but which state is contributing, how much exactly is a number that I would be reluctant to share at this forum.

Moderator: Thank you. The next question is from the line of Amit Purohit from Elara Capital. Please go ahead.

Amit Purohit: Sir just on the demand side, like you indicated last quarter was a difficult and we did well versus the industry. What has been the trend now, I know July is in a sense a lean quarter, but generally what are your expectations, or what is the trend as of now?

Hemant Jalan: No, I had already mentioned that July has been seen, it's a muted quarter during monsoon that's all right, but that's built into the base also for last year. So, we always look at Y-on-Y growth. So, therefore, the fact that monsoon period is a slightly dull season doesn't really justify any lower growth by itself and you should be able to grow well in any quarter because the base effect takes care of the seasonality. But, I did mention that the monthly growth that we have seen in July this year compared to July of last year is a kind of a growth that at

least we at Indigo have not seen in the last seven, eight months. So, that's a very encouraging sign for us, but for me to stick my neck out and to say that this high growth will continue in the month of August and September is something that I am not really prepared to do, because one can't really understand the reasons why these demand swings happen in consumer behavior and until these things play

out for at least another month or two, I would be reluctant to say that the bounce is back in the paint industry. We just have to keep our fingers crossed and wait and watch. I can't predict any numbers, because I wish I could, but unfortunately, I do not possess the saviness to be able to predict consumer behavior over the next few months. So, let's just wait and watch and hope that July was not an aberration, but a more sustainable harbinger of things to come.

Amit Purohit: And just one second question on the point that you indicated in your presentation as well that realization was slightly affected due to elevated discounts which you attributed that because there was a softness in demand, the discounts would have increased. Has that now in that sense reduced the discounting or its versus last year?

Hemant Jalan: The uptick in the discount was not very much, it may have been like 1% point, so from whatever levels they were. So, generally, when the going is good in the industry, then you kind of pull back on these dealer schemes and et cetera and reduce your expenses there slightly. And when the going gets rough, because of muted demand, there is a natural pressure to spend a little more and try and get a little more of top line growth , etc. So, minor aberrations, I don't see any material effect with these changes that happen. Having said that, you have to see that our gross margins are much, much higher than the whole industry so at any point in time, if we feel that we can sacrifice another 0.5% or 1% in gross margin and leverage that to get much higher top line growth, we would always do that. But unfortunately, that is not the only lever that works all the time, and therefore just giving more discounts does not necessarily result in higher sales. So, you have to balance these things out as you go forward.

Moderator: Thank you. That was the last question. I will now like to hand the conference over to the management for the closing remarks.

Hemant Jalan: Thanks. Thank you all for a very patient hearing, nice to see a lot of new people coming up with questions in the Earnings Call. And we hope to interact with you again at the end of Q2 and we hope that we shall come back with much better results which meet our internal goals in Q2 both on top line and bottom line growth. Thank you all very much.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

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November 12, 2024
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai- 400001
Scrip Code : 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No . C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol : INDIGOPNTS

Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for quarter and half year ended September 30, 2024
Pursuant to the Regulation 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst/ investors on November 08, 2024 at 17 :00 hrs (IST) to discuss the unaudited Financial Results of the Company for the quarter and half year ended September 30, 2024.
The above information will also be made available on the website of the Company at https://indigopaints.com/investors/analyst-investors-meets/
You are requested to take note of the same .
Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: as above
DAYEETA
SHRINIVAS GOKHALEDigitally signed by
DAYEETA SHRINIVAS
GOKHALE
Date: 2024.11.12 10:49:11 +05'30'

“Indigo Paints Limited
Q2 FY '2 5 Results Conference Call ”
November 08, 202 4

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN AND MANAGING DIRECTOR
MR. T. S. SURESH BABU – CHIEF OPERATING OFFICER
MR. CHETAN HUMANE – CHIEF FINANCIAL OFFICER
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER FINANCE AND INVESTOR RELATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Indigo Paints' Q2 FY '25 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen -only mode and there will be an opportuni ty for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now ha nd the conference over to Mr. Aniruddha Joshi. Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Nikita. On behalf of ICICI Securities, we welcome you all to Q2 FY '25 results conference call of Indigo Paints. We have with us senior management . And now I hand over the call to Mr. Srihari Santhakumar, General Manager of Finance and Investor Relations, to introduce the management as well as take the call forward. Thanks, and over to you, Mr. Srihari.
Srihari Santhakumar: Good evening, everyone. T hanks, Anirudh. Thanks for joining the earnings conference call for the quarter ended Q2 FY '25 and for the half year ended the same period. From the management side, we have with us Mr. Hemant Jalan, Chairman and the Managing Director; Mr. Suresh Babu , he's the Chief Operating Officer; Mr. Chetan Humane, the CFO; and myself joining the call today.
As usual, we'll start the call with a quick brief on the performance for the quarter by Mr. Jalan, followed by a quick Q&A. Over to you, sir.
Hemant Jalan: Thanks, and thank you all for joining in on the earnings call of Indigo Paints for Q2 FY '25. Sincerely hope you and your family have had a good Diwali. We have uploaded the investor presentation on the exchange portals, and I hope you have had a chance to go through our financial results. We are happy to report our sixth consecutive quarter of industry -leading growth, of course, based on the results declared so far as far as this quarter is concerned.
On a consolidated basis, our top line has grown by ove r 7.4% for the quarter. Now the last 3 quarters have been tough for the industry as a whole. Though this quarter, Q2, opened with strong double -digit growth for us in July , the months of August and September were a bit of a drag, which resulted in the stre ak of a low -demand scenario to continue in Q2 as well. Despite the persistent low -demand scenario, we at Indigo Paints have maintained an industry -leading growth with good profitability.
First, let me highlight the stand -alone results. Compared to Q2 of l ast year, our sales in Q2 of this year have registered a value growth of 6.7%, which is significantly ahead of the industry growth. As usual, we have maintained the pole position in terms of gross margin, which stood at 44.1%.
The gross margins were sligh tly muted compared to the corresponding period of the previous year when we had recorded 45.7% in Q2 of last year, and this slightly lower gross margin percentage is largely due to the price cuts which were taken by the industry in both Q3 and Q4 of the la st fiscal.

The EBITDA has increased from INR41.8 crore s in Q2 of last year to INR42.6 crores in Q2 of this year, registering a growth of 1.9%. The EBITDA margin of 14.8% clocked in this quarter is slightly lower than the 15.2% registered in the comparable quarter of last year.
The PAT decreased by 7.7% to INR24.1 crores compared to INR26.1 crores clocked in the same quarter of last year. The PAT margin for the quarter moderated from 9.6% clocked in the same quarter last year to 8.2% recorded in Q2 of this fiscal, primarily due to the higher depreciation on account of our new plant at Tamil Nadu. Since the new plant was commissioned in mid - September of last year, the higher depreciation will be built into the base from Q3 onwa

rds. And
we would not see a div ergence between EBITDA growth and PAT growth from Q3 onwards.
On stand -alone basis, for the first half of this fiscal, we have clocked a top line growth of 6.4% compared to the same period last year, and have achieved sales of INR582.5 crores. The EBITDA for the 6 -month period has reduced slightly by 1.3% to INR88.4 crores. And EBITDA margin for the 6 months has clocked at 15.2%, which is slightly lower than the 16.4% in the first half of last fiscal, for 2 reasons , a) due to the slightly elevat ed employee expense pursuant to the ramp -up in our sales force in both Q1 and Q2 of this fiscal , and also, as mentioned earlier, due to the sharp price cuts taken by the industry a few quarters ago.
The PAT decreased to INR50.6 crores for the first half o f this fiscal. And the PAT margin stood at 8.6%, versus 10.4% in H1 of FY '24, again, due to the significantly higher depreciation burden.
Coming to the consolidated results for the quarter, our revenue grew by 7.4% to INR299.5 crores, while the EBITDA deg rew by 1.5% and the PAT degrew by 12.1%. The EBITDA margin for the quarter on consol basis was 13.9% and the PAT margin was 7.3%.
Our subsidiary, Apple Chemie, has registered a robust growth of 27.7% in Q2 of this fiscal. However, their margins were impac ted significantly due to adverse product mix, which we expect to improve significantly in the upcoming quarters.

For 6 months FY '25, on consol basis, Indigo Paints has achieved a revenue of INR610.5 crores, which is 7.6% growth over H1 of last year. The EBITDA has degrown by 2.6% to INR88.9 crores in H1 of this fiscal compared to INR91.2 crores in the H1 of last fiscal. And the EBITDA margin contracted from 16.1% in HY of last fiscal to 14.6% in HY of this -- H1 of this fiscal.
All other numbers are given in detail in our investor presentation.
I shall now give you some more operational details about the second quarter going a little beyond the financial numbers. During this Q2, our overall A&P spends as a percentage of revenue decreased from 5.8% in Q2 o f the last fiscal to 5.4% in Q2 this year. As we had mentioned earlier, we have started supplementing our TV advertising spends with significant spends on digital media as well, an area where we have been passive in the past.
However, the overall increase in A&P spends are less than the top line growth in revenues. Hence, the A&P spends as a percentage of revenue is expected to still decline going forward.
In line with our disclosure practices, we have given our volume and value growth numbers for each of the 4 major categories of paint products. For the quarter, Q2, the company witnessed

both value and volume growth across all 4 segments. The only segment where the value growth was significantly higher than the volume growth was the Primer, Distemper and the Miscellaneous segment where the value growth was 13.7% compared to the volume growth of 7.1%. And this is largely due to a sharp uptick in our waterproofing product sales. For all other segments, you will notice that the value and volume growths were l argely in tandem.
The Emulsion segment, which is the largest segment, also saw good growth, and premium segment of the emulsions grew at a significantly higher pace than the economy segment. We continue to focus on network expansion on improving the throughput per active dealer, and on increasing our tinting machine population. As on the 30th September of this year, our count of active dealers was 18,718, and our tinting machine population was 10,555.
On the capex front, civil works are progressing i n both the new plants that we are setting up at Jodhpur, one is the state -of-the-art water -based paint plant, and another is the solvent -based plant. The water -based new plant is expected to be commissioned sometime in Q2 of the next

fiscal, while the solv ent-based plant, we are trying to get it up and running by the Q4 of this fiscal, at most, it may spill over to Q1 of the next fiscal.
Simultaneously, we are also undertaking a brownfield expansion of our putty plant at Jodhpur, which would certainly be c ompleted in Q4 of this fiscal. The waterproofing and construction chemical products continue to consistently yield good results, contributing to healthy mid -single digit to the revenue pie.
Coming to our sustainability initiatives. We continue to use elec trical vehicles for the last -mile delivery of our products at select depots, and are exploring to deploy more. We have commenced work towards the installation of a rooftop solar model -- or panels at our Cochin factory. We have also started a new initiative cal led “Indigo Seva Utsav ”. Under this initiative, Indigo Paints along with painters and the community at large are undertaking painting of government schools in Tier 2 towns. This initiative, which was piloted so far in 2 to 3 states, will soon be rolled o ut across multiple states in the subsequent months.
Also as part of our CSR initiatives, we continue to extend educational benefits for the underprivileged girls in and around Pune, and also provide free health care benefits through the Cancure Foundation in Kochi.
Indigo had introduced a health insurance program for painters and their families last year in Bihar. In the beginning of this fiscal, we extended the program to the states of Odisha and Chhattisgarh, and now we have decided to expand the benef it to a much larger community spanning over 11 states. Already more than 5,000 painter families have been enrolled in this program.
Finally, we hope that this long streak of muted underlying demand situation comes to an end in Q3, and that the industry do es a sharp reversal towards its normal growth rate.
With a broad portfolio of products, a robust sales force and an extensive distribution network, we at Indigo Paints are well equipped to expand our market share as demand picks up in the upcoming seasona lly favorable quarters.

That's all I have to say as an opening remark, and I look forward to answering your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Abneesh Roy fr om Nuvama. Please go ahead.
Abneesh Roy: My first question is on putty. Another paint company said that the industry leaders are having gross margin negative in some of the markets in putty in Q2. If you could confirm if in your market also it has been don e. And would you be worried given you're expanding putty expansion in Jodhpur in the coming quarters? Would you be worried that this negative gross margin could continue, and then it becomes a bit challenging for you also in the putty side of the business?
Hemant Jalan: For us, Abneesh, putty has never been a negative gross margin. And the reason is that we are perhaps the only paint company that manufactures almost all of its putty in -house. Most others outsource the putty manufacturer to a third -party ven dor. And our putty plant is only located at Jodhpur, which is very near in proximity to the sources of the principal raw materials, which are very high -quality dolomite and, of course, white cement. As you know, both the white cement factories in India are located within a 50 -kilometer radius of Jodhpur. So manufacturing it in - house in a very, very modern plant and being very close proximity to the raw materials. No doubt, the margins in putty are somewhat low, but they are definitely not negative in our ca se. And the reason why we continue to expand our putty production is putty is a very good input, sort of first entry point into any household, which starts painting. So if you supply putty there, you have a much better chance of mov

ing in with your higher -value products. Also being a bulk commodity, it helps in rationalize our logistics costs in terms of freight.
So I know that there are many large players that have been dropping putty prices. We took a call with our sales force. We noticed that some of t hese people have been also compromising their quality to take care of these very low realizations.
Our sales force felt that we should not go that way. And we have maintained our quality and not deteriorated our formulation in any way whatsoever. And we c ontinue to have positive growth in volume sales of putty as far as this year is concerned. And as I said, we do have slightly subdued gross margins in that, but they are very far from being negative. So I think we are in a much stronger position by making all the putty in -house and making it at a very favorable location.
Abneesh Roy: Sir, two follow -ups there. Is it the first time industry has seen, at least in the last 7, 8 years, negative gross margins in putty? And second, I understood that for you it's not negative because of the in -sourcing. But margins and pricing have both come down for you in putty?
Hemant Jalan: We have not lowered our price at all. Whether it has been the first time in the last 7, 8 years where the industry has experienced negative gross margin, I cannot answer on behalf of others. That's a question that you'll have to ask them. But we do not follow the strategy of deteriorating product quality to match prices. And we think that the users are intelligent enough. There will be a clas s of users which will only go after price. Equally, there is a large component of the user population that doesn't mind paying a little bit extra for really good quality.

We recently had a brand tracking study done in 3 different states of India. And ever ywhere, the results came out exactly endorsing this, that the dealers and the influencer community is extremely happy with our product quality, in particular, on putty. And they don't mind paying a slight premium. So we have stayed away from falling into t he trap of lowering product quality and lowering price. We'll appeal to a segment that is quality conscious and is willing to pay the price for it.
Abneesh Roy: Sir, my second question is on waterproofing. You mentioned adverse mix in Apple Chemie in Q2. S o if you could tell what was the reason, and will that continue? Second, I wanted to understand from a pricing per kg for waterproofing, how does it compare for you versus pricing per kg for paint. So I wanted to understand if waterproofing is growing at 2 8% versus paint growing in, say, mid - to high single digits, what kind of a pricing benefit comes if waterproofing grows much faster as a consol company. That understanding I wanted.
Hemant Jalan: So you have to separate the waterproofing and construction chemicals being offered by Apple Chemie, and there is a parallel line of waterproofing and construction chemicals offered by Indigo Paints in its brand name through its retail segment. The 2 are entirely different. As far as Apple Chemie is concerned, yes, they had a 28% top line growth in this quarter, and the growth is actually 38% if you look at the first half of this year, which is extremely good. The gross margins in Q1 were pretty good . In Q2, due to .., well they have some star products which have high gro ss margin, and those products deteriorated in volume during Q2, largely due to certain big projects being affected due to excessive monsoon in those parts of India.
It has picked up very strongly again in October. And therefore, the gross margins in October for them are pretty much back to normal. And therefore, their profitability going forward should be good. Now you asked about the waterproofing and construction chemicals, which are part of our Indigo portfolio, which, as we said,

contribute to mid -single -digit contribution as far as our
overall revenue pie is concerned.
Now this segment is a conglomeration of about 7 different products that we offer. And the price per liter or price per kg of these products is fairly similar to, shall I say, the l ower end of the premium paints that we sell. So they are reasonably high value. They are not in the equivalent to the luxury segment, but they are higher than, let's say, the economy segments of paints that we sell.
And because this product line in Indigo paints has really flourished in the last 12 months or so, therefore, for one of the segments in which we have reported volume and value growth, you'll find that the volume -- the value growth is significantly higher than the volume growth. Because as comp ared to distempers and primers, these products, which have been bundled in that same bucket, do have significantly higher price realization, which is why the value growth is significantly more than the volume growth. All other segments, you find that the g ap between value and volume growth is negligible.
Abneesh Roy: Sir, last quick question on media. So in FMCG now, digital is almost 40% plus as part of the total pie in terms of spend. For you, how much is digital because you said you have been passive.
And for paint industry ballpark number, what will be the benchmark digital as a percentage?

Hemant Jalan: See, FMCG, a lot of it is either e -commerce, where digital spends are very high because they get related to what you call performance marketing. You adv ertise digitally, people go there, click, and buy products. When it comes to paint industry, there are some larger companies that offer a lot of painting services, which we do not offer.
And I have seen the transcripts of some of the calls by some of our larger competitors in the paint industry, and they have mentioned that they use digital marketing largely to generate leads for painting services, which is again performance marketing. So I do not know what the split between digital and TV is. It's a quest ion that you'll have to ask them. I do not have that information. But as far as we are concerned, since we are not using digital media for performance marketing in terms of generating leads or doing any e -commerce or anything like that, our purpose for dig ital advertising is slightly different.
Our purpose is that simply generating brand awareness, as we do in television to tell a little story about ourselves. Now increasingly, there is a growing population in India, especially amongst the younger age grou p that does not watch television anymore. So that segment is not exposed to the extensive advertising that we do on television. And really to reach out to that audience, we have started digital advertising.
Now this year, it may comprise of maybe 15% of o ur total media spend, which is a subsection of the total A&P spend. And since this is the first year, we'd like to go a little slow, get a feel for what kind of results it is delivering. And maybe the percentage will ramp up as we go forward if we get a go od feedback. So far, we find that it is reaching out to a very large audience, which was not being captured via television ad campaigns.
Moderator: The next question is from the line of Rajesh Mangal Agarwal from Rajesh Mangal & Co. Please go ahead.
Rajesh Mangal Agarwal: Yes. Hemant, sir, can you tell me the active dealer for your 18,718, and the tinting machine is 10,555.
Hemant Jalan: Correct.
Rajesh Mangal Agarwal: So whether every dealer is not required a tinting machine?
Hemant Jalan: No company , even the industry leader, all the dealers will never have a tinting machine. That percentage, which until 3 years ago for our active dealers, roughly 35% of them had tinting machines. That number has crept up to about 55%. Maybe for s

ome of our larger co mpetitors,
that number may be 75% and maybe closer to 90% for the industry leader.
The reason why not all dealers have tinting machine is it depends upon what products of Indigo they are selling. Now only the emulsions, that is the wall paint, the final t op coat, whether it is exterior or interior, those are largely the products that go through a tinting machine. There is a large segment of paints, almost 50%, if not more, that does not require tinting. Examples are putty, primer, enamels, which are largel y sold in premixed shades, ready -made shades.

Waterproofing products, which don't require tinting. Wood coatings do not require tinting. And all of our differentiated products like floor coat, tile coat, ceiling coat, we are all offering them in ready -made shades. So it is entirely possible for a dealer to sell a reasonably large portfolio

of our products without the aid of a tinting machine.
The other phenomenon that happened, although not to a very large extent, is some of the more experienced dealers a re able to use the tinting machine of another company, and tint the product of another company. And that happens, although to a smaller extent. You may not be able to get the very exact shade, but an experienced dealer will be able to come somewhat close t o it.
So we have also seen dealers of ours who sell good quality of our emulsion without having our own tinting machine. Of course, the effort always is to try and convince them to have our tinting machine, and we do eventually succeed. But sometimes, due to lack of space, they say, "We have some other brand of tinting machine and we are able to tint your products with that machine."
So we hope that in a few years, our percentage of our active dealers who have tinting machines will also grow closer to 75% . That is the objective in the medium term.
Rajesh Mangal Agarwal: Yes, yes. Second question is, sir, regarding this, you know this -- all the paint industry sale, it depends upon the dealer and painter. And to some extent, the advertisement made from us, okay?
So you have directed very good work, this health insurance for painter community. So can you throw some more light on how we are covering this painter community in Chhattisgarh.
Basically, I'm in Chhattisgarh.
Hemant Jalan: Okay, you're from Chhatti sgarh. Okay. See, first of all, this is a CSR objective initiative. It has got nothing to do with our business. Since it is a community which is somewhat marginalized as far as socioeconomic status is concerned, is why we are reaching out to them.
When we enrolled painters for this health benefit, I can tell you frankly, we made no effort to find out whether that painter has been promoting Indigo Paints products or not. And that is definitely not a criteria. As long as he's a painter, he may be selling Ind igo Paints, he may be selling any other brand of paints, that is not at all our concern.
Any painter that we can get, so long as he is a painter of any brand, we are willing to enroll them.
If you are aware of painters who are not enrolled in this program of ours, if you can send us the list of those centers with their mobile numbers, we'd be happy to connect with them on telephone, get the details of their family members, and also enroll them.
So this list of painter families that we are covering in whic hever states we have started actually grows every quarter as more and more painters come forward and enroll themselves because now a large number of painters are the beneficiaries of this program. And it covers everything, right, from maternity to any poss ible thing that requires hospitalization. So it's a good program.
And...

Rajesh Mangal Agarwal: Sorry to interrupt you, sir. What is the amount of health insurance we are

providing to this
community?
Hemant Jalan: As part of the insurance, we are providing about 1 lakh per year for all the family members put together. And if there is a case where, for some reason, the cost goes beyond that, we find ways of even bridging that gap. But the official amount is INR1 lakh. And normally, most of these painters are in small towns. So far in our 1 -year experience, we have not encountered even a single claim that has gone beyond a lakh for the family members put together. Usually, they are significantly lower. It's only in the large cities that medical costs are signi ficantly higher. In small towns, the medical costs are pretty low.
Rajesh Mangal Agarwal: You see, Hemant, sir, now, as of now, Government of India and many more states have already provided this health insurance of about INR5 lakh. So I don't think this will benefit much more to our company. What is your opinion?
Hemant Jalan: See, it's like this, that those health care facilities being provided by the government, you are right, largely cover the below the poverty families. And therefore, many of these painters are not enrolled into that. In some cases, the state government supplements it with additional health care facilities, which are free of cost. In some states, these facilities offered by the state government is extremely good. And in some cases, i t is fairly average.
Also, there is a fair amount of documentation required to get enrolled into all these health care programs, either by the state government or by the central government, which some of these people are not able to fulfill. So it's a vol untary thing for anyone to get enrolled. It is their choice whether to avail of the free government program or whether to go to a private hospital and ask us for a claim.
We do get a significant number of claims every month. We have a short verification p rocedure to just ensure that the claim is genuine and the hospital bill amount has not been tampered with.
And then we have a fairly quick method of disbursing that amount to the family.
Rajesh Mangal Agarwal: Sir, what is the...
Moderator: Rajesh, may we request that you return to the question queue for follow -up questions as there

are several participants waiting for their turn.
Rajesh Agarwal: Madam, just last question, a follow -up. This is the last question. Hemant, sir, to whom should we contact for this program?
Hemant Jalan: You can contact our .. well, we do have a CSR team within our organization. But you could get in touch with anybody in our sales force at Chhattisgarh or you can get in touch with our head office, our investor relationshi p person, Mr. Srihari. Anyone that you get in contact with will be able to direct you to getting more and more painters covered. It would be very welcome, and we would be thankful to you to help us in this novel CSR cause that we are pursuing.
Moderator: The next question is from the line of Jasdeep Walia from Clockvine Capital. Please go ahead.

Jasdeep Walia: Sir, how has been the progress of your initiative to increase sales in Tier 1, Tier 2 cities, how is it progressing? And if you could give us some tr end in data points that you see to benchmark your performance, let's say, in the first half?
Hemant Jalan: No, that initiative has been going on now for quite some time, I would say, almost 2 years now. And I think the progress in Tier 1, Tier 2 has been e xtremely good. Basically, there was a phobia in the sales force in going to the larger cities because for a very, very long time, they had become accustomed to selling in the smaller towns. I think that fear is completely gone away.
The percentage of sale s coming from the Tier 1 towns is increasing quite sharply. And also the percentage of tinting machines that we are installing, a fairly large percentage of that is coming from th

e larger cities. So I would say that, that part has become now a nonissue for the company. And it doesn't require any special focus because now the entire sales force is as much oriented towards selling in the larger cities as they were earlier in the smaller towns.
Moderator: The next question is from the line of Aditya from Inves tec. Please go ahead.
Aditya: Sir, my first question is on gross margins. So you pointed out that there were a couple of price cuts in the second half of last fiscal, which have partly kind of led to this margin correction. But at the same time, some of yo ur peers have taken some price hikes in this quarter and in the preceding quarter. Have you also taken those price hikes? And is this...
Hemant Jalan: Yes, we have. But you must understand that the price cuts that were taken in Q3 and Q4 of last year aggre gated to somewhere around 4.5%, almost 5%, depending upon your product mix. And the price hikes that have happened in the quarter just gone by is at best 1.5%. So there is still a clear 3% to 3.5% deficit in pricing. And although raw material prices have been largely stable but when you compare the principal raw material prices today to what they were a year ago, they are somewhat higher.
So there has been a little cost push from the purchase side and a drop in prices on the selling side. And therefore, c ontraction in gross margin was inevitable. That is one. Secondly, what happens is that the industry has been going through a weak demand scenario, and you'll find that in the narrative of all the paint players. Now whenever the demand scenario becomes a li ttle weak and the underlying demand growth is not what the industry has been used to, there is a tendency to marginally up the trade channel discounts, et cetera, to try and grab a little share of the pie.
And although that is not in a very large way resp onsible for the marginal drop in the gross margin, but it may have contributed also in infinitesimally towards that. But significant contribution comes from the fact that our pricing today overall is still about 3%, 3.5% lower than what it used to be a yea r ago.
Aditya: Understood, sir. But sir, if I just look -- compare it with last few quarters' margins also, I understand that Q2 typically is a slightly lower margin quarter. But in the preceding quarter, Q1, we had 46% -plus margins, almost 46.5%. In Q4 of last fiscal, we had 49%, 48% in Q3. So the drop -- I mean, and in Q3 and Q4, those price cuts were partly already reflected. So from that perspective, the drop in margins appears to be quite sharp.

Hemant Jalan: No, you have to compare gross margins alway s on a Y -on-Y basis. Comparing them sequentially from 1 quarter to the other will give you very misleading results. Because the product mix changes completely when you go from 1 quarter to the other, especially when you come to Q2.
Now even if you look at the last fiscal, our gross margins for Q2 were the lowest. And they rise a little bit when it comes to Q3, and Q4 is when they hit the roof, because most of our profitable products -- and the same thing you'll find with EBITDA margins.
So maybe it is a li ttle more pronounced in our case compared to others, I cannot answer that.

But you can go through and look our EBITDA margins and gross margins quarter by quarter for the last 3 years and you will find exactly the same trend, that they are decent in Q1, th ey dip sharply in Q2, they rise sharply in Q3, and they go very, very high in Q4. And that's how it has always been, and that's how it will continue to be.

Because exterior painting undergoes a slight decline or a major decline during Q2, during the monso on period. It starts rising from 15th October once the rains go away. And Jan to March is the period -- still even in Q3, there are parts of India that get rained, notably Tamil Nadu, whi

ch
gets the northeastern monsoon. So actually October and November ar e their peak months for monsoon.

And typically, on the eastern coast, when it comes to Northern Andhra, Odisha and West Bengal, there is a season of cyclone that typically hits around October, November. So it does cause disruption to some extent in limite d geographies even in Q3. Q4, there is no disruption at all. So Q4 is the best season for paint sale from a climate viewpoint.

Aditya: Sure, sure. Understood, sir. And sir, my second question is on Apple Chemie. The gross margin erosion, again, that we hav e seen over there, given that you are saying that those products are back in action from October onwards, should we be expecting those margins to be back as well? Is there some pricing pressure as well?

Hemant Jalan: Good gross margins from them. The top l ine growth is very good. But you noted it right, it's a small -ish subsidiary. At the moment -- of course, bottom line, one always has to be conscious about. But I think at this scale of operation, we are more interested in them geographically expanding the ir reach to every corner of India and growing the top line. Bottom line can be corrected when it becomes meaningful. At the moment, little variations in their EBITDA margins or gross margins, in the scheme of overall things on a consol basis for Indigo Pai nts, do not create a very sizable change.

What is good is that the top line has grown by more than 38% in the first half of this year, which is extremely reassuring. And we are more interested in seeing that top line growth to a much more meaningful numbe r. And in a year or 2, when that number becomes much more meaningful, that is the time to take a sharper look at what can be done to improve the bottom line. But having said that, I'm pretty sure that the bottom line would be fairly good in Q3 as far as Ap ple Chemie is concerned.

Aditya: Fair point. And sir, just 1 last question. While you kind of highlighted that putty is nowhere close to being a negative gross margin business for you. But while it may be positive, but have you

seen any deterioration in pr ofitability in the last couple of quarters? Or even over a slightly longer period of time, have you been seeing a profitability of this segment coming down a little?

Hemant Jalan: See, profitability -- the raw material prices for putty have been very, very stable. As far as profitability coming down, it will come down only if you reduce prices. And we refuse to reduce prices. And we get growth in volumes without reducing prices. So I see absolutely no logical reason why the profitability will come down. Hav ing said that, profitability in putty has always been the lowest profitability contributor amongst all the other segments.

Enamels are another somewhat lower profitability gross margin contributor into the paint pie. Most solvent -based products have a gro ss margin which is slightly lower than water -based products. So different products have different gross margins for whatever historical reasons. As products tend to get more commoditized, their gross margins are likely to fall.

But in this business, you can't pick and choose and say, I will cherry pick and only sell this product and not sell a certain class of products. Because if you need a satisfied dealer who's committed to you, you have to offer them the entire basket of goods. So along with that, we have some products where the gross margin contribution will be very, very high. So they compensate each other. And the weighted average gross margin ours is the highest in the industry. In fact, it has consistently been almost 4% higher than the industry l eader.

So I don't think that you can find much to complain about our gross margin as such. And if you come to the #2, #3 players in the industry, the gap that we have in our gross margin versus t

heir,
becomes 8% to 10%, 8 to 10 percentage points. So that' s, I think, very commendable for a company of our size, to maintain that kind of prudent purchasing and to command pricing, which we do not sacrifice so easily irrespective of what others do.

Moderator: The next question is from the line of Vedant Mehta from QRC Investment Advisors. Please go ahead.

Vedant Mehta: I just wanted to understand how your differentiated products are protected and are presented from being copied? What helps your sustain your edge on above average gross margins?

Hemant Jalan: So there is nothing we can do to prevent it from being copied. The question is how successful will the person who's copying it be as far as marketing it is concerned. Now most of these differentiated products, we have had them around for anywhere from, I woul d say, 10 years to 15 years. Now it is not that the competition has not tried to imitate them. Companies much, much larger than us in size have come up with equivalent products multiple times in the past.
The reason why they have not been very successful is, wherever we have launched these differentiated products, we have supported it with very extensive advertising for several years. And by the time the larger giants in the industry wake up to the potential of these products, these products or product cat egories have almost become synonymous with Indigo.
You also have to realize that the size of each one of these products, the market size, could be significant for Indigo. It may not be very significant for a very large paint manufacturer. And therefore, i t doesn't make sense for them to put advertising money behind any of these products.

Because in their scheme of things, this would be a relatively small contributor to the overall pie. So therefore, for very valid reasons, they do not back it with adverti sing money, and they find the going tough and many of them after some time, abandon venturing into this line. Or even if they, they stay at the fringes, and we have not had a problem in protecting this box that we have built over the last 10, 15 years.
Vedant Mehta: Yes, that's very well explained. And I have another follow -up question. Are there any plans to introduce new differentiated products? And if not, why.
Hemant Jalan: Yes, there is one very major product that is on the annual, which is undergoing some regulatory clearance, which is required. I'm hopeful that we will get it in the next 3, 4 months or so. And it's a product that we have worked on for a very, very long time. And once we get our regulatory approvals, and I'm afraid that's all I can tal k about it at this stage, I think it could be a very big addition to our strong portfolio of differentiated products.
Moderator: Thank you. The n ext question is from the line of Chinmay from Crescent Capital. Please go ahead.
Chinmay: Sir, in our channel c hecks in Delhi and in Central India, we have come across quite a number of dealers who although stock Indigo's floor paint, but they do not stock the other products. Could you give some colour on why this is? And do you face any challenge in converting or convincing these dealers to stock the rest of your products as well. And in extension to that, could you guide which are the markets where you enjoy good share in your differentiated products and our emulsions, and where you're able to supply your entire r ange of products.
Hemant Jalan: So basically, if you stay away from the metros, where we'll be very weak, and we are not the only ones who are weak. Even the #2 and #3 player, you will find their presence relative to the size is extremely weak in the metro s. So when you come to the 10, 11 largest cities of India by population, it's virtually winner takes all. And even the #2 and #3 players struggle to make most of the mark.
So you're absolutely righ

t, you will not find too many dealers in Delhi who stock o ur full range of products. You observed very correctly that even if they were not stocking the full range of our products, they were invariably keeping our floor coats. So in a way you answered what the previous questioner Mr. Vedant Mehta: was asking, how do we protect the moat, and that is correct.
A person may want to buy the emulsions, the primers or whatever other products of larger brand names or the industry leader. But when it comes to a floor coat or a tile coat or a metallic emulsion, the prescri ption of the painter invariably is Indigo. And that is an advantage that we enjoy.
We would love to sell our entire portfolio of products in a Delhi or a Mumbai or a Bangalore or Hyderabad or a Chennai. But unfortunately, the consumer sentiment is such th at it is difficult for anyone other than the market leader to penetrate those markets. We are present in Delhi. Our sales are rising fast in Delhi, but it is a drop in the ocean compared to the potential of that particular city.

And that would perhaps also be true in the entire NCR region, whether you go to Gurgaon and Faridabad or Noida or something, I mean, they're all virtually considered part of Delhi. You'll find the same observation if you went around to Bangalore or Mumbai or Chennai or Hyderabad or Chandigarh or Jaipur. Some of the -- or even Kolkata for that matter.

But when you come to the Tier 1 towns, the next rung of cities, like if you went to a Kanpur or even if you went to a Lucknow or even if you came down to Pune or you went to a Surat , you'll find our presence is significantly better as a percentage compared to what you would find in a Delhi or a Mumbai or a Bangalore.

And if you went to the Tier 2 towns and lower, you'll find that our presence is very, very strong as far as offering the entire basket of goods are concerned. So this is a natural progression that happens in this industry, and you know that we have started from smaller towns because we read this phenomenon and we have been slowly working our way up. I think we are reason ably good in Tier 1 and Tier 2 cities with a lot of headroom still to grow. And the headroom to grow in the metros is just massive. We haven't even scratched the surface so far.

Suresh Babu: And to add to it Chinmay, Delhi is a very new market for us. I mean w e have been there about a couple of years now. And this is a normal process of entering a market because we use our differentiated products to penetrate the dealers. The dealer gets to know the products, gets to know us as an organization, how well the com mercials are handled by us.

And subsequently, we allow them to try the other products, which are the normal vanilla products of emulsions and primers and things like that. We have an extensive program for contractor engagement. We subsequently engage with the contractors of those dealers. And slowly, slowly, we ensure that more and more of his counter share comes to us as an organization. So that's the normal process that we adopt.

Hemant Jalan: So after floor coat, you will -- if you really go around Delh i, you will find a fair number of dealers who are actively selling our putty. They are selling our distempers. Emulsions become the last hurdle and the most difficult hurdle to crack in these metros. And that takes time, and we just have to be patient.

Mod erator: The next question is from the line of Mohit from Envision Capital. Please go ahead.

Mohit: Thank you for taking that question.

Moderator: Sorry for interrupting you, sir, your voice is not clear. Could you speak a little loud?

Mohit: Yes. Is it bet ter now?

Moderator: No, sir. Could you speak a little loud?

Mohit: Yes. Is it better now?

Hemant Jalan: Yes, much better.

Mohit: Yes, sorry for that. Congratulations on the top line growth. Sir, I just wanted to kind of break down the capex plans a little better. So essentially, there are three projects that are going on, right, the water -based plant, the solvent -based plant, and then the brownfield expansion, correct?

Hemant Jalan: Correct.

Mohit: Okay. And sir, in the stand -alone cash flows, we can see that in H1, around INR65 crores has been spent. So the INR65 crores has been spent on these three projects?

Hemant Jalan: 95% of it will be on these 3 projects. Some capex happens on tinting machines also. But the major amount would be for these 3 projects, yes, with the water -based plant consuming the maximum amount.

Mohit: Okay. Understood. And what is the capex plan? Any number you can share for FY '25 where we can end for the full year?

Hemant Jal an: I don't remember how much we have already spent on these projects in the last fiscal, I can tell you the total capex outlay. The total capex outlay for the water -based plant that we are setting up is going to be somewhere around INR250 crores to INR275 crores. For the solvent -based plant, I believe, is about INR55 crores or something like that. Sorry, it's closer to INR50 crores. And for the brownfield expansion of the putty plant, it will be around below INR15 crores or so. This is not cou nting the cost of the land, which we already had from before.

Some of this would have been spent in the last fiscal. Major amount will come in this fiscal. And for the water -based plant, there will be some CapEx that will come in, in the Q1 and Q2 of the next fiscal also. So it's being funded entirely by internal cash accruals, and we are fairly comfortable.

Mohit: Right. Understood. And any further investments that we expect to make in Apple Chemie to scale that business up a little bit more?

Hemant Jalan : They have undertaken small amounts of CapEx, but those quantums are fairly small. They are in the region of about INR5 crores, INR6 crores or something. And most of it they have already incurred, and some minor capacity enhancements that they had to make in certain lines of product. They are more or less done.

Mohit: Okay. Got it. Great. And sir, just coming back to these water -based and the solvent plants. Just wanted to understand once again that when can we -- when do we expect to reach, let's say, a peak utilization in these plants? And the products that will be made in these plants, will these be

more differentiated? Will it be along the similar portfolio that we have? Anything you can share on that as well? That would be very helpful.
Hemant Jalan: So product lines that will be made will be exactly what we are making now. We are already making water -based products at Jodhpur, except that it's a legacy plant. That plant was originally set up in the year 2000. It has incrementally grown over the last 25 years by adding machinery, adding some buildings, adding some construction.

But the scale of operations that we have reached, the whole plant was designed in a slightly manual mode. With the scale of operations that we have reached now, it is no longer c onducive to manufacture at this scale in that kind of a setup. So which is why we set up a state -of-the-art, highly automated plant in Tamil Nadu, which we commissioned last September. And it is that identical plant that is coming up at Jodhpur. And all th e products that we are presently making at Jodhpur will get shifted to this new plant in a far more streamlined manner.
Solvent -based plants, the volumes are much lower. They are nowhere comparable to the water -based production capacities. And therefore, today, we make solvent -based products only in our Tamil Nadu facility. And because a significant amount of sales for these products comes in Northern India and Eastern India, we wan

ted to set up a plant also at Jodhpur where we had land available, so that from a logistics and freight viewpoint, it becomes more convenient and it will save significantly on our logistics cost to service these solvent -based products in North and East India from Jodhpur rather than it coming all the way from Tamil Nadu, which it presently does.
And putty, we only make at Jodhpur and we will not make it anywhere else because it does not make economic sense to make it anywhere else. We are right in the center of the best raw materials available and the cheapest sources. So over ti me, our -- there are many months when we face a crunch in putty manufacturing capacity. So we are doubling the capacity almost so that it takes care for our requirements ahead.
Now you asked a question that by when will we get great utilization, that's a little difficult to answer. See, by and large, paint industry is somewhat CapEx -light. So when you do an expansion, you don't expand keeping the next 1 year in mind. You do an expansion keeping the next 4 years in mind.
So it doesn't matter. Probably with the size of the plant that you set up, in the first year, the capacity utilization may be 35% and goes up to 50%, 60% in the next year, and then slowly comes up to 75% in the third year. And once you start reaching those levels, you know it is time to sta rt working on another round of capacity expansion.
So basically, with the kind of capex that we are putting in now, which will all come in stream somewhere between February, March to maybe August of next year, we don't envisage any significant capex for the next 3, 4 years, keeping healthy demand growth in mind.
Now in case the demand were to pick up exponentially, maybe we don't have to wait for 4 years and maybe in 2.5 or 3 years, I sincerely hope, that would be a nice problem to have to need to expand capacity earlier than what we had originally envisaged. But as of now, I think chances are we will not need any significant capex for the next 3, 4 years.
Mohit: Right. Sir, this was very helpful. So essentially, the capex will follow the demand. And capacities will be added based on the demand scenario going ahead, essentially.
Hemant Jalan: Yes. Of course.
Moderator: The next question is from the line of Tejas h Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejash Shah: First of all , at the risk of repeating myself, I would like to express my appreciation for the clarity and insights that you share on your calls, it has been fantastic.
Hemant Jalan: Thank you, Tejashji.
Tejash Shah: Sir, you mentioned today earlier on the call that 5 0% of our network has tinting machine net of the total network. Would it be fair to assume that this segment of our dealer network will be contributing 60%, 70% of our overall sales?
Hemant Jalan: I have not done -- I mean we do have those analysis. I don' t think I have that -- those figures readily available. Do you have it?
Suresh Babu: No, it should be around -- would be around 60%.
Hemant Jalan: It should be more than 60%. I mean if 55% of our active dealers have tinting machines, I -- my gut feel is that they should be accounting for at least 70%, 75% of our total sales throughput.

But keep in mind one thing, that, as I said, 50% of your paint products don't need to go through a tinting machine. So we have some very, very large dealers who don't have a tinting machine, who don't sell our emulsions but still do a huge amount of business. So I'll need to separate out the tinting machine dealers from the non -tinting machine dealers to give you a more accurate figure, but I'm afraid I don't have those numb ers readily available right now.
Tejash Shah: No, sir, I was also seeing -- trying to see it as a sign of loyalty, that even without selling -- even without selling non -tinting product,

I actually -- if a dealer actually kind of logs into your tinting mach ine, it means that he's already selling a lot of your non -tinting based product, and that's why he has put in money.
Hemant Jalan: Yes. There are many dealers like that. Most of our differentiated products, which account collectively for 30% of our top lin e, they don't require tinting. Putty accounts for well over 10% of our top line, and when it comes to primers and distempers. So therefore, let's say that in our case, maybe 65% of our offerings don't go through a tinting machine at all, neither do enamels . So if some person for reasons best known to him does not want to sell our emulsions, but is doing great business in the others, we have no problems really.
Tejash Shah: Perfect. And sir, if somebody is having your tinting machine, it is safe to assume th at he has started dealing on emulsions with you?
Hemant Jalan: It should be. 95% of the cases, it would be.
Suresh Babu: There are cases where sometimes they go off the grid because of some outstanding issues. But otherwise, they will deal in our emulsions.
Tejash Shah: Perfect. Sir, second question, throughout last 2 quarters, across earnings call, we are hearing that we have still not seen any discernible presence or impact of the new competitor on business or on demand. But when we look at the number, bot h on demand side and margin this quarter was very weak for the industry. So should we say that the cost of growth has increased or growth

itself has been also kind of taken away by some -- not necessarily only the new competitor, but there's a lot of intensity around it.
Hemant Jalan: No, not really. See, if you -- I mean for the new competitor and you're talking about Birla Opus. I think the results will come out sometime next week. Hopefully, they will disclose what their top line in paint sector is. If they do disclose that -- see, this is an INR60,000 crore industry, which does INR15,000 crores of sales in a quarter. Any new competitor who is aggressive enough, and certainly, they have been aggressive, may have captured anywhere from 2% to 3% of tha t market in terms of at least the primary sales.
Is that going to be responsible? Is that diminished growth that we are talking about? Certainly not. I mean the industry normally grows at about a healthy 8%, 9% every year. So the industry should have been growing by at least around INR1,400 crores to INR1,500 crores per quarter. And if some new entrant comes and takes a small portion of that, that is not what leads to demand slowdown.
So I think the numbers will speak for themselves. It's become fashionab le for the last 2 years to ascribe anything that happens in the industry to the so -called competition from a new entrant, but it doesn't quite work that way.
And they are still in the mode of channel expansion. There could be significant diversion between t heir primary sales and their actual secondary sales. So I endorse the views of what others in the paint industry have said that we do not feel any significant pinch as far as our sales are concerned by the entry of any other competitor, at least not so far . And I sincerely doubt whether any pinch will be felt by anyone in the future. The industry is very large and large enough to accommodate more entrants like them. So I don't think that, that is going to be a factor. And normally, when we have earnings ca ll, the first 4 callers talk only about this. Today, I'm glad to see that you are the eighth questioner, and finally this question has come up. We can do it some time, but I guess the euphoria or the brouhaha about a new entrant is slowly tapering off as people realize that . Maybe they are doing well, I have no idea, but they are not affecting us. So why should we bother our heads too much about them?
Tejash Shah: Yes, sir. I spoiled the flow

today.
Hemant Jalan: If it was not you, it would have been the nex t person. So it's okay. It's not complete without talking about Birla Opus, unfortunately.
Tejash Shah: Yes, I just stuck with the custom. Sir, the last one, and this is about the exit part, which is like you are aware that there's a potential consolidatio n which can happen in the industry. So first of all, do you believe looking at the profit pool, how it is behaving, there is a reason for more consolidation happening in the industry? Or you believe this is a very bottom -up call of the

player itself and no thing to do with the industry scenario?
Hemant Jalan: See, I cannot talk about what reasoning has prompted one of the players to talk about a possible divestment. And at the moment, it is only a possible divestment if you read the words carefully of what t hey have uploaded. What has prompted them to do that? I really don't know.

What they have said, and that's all I know, what is available in the public domain, is that they wish to focus on their core industrial coatings business worldwide. And therefore, they're apparently planning to get out slowly from the decorative business not just in India, but in many other parts of the world also.
As far as we are concerned, any consolidation is good for the industry. There is one player less to compete on. But on e player less, 2 more will come in, in due course of time. So this has been happening for the last 25 years. It will continue to happen for the next 25 years. There are many large players who have either exited in the last 25 years or have been relegated t o the fringes of the industry. And many new entrants have come in. So there is no way to stop this process. But as any large player exits, partially or wholly, it's always good for the -- for all the other players in a minor way. No earth -shattering change s will happen, but whatever incremental change will happen will be for the good of everyone else.
Tejash Shah: Sir, do we compete with that portfolio directly, of the potential exit portfolio?
Hemant Jalan: Not really, see because that company is more metr o and a large city -oriented company, and more a very, very premium segment -oriented company. Our strengths lie quite the opposite of that. So yes, I mean, do we compete against each other somewhere or the other, of course, we do. We'll be competing against every player in the paint industry in some form or the other. But whether it's a very significant competitor to us given our geographical and product mix, the answer would be not much.
Moderator: The next question is from the line of Rajesh from SK Capital. Please go ahead.
Rajesh: Thank you for giving me this opportunity. In fact, just to let you know, it's been like 2 quarters that I have been in the queue trying to ask this question, and I'm lucky that I got this chance, and it's a pleasure talkin g to you, Mr. Hemant Jalan, one -on-one.
There are two questions on my mind. It's been like 3.5 years for this IPO of INR1,200 crores with the Tamil Nadu plant going live last year, the tinting machines being deployed, the Apple Chemie company being acquir ed, waterproofing business, the sales team for them being said. The team has been now looking into the Tier 1 and Tier 2 -related geographies as well. Meanwhile, the financials, when we look at it, the sales have doubled and the profit has tripled. The Jod hpur plant is planned to be coming. Everything is through internal accruals. Yet the share price of your company in the last 3.5 years is pretty much trading at the IPO price. Don't you think it would be a good idea to kind of go with some kind of a buybac k to kind of see the kind of value that it can deliver in the future, and also reassure the investors who have been patiently holding onto the investments within Indigo Paints? That's my first qu

estion, sir.
Hemant Jalan: It would be great if people like y ou start buying up the shares in the stock market, that would certainly drive up the stock price and yield good dividends to all the existing shareholders. But on a more serious note, the share prices of our shares, not having risen much from the IPO, you can take the share price of all paint companies. The number one, number two, number three players, and look at their price movement in the last 2 years. They have all had decent earnings

growth, all have had decent top line growth. And the share price has not moved, I think, more than plus or minus 5% for any one of them.
Now why is that happening? I think the analyst community, which is represented on this call, has been partially responsible because each one of you for the last 2 years has talked about t his impending doom of the paint industry with a large entrant announcing its entry, and everyone has predicted that the profit pool will be ravaged and all kinds of unpleasant things will happen to the sector.
And the investing public relies on your advice and your prophecy. So because of that, I guess, none of the paint company prices have moved a lot. Our prices did take a dip post IPO. But if you look at our share price movement in the last 7 months, the last I saw, we were up about 25 -odd percent. If you look at our share price movement in the last 1.5 years, I think we have moved beyond 50% to 60%.
So yes, if you compare with the IPO price which was 4 years ago, and after that, everybody's

share price sunk after this mammoth announcement by a lar ge new entrant, we seem to be recovering a little better than others. I think it's only a matter of time.
The day questions about the new incumbents stop coming on the analyst earnings calls of all the paint companies, that will be the day when you'll fin d the share price of all paint companies coming back to their rightful position.
Rajesh : Sir, any buyback kind of thing on the mind of the management to kind of seize the value...
Hemant Jalan: That's a very good suggestion, and it is something that the Board will definitely consider in due course of time. At the moment, the capex that we are undergoing which was not part of the IPO proceeds, the IPO proceeds talked about the capex at Tamil Nadu plant which got completed a year ago. And all the tinting machine and other things that we had talked about when we raised the funds in the IPO, have all been spent much more than a year back.
So now with this fresh capex that we are talking about, which is slightly in excess of INR300 crores, which is being funded completely with internal accruals with zero debt being undertaken by the company, and the company giving sustained dividend year after year after year, this would not be the time when we would have enough cash surplus to do a buyback.
Maybe 1.5 years from now when all this capex is behind us, I'm sure when we have a lot more surplus funds, the Board will take a decision at the appropriate time for a capex and -- for a buyback, as you suggested. And that's definitely one of the options that we would pursue at the appropriate time.
Rajesh : Perfect, sir. Sir, my last question is one more of an advice or a suggestion or maybe an out -of-the-box kind of suggestion here. And that is with regards to -- we h ave been seeing that a lot of trading companies are coming up or setting up shop where they basically are doing bulk buying from the tile manufacturers, the sanitaryware, and the steel and paint kind of products, to support building materials. So is it -- would it be a good idea for Indigo Paints to tie up with something

like a Shankara product or, let's say, a S G Mart or an of business for bulk buying, that would be one.
And the second thing w

ould be in terms of the digital area. A lot of these youngster s are kind of watching a lot of Instagram and YouTube. So why wouldn't Indigo Paints kind of think of tying up with these influencers? That way, people who have got like 1 million subscribers and so on and so forth, so that we have got a lot of visibility amongst these social media viewers.
Hemant Jalan: You have given a very good suggestion as far as the digital is concerned, and we have started our influencer marketing program, I think, just about 15, 20 days ago, and that is going to intensify as we go forward.
Rajesh : Yes. We have tied up with some influencers through our digital media agency, and we are on the road to executing the same.
Hemant Jalan: And when you talk about influencers, you have to understand that they don't come cheap. And the larger their following, the higher is their price tag. So you have to strike a balance between what kind of following they have, what kind of target audience their following exists in, and what their price tag is. And we are already doing that. We had not been d oing that earlier. This is an exercise that has started just last month, and it will intensify going forward.
But as far as your earlier question was concerned about tying up with these so -called building material stores, I think their success rate in the paint sector has been somewhat low. All the other products that you talked about, Rajesh ji, whether it's the tiles or pipes or sanitaryware, et cetera. Please remember that those are generally once -in-a-lifetime purchase or at least, at most, once in 20 years purchase. And those are all project sales items.
So their timing is together when a new construction is happening, you require electrical wires, you require tiles, you require sanitaryware, you require bathroom fittings, you require laminates and a whole lot of door fittings, et cetera, et cetera. Paint does not fall in that category.
Only about 15% of paint consumption is accounted for by new construction, 85% is repainting.
So generally, selling paints through that channel has not been very effect ive. Also, these bulk -buying stores exist mainly in the metro cities of India where they can cater to a large number of very large builders. As I said, our presence in the metro cities is low.
And in paints, you have to work first with the influencers, no t the influencers on digital media, but the influencers in real world, which is the painter and the painting contractor community.
And unless they get confident about their products and recommend your product, price -- lower price being offered by these st ores is generally not a very important factor for selling of paints.
Rajesh : Perfect. Sir, I think with that, I would like to congratulate the team and hoping that we kind of see the results of all the hard work that has been done by the management reflect ing the share price very soon.
Hemant Jalan: Thanks for your kind words.

Moderator: Thank you. As we will take that as the last question. I would now like to hand the conference over to the management for closing comments.
Hemant Jalan: Thank you. Thank yo u all for joining in on the call. It's been a reasonably long call, and thank you for your patience. And I welcome the kind of questions that came up, which were extremely interesting and quite a joy to answer. I look forward to engaging with you in the da ys ahead and certainly in our quarterly calls every quarter. So thank you all for listening in. Thanks.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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February 13, 2025
To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001
Scrip Code : 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No . C-1, Block G,
Sandra Kurla Complex, Bandra (East)
Mumbai - 400051
NSE Symbol : INDIGOPNTS

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for quarter and nine months ended December 31, 2024
Dear Sir/Madam,
Pursuant to the Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst and investors on February 10, 2025 at 18 :00 hrs (IST) to discuss the unaudited standalone and consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2024.

The above information will also be made available on the website of the company https://indigopaints.com/investors/analyst-investors-meets/

You are requested to take note of the same.

Thanking you,
For Indigo Paints Limited

Dayeeta Gokhale
Company Secretary & Compliance Officer

Encl: as above
DAYEETA
SHRINIVAS
GOKHALEDigitally signed by
DAYEETA SHRINIVAS
GOKHALE
Date: 2025.02.13
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"Indigo Paints Limited
Q3 FY '25 Earnings Conference Call "
February 10 , 202 5

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN AND MANAGING

DIRECTOR – INDIGO PAINTS LIMITED
MR. T.S SURESH BABU – CHIEF OPERATING
OFFICER – INDIGO PAINTS LIMITED
MR. CHETAN HUMANE – CHIEF FINANCIAL
OFFICER – INDIGO PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER
FINANCE AND INVESTOR RELATIONS – INDIGO PAINTS
LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Indigo Paints Q3 FY '25 Earnings Conference Call. As a reminder, all participants lines will be in the listen only mode and there will be an opportu nity for you to ask questions after the presentation concludes. Should you need any assistance turn the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Sagar. On behalf of ICICI Securities, we welcome you all to Q3 FY '25 and 9 months FY '25 results conference call of Indigo Paints. Now I hand over the call to Mr. Srihari Santhakumar, General Manager, Finance and Investor Relations, to take the call forward. Post that, we will have initial discussion on the quarterly as well as 9 -month performance from the management, a nd then we will open the floor for question -and-answer session. Thanks, and over to you, Mr. Srihari.
Srihari Santhakumar: Thank you, everyone. Thanks, Aniruddha . Thanks for joining the earnings conference call of Indigo Paints. For discussing the performance of the company for the quarter and the 9 months ended December 2024, we have with us Mr. Hemant Jalan, Chairman and Managing Director of Indigo Paints; Mr. T. S. Suresh Babu, Chief Operating Officer; Mr. Chetan Humane, the CFO; and myself, Srih ari.
As usual, joined the call with Mr. Hemant discussing the performance areas of the company followed by the Q&A. Over to you, sir.
Hemant Jalan: Thank you, Srihari. And thank you all for joining in on the earnings call of Indigo Paints for Q3 FY '25. We have uploaded the investor presentations on the stock exchange portals, and I hope you've had a chance to go through our financial results. After reporting an industry leading growth for 6 consecutive quarters, we ourselves are disappointed to report a ne gative top -line growth during this quarter. The demand slowdown has been persistent for almost a year now and the festive demand fell way short of expectations.
First, let me come to the standalone results. Compared to Q3 of FY '24, our sales in Q3 of FY '25 have registered a negative value growth of 4.0%. As usual, we have maintained the pole position in terms of gross margins which stood at 47.2%. The gross margins were slightly muted compared to the corresponding period of the previous year when it was 48.4%, partially due to the price cuts taken by the industry in Q4 of last year and somewhat due to the change in product mixes which happened.
The EBITDA on an absolute amount decreased from INR60.9 crores in Q3 of FY '24 to INR57.3 crores in Q3 of this y ear, registering a negative growth of 5.9%. The EBITDA margin of 17.5% clocked this quarter is very slightly lower than 17.8% registered in the comparable quarter of last year.

During Q2 and Q3 of last fiscal, we had significantly increased the salesforce strength anticipating higher growth. However, due to the persistent slowdown in the last few quarters, the incremental employee cost has had some adverse impact on the EBITDA. We expect this impact to disappear once normal demand pattern returns.
The PAT d ecreased by 3.3% to INR36.5 crores this quarter compared to INR37.7 crores clocked in the same quarter of the last fiscal. The PAT margin for this quarter moderately improved from 10.9% clocked in Q3 of FY '24 to 11.0% in Q3 of FY '25. The base effect of h igher depreciation due to the commissioning of our new plant in Tamil Nadu is already behind us and the divergence between EBITDA growth and PAT growth should no longer be there from the next quarter onwards.

On standalone basis, for the 9 months of fiscal '25, we h

ave clocked a top -line growth of 2.4% achieving a sales of INR910 crores. The EBITDA for the last 9 months have reduced marginally by 3.1% to INR145.7 crores and our EBITDA margin for these 9 months was 16.0%, again slightly lower than the 16.9% in the 9 months of the previous fiscal.

PAT has decreased to INR87 crores for the 9 months of this fiscal and the PAT margin has clocked at 9.4% compared to 10.6% in the 9 months of the previous fiscal due to the significantly higher depreciation burden du ring the last 9 months.

Now let me come to the consolidated results. For the quarter, our consolidated revenue was INR342.6 crores registering a negative growth of 3.2% on a Y -on-Y basis, while the EBITDA declined by 8.1% and PAT declined by 4.5%. The EBIT DA margin on a consoled basis for the quarter was 16.7% and the PAT margin was 10.4%.

Our subsidiary Apple Chemie has registered a good top -line growth of 20.6% in Q3 of FY '25 compared to the same quarter of the previous fiscal, however their margins were impacted due to slightly adverse product mix. However, the margins have improved sequentially from Q2, and we expect it to improve by a good measure in Q4 which has always been a seasonally strong quarter for Apple Chemie. We have also made a conscious decision at Apple Chemie to focus on selling in those regions where the product mix is favorable.

For the 9 months FY '25 on a consolidated basis, Indigo Paints has achieved a revenue of INR953.1 crore which is a 3.5% growth over the 9 months of the previous fiscal. EBITDA has declined by 4.8% to INR146.1 crores compared to INR153.5 crores in the 9 months of the preceding fiscal. The EBITDA margin contracted to 15.3% from 16.7% in the corresponding period last year. All other numbers are given in detail in our investor presentation.

I shall now give you some more operational details about the third quarter goi ng beyond the simple financial numbers. During the last quarter, our overall A&P spends as a percentage of revenue decreased from 9.5% in Q3 of FY '24 to 8.2% in Q3 of FY '25. Now, it should be noted that in FY '24, during this quarter, the advertising out lay was higher mainly due to the ODI World Cup series during which we had advertised quite heavily.

As mentioned earlier, we have, during the last 5 or 6 months, been supplementing our TV advertising spends with significant spends on digital media which ha s started yielding good results by increasing viewership with our target audience. The overall increase in A&P spends will be less than the expected top -line growth in revenues. Hence, A&P spends as a percentage of revenue is still expected to decline for the full fiscal.

In line with our disclosure practices of the past, we have given our volume and value growth numbers for each of the 4 major categories of paint products. For the quarter Q3 FY '25, the toughest market demand situation which Indigo has fac ed so far, the volumes have declined in all the segments except for the emulsion category which is by far the largest category in the decorative paint industry.

On a volume basis, our emulsion volumes grew by 1.7% this quarter compared to the same quarter of the last fiscal, and the value growth in the emulsion category was even higher at 2.8%. This demonstrates that our premium emulsions have done better than our economy emulsion segment, implying an improvement in our product mix. This is a testimony to t he efforts taken by our team to engage with painting contractors across the country who are the main influencers for premium paints.

We continue to focus on network expansion, on improving the throughput per active dealer and increasing our tinting machine population. As of 31st December 2024, our count of active dealers was about 18,600 and our tinting machine population was about 10,800.

On the capex front, work is progress

ing on both the water -based paint plant and the solvent - based paint plant both bein g set up at Jodhpur. Due to minor delays in civil construction, the water -based paint plant is now expected to be commissioned by Q3 of FY '26, while the solvent - based plant is expected to be up and running by Q1 of FY '26.

The brownfield expansion at Jodh pur of the putty plant will also be completed by Q1 of FY '26. This minor delay is not expected to cause any adverse impact as we have enough capacity to cater to the existing demand.

The waterproofing and construction chemical products at Indigo paints co ntinue to consistently yield good results, contributing to a healthy mid -single -digit contribution to the revenue pie.

Coming to the sustainability initiatives. The installation of rooftop solar panels at our Kochi facility is almost complete and we are in the process of getting the necessary regulatory approvals.

As mentioned in our last call, we have started a new initiative called "Indigo Seva Utsav." Under this initiative, Indigo Paints is undertaking painting of government schools in Tier 2 and Tier 3 towns with the help of the local painter community. I am happy to inform you that we have painted over 65 schools across 18 states in the last quarter, while adding joy to the painter community, members of the education fraternity and society at large.

On the CSR front, we continue to extend educational benefits for the underprivileged girls. There are over 360 beneficiaries of this initiative during the last few years. Indigo Paints has now also extended providing the families of painters a health benefit program to take care of their hospitalization needs. We have already enrolled about 16,000 painter families across 18 states in the country towards this initiative.
Finally, all I can say is we really hope that this unprecedented demand slowdown, which is across consumer products in general and paint sector in particular, we sincerely hope that this comes to an end soon.
Some improvement has been visible in January and we are keeping our fingers crossed to see if it sustains with a favorable harvest subsequ ent to good monsoons, with a good stimulus provided by the finance minister in the form of tax reductions announced in the budget and the reduction in interest rates announced by RBI only a few days ago, we expect the consumer sentiment to improve and the good days to return soon to the paint sector.
That is what I have in terms of my opening remarks. I look forward to answering your questions.
Moderator: Our first question comes from Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Sir, before the question queue assemble, just 2, 3 questions from my side. Sir, have we seen some maybe turnaround in the industry in January or still we need some more time to, in a way, see some confirmation in terms of growth happening in the sector? That is question n umber one.
Question number two, how is the, in general, trade inventory? Means, obviously, earlier -- compared to earlier levels, has the trade inventory also gone down a bit indicating dealers are keeping relatively lesser inventory now .
And that is also, in a way, causing the primary sales to relatively get a more impact. So that is question number two. And the third point is that if we divide the, in a way, multiple segments like, projects, within projects, government as well as private capex or real estate developers, then the consumption of premium paints, mid -price paints and at the -- sorry, low -end paints, which is distemper.
So where is the growth rate weakest? Where is the growth rate highest? And the fourth question on the latex paints . So, we have seen the market leader introducing latex -based paints to tap the consumers at the absolute bottom of pyramid and also to upgrade consumers using distempers or very basic level of pai

nts or maybe limestone, etcetera . So, any -- we have seen 1, 2 more players also joining the latex paint segment now.
So, sir, what will be the strategy of Indigo Paints at this segment? Yes, yes, these are the questions.
Hemant Jalan: Okay, Aniruddha . Starting with your first question about January, all I can say is that January has been significantly better for us than any of the preceding 3 months of October, November and December in terms of Y -on-Y growth. I cannot say as to how it has been for the other players. Whatever market intelligence that we have from a negative growth on a Y -on-Y basis

for several months for most of the players, I think that they have turned positive, but I cannot comment on their behalf. They will be the better ones to say.
So that's what I said in my introductory remarks, that we do se e a turnaround, definitely visible at Indigo Paints, and I think if my market intelligence is right, there is an overall slight improvement for the industry as a whole, but I cannot speak on behalf of others. So just hoping that this trend accelerates beca use, please remember, in January, the budget had not been announced. The RBI monetary policy had not yet been revealed.
So hopefully, better inputs will come in the subsequent months, but between you and me, I doubt if it will be a hockey -shaped recovery. I think it will be a gradual recovery, month -on-month basis, and we'll be happy if we do high single -digit growth in this quarter. If we are lucky, we may end up doing small double -digit growth as far as this quarter is concerned, but we have to wait and w atch.
Whenever demand scenario -- coming to your second question about trade inventories, whenever

demand outlook looks weak, there is a propensity for dealers to keep minimum amount of stock. As a company, Indigo Paints has never believed in doing unneces sary push sale with the dealers to prop up or window dress our P&L. So, if the demand scenario is weak and the dealers are not willing to stock up, we let things be as they are.

And the moment the scenario changes, we find a very quick uptick in demand tha t happens, at least for our company. So, at the moment, I would say that the trade level inventory, at least as far as Indigo is concerned, is fairly low. And as the sentiment changes, we would expect the dealers to start stocking up.

Your third question, as far as projects and government projects and all are concerned, we are not very active in that segment, so I can't really comment as to how that sector is working out. But you were talking about other segments. As I said, the fastest growing segment for us has been the premium emulsion segment at the retail level. And that has happened because we have focused for the last 1.5 years with absolute steadfast conviction on the contractors, the painting contractors in metros, Tier 1, Tier 2, and Tier 3 towns, wherever they exist.

Because when it comes to premium emulsion, they are not very price or discount driven. They are more driven by demand generation at the secondary level from painting contractors. And we have seen that that segment has bucked the trend, and we are getting very good growth in the premium emulsion category.

Finally, you talked about latex paints, which some companies have launched. Our market feedback is that it has not gained much traction, or at least we are not getting much disturbed by that. So, at this point in time, there is no interest on our part to follow suit and to introduce a similar product along those lines. So, I hope I have answered all your questions.

Aniruddha Joshi: Yes, sir. This is very, very helpful.

Moderator: The nex t question comes from the line of Yasser Lakdawala from M3.

Yasser Lakdawala: I had a couple of questions. The first question is, qualitativ

ely could highlight when you talk about there has been a slowdown in the paint industry. How much of the share of volume has been taken by newer sort of competitors and newer entrants into the paint space? And would that have had a material impact in overall volume growth for us?

Hemant Jalan: If you do the math, Mr. Lakdawala, the answer is very simple. I think by th eir own admission, the new entrant that you're talking about may have got anywhere around 2.5% to 3% of the market share. Now if you look at the industry leader who used to traditionally grow at 8%, 9%, 10% and is now reported a 7.5% negative growth, so th at's an overall decline of like 16%, 15% to 17%, out of which maybe you could say 2.5% is contributed by a new entrant. But that's a very small portion and that is hardly the reason for the industry reporting bad numbers.

As far as Indigo is concerned, I would say that we have been even impacted to a lesser extent by Birla Opus. I don't think that with our differentiated products and with the kind of distribution network that we have, I don't see -- I mean, I won't say that the effect is 0, but I would say that the impact on our sales has probably not even been 2.5%, it would probably be maybe 1% or something. So, these things keep happening, new entrants come, some of the old players exit, which is not discussed very actively.

There are some old players wh o have dropped very drastically for other reasons in specific geographies, there could be regional players, etcetera . So, I don't think that any new entrant would materially change the dynamics of the paint industry because whatever share they may get woul d be a relatively small amount compared to the overall size and the growth of the industry.

Now the problem is that the industry is not growing. The industry is degrowing. Now when an industry degrows, then everything starts looking bad. But if you do the simple math as to how much a new entrant has gained and how much collectively the existing people have lost, I think the mathematics will show that the presence of the new incumbent is responsible to a very small extent for the decline that is happening fo r most of the existing players.

Yasser Lakdawala: Sure. That was very helpful. Secondly, I think if you look at Q1 and I think Q3 in terms of dealer count, it probably stays the same. Now when an -- based on your operating history overall the almost 15 odd years, or 15 years, 20 years, what is your take on whenever an industry experiences a slowdown, like, how hard is it for a relatively smaller player of our size to, sort of, increase the penetration of painting machines and grow our dealer network? If you could share some experiences over the years, it would be very helpful for us to understand the...

Hemant Jalan: A very valid question. You are right that we -- the dealer count that we show, please note it is the active dealer count. It is the dealers who are purchasing with a certain amount of frequency. So, when the market gets bad, although we do add a lot of dealers every month, this is not the total count of the dealers that we are dealing with. This is the dealers who are buying frequently.

And that tends to stagnate when the demand scenario is weak.

The moment the demand starts reviving, you will see a very sharp uptick in the count of the active dealers. You will notice that the tinting machine addition has not slowed down very much. And if you go b ack in time for 2 years, when our active dealer count was about 16,800 and our tinting machine count was slightly less than 8,000, so about 45% of our active dealers had tinting machines. Now today, when our active dealer count is 18,600 and our tinting ma chine count is nearing 11,000, that number is closer to 60%.
So, what is more important for us is to increase the throughput per dealer. Yes, increasing dealer count i

s important and we are adding dealers. The active dealer count, you will see a very drast ic increase once demand scenario comes back to near normal. But what is refreshing to note is that the tinting machine adoption is happening at a healthy pace. And we don't give free tinting machines, so these are tinting machines adopted by dealers who se riously want to start selling our emulsions because they have some skin in the game.
And we just would like to take this ratio of 60% of our active dealers having a tinting machine to maybe 70% in the next 1.5 years, 2 years. That's pretty much what we hop e to do.
Yasser Lakdawala: Lastly, just when you mentioned that I think this year you might see a sort of muted A&P spend, Heman t ji, just to sort of get a better understanding, sorry, is it -- what is the thought process in terms of, in such times when th ere is obviously a slowdown in the industry, is it not -- in terms of if you're looking at long -term brand building, is it not a better strategy to continue a certain level of A&P spend because -- I mean that could probably yield better results 3, 4, 5 yea rs down the line, right, in terms of building the...
Hemant Jalan: You're absolutely right. And we have never said that we are going to reduce the A&P spends. A&P spends are pretty much flat or they grow by a very marginal amount to take care of inflation from 1 year to the next. Normally, because of increase in the top -line, the A&P spends as a percentage of revenue comes down. Now this year, that decline may not be all that large because the growth in the top -line will be fairly small.
So, yes, I mean, if , let's say for the whole year, hypothetically, the top -line grows by, I don't know, 5%, 7% or something like that, then the drop in the A&P spends as a percentage of revenue will be to that extent marginal, but there will be a drop. I entirely agree with you that A&P spend should never be looked at as a short -term measure to boost your EBITDA. It is a long-term investment.
For a company of our size, we feel that we have miles to go before we rest. And therefore, a long-term investment in advertising and pr omotion remains topmost on our mind. And that is why in this year, along with television advertising, we have also started digital advertising, which we were not doing up till now. And a sizable budget is being allocated towards that. And we have to reach out to the customers in more ways than one to win over their minds and hearts.
Moderator: The next question comes from Mihir P. Shah from Nomura.

Mihir Shah: Sir, if you can share some insights on how the urban and rural markets have performed and what would be your saliency currently in these markets?
Hemant Jalan: We don't find much of a difference between rural and urban demand scenario. I know other people have been talking a lot about urban stress. To begin with, the definition of urban and rural is so mewhat arbitrary and depends upon how you wish to define it. Now if you go by Government of India census, then rural is considered towns with a population of less than 4,000. I don't think you're talking about that definition.
So, the definition between ru ral and urban becomes somewhat arbitrary. But having said that, if we look at metros, Tier 1, Tier 2, Tier 3, Tier 4, in whatever way we define it, we find the demand outlook to be bad across all size of towns. We don't find any noticeable difference betwe en larger cities and smaller towns at this point in time.
Now there is a lot of talk that when it comes to the smaller towns, what you may call the Tier 3, Tier 4 towns, where a good harvest would influence, have a greater influence on the demand, FMCG companies are talking about some uptick that they are beginning to see in rural demand. Since our presence in the smaller towns is very, very vast and we get a

lot of higher percentage
of our sale coming from the smaller towns, we hope that we will have a good Q4.

But we just have to wait and watch. At the moment, I don't see too much of a difference between size of towns and the growth rate.

Mihir Shah: Understood. No, that is exactly precisely what I was trying to understand. That given that this -- it's been maybe 3 quarters for the industry to see a slowdown in volumes. And one is expecting a cyclical recovery. And given you have a higher saliency, the Tier 3, Tier 4, maybe that will likely pick up the earliest, so...

Hemant Jalan: I sincerely hope that you are right, Mihir Ji. May your mouth be filled with clarified butter and sugar.

Mihir Shah: I hope so. So out of the 18,500 dealers do you -- that you have right now, how has been the competitive intensity in them? How many dealers can we say are comple tely exclusive for you with having only your tinting machine inside? Are you seeing seeding of the new players tinting machine in any of these regions? Any insight in that will be very helpful.

Hemant Jalan: So, we do have some dealers who deal exclusively with us. I don't have the exact headcount of that, but that percentage would be low. And it would be low, frankly, for any player in the paint industry. In general, most dealers across India are multi -brand. Now some may have a disproportionately high sha re 75%, 80% devoted to 1 brand, but they will have 2 or 3 other brands which may constitute at least 20%, 25%.

In most cases, in most dealers, without naming any brand, it will be hard to find dealers who commit more than 60% or 65% to any 1 brand. It will be generally distributed across at least 2 brands with about 10% share coming from even local unknown brands. I mean, that is the normal trend.

So that is the case in our case also. I would expect, I mean, if you want a top -of-the-hat number, maybe out of 18,000, maybe there are somewhere around 750 to 1,000 dealers who are doing almost exclusively with Indigo. But I'm just giving you a top -of-the-mind number. I don't have any precise numbers to share at that stage.

Now the installation of tinting machines by a new competitor has happened across the landscape, because as you know, they are providing free tinting machines. So that has happened across the dealer network of any company. The question is, how many of those tinting machines are really being used and are being tinted for emulsions, etcetera , I don't have any granular numbers to share with you.

But as I said earlier, I think we are one of the least impacted is what I can say in terms of the whatever outreach the new entrant may be making. So, I don' t -- none of our sales team has been calling out as a major disruption coming in our sales in any part of the country from a new entrant, at least at this point in time.

Mihir Shah: Sir, last question. If you can throw some insights on the cost structure, maybe whether it is employee ad spends or even the dealer margin, are you starting to see any stress on any of the cost line items or cost structures in any of these line items?

Hemant Jalan: Again, why don't you just look at data, look at gross margins fo r all the paint companies as reported. You will find that the gross margins of all paint companies, as I have observed the numbers that have come out so far, I think 1 major paint company is yet to declare its results, which is probably coming out tomorrow . But everybody's gross margin compared to the same quarter last year has declined by around 1 percentage point, 100 basis points, and that's about it. And this is more attributable to a price cut that the industry leader took and others had to follow, which happened in Q4 of -- Q3 and Q4 of last year. So, the fact that nobody's gross margin has been disturbed, and gross margins are intact is the best way to try and judge as

to whether the competitive intensity due to new entrants has caused any disruption at all or not. So, for me, if the gross margins are more or less what they were a year ago, that there is no better proof that you have that there is no disruption in the cost structure of any paint companies.

Now naturally, when top -line growth will not happen, the EBITDA margins will naturally decline because all your fixed costs will get absorbed on a lower base and fixed costs do increase from year to year. So, EBITDA margins may decline, but disruption due to any new entrant will reflect itself instan tly on gross margins. And I don't see that happening for any of the paint companies, certainly not for Indigo Paints.

Mihir Shah: Specifically on ad spends, employee and dealer margins, any comments specifically on these 3 line items?

Hemant Jalan: See, dealer margin is not something that is offered by any paint company. It is a natural consequence of your width of distribution. And I've said that many times earlier, the more number of dealers you appoint, the more competition you create amongst your existing dealer

network, because a dealer is competing with another dealer who's 100 yards away selling the same product, and that tends to drive the price down and therefore reduce the dealer margin. No paint product of any company is sold at MRP. They a re all sold at a discount to MRP at a negotiated price. So, there's something called a market operating price. And that is determined by your competitive intensity. So typically, if you do a study amongst dealers, you will find that the dealer margin that is effectively retained by the dealers would be the lowest for the market leader, because obviously they have the widest distribution reach.
Now if somebody tries to imitate that and create almost an equivalent distribution reach, they are likely to face a backlash sooner or later because the dealer margins will get suppressed. Now the market leader is able to get away with it because of the brand pool that it has created over the last 50 years. It is very difficult for any other player to match that kind o f a brand pool. And therefore, all other players, whether it is the Number 2 player, Number 3 player, or even ourselves as the Number 5 player, we have to be conscious that we do not increase the dealer network beyond a certain healthy number, beyond which it starts becoming counterproductive. So, dealer margin will vary from region to region depending upon how wide your distribution network is in that part of the country.
Mihir Shah: So lastly, just a bookkeeping one, from next quarter onwards, should one expect the negative pricing to anniversarize and we should incrementally see some kind of price growth barring the small cut that we've seen in Jan this time?
Hemant Jalan: I can't answer that question. All price changes are led by the market leader. And t hey are the only ones who really have control over pricing power. So, if the market leader increases prices or decreases prices, there is no option left for the rest of the industry to follow suit in quick succession. I don't think the industry is interest ed in a price drop at this stage, they would like to see slight price increases happening.
But I don't think that that decision is in anyone's hands, other than the market leader. So, they are the best ones to answer this question as to whether prices are likely to go up or go down in the foreseeable future. And if so, for what categories? I really don't know.
Mihir Shah: Sir, ceteris paribus, the anniversarization should happen, right?
Hemant Jalan: Pardon?
Mihir Shah: I mean, ceteris paribus -- there is n o other further changes on -- in pricing, then I think from fourth quarter onwards, we should see some small price growth in the numbers? Would that be...
Hemant Jalan: Price growth? Value grow

th you're telling? I didn't understand. You're talking about pr ice increases. If there are no changes in prices, then a pricing -led growth will not happen. But if quantities start going up, then value growth will automatically go up.

Moderator: Next question comes from Tejash Shah from Avendus Spark.
Tejash Shah: Sir, I'm attempting to ask this question because you are at the other end and I'm hoping for a very insightful and an honest answer. So, for years, we have been taught on the sector that there is a huge per capita income -- per capita consumption gap betwe en how we consume paints versus some of the other markets.
Second, we have also been taught that there's a huge unorganized segment which operates in paint industry. And hence, the organized to unorganized will happen indefinitely, at least for the near fu ture.
Now I can understand macro environment is bad and you reasoned out very well that it has nothing to do with the new competitor. The environment itself is very bad. I was just wondering, in such environment, ideally this unorganized to organized shoul d play out better. And the whole per capita consumption argument should be independent of what is happening on a competitive landscape.
So why some of those macro drivers, which we were always positive about as an industry, as an analyst investors, are not playing out as we speak in this current year?
Hemant Jalan: So, this per capita consumption figures have to be taken on a slightly longer time span. They cannot be judged on a quarter -by-quarter basis. So per capita income of the country continues to rise. When the GDP growth rate slows down, then the per capita income growth rate will also slow down for a few quarters and then they will recover back. So, we have a long way to go in terms of per capita consumption in paints in India compared to the rest of the world.
So, the long -term story, nothing changes. And although it's the first time that I've seen in 25 years when there has been some kind of a demand slowdown extending for 4 quarters. In the past, whenever there is such a blip has happened, it's gen erally been at most for 1 quarter. We

hope that this ends soon because structurally there is nothing wrong with the Indian economy and sooner or later demand has to bounce back.
And the government will be keen for its own needs and for its tax collections to see that the demand grows back and bounces back, which is why some of the measures that you see being rolled out in the budget, I mean, it's an unprecedented tax break that was offered. And extreme situations demand extreme solutions, and which is what the government is attempting.
So, I think in the long -term scenario, the per capita consumption in paints will increase. There can be temporary blips for 1 quarter, 2 or 3 quarters, but I'm sure it'll come back. Maybe it'll come back wit h a vengeance. Let's hope so. As far as the organized -- unorganized sector is concerned, I won't say it is very large as of now. There is an unorganized sector. I think, a lot of the clean -up of the unorganized sector -- well, the unorganized sector, what you call, I think you're talking about the smaller players.
Let's not call them unorganized because previously, 8, 10 years ago, there was a sizable segment of these small players who operated outside the legal framework of taxation. I think most of that

got cleaned out progressively after the introduction of GST. So, either some of them came into the legal framework of taxation or many of them closed down. But that was quite some time back. It's been 7.5 years since GST was implemented.
So, I don't see th at there is any meaningful change in the unorganized sector or shall I call it more appropriately, the smaller scale sector. There are a few thousand of them across I

ndia.
They will exist and I don't see much of a share gain or loss happening between the l arger players and the smaller players. They have a certain role to fulfil in the paint sector and I think they will always exist.
And from our point of view, we have never consciously attempted to snatch away sales from those smaller players because it's g oing to be very difficult and damaging to our own P&L if we try to do that.
Tejash Shah: Sir, and this per capita consumption number, is it a circular reference number or -- and you -- knowing you, you would have spent a lot of time on arriving at some of this. It has been well calculated because many times we have seen that some RHP or DRHP will write it and then it circles back as a new norm. But you believe because when we look at some of the Western markets, there is a 75%, 80% is industrial paints.
So perhaps on decorative paints, that number might not be that high as it appears from here. So just wanted to understand the nuanced part of it, sir.
Hemant Jalan: Even -- you are right that the share of industrial paints in Western countries is significantl y higher than decorative paints. But even then, the gap between the per capita consumption, however you calculate it, for Western countries and India is still very, very large. Now I don't know if anybody has done any organized study as to what these numbe rs are and how they are trending.
You're quite right that when people file DRHP, they look at some published report somewhere and that gets copied, pasted onto that DRHP number and that becomes a reference point for the next DRHP or the next, shall I say, market study report that comes. So, I don't pay too much attention to that except to know that in India, the growth story for all consumer products and for that matter, even for all industrial products, whether you look at per capita steel consumption or per capita copper consumption or aluminium consumption or any particular commodity .
Whether in consumer space or industrial space, is a very small fraction of what the developed economies are. So, we have a very long way to go. So, if you start looking at t he paint industry from a 10 -year horizon, there is absolutely no doubt in anyone's mind that the CAGR will be close to 9% or 10% value based in the decorative segment. Now if there is a blip in 1 year, as it has happened in this last year, it could come ba ck with a vengeance in the next year or the next couple of years . And you know, -- neutralize itself is what we expect.
Tejash Shah: Sir, last one, if I may. Sir, we saw a very sharp revival on commercial real estate and residential real estate around COVI D and then it has actually been very, very strong, at least in the metro

centers. And then we all thought that by now, in 3, 4 years, it will trickle down at some of the paint industry or the tertiary beneficiary of once the possession actually comes throu gh. So, we have not seen that kind of revival that we thought looking at the last 2, 3 years of real estate cycle. Any gap there, sir?

Hemant Jalan: Yes. So, 2, 3 things to note. New construction accounts for only 15% of paint consumption in India, 85% is repainting. Secondly, when you talk about real estate and commercial real estate, you are talking about a handful of large builders who operate in 10 to 15 cities of India. So that is not representative of what is happening in Bharat.
So if you want to look at construction activities, which, as I said, in itself accounts for only 15% of paint consumption, and you want to look at it on an all India basis, maybe you should have to focus on cement consumption that has happened, rather than look at the resul ts of 5 or 6 large listed players in the real estate business.
And cement demand has been subdued. So, you can see that from the narrative of all the cement companies. So therefor

e, you can conclude that in general, new construction across India would be somewhat muted during the last 1 year. But as I said, that does not impact paint consumption to that an extent, because most of it comes from repainting.
And when market sentiments get bad, repainting your home is something which is postponable by a few months or 6 months. So, people tend to postpone some of these things. And when the sentiments have improv ed, you want to paint in a hurry and demand comes back with a bang.
Moderator: The next question comes from Vedant Mehta from QRC Investment Advisors.
Vedant Mehta: I wanted to understand what the contribution of differentiated products was for this quarte r. And if you saw any change and any difference in the demand for differentiated products compared to the rest of your products this quarter?
Hemant Jalan: No, we give these numbers on an annual basis, because many of these differentiated products have a d istinct seasonality built into it. And therefore, to report on a quarter -on-quarter basis as to what is the contribution of differentiated products is not very meaningful. So, we have never reported the contribution of differentiated products on a quarterl y basis. But next quarter, when we are presenting the results for the whole year .
We will definitely be presenting as we have done for every year in the past as to what our contribution for differentiated products has been. But on a broad sense, with whate ver trend we have seen in the last 9 months, I don't think that there is much change in the differentiated products versus the more vanilla products as far as growth is concerned. I think they're pretty similar.
Vedant Mehta: And any reason for why they're similar and there's no difference between the growth?
Hemant Jalan: There is no reason for it to be dissimilar, let me say. It's all based on the same consumer demand concept. So, if the overall demand scenario is weak, sales of the differentiated product s would

also be weak. So, there is no specific reasons as to why those products would sell much more than any other product of the paint.
Moderator: Next question comes from Anand Mundra from Soar Wealth.
Anand Mundra: Sir, on Q -on-Q basis also, there is a big swing in gross margin. Any reasons for that, sir?
Hemant Jalan: Pardon, can you repeat? Your line is not very clear.
Anand Mundra: Okay. Sir, on quarter -on-quarter basis also, there is a big swing in gross margin. So, what did you check? Any reason to that?
Hemant Jalan: That is always the case. That is always the case. And you'll find in Q4, the gross margins would be the highest. And that is entirely a function of product mix. So gross margins would always be the lowest in Q2, which is the monsoon mo nths. So, during the monsoon months, July, August, September, the product mix deteriorates drastically in this industry. So exterior painting virtually comes to a halt. Most of our differentiated products which contribute significantly to our gross margins are also exterior -based and their consumption also goes through a downtrend.
Our overall sales, our overall gross margins and our EBITDA margins have always been by far the highest in Q4. You can plot that for the last 4 years and you will find that trend . So that is entirely to do with the product mix scenario and nothing else. So normally Q1 and Q3, you will find that both EBITDA margins and gross margins are similar. They are low in Q2, and they are very high in Q4.
Anand Mundra: Understood, sir. And si r, one last question. What is the net cash on the balance sheet, sir?
Hemant Jalan: Well, we have treasury investments of around INR195 crores or something. So, it is already disclosed. It has not been uploaded, but it is there in the balance sheet. But yes, I mean, if you want, I can tell you that at -- about -- our treasury balance

is about INR196 crores as on 31st
December. And this is after all the internal f unding that is happening for the capex . For 2 years, we spent on this about INR280 crores in this plant in Tamil Nadu, which got commissioned about 15 months ago.
And now the ongoing expense of almost a similar amount or slightly higher amount is happening

at Jodhpur, which is about halfway done. And all that has been funded from internal accruals without resorting to a single penny of debt. And we have still managed to maintain our treasury investment at about INR195 crores.
Moderator: The next question co mes from the line of Prakash Kapadia from Spark PMS.
Prakash Kapadia : My questions have been answered.
Moderator: Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.

Hemant Jalan: Well, thanks. Thank you all for joining in and giving us a patient hearing. I hope we have been able to answer all your questions. And for our sake and for the sake of investors in this entire paint industry, we need your good wishes that the demand scenar io comes back sooner than later. So let us hope that we meet in more joyous circumstances at the end of Q4 and we have much better numbers to report. Thank you all.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

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Dalal Street, Mumbai - 400001
Scrip Code: 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai -400051
NSE Symbol: INDIGOPNTS

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for the quarter and financial year ended March 31, 2025

Pursuant to the Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requi rements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held with the analyst and investors on May 26 , 2025 at 11:00 hrs (IST) to discuss the audited standalone and consolidated Financial Results of the Compan y for the quarter and financial year ended March 31, 2025 .

The above information will also be made available on the website of the company https://indigopaints.com/investors/analyst -investors -meets/

You are requested to take note of the same.

Thanking you.

For Indigo Paints Limited

Saya lee Yengul
Company Secretary & Compliance Officer

Encl.: As Above

"Indigo Paints Limited Q4 FY-25 Earnings Conference Call"

May 26, 2025

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Moderator : Ladies and gentlemen, good day and welcome to the Indigo Paints Limited Q4 and FY25 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anirud dha Joshi from ICICI Securities. Thank you and over to you sir.
Anirud dha Joshi : Thanks, Shruti. On behalf of ICICI Securities I welcome you all to Q4, FY25 and FY25 Results Conference Call of Indigo Paints Limited.
Now I handover the call to Mr. Sri hari Sant hakumar – General Manage r, Finance and Investor Relations to introduce the Management . Then we will have initial comments from the management on quarterly and annual performance and then we will open the floor for question - and-answer session. Thanks, and over to you Sri hari sir.
Srihari Santhakumar : Thanks Anirud dha. Good morning, everyone and thanks for joining our earnings conference call today. We have uploaded the Investor Presentation in the Stock Exchanges . Kindly refer to the disclaimer page for any forward -looking statement if any statement is being made .
To discuss the performance of our company for the quarter ending March and as well as the year ending March 2025 , we have with us Mr. Heman t Jalan – Chairman and Managing Director of Indigo Paints , Mr. Suresh Babu – Chief Operating Officer , Mr. Chetan Humani – Chief Financial Officer and myself Sri hari, I handle Investor Relations here . As usual we will have a quick brief of the performance of the company by our Managing Director and followed by Q &A.
Over to you sir.
Hemant Jalan: Thanks S rihar i. Thanks Aniruddh a. Good morning, everyone and thank you for joining us to discuss Indigo Paint's performance for the fourth quarter and for the full financial year ending 31st March 2025. As Sri hari mentioned, our Investor Presentations have been uploaded on the stock exchange portals and hopefully you have had a chance to go through our financial results.
Now we have all navigated a challenging market environment in FY25 which saw sustained sluggishness across the paint industry and may I say so, across the entire consumer sector in general in the country. Despite this, Indigo Paints demonstrated robust pro fitability in the face of extremely tepid growth. You may recall that in Q3 we had reported negative growth on a Y - on-Y basis. During Q4 we have returned to positive growth albeit at a very modest 0.3%.
However, the profit growth was significantly superior .

First let me come to the standalone results :
Compared to Q4 of FY24, our sales in Q4 of FY25 have registered a value growth of 0.3%. We continue as always to maintain the pole position in terms of the gross margin in the industry, which stood at 47.4%. EBITDA on an absolute basis increased from 82.3 crores in Q4 of last year to 85.9 crores in Q4 of FY25 , registering a growth of 4.4%. The EBITDA margin in Q4 of 23.4% is the highest that has ever been recorded in any quarter in the history of the company.
The EBITDA margin was higher by almost 1% from t he 22.5% of EBITDA margin that we registered in the same quarter of the previous fiscal. The PAT increased by 6.3% to 56.9 crores in the quarter compared to 53.5 crores in the same quarter of the previous fiscal , and the PAT margin for the quarter improved from 14.5% which was clocked in Q4 of FY24 to once again a historic high of 15.3% in Q4 of FY25.
If we look at the entire fiscal of FY25 on a standalone basis, we have clocked a top -line growth of 1.8% and achieved s

ales of 1277.2 crores. EBITDA for full fiscal FY25 slightly reduced by
0.5% to 231.6 crores and our EBITDA margin for the full fiscal clocked 18.1%, slightly lower than 18.5% that we recorded in FY24. The PAT decreased to 143.9 crores for the full fiscal with the PAT margin at 11.1%, slightly lower than 11.7% that we recorded in the previous fiscal.
Coming to consolidated results :
For the quarter our consolidated revenue grew by 0.7% to 387.6 crores, the EBITDA grew by 3.3% and the PAT grew by 5.4%. The EBITDA margin for the quarter on a consol basis was 22.6% and the PAT margin was 14.6%. Our subsidiary Apple Chemi e has registered a good growth of 8.3% in Q4 of FY25. However, their margins have been impacted due to the adverse product mix which has been going on in the whole year. It was very severely impacted in the previous two quarters of Q2 and Q3, but they have started showing a distinct improveme nt in Q4. Various strategic initiatives are being undertaken by Apple Chemi e team to improve the margins further in FY26. So, for the full fiscal FY25 on a consolidated basis, Indigo Paints has achieved a revenue of 1 ,341 crores which is a 2.7% growth over FY24. EBITDA has reduced by 1.9% to 233.5 crores in FY25 versus 238.1 crores in FY24 and the EBITDA margin has contracted to 17.4% on a consol basis from the 18.2% recorded in the previous fiscal. Other numbers are given in detail in our investor presenta tion.
I will now take you to some more operational details about the quarter going beyond the simple financial numbers :
During this quarter the overall A &P spend as a percentage of revenue decreased from 6.3% in Q4 of FY24 to 5.0% in Q4 of FY25 and if you look at the entire fiscal, the A &P expenses have reduced from 7.4% in FY24 to 6.4% in FY25.
The focus now in the company is more on digital outreach to our target audience which includes not only the end users but also the influencers. We have also intensified our BTL marketing

activities, that is ‘Below The Line ’ marketing activities to better track and promote secondary sales from the dealer counters. We continue to punch above our weight with a 6.4% allocation of top line going towards A &P activities which is far above the industry spends.
In line with our disclosure practices, we have given our volume and value growth numbers for each of the four major categories of paint products. If you recall in the previous quarter that was Q3 of FY25, all the paint categories had degrown. However, duri ng the current quarter the quarter just gone by which is Q4 of FY25, the volume growth has picked up in the enamel category and in the primer distemper category. Though the volume growth in the emulsion category was mildly negative, the value growth was po sitive at 1.3% , which is a clear indication of the steady premiumization of our product portfolio. If you look on a full -year basis , the value and volume growth have registered positive growth across all categories except for the putty category which has witnessed a very small 1.3% value decline. Now you all know that the putty category is a very low margin category, and it continues to face intense price competition from our competitors. The revenue contribution from our differentiated portfolio of products was largely flat at about 28.2% in FY25 compared to 28.4% in FY24.
As a company we continue to focus on network expansion, on improving the throughput per active dealer and increasing our tinting machine population . As on 31st March 2025 our count of active dealers was around 18,400 and the tinting machine population was at about 11,000.
On the CAPEX front :
Work is progressing in both the water -based paint plant and the solvent based paint plant both being set up at Jodhpur. We have experienced some delay in the civil construction work at the water -based plant and the water -based plant is no

w expected to be commissioned sometime in
Q3 of FY26, whereas the solvent based plant is expected to be up and running sometime by the end of the current quarter Q1 or at the start of Q2 of FY26. The brownfield expansion of our putty plant at Jodhpur will also be completed at around the same time, that is towards the end of Q1 in another month and a half -time. However, these minor delays are not expected to cause any impact on our sales as we have enough capacity to cater to the forthcoming demand. The waterproofing and construction chemical products continue to consistently yield good results , resulting in a healthy mid-single digit contribution to the overall revenue pie.
Coming to our sustainability initiatives :
We had installed rooftop solar panels at our head office in Pune which has been followed with the installation of rooftop solar panels at our Cochin factory which is now complete and just awaiting some regulatory approvals. We had mentioned earlier that we ha ve started a new initiative called the Indigo S eva Ut sav. Under this initiative Indigo Paints, along with the painters and the community at large undertakes painting of government schools in Tier II and Tier III towns and I am happy to inform you that a s of now we have already painted more than 150 such schools across the length and breadth of the country.

On the CSR front :
We continue to extend educational benefits for the underprivileged girls around Pune. There are already over 300 beneficiaries of this initiative so far. In FY24 Indigo had introduced a Painter Health Benefit program starting off with the state of Bihar . In the start of the last fiscal FY25 we extended this program to a few more states and by the end of FY25 we are covering painters across the length and breadth of India and more than 25,000 painter families are now beneficiaries of this program. In this cu rrent fiscal FY26, we have launched yet another initiative called the Indigo Skill Up Program. This is a unique training initiative designed to empower painting professionals with skills that go beyond the brush and help them in their business development fro nt also. I am also pleased to inform you that our board has recommended a dividend of Rs. 3.50 paisa per share for FY25 which would be disbursed after receiving shareholder approval. Finally, I may add that a gradual improvement in the demand sentiment was clearly visible in Q4 of FY25 and a further improvement is visible as we speak in Q1 of FY26. We expect the demand to come back to its original growth levels sometime in Q2 of this fiscal. With raw material prices continuing to soften, the EBITDA margins for FY26 are expected to improve with a general improvement in the demand scenario, lower raw material costs and an improved product mix. Thank you.
That's all I had to say as an opening remark, and I woul d be happy to take your questions.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Abneesh Roy from Nuvama . You may proceed .
Abneesh Roy : Thanks. My first question is on the overall demand side. So, what we are seeing is you did mention that gradual recovery is there and in this Q4 call, almost all the staples companies and paint companies have also said very similar that FY26 demand outlook is looking better. My specific question is if I see till Q2 of FY26 your growth rate was much faster than industry and in Q3 -Q4 when I compare your growth with the official #2 paint company – here I am talking about official #2 – as per sales, the differe nce is you are going 6 %-7% slower than the Berger Paints. I wanted to understand given your scale and size versus Berger, what could be the specific reason why Berger is going 6 %-7% faster because you also have a good presence in the Tier III Tier IV market. I understand Kerala is a very large

, 25% of your business. Is that the issue when
I compare your performance with Berger in terms of why your growth is lower. Q3 -Q4?
Hemant Jalan: So Abneesh, when you look at all companies in the paint sector, other than the market leader, which is perhaps as strong in any state in any part of the country, when it comes to any other player whether it is Berger or whether it is Nerolac or A kzo, whether it is Indigo, I don't think our strengths are uniform across India. We all have our pockets of dominance, and we have our pockets of weakness. That is true for all companies, #2 downwards. Now, when a gradual recovery in demand starts, and that is Q3 was perhaps the worst quarter for everyone, including for the #2 player, Q4 has seen a mild uptick for everyone. As the demand scenario starts moving

up, it usually does not happen linearly in the same proportion in every part of India. So , depending upon which part of India the demand recovery happens a little faster and which parts of India the recovery lags behind a little bit, you may find these quarterly differences between companies. If you look at the entire fiscal, I think our growth in top line is about the same as the #2 player. It is true we have not outperformed them as we had been doing. But if you ignore the #2 player and look at the indust ry as a whole, we continue to outperform the industry by a fairly wide margin. We have done that in Q1 -Q2, maybe we were slightly on par with the industry in Q3, but again in Q4, if you look at the entire industry growth, we have done significantly better. Now, as I said, Berger has its pockets of strongholds, and I am sure it has its areas of weaknesses and so do we and so does every other paint company with the exception of the market leader. So, unless that recovery in demand happens uniformly across the country and I don't think we are very far from that, you will start seeing that breakout of Indigo growth rate versus our larger peers happening as we move forward. So, I don't know if that answers your question.
Abneesh Roy: Partly does, b ut could you tell us which are the states which are bringing it down a bit more? Will it be Kerala and South India where the growth is a bit more challenging?
Hemant Jalan: So, Kerala has been under a challenge for quite some time and our market intelligence seems to suggest that most companies have degrown a lot in Kerala. Maybe we have not degrown. We have just about managed to hold on to our FY24 numbers in Kerala, (+, - 1%). Since we have a reasonably large exposure to Kerala, it is essential that Kerala comes back into growth trajectory for our numbers to start looking good . Separately, I would say that Berger is very dominant in eastern part of India. It is also a strong area for us, but not as dominantly strong. And I think the

recovery in the market has been a little stronger in eastern India. Now that may have been partly responsible for Berger's good numbers. And I am not at liberty to discuss as to what a competi tor has done better in the last two quarters to get slightly higher growth numbers. It's a question that you need to ask your friends at Berger, who can answer that better. But yes, we respect good execution by the #2 player in the last two quarters. But I think that as the demand starts recovering, I am very confident that you will see a breakout happening between our growth rate and every other company's growth rate, including perhaps the #2 player, hopefully. So, let's ride it out till then.

Abneesh Roy: Sure. One last follow -up on the demand side. Starting Q4 FY24, you started growing much faster than the industry for six -seven quarters . That point of time two things you had done in terms of good expansion on feet on street and then you acquired in terms of the waterproofing business, which also would have helped in the overall TAM increasing. My question is now

if you want
to again grow faster than the indus try from Q2 or Q3, is there some proactive step you are already taking or is it needed in terms of again augmenting the feet on street or increasing the product segments in terms of TAM? Is there something needed or it will be more of the industry recovery which will help you come back to 2x to 3x of the industry growth rate because that was one aspiration you had always shared that you should grow 2x to 3x of the industry numbers ?

Hemant Jalan: Completely agree with you. I don't forget what we have committed and there is no change in that commitment and that intent and resolve to grow at 2 .5X to 3x the industry growth rate. And I am sure forward numbers will bear that out. In terms of what new strategy , I think there would be a minor increase in number of feet on the street. It is happening partly on the direct sales force. It is happening much more on the business development officers who are not directly connected with sales but connect with the contractors and the painters to encourage secondary movement of paint from the paint counters. That is something that we have found very useful going forward, especially in the last 1 year. I mentioned in my speech that although the emulsion category showed a marginal decline in volume for the full fiscal. But sorry, it didn't show a decline , but the value growth was significantly higher than the volume growth. And for the quarter it did show a decline in volume, but the value growth was high er. Now that simply means that the premium end of the emulsions is growing much faster than the economy range. And that is something that we have been focused on and that is something that we will continue to be focused on . In terms of a tweak in strategy , you will also notice from the presentation that we have uploaded that our active dealer count has slightly declined in the last two quarters. At the end of Q2 that number was 18,700. It's now come down to 18,370. Whereas you should have expected an upward r amp up. Now, partly this is a reflection of market sentiments. Notice that these are a measure of active dealer count. And when markets become slow, some of the dealers who were active earlier tend to become less active. So, at the moment the co mplete thrust has been on a renewed expansion of the network and to drastically increase this dealer count significantly. And as we speak in the last 2 months , I would say that we have made excellent progress in that. And when the numbers come out for Q1 of this year, you will see a healthy increase happening in our active dealer count. Along with that there is also a faster adoption of tinting machines. Althoug h tinting machine adoption did continue through the fiscal. But I think a detailed analysis will suggest to you that the pace of adoption of new tinting machines slightly slowed down in the last two quarters again because of subdued demand scenario . That seems to have picked up again as far as the current fiscal is concerned. So, at the moment the tweak in the strategy is drastically increase d the count of dealers and along with that the count of tinting machines , continue to pay much more focus on secondary sales activities to engage more with the painters and the contractors and I am sure the results will be evident as we go forward.

Abneesh Roy: Thank you , sir. My second and last question will be on the co mpetitive intensity side and two aspects to that. One is if I see the margin guidance which Asian and B erger have given , that margin guidance is higher than what they have delivered in FY25, which is a good outlook. Now obviously the raw material side is benign, but the raw material side is benign even for the new players. So even they can get more aggressive because raw material is soft . Against that #1 and #2, paint companies have given a better margin guidance than FY

25. The second aspect to this
is the 10 % marke t share claim by the new player. They have said that this includes putty , paint plus putty 10% market share, which makes it slightly difficult to really understand their performance in core paints. From your aspect, how do you see competitive intensity , you have always maintained that this is a large industry, etc. ? But if you could comment on trade incentive and trade margin, how are things on that side? That is my last question.

Hemant Jalan: I mean, you are talking about the new entrant who was always the market leader in putty. So, to add putty, which is run in a different company within the group , to that for what worth it is to calculate market share , I really don't know . To be honest with you , we are less concerned, and we have never been very concerned about the new entrant and we are consistent in what we say. And if you do analysis in numbers and Abneesh, you are a very sharp person in analyzing numbers. Whatever may be the market share that a new entrant may have got, if that so -called disruption effect that you all have been talking about or been worried about for the last 4 years, if that ha d borne out, you would have the first place where it would have been evident would have been a significant contraction in the gross margin of all the paint companies. Now I think a detailed analysis will show you that has not happened. Everybody's gross margin may have declined margin ally by half a percent or 1 percentage point. And that has really nothing to do with the entry of a new entrant who's probably offering 10% or 12% higher discounts than the rest of the industry. I think that has been largely ig nored by the existing players and it is not affecting them materially. Yes, in a weak demand scenario, which is 90% of the reason of subdued performance by all paint companies, in a weak demand scenario, irrespective of the existence of a new entrant or no t, there does become a temptation to give slightly higher trade schemes and a little higher discounts to your dealers in the effort to gain some extra sales in the top line. Now there is no doubt that has been happening during the slowdown period of the la st 12 months. And even if we look at our own numbers, our discounts have slightly gone up compared to where they were a year ago. Which is why you will see that even our gross margins are about 1.5% or so lower than what they were in the corresponding quar ters of the previous year. There has been some pullback on A &P spends by all companies because in a weak demand scenario it doesn't make sense to keep throwing money at advertising when the underlying demand is weak. Also, we have made a lot of improvement in our freight expenses and some of that has happened with the premiumization of our product portfolio. So, despite all that, we managed to stick to our EBITDA percentages and maybe EBITDA percentage have dropped by less than half a percent compared to the previous fiscal. Now as we see the demand recovering, I can't say for the others, but we are beginning to moderate our trade discounts, and I think other companies are beginning to do that also. So that aided with gradual recovery in the demand and conti nued small but steady softening of the raw material prices will see on a Y -on-Y basis, you will see a small expansion happening in gross margins and EBITDA margins, at least for us. And I would guess that you will see the same for across the industry.
Abneesh Roy: Sure, sir, thanks. That's all from my side. Thank you.
Hemant Jalan: Thanks.
Moderator: Thank you. The next question is from the line of Sona l Minha s from Pr escientc ap Investment Advisors. You may proceed.
Sonal Minhas: I wanted to ask question with regard to your working capital cycle. Your debtors' days seem to have come down, the receivables have come up. So overall the working

capital, if you see year

end, the numbers look a little stretched, if you could give some subjective guidance on that, on a year -on-year basis, what has happened that will be great?
Hemant Jalan: I don't see that our number of days outstanding, if you see always the number of days outstanding to represent it in number of days should not be divided by the sales for the entire fiscal because the sales during the entire year do not happen uniformly. F or us, Q4 is by far the heaviest quarter by a very wide margin. So, the way we look at outstandings is that we divide it by the sales during the last 40 -45 days of the period. So, on 31st March, we look at whatever sales have happened from 15th February to 31st March and divide that and then gross it up to the full year to decide how many number of days of outstandings we had. And my figure shows that if we go by that our outstandings at the end of the quarter were 32 days and at the end of the 31st March of last year it was also 32 days. S o, I do not see any increase in outstandings happening, our inventories have marginally gone down. Our finished goods inventory is showing as 56 -57 days of finished goods inventory across the company versus 60 days on 31st March of '24. And raw material inventory has also gone down from 36 days to 29 days. And the number of payables, days of payables to our suppliers has also reduced from 60 days to 55 days. So, I don't think that there is any significant change in our working capital position at all.
Sonal Minhas: Got it, sir. So actually, the trade payables, if I see the year end numbers , come down as per the reported numbers from 220 Cr to 165 Cr which is meaningful . So, I thought I will just ask.
Hemant Jalan: It is more because during the last one and a half years the government has given guidance that payments to all MSME suppliers have to be mandatorily made within 45 days. It's a guidance

and we as a respectable company adhere to that guidance. And we ensure that all our MSME suppliers are now paid within 45 days. And that has been the main reas on for reducing the number of days payable. Because a large portion , most of the mineral products that we buy, a lot of the solvents, etc. that we buy an d many of the other additives and containers, etc. do come from MSME suppliers. And previously, I mean they are happy to extend longer credit period to us and we used to enjoy 90 days credit from them. But because of this mandate by the government, we have had to reduce that to 45 days, which is why it has resulted in slightly faster payout. But it's not something that bothers us. We don't have any working capital borrowings. Our treasury chest goes on increasing with surplus cash investment and cash genera tion. So, it's not a matter of concern at all.
Sonal Minhas: Got it, sir. So, if I may ask my second question, if I am allowed to.
Hemant Jalan: Please go ahead.
Sonal Minhas: Sure. Thank you, sir. I wanted to understand your position on the institutional sales side, especially in particular the B2B. Given that the real estate demand has been moving in, some of these projects would be nearing delivery in the next maybe 12 -18-24 months. How do you rank yourself on institutional sales and how good is your team? If you could just give us a bit of a

guidance there , compare yourself to Akzo, who's fairly dominant in that market as well as compared with Asian. That will be great.
Hemant Jalan: And developers, we don't have an active project team. We do some amount of sales in smaller towns, but those are of very small magnitude. But as a corporate strategy, we have stayed away from institutional sales thus far and there is no immediate plan to get into that in a big way. However, our subsidiary, Apple Chemi e which is in the business of providing construction chemicals and

waterproofing exclusively to the B2B space of supplying them to large infrastructural builders like L &T and the Shap oorji Pal lonji and a whole lot of other metro projects and irrigation projects, etc. across India, they are seeing an uptick in their demand and they have registered very good top line growth during the last 1 year and they are hopeful that will further accelerate in the coming year because infrastructural spending by the government is ramping up quite fast. But in terms of decorative paints, we are not in that space. And in any case, institutional demand for n ew construction does not account for a very high percentage of paint sales and at the moment, we have not gotten into that sector.
Sonal Minhas: Got it, sir. Thanks a lot.
Hemant Jalan: Thanks.
Moderator: Thank you. The next question is from the line of Jash Deep from Clock vine Capital. You may proceed.
Jash Deep: Hi sir, thanks for taking my question. So, what are your thoughts on getting into a few of the adjacencies in your business , like industrial paints, etc. ? So, are there any plans on the table for FY26?
Hemant Jalan: See when it we have entered the adjacency of waterproofing and construction chemicals in the retail space during the last 2 years after acquisition of Apple Chemie and onboarding the technology transfer from them. And as I said, that's a very fast-growing category for us at Indigo Paints at the retail level. Indigo brands of waterproofing and construction chemicals are accounting for slightly in excess of 5% of our top line growth, which was zero until 2 years ago and we see very high growth t raction there . When it comes to industrial paints, there are two kinds of industrial paints. One is the very high margin, very high IP protected kind of very high technology sector , things that go into tank linings and offshore oil rigs and gas pipelines and stuff like that. Now those would require some kind of a technological tie up with a global giant who has the necessary certifications and approvals for that. And we don't have that kind of a tie up. We have been open to looking at that space and I have had conversations with several prospective companies in the past, but nothing concrete has worked out. And there is the other part of the industrial paints which supplies low-end primers and low-end enamels etc. to general industries. Now that's a very low-margined business and that's not a business that we are very interested in getting into. And some of our competitors do have a component of their sales that

go into that segment. It does give them a little bit of a top line, but I think it's a big drag on their bottom line. So, I think we would rather not get into that kind of an adjacency.
Jash Deep: What about auto paint?
Hemant Jalan: Auto paint is a whole different sector. So, auto paints again can be classified into two categories , one is the OEM and one is the auto refinish. And both are very different technologies from

conventional decorative paints. And getting into the auto sector (A) it is a low margin business because the buying power of the buyer is far greater than the power that a seller may have. And you can see that reflected on companies in the listed space in the paint industry who derive a very high proportion of their sales from the automotive sector. Their margi ns etc. are much lower than what the other companies are. Also to get into the auto space, if you have a tie up with, let us say a Japanese or a Korean paint manufacturing company, unless you have that and that company has a global tie up with some of these automak ers who come out of Korea or Japan, it's very difficult to make an inroad into India. And similarly, if you have a tie up with a European or an American paint manufacturer who has a global tie up with some of these American or European automakers unless you have those kin

ds of tie ups. I haven't seen anybody starting from scratch in India and being able to make any headway with any of the auto manufacturers as far as supply of automotive paints are concerned. So, I don't find it a very attractive proposition , both from an entry barrier viewpoint and from a profitability viewpoint. So , when I say that we are open to getting into adjacencies in the high-end industrial space, auto sector is not a focus area in even exploring as far as we are concerned.

Jash Deep: Got it, sir. Thank you. So that's all from my side.

Hemant Jalan: Thanks.

Moderator: Thank you. The next question is from the line of Shubham Shukl a from Voyager Capital. You may proceed.

Shubham Shukla: Hi, good morning, everyone. My question has been answered. Thank you.

Hemant Jalan: Okay.

Moderator: Thank you. The next question is from the line of Yash Goenka from A wriga Capital Advisors. You may proceed.

Yash Goenka: Hi, thank you for t aking my question . In this competitive environment your A&P trends are trending downwards , so how should we see that? And ex of A&P also the cost has been coming down. So, is this structur al?

Hemant Jalan: A&P spends on an absolute amount , depends when you say they are coming down, are you talking about A &P spends coming down at an absolute level or as a percentage of revenue?

Yash Goenka: Absolute.

Hemant Jalan: If you say as a percentage, so I will answer both. As a percentage of revenue , if revenue goes up significantly, then A &P spends will come down because they will not grow along with top line growth and they don't need to grow. And therefore, if you go back to 6 years ago when our A &P spends as a percentage of top line were 12.5% and now, they are half of that. And that is because our turnover has almost doubled during this period and therefore if the A &P spends have increased by let's say 25%, then as a percentage of overall revenue they will come down. Now the last year has been an aberration that there has been negligible growth in the top line. But the A&P spends have come down but on an absolute amount , this is the only year when there has been a mild decline on an absolute amount from 92 crores, it's come down to 82 crores. And that has been a conscious decision that when the demand is extremely sluggish then to go on spending money on advertising and bom barding the media and the end users with that doesn't yield you any significant benefit. And instead, the focus shifted to another form of promotional activity and that is the heavy focus on engaging with painters and contractors to improve secondary sale. Now we have been tracking the A &P spends at least the amount that gets spent on television and mass media. And I think almost all companies on an absolute amount have reduced their advertising exposure on television and the digital media during the last fiscal for the same reasons that w hen the demand is low it doesn't make economic sense to keep throwin g money. Now as the demand scenario starts picking up, which we can see signs of that happening, you will see again an uptick in the total spends that we will do as an A &P, it may still come down slightly as a percentage of top line because hopefully the top line will grow faster than that. But there is no effort to reduce the emphasis on advertising and promotion in whichever form we do it.

Yash Goenka: Okay, a nd excluding A&P also the cost have been coming down.

Hemant Jalan: Isn't that good? Other costs are what I mean the reduction, as I had mentioned in my speech is largely on account of freight. We have been able to handle freight better. There are two reasons for it , one is that we commissioned our plant in southern India in Puduk kotai in Tamil Nadu. So large parts of India in southern India and even in central India which were p

reviously catered to from our Jodhpur factory , now the material started moving from a shorter distance from our Tamil Nadu plant. Tha t reduced freight cost slightly. The other thing that has happened is that with higher growth happening in the premium section of paints at least as far as we are

concerned , see the cost per kg to transport goods are the same whether you transport a low value product or a high value product. But the freight cost as a percentage of revenue is drastically different from transporting a high-end premium product to transporting a low-end product. So as the premiumization improves and I sincerely hope it will imp rove further this year as that grows, that freight cost as a percentage of revenue will come down and that's a good thing.
Yash Goenka: Okay, thank you, sir.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. You may proceed.
Aditya Bhartia: Hi, good morning, sir. My first question is on material costs. We have seen a very sharp reduction in crude prices but at the same time it seems that crude derivatives haven't fallen by that much and there's anti-dumping duty also that has gotten imposed on some of them. So just wanted to get your perspective on how sharp has been the reduction in the relevant materials for us ?
Hemant Jalan: For a very long time and not just me, I think I have heard the narrative by other paint majors that the linkage between raw material prices for paints and crude oil prices is extremely weak. Somehow people are not able to comprehend that and keep talking about crude oil prices. Yet crude oil price reduction does impact one or two of our raw materials, but they are not major raw materials at all. The other products are governed by entirely different demand supply considerations that have very l ittle to do with crude. Now prices have come down slightly and I don't think it is because of movement in crude oil prices , it has something to do with the demand supply situation and various monomers that go into making of the emulsions which are our biggest raw material. And the second is titanium dioxide which has been pretty much stable during the last five quarters. There i s no variation in the prices of titanium dioxide. What you talked about antidumping duty , yes, two weeks ago , there has been antidu mping duty imposed on import of titanium dioxide from China which is significant. And there is a court case going on led by the Indian Paint Association representing all the paint manufacturers. And I think the final hearing of that has concluded in the High Court of Calcutta just 3 or 4 days ago and the judgment of that is awaited. Now I cannot second guess as to what the learned judge will give as a judgment and I expect the judgment to come out in the next 3 weeks or so. The judgment has been reserved. T he hearings are over. We are fairly hopeful that the judgment will come in our favor because the rationale for imposing an antidumping duty on titanium dioxide we thought was extremely flawed. Because the domestic production of titanium dioxide can hardly cater to maybe 5 %-7% of the demand of this country and therefore to kind of protect them by imposing anti-dumping duty on imports on which the country is fully dependent on seemed a little irrational in our opinion. But for whatever be the reasons there is temporarily a duty imposed which affects everyone. And until the judgment comes out and hopefully if the judgment will come out in our favor, this is a temporary aberration that we will have to bear for maybe a month or so for whatever imports that we hav e on titanium dioxide. But there has been no other levy of any antidumping duty on any other paint raw material. So, I don't think that concerns us . In general, we see a continued mild softening of raw material prices that is happening, mainly on emulsion monome

rs, a little bit on things that are linked to crude oil like alkyd resins and turpentine and a few other additives etc. I think plastic container prices have been more or less steady. Titanium has been more or less steady. So, it's a small reduction in raw material prices but any small reduction is helpful in improving the margins.
Aditya Bhartia: Perfect. That's a very helpful answer sir. Just one follow up question on growth trajectory. You mentioned that demand has been improving and, in that context, can you give us some indication

on how you are seeing the year playing out? Can we go back to double digit kind of revenue growth or that looks a bit challenging?
Hemant Jalan: No, I don't think it looks challenging at all Aditya. I think that as the demand improves, we will get back to double digit growth. Whether that will happen in Q1 or Q2 is very difficult for us to predict because as I said, month -on-month we are just taking it one month at a time and each month is looking marginally better than the preceding month on a Y -on-Y basis. Now frankly speaking, I was hopeful of very high growth coming in May. Now two things have happened to slightly disrupt that. As you know the monsoons have hit India 10 days earlier than scheduled. Now that has some impact because the moment monsoon hits as you know painting activities take a little drop. So normally monsoon hits in first week of June. This time it is held 10 days earlier. That will have some impact as far as May demand is concerned. Also, what has happened in another part of India, which is the northern part of India, which were close to the Pakistan

border. And I am specifically calling out states like Jammu and Ka shmir, Punjab, Haryana and to a lesser extent states like Delhi, Himachal and the northern part of Rajasthan. Now because of that three -day war that we had and those drones attacking those places, although no damage has happened on the Indian side. But what it does to the sentiment is that all migrant labor which is responsible for painting activities in a very large way, they tend to get sca red and they run back to their native villages. So, their going back is instantaneous, their return back to the work takes a little longer. And therefore, that part of India has also been adversely affected in the last 15 days for want of painting labor. So, I mean these are temporary blips that get made up once things get back to normal. But I do hope that the growth for Q1 will be significantly better than Q4. And as I mentioned earlier, I do expect that by the time Q2 happens, if things continue to improve the way they are, we will be back to significantly higher double digit value growth.

Aditya Bhartia: Perfect. That's great to hear sir and thank you so much for such insightful answers.

Hemant Jalan: Thank you.

Moderator: Thank you. In the interest, that was the last question. I now hand the conference to over to the management for the closing comments. Thank you and over to you sir.

Hemant Jalan: Thank you. And thank you all for your patient hearing. And I sincerely hope that we come back a quarter later with much happier tidings and much better news on growth, not only for ourselves but hopefully for the entire paint industry because we are not immune to what happens to the industry at large. And hopefully the paint industry will bounce back in the quarters to come. And we will get back to our old story of very high growth rates which the industry has been accustomed to in the l ast 25 years. And thanks to ICICI Securities team for hosting this call and look forward to meeting you all again in 3 months' time. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

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August 1 2, 202 5

To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001
Scrip Code: 543258 To
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai -400051
NSE Symbol: INDIGOPNTS

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for the quarter ended June 30 , 2025 held on August 8, 2025

Pursuant to the Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) , please find enclosed the transcript of the earnings conference ca ll held with the analyst and investors on August 8 , 2025 at 11:00 hrs (IST) to discuss the unaudited standalone and consolidated Financial Results of the Company for the quarter ended June 30 , 2025 .

Pursuant to the provisions of Regulation 46 of the List ing Regulations the above information will also be made available on the website of the company at https://indigopaints.com/investors/analyst - investors -meets/

You are requested to take note of the same.

Thanking you.

For Indigo Paints Limited

Sayalee Yengul
Company Secretary & Compliance Officer
Membership No. A37267

Encl.: As Above

“Indigo Paints Limited
Q1 FY 26 Earnings Conference Call ”
August 08, 202 5

MANAGEMENT :
MR. HEMANT JALAN – CHAIRMAN AND MANAGING
DIRECTOR – INDIGO PAINTS LIMITED
MR. SURESH BABU – CHIEF OPERATING

OFFICER – INDIGO PAINTS LIMITED
MR. CHETAN HUMANE – CHIEF FINANCIAL
OFFICER – INDIGO PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER
FINANCE AND INVESTOR RELATIONS – INDIGO PAINTS
LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Indigo Paints Q1 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Shoul d you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this call is being recorded.
With this, I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Sam ya. On behalf of ICICI Securities, we welcome you all to Q1 FY '26 Results Conference Call of Indigo Paints. Now I hand over the call to Mr. Srihari Santhakumar , General Manager, Finance and Investor Relations, to introduce the management and take the call forward. Thanks, and over to you, Srihari, sir.
Srihari Santhakumar : Good morning, everyone. Thanks, Aniruddha. Thanks, everyone, for joining the conference call for discussing the performance of the company for the first quarter. We have uploaded the investor presentations in the portals of the stock exchanges, kindly refe r to the same for the disclaimers also regarding any future -related statements.
To discuss the performance of the company, today, we have with us Mr. Hemant Jalan, Chairman and Managing Director; Mr. Suresh Babu, Chief Operating Officer; Mr. Chetan Humane, CFO; and myself. Over to Mr. Jalan for discussing the performance of the company, following which we'll have a Q&A session as well.
Hemant Jalan: Thanks. Good morning, everyone. And thank you for joining us to discuss Indigo Paints' performance for the first quarter results of FY '26. As mentioned, we have uploaded the investor presentations on the stock exchange portals, and I presume that you have already gone through our financial results.
After a hiatus of over 12 months, it appear ed that the demand in the paint sector was back in April and during the first half of May, only to be cashed by the early onset of monsoons, which rained in full fury from mid -May until the end of June. This impacted the sales in many states particularly in Kerala and Northeast, where monsoons are the first to arrive.
Earlier, the weeklong Indo -Pakistan conflict in May had disrupted sales in some northern bordering states to Pakistan. Despite these challenges, Indigo Paints has managed to achieve a small but positive growth for the quarter. Let me first come to our stand -alone results. Compared to Q1 of FY '25, our sales in Q1 of FY '26 have registered a value growth of 0.3%. We continue to maintain the pole position in terms of gross margin, which stood at 46.1%.
The EBITDA decreased from INR45.8 crores in Q1 of last year, to INR43.6 crores in Q1 of this year, registering a negative growth of 4.7%. The EBITDA margin of 14.8% clocked in this quarter was slightly less than 15.6% clocked in the corresponding quarter of last year. The PAT

is largely flat at INR26.4 crores compared to the similar period in the previous year. The PAT margin is also flat at 8.8% compared to 8.9% registered in Q1 of last year.
I would like to bring to your attention that historically for Indigo Paints, Q1 and Q2 are low margin quarters. The margins start expanding in Q3 and hit a peak in Q4. This pattern is due to the product mix changes during the course of the year. If you hav e tracked our EBITDA margins over the last 4 years, you will realize that our year -round EBITDA margins are always significantly higher than the figures in Q1.
Coming to consolidated results, our revenue degrew by 0.7% to INR308.9 crores during the quarter, while the EBITDA registered a negative growth of 6.5%, dropping from INR47.4 c

rores
in Q1 of last year to INR44.3 crores this year. Subsequently, the PAT has also reduced marginally by 2.2% from INR26.7 crores in Q1 of last year to INR26.1 crores in Q1 of this year.
The EBITDA margin for the quarter on a consol basis was 14.3% and the PAT margin was 8.3%.
Our subsidiary, Apple Chemie, has registered a negative growth of 17.6% in Q1 FY '26 compared to the same quarter last year. Their sales were affected due to onset of early monsoons, which affects the road construction and metro projects across India.
However, on a positive note, Apple Chemie's gross margin has improved significantly during the quarter under consideration. Subsequent to the strategic focus by the management on improving product mix and consolidating their operations to the more profitable projects. Apple Chemie is also launching more products towards the end of the current quarter, which is expected to impro ve the margins further.
I shall now give you some more operational details about the quarter going beyond financial numbers. During the last quarter, the overall A&P spend as a percentage of revenue decreased from 7.2% in Q1 of last year to 6.8% in Q1 of this year. For the sevent h straight year, we had invested in brand building through IPL.
We have intensified our digital outreach further to engage better with the consumers and the influencers. We are launching our own experiential centers branded as Indigo color canvas stores through which we can exclusively exhibit our full range of product s in an aesthetically designed store. We expect to launch somewhere around 50 to 70 sub stores in India during this fiscal.
The first few ones having already started. In line with our disclosure practices, we have given our volume and value growth numbers for each of the 4 major categories of paint products.
During the quarter under consideration, both enamel category and the p rimer category grew both in volume and value terms, with value growth being significantly higher than volume growth.
Putty and emulsions have witnessed volume and value negative growth. In the emulsion segment, which is the largest segment, although the volume negative growth was 5.4%, the value degrowth was only 0.9%, showing that the product mix has improved more towar ds the premium range. We continue to focus on network expansion on improving the throughput for active dealer and increasing our tinting machine population.

As on 30th June 2025, our count of active dealers was around 18,600, and the tinting machine population was about 11,300. This network expansion happened despite the heavy monsoons.
On the capex front, work is progressing in both the water -based paint plant and the solvent -based paint plant, both at Jodhpur.
As we have mentioned earlier, due to delays in civil construction work in the water -based plant, that plant is now expected to be commissioned sometime in Q3 or Q4 of FY '26, while the solvent -based plant is expected to be up and running by the end of the current quarter. The Brownfield expansion of our putty plant at Jodhpur will also be completed around the same time, and that is by the end of this quarter.
However, these minor delays are not expected to cause any impact as we have more than enough capacity to cater to our existing demand. The waterproofing and construction chemical products continue to consistently yield good results, contributing to high single -digit share in our overall revenue pie. And we are hopeful that their share in our revenues will soon cross the 10% mark.
Coming to sustainability initiatives, the installation of rooftop solar plants panels at our Cochin facility is complete and waiting for regulatory approvals. As we have mentioned earlier, we have started a new initiative called Indigo Seva Utsav. Under th is initiative, Indigo Paints, along with the painters and community at l

arge is undertaking painting of government schools in Tier 2 and Tier 3 towns.
And during the last quarter, we have painted over 45 schools across the length and breadth of the country. On the CSR front, we continue to extend educational benefits for the underprivileged girls around Pune. There are over 360 beneficiaries of this initiative so far.
Indigo had also introduced a painter health benefit program 1.5 years ago. And during the quarter, an additional 7,500 painter families have been enrolled pan -India, taking the total number of beneficiaries under the program to about 32,500 painter families.
Finally, what seemed to be a good start for the quarter in April changed due to the early onset of monsoons. Indigo Paints, which is more indexed to Kerala was affected to a higher degree compared to our industry peers. However, we are once again seeing notable recovery in sales in the month of July, which has been a good month, and we are keeping our fingers crossed and expecting a sustained performance in the second quarter. On the raw material front, prices continue to soften, although marginally, and we expect our margins to be stable going forward.
So that's all I have as an opening comment, and I'd be happy to answer your questions now.
Moderator: Thank you very much. We will now begin the question and answer session. Th e first question

comes from the line of Yash Goenka from Awriga Capital Advisors LLP .
Yash Goenka: Other peers have been highlighting about certain issues with respect to demand and competitive pressures in southern markets. Can you comment on your sales mix and growth in the Southern region?
Hemant Jalan: See, we are -- as far as South India is concerned, other than Kerala, our share of market in other states like Tamil Nadu, Andhra, Telangana and Karnataka are fairly low. So I don't think we are seeing any increased significant competitive pressure in Kera la. For the other states, I think our

share of market is quite low for us to be materially impacted, and we won't notice any change in the competitive pressure really.
Kerala has been plagued with a demand softening during the last several months, and I understand that it's not just for us but for all paint companies. The early monsoon and the rigorous rains have not helped matters. I presume there would be a good pent -up demand, and we are just waiting for the bounce back to happen.
Yash Goenka: Okay. Sir, can you comment on the mix for the Southern region?
Hemant Jalan: The product mix in the Southern region is not very different from the rest of India. Low -margin items like putty tend to sell a little less in Southern India compared to other parts of India. Our differentiated products tend to sell a little bit disproport ionately higher in Southern India. So if you look at margin contributions overall, I would say Southern India is ahead of other parts of India as far as Indigo Paints is concerned in terms of overall margin contribution.
The low market share in some of the other southern states means that the headroom to grow there is huge. And we have been doing reasonably well in southern states in terms of growth rate as far as that is concerned.
Yash Goenka: Sir, I wanted to know the sales mix. Can you comment about it for the southern part of the country?
Hemant Jalan: What specifically are you asking in terms of sales mix? I thought I had already answered...
Yash Goenka: Sales contribution to the top line, sir.
Hemant Jalan: Sales contribution to the top line, including Kerala, the whole of South, I'll have to pull out that number. Just a second. I'll give it to you. Yes, but -- I would say about 35% of our sales does come from South India, but a large portion of that is Keral a.
Moderator: The next question comes from the line of Prakash Kapadia from Kapadia Financial Services.
Prakash Kapadia: A coupl

e of questions from my end. We've seen a good growth in enamels and wood coatings, I think 11.5% value growth. Is this on a low base or any specific geographies? And in the 4 categories, Hemant ji, which you mentioned in the PPT, is this right understanding that enamel will be the highest margin business followed by emulsion then by primer and putty and historically...
Hemant Jalan: No. I mean when you say enamels and wood coatings, most of the good growth has actually come from the enamel, where we were the pioneers in launching a very differentiated enamel called PU enamel which, over the years, other larger peers have also attempte d to duplicate, but we seem to have a very good hold in that part of the market, and we seem to be doing well.
Its overall contribution in the revenue pie is still a little less than what it is for other competitors.
And the reason is that we only operate on the premium end of the enamel range. We are not there in the sort of economy range. Having said that, enamels by themselves are not a very high - margin contributor to any paint company.

Wood coatings are different. They do contribute higher, although their share is significantly lower than enamels. In terms of margins, the highest margin contributor would always be the emulsion category.
Prakash Kapadia: Okay. Then putty would be the lowest, right?
Hemant Jalan: Putty would definitely be the lowest, no doubt about it. But cement -- cement paints are fa irly good. So when we club the two together, of course, putty is the dominant contributor in that category. So putty is a slightly lower margin. But we have taken a price hike in putty towards the end of the quarter.
And most paint companies including people outside the paint industry like Birla White and JK White have all taken a slight price increase. So that helps matters a little bit, but it still remains a high volume, low margin part of the business as far as pai nts are concerned.
Prakash Kapadia: Understood. And it's been a couple of quarters for the industry, including ours, where demand

has been muted. So is there -- fairly you've obviously mentioned about July being reasonable and we are seeing some traction. So is there now a case to build in r ecovery from H2 onwards? And what would you bet on? Would it be Tier 1, Tier 2 cities?
Would it be more of rural side? And what would lead to this demand? Because over the last few years, we've seen a fairly buoyant real estate cycle, but we have not really benefited from that. So what would you bank on from here on, assuming the demand woul d be back? Is there a case to be ?
Hemant Jalan: I'll take your last observation first. See, real estate boom that you see, first of all, only 15% of paints go into fresh construction. Most of it is repainting. And when you talk about the real estate boom, you're talking about listed real estate players who operate in barely 10, 12 cities of India. So you're not really talking about any real estate boom as far as what I call the Bharat is concerned, which is a conglomeration of tens of thousands of small towns where individual dwellings come up. So a better index for real estate growth is consumption of cement which has not been the best in the last few quarters.
So if you look at pan -India, I don't think fresh construction has seen any kind of a boom per se. Now coming to the major category, which is repainting, consumer demand has been soft, and it has not been soft only in paints. It has been soft across all con sumer categories. Now I think the government did what it could by giving a hefty tax break to the middle class.
I think the RBI has done its share by cutting down repo rates 3 times in a row by 100 basis points overall. Now there is a time lag between all of this happening and the demand sentiment changing, you're beginning to see a significant proof of a demand rec

overy coming and it will
first come in FMCG products, the staples.
So you have seen a company like HUL reported its highest value growth in the last quarter compared to the previous 12 quarters. Just two days ago, the results of another company like

Britannia was out, which reported a value growth of some 8% to 9%. So indications from all other FMCG companies are that the demand is coming back.
We ourselves saw a good demand bounce back in April and the first half of May. It's just that our business is severely impacted by monsoons and this is one of those rare years when monsoon hit India 15, 20 days before it normally does. And there has been n o dry patch in the monsoon right till the end of July.
So, that did impact sales in the latter part of May and June. However, July despite it being a heavily monsoon impacted month, we at least have seen very good growth in sales in July. Now whether it will sustain itself in August and September, we significantl y hope so because there is fundamentally nothing wrong with the macros in the Indian economy.
And I hope that when the demand comes back, it will come back with a bang because there should be a lot of pent -up demand with the consumers who have not purchased the kind of quantities of paint that we would have normally expected them to purchase in the last 5 quarters. So I'd expect to see a much better Q2 and a much, much better second half this year. But I preface it by saying that this is all conjecture. I mean, proof of the pudding lies in the eating, let it happen and we'll all bounce back.
Prakash Kapadia: Sure. Sure. Sure, that's helpful. And lastly, from my side, on Apple Chemie, monsoon sales, do they come back? And how much of sales on an annual basis would be from infra and construction chemicals for us? Because if monsoon is a driver and that really af fects sales. So will sales bounce back -- you mentio ned about some product launches?
Hemant Jalan: So 100% of their sales are through infra projects. So they are basically supplying to large contractors like L&T, B.G. Shirke, Afcons and these big people of the world and of the country who are engaged in large Expressway construction, flyover construction and metro project construction, amongst other things. And these projects -- when there was a much earlier than anticipated rainfall, these projects do kind of go in limbo when there is heavy rain.
And they normally do recover when the monsoons are over, unless the government's infrastructure spending comes down, w hich it is not likely to at all. So they do get made up. And I think they are making up. I mean they've had a slightly better July and their order book looks good as far as August and September is concerned.
So I think they will bounce back in this quarter and as the monsoon abates, which is some time away. So yes, monsoon does affect their business as much as it affects our paints business. In fact, it affects them more.
Moderator: The next question comes from the line of Abneesh Roy from Nuvama.
Abneesh Roy: My first question is on the demand side and the rain in relation to the demand impact on the demand. I agree with your statement that monsoon does have significant impact on exterior paint and maybe other parts of the consumption also. So specific question here is Bihar, Northeast,

Andhra, Telangana have seen double -digit deficit in rain still now.

I do understand in some of these markets, your presence might be low. But still from a trend perspective, are you seeing good growth in markets where currently there is low rainfall because taking the logic that rains impacts demand adversely. So on the fl ip side, does it help demand when the rain is low in these 5, 6 key regions?
Hemant Jalan: Well, Bihar actually has been a very good performer for us. I w

as not aware that Bihar has been
rain deficit till now. Thanks for informing. So Bihar has done well.
Suresh -Babu: Even Andhra has done well except for a little bit of a slowdown in the North where -- in fact, we have some little bit of manpower issues. But other than that, both the states, which you mentioned have done well for us.
Hemant Jalan: Northeast, I'm really surprised to hear that it is deficit in monsoon is very -- because to the best of my knowledge, it was very, very heavy rainfall. See, monsoon hits Assam and Northeast much earlier than the rest of India. It normally hits in mid -May i s the normal time. And this time, it hit even earlier than that. So we have had a lot of flooding in huge parts of Assam. Assam and Northeast is a fairly large geographic area.
So I don't know about which parts have been rain deficient and which have been rainfall excess. But from what we hear from the sales force, there has been more than expected rainfall in that part of the country. So we have been negatively impacted in the N ortheast, no doubt.
Abneesh Roy: So I was saying today's breakdown. So Bihar is 27% deficit cumulative. Assam is 38% deficit, based o n IMD site only. And Arunachal?
Hemant Jalan: Today's data, Abneesh, including July till the first half of -- first week of August. Our results are...
Abneesh Roy: Yes, 1st of June to today, cumulative, 1st of June?
Hemant Jalan: 1st of June until today. But when you look at Northeast, you really need to know from 1st of May onwards because a lot of the rainfall in the Northeast happens there, but Bihar, yes, has done phenomenally well for us. In fact, so as has Bengal. And as Sure sh just mentioned, we have also done fairly well in Andhra.
I had not correlated that to monsoon deficit, but -- and Tamil Nadu is doing reasonably okay because Tamil Nadu, this is not the monsoon time. Tamil Nadu, the rains will come in October and November. But most of India has been severely -- I mean, Kerala has had much more than its share of rainfall already.
And you know in Maharashtra, I mean all our dams around Pune are already 90%, 95% full, when you had expected them to be 65% full by now. So we have added a huge in most parts of India, you're reading what is happening in the North in Uttarakhand and Himac hal, et cetera. So there has been a heavy rainfall.

It looks like most parts of India, there is a lull now for the next 10, 15 days. I hope that early onset of monsoon also means early withdrawal. If that were to happen, then that should augur well for September and October.
Abneesh Roy: So that was my next question. In your outlook slide, you have mentioned anticipating early withdrawal. And generally, we see it before Diwali, we have 3, 4 weeks of dry period, that is a good demand generator because then the wall cool, exterior paint and generally, customer feels that this is now dried up, so we can paint.
So -- and because Diwali is earlier than the overall time which is available for monsoon to receive and the time available for the dryness to happen, becomes curtailed. So would you see that this as a risk given nowadays commenting on the weather and monsoon mostly people go wrong only from that yard see that Diwali is early, doesn't that pose one more risk to the overall demand side?
Hemant Jalan: It is, but what happens is that whenever Diwali is early, and this time, we have one of the earliest Diwalis on the 20th of October. Normally, rainfall in India continues till the first week of October. So when you have a early Diwali, you don't get much t ime for pre -Diwali sales in the Northern Hindi -belt, and that is where Diwali has an impact.
It doesn't have an impact in Southern India. But usually, that gets made up for in subsequent months on November, December, January, whereas when you have a late Diwali, you usually have excellent pre -D

iwali sales, but that is followed by a lull in the subsequent months. So as
far as the whole year i s concerned, it makes up for itself.
So I don't think one is that concerned about month -wise sales or what happens in 1 quarter as far as the overall year is concerned, early monsoon, late monsoon withdrawal, early withdrawal, all that in the course of the whole fiscal will correct itself. What we are more concerned about is the demand sentiment to come back.
And that is showing signs of coming back. And we hope it comes back with a vengeance. And if the trend of July sustains itself in August and September, that I think is more valuable than anything else. See, all these monsoon factors are partly built into t he base of last year. Now you can have aberrations of late monsoon early monsoon or early withdrawal or late withdrawal. But over a slightly longer period of 2 quarters combined, they don't have any material effect.
Abneesh Roy: So on the July aspect which you mentioned, this is the last question on the demand side. So can July good performance be a fall start? Because when you see July high rains, and still the demand has been good, and April, May started well, and then the later part suffered because of good monsoon.
So July, in spite of a good monsoon, the demand has been good. Is it more of a pent -up demand? Is it more that some of the states which you mentioned of Bihar, Andhra, et cetera, have seen less rain. So that is impacting the overall data point. So would yo u -- how do you -- what is the reason for the July good performance?

Hemant Jalan: Yes, I don't have a way to analyze that, Abneesh. Maybe you can help me split up the demand growth into all these various parameters as to how much is pent -up demand and how much is deficient monsoon in certain parts, et cetera. It's very difficult to segr egate all those things. I mean even when we rationalize and say that the demand was bad in June because of heavy monsoon, that is our post facto surmise, as to that is the only plausible reason that could have caused it.
Now when demand jumps back, we try not to delve too deep as to what has caused that uptick. We just take the improved demand as it comes and are happy because it's coming after a long time. So as I said, fingers crossed. I can't make any definitive predict ions as to how demand will pan out in the months ahead.
But as I said, we take cues that normally recoveries in demands and consumer sentiments tend to show itself first in the FMCG sector because those are more basic products as opposed to paints, which are slightly more discretionary. So when you're seeing a bounce back happening in the FMCG sector, logic says that a turnaround in other sectors of consumer purchase are not very far behind, that's all I can say. But I'm not a macro economist or a weather scientist.
Abneesh Roy: Sure, understood. Sir, the last question. On the competition, you have said a number of times, analysts asked on the competition, that is a barometer of how big is the impact? So I'll come to that part. Thi s time, I want your answers to three specific things. One is on the dealer incentives now the smaller players, I'm not talking about the market leader.
The smaller players are saying that the dealer incentives are now almost converging for them and a new players. And some of the tinting machines of the new players are getting returned in few areas, sporadic cases, and 10% extra grammage of the new player also in some areas, in some SKUs getting returned. Obviously, you are a key market player. So what will be your take, sir, on all these three ?
Hemant Jalan: See, we have consistently said for the last 2 years, contrary to the commentary that was coming out from both the media and the collective analyst community that an entry of a new player is not likely to be disruptive in such a large marke

t as the decorati ve paint market of India is
concerned.
Now -- they had started out and you're referring to Birla Opus with very high dealer incentives and very high discounts, maybe about 10 percentage points higher than the rest of the industry. The prediction of outsiders was that this will devastate the margins of the paint industry. And we were all collectively saying that, that is not going to happen. And I think the truth has been borne out that it has not happened.
Everybody's gross margin is more or less the same as what it was a year ago or 1.5 years ago, maybe plus/minus 0.5 percentage point, but nobody has followed the huge discounting policy of the new entrant. Now, if the new entrant has chosen to slowly lower its incentive structure and come back to a more industry convergent rate, good to see that happening. But even when they persisted on a very high discount, I don't think it bothered the paint sector too mu ch.

As far as the tinting machines coming back, I mean, these are things that we do here on the ground. I don't have definitive data as to how many tinting machines are being installed and how many are coming back from them. And as far as this extra 10% grammage is concerned, it is a fact.
We have seen the public announcement, they first withdrew that in 4 -liter packs and now they have withdrawn that in 10 -liter packs. So these were independent actions that a new entrant took. And it is for them to decide whether it has worked for them or it has not worked for them and at what point in time to shall I say throw in the towel as far as these kinds of measures are concerned, which nobody else in the industry followed because nobody believes that these things are going to have a material effect i n escalating sales on a sustained basis.
I don't think we have been much impacted by their entry, very, very few dealers of ours across India have opted to switch to that brand. And therefore, it's been more or less a nonissue as far as we are concerned.
Moderator: The next question comes from the line of Mr. Manoj Menon.
Manoj Menon: Only one question. So let's say when I think about, let's say, the last few years of your geographical expansion, and also the context of the relative competitive intensity probably being different in the last 12 months in conjunction with an industry slow down, it both happened.
Are there any changes to the medium term, let's say, the geography expansion plans would have done earlier? Is there something you need to tweak whether in terms of process, people or everything is absolutely intact?
Hemant Jalan: I think geographic expansion continues, and it continues even for players who have been around for 70, 80 years. So that's a constant process because you keep appointing new dealers, you keep weeding out some old dealers who are either bad paymasters or for some reason, are losing interest in paints.
And you always lose some dealers to competition, and you gain some from competition every year. So that little bit of churn is pretty normal in the industry that goes on. Having said, our dealer density in northern part of India is still quite low. So if you look at states like Jammu & Kashmir, Himachal, Punjab, Delhi, Haryana or even Rajasthan for that matter, there is a need to drastically increase our dealer intensity, a nd we try to do that.
More important than increasing dealers, which is a constant ongoing process and especially increasing dealer in the larger cities, which is what we have focused on in the last 2 years. The more important thing is to increase throughput per dealer. And we f ind that in most states of India, where we are lacking is not the dealer count. In fact, our dealer count is in many, many states, is equal to what the dealer count of a number two player or a number three player is. However, their sales is significantl

y higher in those states despite having the same number of dealers. So now there is an attempt to identify dealers who are doing business with us. But maybe their volume of business with us is somewhat low, and they are doing maybe 10x the business with a competitor and trying to target specific deale rs where the potential is large.

And they are already doing business with us, but their volume of business is low and to see how we can grow that business in those existing dealers by 50%, 70% or even 100%, which is imminently possible because their share of shop sale that we enjoy is fair ly low. If it is like 5% or 10%, there is a good reason or should be easy to double that.
So that is where the focus is going. And I mean, these are all steps that you'll keep taking to keep mining data and saying, what is the weakest link and where do you need to put your efforts for maximum growth and hopefully, these efforts will bear fruit, and you'll see the results coming out in the subsequent quarters.
Manoj Menon: Loud and clear, Hemant. The only reason I asked that geographical distribution question was because you had smartly, let's say had Mr. Dhoni as a brand ambassador for more than a decade. And your brand in my opinion, it's a classic case of a far higher awa reness versus availability. I completely understood the store throughput. I just thought maybe both can go in tandem.
Hemant Jalan: Yes, not only Dhoni, but also marquee ambassador from your home state, Manoj Menon .. Mohanlal. So we have had both of them for a long time, Dhoni, for, I think, 7 years now and intend to continue with him for many years going forward. So it's true that we punch above our weight in terms of brand recognition, partly due to the slightly uni que ads, the creatives that we produce and certainly a large part of the credit to our brand ambassador MS Dhoni and Mohanlal in Kerala.
So yes, we enjoy good brand recall, but -- and cashing brand recall is not the easiest thing in the paint industry, as you know, which is why we have always talked about these high entry barriers in the paint industry. And as yourself and I read your analy sis reports of the paint sector of other

companies, I think you're also coming to the conclusion that what the prediction was as to what devastation, a new entrant would do has not really happened. And the other players continue to exist with their margin s intact.

Manoj Menon: Understood. And Hemant, one last question before I will fall back in the queue. If I look up in the long -- you reached a say $150 million revenue currently. And when I -- with a certain set of templates, which has worked for you, whether it is people, process, SOPs, et cetera, is there anything which have worked off late last 6 months, 1 year in terms of, let's say, when you think about the journey from, let's say, 150 million to 300 million, 500 million or you think that the current set of the ways of working is appropriate for the, let's say, doubling from here or even higher from now?

Hemant Jalan: You are aware that we had tried to acquire another paint company that was on the block, and we came close but we lost out, and that's fine. I mean, these things happen in business. And we keep looking around for both organic and inorganic modes of growth, there is nothing concrete on the table right now, but we keep looking. And while we keep looking for inorganic methods, we focus and double down on our efforts to grow at 2x, 2.5x the industry growth, while keeping profitability intact.

For us, p ecking order in any industry is not determined only by top line of what you said $150 million to make it $500 million, the idea is to do it in a profitable manner, which rewards

shareholders and all stakeholders because I don't think packing order s are decided only by top line.

There is also something called the bottom line, and there are several lines in between the top line and the bottom line, which are all equally important. And we are very mindful of that, and our track record should show that we are as much focused on the bo ttom line as we are on the top line.

Moderator: The next question comes from the line of Pratik from HSBC.

Pratik: This is Pratik from HSBC. I have a couple of questions, please. A follow -up on the dealer incentives bid that you mentioned. You mentioned that dealer incentives for the inc umbents have not increased. So the data in the annual report of gross revenues and net revenues, it does indicate some increase in dealer incentives.

Is that not the right way to look at it? And a two part question to that is, have the incentives for Birla Opus also normalized now or they still remain high for dealers?

Hemant Jalan: So the first question, the answer is yes, dealer incentives for the earlier incumbents have increased marginally. I don't think there has been an attempt by anyone to respond to what a new entrant has done. It is just that when the demand scenario is weak, and top line growth becomes difficult, then there is a tendency by all incumbents to give a little bit extra to try and gain a little extra market share.

So you're right, when you see the annual reports of companies, you will find that dealer incentives for the year have been marginally higher than what they were in the previous year. Part of that is also because of softening of raw material prices. During the last 1 year, raw material prices have softened significantly. So there is a tendency to pass on that benefit to the trade or to the consumer in some manner, which may enable higher top line growth.

So that's the answer to your first question, but I don't think anyone has gone even remotely close to the discounting patterns of a new entrant. As far as them normalizing and coming and converging with the industry average as far as schemes are concerned, I frankly really don't know because I don't track them that carefully. And the reason we don't track them that minutely is because we have really not been impacted by them in any significant extent.

So we do know that there is some pullback happening at their end in extra grammage and maybe in discounts, maybe in credit limits and credit periods, et cetera. But these are all the rumors that we hear in the market, but we have not applied our mind to ve ry, very minutely tracking these behaviors of the incumbent -- of the new entrant.

As a follow -up, rather than looking at discounts, why don't you track gross margins because that nets out the effect of raw material softening or hardening versus discounts. So if you track gross margins of companies, you'll find that they are not very dif ferent from what they were a year ago. As I said, plus minus 0.5% here and there. Gross margins have been largely remained the same for all the listed paint companies from whatever I observed, no noticeable change.

Pratik: Correct. Follow -up to that, if raw material prices have given fill up of say 3% to 4% on gross margins because of lower crude derivatives, lower TiO2 at the time. Does that not also help the gross margin? So even if incentives might have increased, gross margins were protected because of lower RMs. Is that, right?
Hemant Jalan: I don't think RM prices as an overall have come down by 3% to 4%. I mean it's not come down that much. And on titanium dioxide in the last few months, we are faced with an anti -dumping duty that has been slapped which has actually increased titanium dioxid e prices temporarily. There is a court case pending in the Calcutta High Court filed by the Indian Paint Association for which hearings are over and the judgment is awaited.
We all hope that this antidumping duty may get reversed if there is

a favorable court decision on
that, but we don't know. It is the other raw materials, which have softened a little bit. I think the overall contribution in the basket of our purchase is certainly not as high as 3%, 4%. But if it is, let's say, 1.5%, 2%, to that extent, of course, discounts have gone up. And th at is why gross margins have kind of remained the same.
See, most people are comfortable in operating in a certain gross margin range and in a certain EBITDA range. As long as that range is not reached, there is always the tendency to increase trade discounts when raw material prices go down and to reduce trade discounts when raw material prices go up, keeping gross margins and EBITDA margins within a narrow band. And I think that is what has played out.
Pratik: Okay, that makes sense. If I can squeeze in another question. Project business, what is our -- how much -- what is our proportion of the projects business, do you see a change in intensity and competitive intensity there? Can you please elaborate on that?
Hemant Jalan: Yes. We are not actively engaged in project business. I mean, our project business is more of a retail project kind of a thing where in any kind of a lead given by the dealers, we service it through our retail network. We don't have a separate vertical. We don't have a separate product range.
We don't have separate pricing for projects. So which means we are not into the real big kind of projects. We are just into some retail projects, which is part of the normal retail business.
Moderator: The next question comes from the line of Ketan Chheda an Retail Investor.
Ketan Chheda: Sir, my question is with respect to Apple Chemie. When we did the acquisition, I believe it was into probably just 1 state or 1 geography and we had plans to kind of expand Apple Chemie's reach in multiple states as far as possible. So could you share some data and how well that strategy has played out so far after the acquisition has been done?
Hemant Jalan: Good question. Mixed results, Mr. Ketan. Apple Chemie, after the acquisition, tried to expand too fast in every corner of India and built up a huge manpower base in various places. Project business is a little slow in conversion. And in some parts of India , they found that the traction was not good, and the costs were very high, commensurate with the volume of business that was coming in even after waiting for about a year.

So let's say, in North India, they kind of decided to withdraw but they're getting good traction in South India and in Eastern India, where they continue. So still, the dominance is in the states of Maharashtra, Madhya Pradesh, Chattisgarh, so what we call West and Central India, that is where most of their business comes from and those are the areas which are in close proximity to that factory, which is located in A, in Nagpur and B, in Navi Mumbai.
We also realized that -- they also have a range of products like in our decorative paints, you have low-margin businesses like putty and you have high -margin business like emulsions and very high-margin products like your differentiated specialty products. So the similar is the case with Apple Chemie.
You have various products which are very high margin, and you have some products like ad mixtures, which are generally on the lower margin side, and which are very freight -sensitive. And therefore, it doesn't make sense to ship ad mixtures to various corne rs of the country from Nagpur.
So the attempt has been to concentrate on areas where you are getting traction, which, as I said, have been Eastern India and Southern India and to focus more on products and introducing newer products where the competitive intensity is much less. So they are in the process of commissioning maybe by the end of the month or early September, a new product line, which is MS polymers, where

they face competition from only 2 multinationals and there are hardly any
Indian manufacturers manufacturing that.
And these products are used in the same infrastructural projects where they are supplying other

materials. And they have been focusing on other -- so they're looking along with the top line, they're also looking at the bottom line. And I think when we did the acquisition 2.5 years ago, their top line was about INR41 crores, INR42 crores which last year was about INR62 crores or INR63 crores or something.

And I think they hopefully will be somewhere in the INR70 crore to INR75 crore range in this current fiscal. So again, the effort is to grow, but grow profitably. And I think we are quite happy with the path that they are chalking out for themselves.

Moderator: The next question comes from the line of Mr. Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Yes. Sir, two questions. One on Apple Chemie, any thoughts in terms of acquiring the remaining 49% stake? That is one. And secondly, now some of the products are launched under Indigo brand as well. So whether it is launched through the Indigo that is listed entity its elf or it is launched through Apple Chemie? I mean to say whether Indigo brand is getting used in Apple Chemie's products and distribution also? So that is question one.

And question two, now, two plants will come up -- I mean, will commence production in next 6 months, water -based as well as solvent -based. So any strategy that you can indicate in terms of -- while the production might be ready, but what will be the selling and distribution strateg y, at least in Northern India for these 2 plants?

Hemant Jalan: So on Apple Chemie, all the waterproofing and construction chemical products that are launched in the retail space, are manufactured at Indigo Paints factories. They are branded as Indigo and they are sold through the Indigo Paints network. They have nothi ng to do with Apple Chemie, except that there was a transfer of technology which took place from them immediately post the acquisition.

So the products that Apple Chemie sells, it sells in its own name. And there is no use of the Indigo branding as far as their products are concerned, which are entirely B2B. Your earlier question about acquiring the remaining 49%, well, the call options th at we have kick in only after 1st of April next year.

So there's plenty of time to think about it, and I think we'll take an educated decision at that point in time as to how much to acquire more and if to acquire more and how to do that acquisition.

And sorry, what was your next question on? On the new plants coming up. So see you set up more capacity and more modern plants to cater to the future.

And our present capacity at Jodhpur, which largely feeds North and East India was under stress and those were plants that had been set up many, many years ago and were really not designed for the capacity at which we are operating now. So the new plant coming up does result in an increase i n capacity, but more than that it results in a lot of modernization and mechanization, which is very essential at the scale of operation at which we are operating.

However, as we have always said, in this industry, capacity does not mean sales. So building capacity is totally agnostic of what will happen on the sales front. Sales front, even now without those capacity coming, if we can increase sales, we would happil y increase sales. And we do have the capacity to cater to it in some form or the other.

So it will just ease out the process by the time that plant comes up, that future production and dispatch related things will become much more streamlined because of more automation and mechanization. So we had set up a very modern plant in Tamil Nadu, whi ch got commissioned about 21 months ago, and we are reaping the benefits of that a

nd similar plant is coming up in North India.

The place where it will make a material difference is solvent -based paints, which so far were manufactured only in Tamil Nadu. And from a freight viewpoint, it was a little inefficient to cater to the entire country for solvent -based paints from one plant located in the southern corner of India. And therefore, the solvent -based plant coming up at Jodhpur will definitely mean a reduction in our freight costs as far as catering to that part of the business is concerned.

Aniruddha Joshi: Okay. Sure, sir. This is very helpful. Many thanks.

Moderator: Thank you. L adies and gentlemen, we'll take this as a last question for today. I will now hand the conference over to the management for closing comments.

Hemant Jalan: Okay. Thanks, Sam ya. Thanks. ICICI for hosting the call and thank you all for being patient listeners. Look forward to interacting with you again after three months and hopefully under much happier circumstances, both for Indigo Paints and the entire paint industry. Thank you all.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2025

By
INDIGO
Be surprised!
November 11, 2025
To, To
BSE Limited National Stock Exchange of India Limited
Corporate Relationship Department Exchange Plaza, Plot No. C-1, Block G,
25th Floor, Phiroze Jeejeebhoy Towers, Bandra Kurla Complex, Bandra (East)
Dalal Street, Mumbai- 400001 Mumbai -400051
Scrip Code: 543258 NSE Symbol: INDIGOPNTS
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 for Transcript of Earnings Call for the quarter and half year ended September 30, 2025 held on November 7, 2025
Pursuant to the Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), please find enclosed the transcript of the earnings conference call held with the analyst and investors on November 7, 2025 at 11:00 hrs (IST) to discuss the unaudited standalone and consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025.
Pursuant to the provisions of Regulation 46 of the Listing Regulations the above information will also be made available on the website of the company at https://indigopaints.com/investors/analyst-investors-meets/
You are requested to take note of the same.
Thanking you.
For Indigo Paints Limited
Sayalee Yengul
Company Secretary & Compliance Officer
Membership No. A37267
Encl: As Above
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T: +91 20 6681 4300, Email: info@indigopaints.com, Website: www.indigopaints.com, CIN: L24114PN2000PLC014669
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"Indigo Paints Limited
Q2 & H1 FY '26 Earnings Conference Call"
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PAINTS
MANAGEMENT:
MODERATOR: November 07, 2025
Mr. HEMANT JALAN — CHAIRMAN AND MANAGING DIRECTOR — INDIGO PAINTS LIMITED
Mr. T.S SURESH BABU — CHIEF OPERATING OFFICER — INDIGO PAINTS LIMITED
MR. CHETAN HUMANE — CHIEF FINANCIAL OFFICER — INDIGO PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR — GENERAL MANAGER FINANCE AND INVESTOR RELATIONS — INDIGO PAINTS LIMITED
Mr. ANIRUDDHA JOSHI — ICICI SECURITIES LIMITED

Moderator:
Aniruddha Joshi:
Srihari Santhakumar:

Ladies and gentlemen, good day, and welcome to Indigo Paints Q2 and H1 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities Limited. Thank you, and over to you, sir.
Yes. Thanks, Iqra. On behalf of ICICI Securities, we welcome you all to Q2 FY '26 Results

Conference Call of Indigo Paints Limited. Now I hand over the call to Mr. Srihari Santhakumar, General Manager, Finance and Investor Relations, to introduce the management and then take the call forward. Thanks, and over to you, Srihari sir.
Yes. Thanks, Aniruddha. Good morning to everyone and thanks for joining the earnings conference call of Indigo Paints for the quarter and half year ended September 30, 2025. As usual, on the call for discussing the performance of the company, we have with us Mr. Hemant Jalan, the Chairman and Managing Director of the company; Mr. T. 8. Suresh Babu, the Chief Operating Officer, Mr. Chetan Humane, and myself Srihari, I am heading Investor Relations here at Indigo Paints.
We have uploaded the presentations in the portals of the stock exchanges. Kindly refer to the disclaimer section for any future-related information that may be discussed during this call today.
In the usual format, Mr.

Jalan, he will present the performance of the company for the quarter
ended September 30 and post which, we'll have a quick Q&A session. Over to you, sir.
Thanks, Srihari. Good morning, everyone, and thank you for joining us to discuss Indigo Paints' performance for the second quarter results of FY '26. As mentioned, we have uploaded our financials on the stock exchange portals and hopefully, you have gone through them.
We are very pleased to see growth picking up again for Indigo Paints indicating improving market conditions despite the extended and persistent monsoons during the quarter. While the quarter began strongly in July, sales slowed down considerably in August before regaining momentum in September.
The run-up to Diwali was shorter this year yet the Indigo team delivered a commendable performance despite these challenges. There has been excellent inflow of money from the dealers during the short Diwali season, which 1s the best indicator that secondary sales from the counters have been good and dealer's stocks have been liquidated.
First, let me come to the stand-alone results. Our stand-alone revenue from operations for Q2 FY '26 was INR298.5 crores, a Y-on-Y growth of 3.5%. We sustained our leadership position

in gross margins, which expanded to 45.1% from 44.1% clocked in the same quarter last year. Our EBITDA margin improved from 14.8% in Q2 of last year to 15.3% in Q2 of this year with absolute EBITDA at INR45.8 crores, up 7.5% Y-o-Y.
Profit after tax stood at INR25.5 crores with a PAT margin of 8.5% up from 8.2% in Q2 of last year, reflecting a 5.8% growth in absolute amount compared to Q2 of the previous fiscal.
I would also like to highlight the fact that historically, Indigo Paints' EBITDA margin always peaks majestically in Q4, driven by an improved product mix and significant growth in the sales of differentiated products. So all I can say is that the best 1s yet to come later this year.
On a half year basis, we recorded INR593.4 crores in revenue, which 1s a 1.9% growth Y-o-Y, with an EBITDA margin at 15.1% and a PAT margin at 8.6%, maintaining healthy profitability.
We continue to outperform peers in gross margins, reinforced by a basket of differentiated products. On absolute terms, we have clocked an EBITDA of INR89.4 crores during the half year, registering a growth of 1.2% and a PAT of INRS1.9 crores, registering a growth of 2.6%.
Now coming to the consol results. For the quarter, we recorded INR312.1 crore in revenue, which is a 4.2% growth Y-o-Y, with EBITDA margins at 14.9% and a PAT margin at 8.0%. On an absolute basis, EBITDA has grown by a healthy 12.1% to INR46.5 crores and PAT has grown significantly by 13.5% to INR25.2 crores.
Our subsidiary, Apple Chemie, delivered strong growth and healthy profitability during the quarter. Apple Chemie recorded revenues of INR13.6 crores during the quarter, marking a 22.6% increase from Q2 of last year. Gross margins of Apple Chemie improved notably following strategic initiatives to optimize the product mix.
While Maharashtra remains the primary revenue driver for Apple Chemie, sales momentum is strengthening in the Southern and Eastern regions, particularly in Bihar and Assam. With refreshed branding, Apple Chemie is poised to introduce new products and accelerate its growth journey.
For the half year, on a consol basis, Indigo Paints has achieved a revenue of INR620.9 crores, which is a 1.7% growth over H1 of last year. The EBITDA has grown by 2.2% to INR90.8 crores and PAT has grown by 4.9% to INR51.3 crores. All other numbers are given in detail in our investor presentation.
I'll now give you some more operational details about the quarter going beyond just the financial numbers. Now during the quarter, the overall A&P spending as a percentage of revenue has largely been flat at 5.3%. We have strengthened our below-the-line m

arketing efforts to better
monitor and drive secondary sales through dealer counters.

In the previous quarter, we had launched our own experiential retail centers under the banner Indigo Color Canvas stores, designed to showcase our entire product portfolio in an aesthetically designed environment.

Encouraged by strong dealer interest, we have added 8 more stores in Q2 and with the peak season still ahead, we expect several additional stores to become operational in the coming quarters. In line with our disclosure practices in the past, we have reported volume and value growth figures for each of the 4 major paint product categories.
During the quarter, all categories, except for the category of putty and cement paints have recorded healthy growth in both volume and value terms. Within the emulsion category and within the enamels category, the premium end has performed particularly well which 1s why the value growth for those 2 segments are nearly double that of the volume growth.
For mstance, emulsions have achieved a value growth of 7% compared to a 3.9% in volume growth. Now this performance contracts with the broader industry trend, where several peers have reported down trading and value growth lagging behind volume growth by several percentage points. We are pleased to see our below-the-line initiatives delivering results and are further focusing on strengthening engagement with the influencers.
Sales of waterproofing and construction chemical products continue to grow at a phenomenal pace, and we expect it to grow even further in the second half of the year.
We continue to focus on expanding our dealer network, enhancing throughput for active dealers and increasing the number of tinting machines across our network. As of September 30 this year, we have over 18,900 active dealers and more than 11,650 tinting machines. This growth in network coverage was achieved despite the impact of a very heavy monsoon season.
On capex front, the brownfield expansion of our putty plant at Jodhpur has been completed and trial productions are underway. At the new solvent-based plant, which has a capacity of 12,000 kiloliters per annum at Jodhpur, equipment commissioning is in progress and commercial production is scheduled to begin early next month. The water-based plant at Jodhpur with an annual capacity of 90,000 kiloliters per annum is in the final stages of construction and commissioning 1s expected late in Q4 of this year.
As part of our broader ESG commitment, we continue to emphasize sustainable growth and community engagement. Our key sustainability initiatives focus on renewable energy adoption and community outreach through the Indigo Seva Utsav program. where in collaboration with painters and the local communities, we have repainted and renovated over 50 government schools during the first half of the year.
On the CSR front, we focused on initiatives that create meaningful social impact. We continue to support education for the underprivileged girls in and around Pune benefiting over 360 students to date. Our Painter Health Benefit program, which was launched in FY '24, has now expanded nationwide and covers more than 36,000 painter families across the country.
Additionally, over 600 painting professionals have benefited from the Indigo Skillup program which is a specialized training initiative designed to empower painting professionals with skills beyond their craft and to support their business development.

Moderator:
Prakash Kapadia:
Hemant Jalan:
Finally, after nearly 6 quarters, market demand is showing clear signs of recovery, reflected in strong collections, increased secondary sales at paint counters and the rise in scanning of painter tokens in paint cans. Favorable factors such as a good monsoon leading to bumper harvest, RBIs repeated r

ate cuts, government income tax reductions and lower GST rates have contributed to this optimism, supporting the view that pent-up demand 1s beginning to materialize.
We are optimistic that post Diwali sales, as the wedding season kicks in and favorable market conditions come forward, these will all add a strong tailwind to revive demand in the market.
That is all that I have by way of a presentation. I look forward to answering your questions.
Thank you.
The first question is from the line of Prakash Kapadia from Kapadia Financial Services.
A couple of questions from my end. We were expecting double-digit volume growth to come back, but that has not been up to expectations. So the primary thesis was demand will come back on a low base. This has been for some time. Obviously, we've been doing things like dealer expansion, focusing on value-added products, increasing tinting machines.
So how do we build up case of the next few quarters, is double-digit growth now certain because some of the commentary you made in the opening remarks where these are tailwinds, so are we

confident of huge outperformance to industry? And primarily, the industry growth has to come back, then our outperformance to that industry growth becomes more relevant, right?
And secondly, if you could also give us some sense, we've added gross block, we've had a CWIP, which will get come in. So from the INR1,300-odd crores kind of sales, what is the optimum sales possible in the next few years based on this capacity expansion?
Thanks, Prakash. Two questions that you have asked. First on growth, well, first of all, our growth is not on a very weak base. In Q2 of last year, we had considerably outperformed the industry. I don't remember the exact number, but it was somewhere between 6% to 7% last year when industry leaders had declared a substantial negative top line in Q2 of last year. So our base 1s not that weak compared to others.
Now normally, monsoon is built in into the base. Every year, we have rains in Q2, and Q2 is always the weakest quarter. However, you will notice that sequentially, contrary to all other people who have declared results, our Q2 top line numbers are slightly higher than Q1] numbers.
Now normally, what happens in monsoons 1s that although monsoon extends from June till end of September and easily sometimes also spills in into the first half of October, you usually have monsoons with a break in between of about a month or 20 days or 25 days. Now that did not happen this year.
The country has received much more than normal rainfall and there has virtually been no break in the monsoon. It's also the longest monsoon period that I remember in history where monsoon

arrived about 10 to 15 days earlier. Normally, the onset of monsoon 1s first June in Kerala and hits the rest of the country after 15th, 20th June.
This time, monsoons arrived by 20th May and the whole country was drenched in rain from end of May onwards, and that continued till the first week of October. So the reason for my optimism for growth, of course, weather patterns are something that we cannot control, but you look at other indicators on the ground, now the market leader, we still have to wait for the results to come out. Now they have reported top line negative for 6 quarters in a row.
I don't have access to their numbers, but our market intelligence says that they have probably done significantly better in Q2 and may report positive for the first trme in 7 quarters. Now that's a good sign as far as the industry, and the bellwether for industry growth. And you rightly said the industry growth has to come back on track.
And once the industry growth come back on track and the industry starts growing at 6%, 7%, we can hope to jump back to our earlier outperformance and perform at 20%. But when the industry 1s in negative territory, it becomes very difficult

for us to register 15%, 20% growth.
No initiatives work when the mood on the ground 1s somber and downbeat.
Now 3, 4 things have contributed in the last quarter signals that we got. We started the quarter with a very good July. And unfortunately, that was followed by a terrible August, but September was again very good. So 2 out of 3 months in the quarter, registering good growth was one good signal.
The fund inflow from the dealers was at an unprecedented high during the last 2 months. Now that is a very clear signal that their stocks have been liquidated because as long as the dealer is sitting on excess inventory, the payments are a little sluggish as always. And as the stocks get liquidated, the money flow improves very significantly.
The third signal that you get is that, as you are aware, all paint companies put various tokens in paint cans for painters and contractors to scan. The scanning that we have seen in the last 2 months have also been at an unprecedented level.
Now scanning will occur only when secondary sales happen. And when secondary sales happen in a big way, the paints get used, the tokens are discovered by the influencers and they scan those. So all of these have pointed in a very, very positive direction.
And normally, the one month before Diwali is not a time when dealers will typically stock up any more inventory. They are usually in an inventory liquidation mode. If the inventory gets liquidated well during the month of -- 3 weeks preceding Diwali, then post Diwali, the sales is excellent. That 1s what has happened.
And I expect to see, because last year Diwali was 31st October. So for 7, 8 days after Diwali, large parts of the country are closed down. Bihar, Jharkhand, Eastern UP are closed down because of Chatt. Gujarat is Lapancham, which comes 5, 6 days after Diwali and so on and so

Prakash Kapadia:
Hemant Jalan:
Prakash Kapadia:
Hemant Jalan:
Prakash Kapadia:

forth, in many other parts of the country, you have Bhai Doo] and various other festivals. And really, the buying resumes 8, 10 days after Diwal1.
So we expect now and we can see that already because all those festivities are behind us, we can see the uptake in primary offtake happening now. And there 1s a bumper monsoon -- bumper wedding season ahead, unprecedented number of weddings, which are perhaps a bigger precursor to painting than Diwali actually. And therefore, it gives me confidence with the signals that we have received that these are not just green shoots, but clear indication that demand is coming back.
Now whether it will come back to its original level where the industry grew at 8%, 9%, whether it will come back within 1 month or it will take 3 or 4 months for that to happen is something that I cannot predict but I'm very optimistic that very soon, you will start seemng double-digit growth from us and high double-digit growth, hopefully, by Q4, at least, if not earlier.
As far as the second question that you asked on capex, well, capex that is done for capacity expansion is really done with a very long-term view in mind. So a plant coming on stream does not necessarily add either to the top line or the bottom line.
So those are long-term initiatives taken more with a strategic long-term view as to what the demand will be in the next 4, 5 years. And those plants will come on stream, some of them in this quarter, in this month or next month and some in the next quarter. But I would not link that to our growth prospects going forward.
What I was trying to understand is we can double our turnover from this capex? Or would more capex be required?
I mean, technically, can we double, we can do much more than that. I mean the capacity that is being created 1s to more than double the turnover. But it's not that when a plant comes into is and immediately, your sales get...
Yes, yes, over a period of time. I und

erstand that.
In fact, I mean, to be more specific, after this capex, we do not expect any significant capex for the next 3 to 4 years. I think this will ride us till FY '29 very comfortably.
That what I was getting at. And lastly, when we -- in terms of the demand coming back, so that feel good factor or that sentimental change in terms of that repainting happening or that repainting driving demand for us and all the other players, is that sense coming from on the ground because that remains the crucial pile volume growth coming back for all the players?
I gave you all the indicators that cause us to feel that. The liquidation of stocks at the dealer end, the increased scanning by the painters and contractors, all that means, and these are at fairly unprecedented levels, at levels that we have never seen in the past. And therefore, it gives us confidence that the demand is happening at the ground.

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Prakash Kapadia:
Moderator:
Jainam Gosar:

It has not reflected as much as we would have liked to in primary sales, but as long as secondary sales has been very good in the recent, last 1, 1.5 months, the primary demand is not very far behind. And I think you will see the results from that across the entire industry, I would expect from Q3.
Understood. That's very clear and very helpful. Wishing you all the best, and hopefully, we'll see the mojo coming back for us and the industry very soon.
The next question 1s from the line of Janam Gosar from Nuvama Wealth Management.
Three questions. My first question is on the gross margin. So we are seeing 100 bps gross margin improvement for you. So I wanted to understand from a competition perspective, dealer incentive perspective and overall discounting , how are things versus, say, 2 quarters back? Because 2 quarters back, I think the peak of the new competition was impacting sector, post that the new player is stagnating. In fact, they have called out that Q2 1s lower than Q1. So if you could comment on that? And any thoughts on the CEO leaving the new paint company because it's very early? So any thoughts you are picking up? Any thoughts you can share on this?
See, I wouldn't like to comment on happenings within a recent competitor and people leaving and joming and what they are doing. We have said consistently during the last 2 years that the entry of a large new player has not impacted us in any significant way. Maybe there are some other paint players who have been impacted a little more, but I don't think it has shaken up things very much.
Now this new incumbent, as you are all aware, has resorted right from its launch at unprecedented levels of trade discounts, et cetera. Thankfully, no one in the industry has chosen

to follow that course, which is why everyone's EBITDA margins and profit margins have remained within the original band that they were and people have not attempted to emulate these horrific levels of discount.
The gross margin expansion that has happened has happened for 2 or 3 reasons. One 1s that raw material prices have been softening slowly but steadily during the last 1 year. And this softening of raw material prices, which has not been accompanied by any price drop by the industry, has naturally led to a slightly higher trade discount by all players. Despite the slightly higher trade discount, which has been prompted more by a raw material price drop, the gross margins, you would have expected to remain kind of stable for all players.
For us, we have been focusing a lot on improving our premium end products, and that has borne fruit. And those are clearly visible in our value and volume growth numbers across categories. And when the premium end products grow more than the overall basket, naturally, your gross margins go up because the premium products do carry a slightly higher profit margin than the economy range. So that is the main reaso

n for the gross margin going up by 100 basis points
compared to Q2 of last year.

Jainam Gosar:
Hemant Jalan:
Jainam Gosar:
Hemant Jalan:
Jainam Gosar:
Okay. My second question is on specific Bihar market. It's an important state for you. So currently, we are seeing a very high election kind of thing, which also picks up on the entire state GDP given so much of travel, so much of consumption happens.
Obviously, there 1s a INR10,000 freebie being given to almost every family woman. So from all this, do you expect Bihar to be a much faster growth than overall recovery which you are envisaging? Would you expect all this to really flow in Bihar in a more pronounced manner?
Not really. I mean the good thing 1s that for the first time in the last 30, 40 years, Bihar elections are thankfully being conducted in only 2 phases. Now in the past, elections in Bihar used to be in 5 or 6 phases, and that would stretch for typically more than a month.
And that would spell disaster for the entire trade because transportation and logistics in Bihar become very difficult in election time, unlike in the rest of the country. All vehicles, whether it 1s a 1-tonne vehicle or a 10-tonne vehicle, they get impounded by the election machinery for election duty and there is no way in which you can ship goods.
Now half of Bihar has already gone to poll yesterday. So all the -- including Patna, where our main depot is located. So all those vehicles will now get released from today and will be back in service. As far as the freebies given out by the government is concerned, I believe that they are more to the women community to encourage self-employment and business generation rather than any handout which goes for discretionary spends. So I'm not expecting anything as a result of election, either positive or negative as far as Bihar 1s concerned.
Having said that, during the last 7, 8 months, Bihar has been one of our strongest performing states in the country, where the growth has been definitely in high double digits. So Bihar has been one of the standout states for us in India amidst a relatively weak demand scenario during the last 6 quarters. And I think we expect that to continue going forward and further strengthen.
Sure. Sir, one quick follow-up on the competition from the new player. In terms of the 10% extra grammage, anything which is changing on ground versus, say, 2 quarters back and now?
I don't follow them very much because, as I said, they don't impact us very much, so we don't follow them very closely. What I have heard is that for most products, this extra grammage that they were giving, originally in 4-liter, 10-liter and 20-liter cans, I believe that they have discontinued it in the 4-liter and 10-liter cans. And there are rumors in the trade that this extra grammage even in the 20-liter cans may get discontinued before the end of the fiscal.
But please don't quote me as an authoritative source on it. I think the management of that company would be best positioned to answer this question. As I said, we have not been very materially affected by them. So minor changes in policy by that company are really not tracked at a microscopic level by us.
Sure. Last quick question on demand side. In terms of commentary, your commentary was quite positive this time. And even the #2 player in terms of sales and volume, they have also said that

Hemant Jalan:
in Q4, they expect double-digit volume growth for sure and possibly even double-digit sales growth, which I think you are also kind of saying similar in Q4. So my specific question here is,

which is the more contributing factor? Strong weddings, I understand. Strong rains leads to a lot of water leakage and definitely from a sentiment also, it's a positive.
And third is, of course, new player is now stagnating. They were taking

a 5%, 6% market share
in the first year. Now they are more of a status quo. Which is the more important reason in terms of the recovery to double-digit volume growth or sales growth for you by Q4?
I think the main thing that determines this is consumer sentiment, which is something which is not quantifiable. Good monsoon means good crops, which means a lot more money flowing into the rural sector. Along with that, the government significantly reduced income tax in the budget announced in February, which put more money in the hands of the middle class.
Then RBI followed it up with 3 successive rate cuts totaling 100 basis points, which has reduced interest rates and therefore, people's EMIs on whether it is housing loan or consumer durable loan or et cetera.
And then this GST cut, although it has not directly impacted the paint sector, but GST cuts on a whole host of household items puts more money into the pocket of the housewife. And when a person has a little more discretionary money available as a consequence of all of these things, the sentiment changes. Now you can see that, that pre-Diwali, which is the time when people buy a lot of automobiles as it's considered auspicious or iPhones, et cetera, from what I read in the press, there has been bumper, bumper sales of these products despite a very short Diwali period.
And splurge on credit cards and consumer spends on white goods, et cetera, have been at an all-time high. Now this was missing for the last 1.5 years. So that is a clear signal that consumer sentiment has changed. That, along with the other very clear indicators that we gave you that we see as paint companies on the ground, show that, that 1s going to translate into paint consumption very soon.
Hopefully, and I cannot say that for sure, but hopefully, there is a lot of pent-up demand that has built up with lesser painting during the last 18 months. And we hope that, that pent-up demand will come back.
And therefore, the demand recovery, whether it happens in 1 month or whether it happens over the next quarter, that I cannot predict. But when it comes, it will probably come back with a bang. And we may see very, very high growth in the coming quarters as far as the industry is concerned. And you were talking about the narrative of another large player who had declared the results a few days ago. Yes, they're talking about double-digit volume growth coming in, but they also have said in their narrative that they expect the value growth to lag behind the volume growth.

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Moderator:
Sonal Minhas:
Hemant Jalan:
Sonal Minhas:
Hemant Jalan:

Now in our case, you see that, that is not true. In fact, it is quite the reverse. The value growth is higher than the volume growth by a few percentage points. So we are very optimistic of good results accompanied -- I mean, good results, not just in the top line, but also accompanied by strong performance on the bottom line, which, as a company, we have been very mindful of and our results bear them out.
The next question is from the line of Sonal Minhas from Patent Cap Investment Advisors LLP.
I have 3 questions. Sir, wanted to understand some bit of subjective logic behind putty and cement degrowing both in volume and value terms. Is this largely because these are outdoor paints and there was a heavy rain and over the course of next 5, 6 months, this 1s expected to settle back?
See, let's take the question one by one. If you ask all 3 questions together, I'll forget the first one. This was the first one.
Yes. I know. Cement paint is a small component of that category. The major contributor in that category by far is putty. We club them together because these are both powder paints and have some similarity in raw material and method of manufacture. So as far as putty 1s concerned, putty 1s a commodity.
Now putty sale is a matter of choice. It contrib

utes very little to bottom line, but it 1s essential to
make putty because it helps sell the other products. Now the contribution of putty in our sale 1s significantly by a very wide margin as a percentage terms, much, much higher than the putty contribution to sales in other people's sales, for example. Other people, it may be in low to at

most mid-single digit. For us, putty contributes to definitely in the teens as far as value contribution 1s concerned. So it's a high contributor.
We moderate sales of putty depending upon pricing, et cetera. If you find that there is too much of competitive intensity and the prices are dropping to unreasonable levels, we pull it back consciously because it doesn't make sense to sell products at a loss. So these minor variations that happen in putty in some quarter, you'll find it jumping up and some quarter, you'll find it coming down.
I'm sure you'll find a good growth coming in the quarters ahead because we have managed to tackle this pricing issue by locating some toll manufacturers in different parts of India, which are strategically located, which will be able to cater to the demand of those regions in a slightly more economical manner. So that 1s all that I would say about putty. I would not read too much into it because it's a very, very minor contributor as far as the bottom line 1s concerned.
I'll go to the second question. It is more with regard to states where your market share 1s growing and you are -- your starting position is that your market share 1s low basically. So do we expect with the new capacity, maybe with more headcount, more sales that in these states, a focused targeted growth over the course of next 1 or 2 years?

And what are we doing in these states, which is different from, let's say, the southern states where we are dominant, we have higher market share? Just wanted to understand a little bit on subjective insights that you can give on sales, channel, what are we doing different in those states? Like Bihar, you mentioned just a while back.
So in Southern states, Sonal, the only state where we have a significantly higher market share than many of the other large players 1s Kerala. But it is not true that we have a very dominant market share in etther Karnataka or Tamil Nadu or Telangana or Andhra Pradesh.
So those are all states where we have a lot of catching up to do, including various northern region states where we had entered late and therefore, we are still, shall I say, in the start-up mode when it comes to Jammu and Kashmir or Punjab, Haryana, Himachal, Delhi, et cetera.
So I think the playbook everywhere 1s the same. There is no separate strategy for states where we have a slightly bigger sale compared to states where we have a lower sales, because even in states where we have a sizable sale like Kerala or like UP or Bihar or now even Bengal or MP or Maharashtra or Chhattisgarh, the scope to grow is huge.
I mean we are nowhere near saturation. In most places, we are still #4 player. And therefore, I mean, in Kerala, we may be #3, maybe in Chhattisgarh, we may be #2. But in most other states, we are either 3 or generally in most states, we are #4 player. And therefore, the headroom to grow is huge.
And therefore, our playbook now is more effective schemes for the dealer, which does not necessarily mean higher discounts. It means tailoring the schemes to what the dealer wants. Secondly, much more gratification and connection with the influencer community, which is the painter and the painting contractor.
Again, better connect and better gratification does not necessarily mean more payout in money. Sometimes with the same payout, you have to deliver what the influencer is looking for, which may not be extra cash. It may be something in kind. It could be something else.
And you have to connect with them on those fronts. I don't think o

ur increased capacity is going
to have any role in driving the sales out there. I keep saying that capacity is relatively irrelevant in this industry so long as you have enough capacity to meet the demand, which all players do. So adding up more capex or more plants does not, in the short term, lead to higher sales. There 1s no planned major increase in headcount anywhere. I think our headcount is reasonably sufficient in almost all the states.
We just have to execute better and tailor our offerings to what either the dealer or the influencer wants, maintain our advertising, which we have been doing, so that we are there in the minds of the consumer, maintain our product quality and our financial discipline and be more consistent than the results in the past have always followed.

Sonal Minhas:
Hemant Jalan:
T.S Suresh-Babu:
Sonal Minhas:
Hemant Jalan:

We have typically always outperformed the industry, except during the times when the industry

goes in negative territory and the gap between us and the industry becomes very marginal.
No, I understand that, sir. And thanks for the detailed explanation. But just to put a number on this to understand more as an analyst or as somebody's researching, 1s breaking into a state and saying now we are more meaningful than what we were to begin with. Is that like a 3-year journey? Is that like a 4-year journey? I just trying to figure it out.
That probably say it's a little longer than that. I would typically say that when you enter a new state, it takes 5, 6 years to set up a wide and deep distribution network and to get your brand presence felt on the ground. So it does take quite a bit of time. It's not simply opening counters and dumping material out there. That's the easy part of it and not the right way to do it. Ultimately, you have to engage with the influencers in that part of the country who may not be familiar with your product. They may have heard of your product by advertisements, but they have to experience your product. They have to experience your service and delivery and get confidence in your product before all these start resulting in high volume of sales and throughput at the dealer counters. And I think a certain amount of patience is required to achieve that.
And if I may add to that, what happens is that you should be mindful about the margins your dealers or trade partners are maintaining. Being a new entrant 1n a new state, if you start expanding mindlessly, what happens 1s that they are not able to retain their margins. Ultimately, they are the people who are investing in building the market in terms of holding inventory and credit. So you should be very, very careful about that, that -- I mean, you can't overdo it. If you try to do it in a shorter span of time, then effectively, 1t will come back as a boomerang.
And 1s the margins tracked systematically by companies like yourselves or Asian, I'm assuming so. But are there software tools to understand this more on a regular basis just to trying to get a sense of how does this...
Sonal, it's very simple. Without having a strong brand pull that is created on the ground, if you mindlessly expand the number of dealers, which is easy to do, you will create competition amongst the dealers, which will drive down the retail selling price of your product and therefore, drive down the margin that the dealer retains and then the dealer loses interest in your product. Now if somebody tries to do this very fast, and there have been companies, I will not name them, who have attempted to do this of expanding the dealer network a bit too fast, you get some short-term results, but that boomerangs on you very quickly because the dealer loses interest in you as fast as they have gained interest and then they start dumping you and then it's very difficult to come back from that position.
You've gone for long

, sir, after that basically. I agree.

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Moderator:
Yash Goenka:
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Moderator:

The next question is from the line of Yash Goenka from Awriga Capital Advisors LLP.
Am I audible?
Yes, you are.
Sir, you indicated unprecedented levels of scanning and collection growth. So can you quantify, 1s it the range you would like to 20% or even higher?
Lot of disturbance in your line. Can you repeat your question?
Sir, my question was on scanning and collection. You indicated unprecedented growth in collection and scanning. So can you quantify what the growth has been? Is it 15% to 20% or even higher than that?
There was some growth in September. In October, I think the growth in scanning has been upwards of 30%, 40%. And the number of distinct people who have scanned has also seen a big jump, almost 18% in the month of October. So this level of scanning of tokens, we have not seen ina very, very long time or perhaps the highest in our history.
Now this means that the secondary sale in October has been excellent is the only conclusion we can draw. And we look forward to this translating into great primary sales at our end in the months of November and December. That's all I can say.
Okay. And sir, the inventory level at dealerships would be lower than average?

It would be at this time. It typically does go down during Diwali. So typically, what happens that before the festive season, July, August and September are the periods when dealers stock material in anticipation of Diwali. And 3 or 4 weeks before Diwali, the stocking exercise completely stops. At that time, the dealer goes into a liquidation mode. And he buys only whatever is running out of stock that much and no more.

After Diwali is when dealers take stock of how much unsold inventory they have and then the restocking exercise starts typically 8, 10 days after Diwali, after all these festivities are over. So that 1s the phase that we are in now.

So if the money inflow is good, it means that stocks are getting liquidated. They are not likely to purchase to replenish that huge amount of stocking at that time. They'll wait until the Diwali 1s over. And now is when the restocking of their inventories would happen. So I'm fairly sure with the fund inflow and the scanning that has happened that the dealer inventory of our products should be at a fairly low level now across the country.

The next question is from the line of Aniruddha Joshi from ICICI Securities Limited.

So first question on Apple Chemie. Post acquisition, it has done superbly well. So if you can share more details in terms of like next 3-year vision or 5-year vision of Apple Chemie, nght

now, the current total distribution network, current regions it operates in? And you have any market share target like reaching up to x percent of market share of waterproofing and construction chemicals market, et cetera? So if you can elaborate a bit more on Apple Chemie.

So measuring market share in the segments that Apple Chemie operates is very difficult because it's a very fragmented market. You don't have too many listed players in India that give granular information for you to be able to measure those things. Network concept does not exist because this 1s all B2B selling.

And it is mainly construction chemicals, much less in waterproofing. So these are supplied to large infra builders of the country, people like L&T and Shapuryi Pallonji and Afcons and various people who get contracts from the government for building large expressways, ring roads, bridges, dams, metro projects, et cetera.

Now previously, when we acquired this company 2.5 years ago, their play region was mainly Maharashtra. Now encouraged and prodded by us, they

have attempted to expand into different
parts of India because generally, it is the same infrastructure providers who operate 1n all parts of India.

So now in addition to Maharashtra, they get a huge amount of their sales from the neighboring state of Madhya Pradesh. And they have attempted to go into different corners of India. They have got empaneled in various impressive infra projects in Southern India, in Tamil Nadu.

And recently, they have received a lot of empanelment in large infra projects in Assam and Bihar. So those supplies have started and they're expected to accelerate. The major competition from them comes from -- at least for the high-value products from multinationals like Fosroc and Sika.

For the lower value products like ad mixtures, et cetera, there are hundreds of manufacturers at a local level across India, which offer competition. And they are progressively entering into more value-added newer products like sealants, et cetera, crystalline durability compounds.

They have started hitting the export market a little bit now, which we hope will intensify in the days to come. So the idea, I don't have a specific number guidance that I can give you as to where Apple Chemie will reach in 2 or 3 years' time.

But in 3 years, if this company is somewhere in the range of INR200 crores to INR300 crores, we would be very happy, so long as this growth comes in a profitable manner, and that is what we are trying to ensure and the management at Apple Chemie is also very prudent on that.

And aside from their business of B2B supply, you will note that it 1s after that acquisition that we inherited all the know-how to make high-quality waterproofing and construction chemicals under the Indigo brand name at our own factories, which are sold at the retail counters through the same paint dealers, and that has shown phenomenal growth in the last 2.5 years and is beginning to account for high single-digit contribution to our top line as of now. And the highest

Yash Goenka:
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Shashank Jha:
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Shashank Jha:
Hemant Jalan: Indigo Paints Limited
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growth rate still comes from that segment. So I wouldn't be surprised if next year, the contribution from that segment to our top line 1s in double digits.
Okay. Sure, sir. This is very, very helpful. Any thoughts on raising the stake to almost 100% at Apple Chemie? And any timelines for that?
Well, we do have call options to do that starting from April of '26. I don't think there is any intent to raise the stake to 100% because it's a company that is extremely well run by the current promoters, and we would like them to have skin in the game so that they are enthused and motivated to continue to grow the company well.
So I don't think we intend to get involved too much in the day-to-day functioning of that company. I think it 1s being run extremely well. We provide outside support wherever required. We are trying to help them out in developing a bigger export market because we realize now that there is a lot of export potential for these products. And that's the extent. Whether we will up our stake from 51% to a slightly higher number is a call that we will take by the end of this fiscal.
The next question is from the line of Shashank Jha, an individual investor.
[inaudible 0:57:55]
I'm sorry. Your line is not clear. I can't hear what you're asking.
Sorry to interrupt, Shashank.
I cannot understand the question. The line is too unclear. No, I don't think the line 1s at all clear, Shashank. Are you using a handset?
I just wanted to know like about the ad that you are showing on the TV. Birla paint has a good ad, why can't we do something like that, I am just saying from an user point of view. Indigo Paints ad is just like a common ad, people don’t connect to the ad. If you can work on the ad it will work won

ders?
We will convey this message to our marketing department.
Iam holding, indigo paint for last 2 years. Just thought sharing it with you.
Thanks for your feedback. We will share it with our creative agency and marketing department. We release 2 or 3 ads every year. Last month we have completed a new ad. Now the running ads of Dhoni and some aliens, I thought that it was quite different from anything that we have done in the past. But still, if you are finding that it 1s not very differentiated, we will try and pass on these messages to our creative agency and see what better we can do.

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Unknown Attendee
Hemant Jalan:
Moderator:
Manish:
Hemant Jalan:
Manish: Indigo Paints Limited
November 07, 2022
Just like in World Cup 2023, there was a ad of Birla which was different from other ads, which might have created a good impact to them. So I am requesting, 1f you can work on the ad this will benefit us.
We will convey this to our creative agency.
The next question is from the line of Manish, an individual investor.
Congrats on the good set of numbers. Sir, my question 1s related to the retail consumers behavior. Sir, do you think now the world has changed. Now even for buying our daily groceries, we are dependent on quick commerce companies. Like the people have no time like they are ordering everything online and they are too much dependent on quick commerce.
So it's like every -- the couples are working. So do you think now the people don't have that much time to spend for painting their house because it's like a lot of time-consuming effort taking activity.
So do you think like there is something which can be done as an innovation to make this process very fast? Because if you see, I'm calling from Kerala, Trivandrum, you see like there are frequent rains. So people have not that much interest to keep your luggage outside the house. And so it is very time taking. So it's like you have -- because they are keeping it as a last option. So do you think that behavior has changed? And if it is, like do you have any plans to address that by some innovation to make it a fast process? That is my question.
Well, this is a question that everybody in the paint industry has grappled with, and people have tried to move to online sales. The difficulty about doing that in paints, a, items are very, very

bulky. And relatively low cost per weight as compared to 1Phones or even vegetables or other things. So to transport paints through quick commerce or e-commerce 1s very difficult.
Secondly, when you're buying vegetables online, I think your wife knows exactly how much of potatoes and onions and brinyjals to buy. But when you do repainting of a house, paints are not the only thing you need to buy. Along with paints, you need primers, you need putty, you need some brushes, you need rollers, you need masking tape and a whole lot of other paraphernalia. And typically, consumers are not very knowledgeable as to what the relative quantities of all these things should be.
And therefore, for all these reasons, they still prefer to go to a nearby store accompanied by an influencer or with a prescription written by the influencer as to what to buy out of a list of 10, 12 items to do the painting. And attempts to sell paint online have been largely very, very unsuccessful across the world, not just in India. And I think that, that is where it 1s going to stay.
Sorry, just like I think my question is like not related to sales of the paint. That is fine because people are ready to spend time on like buying the paint. That is not a concern. My concern is like the shifting of their luggage and like waiting for 5, 6, 7, 8 days for the whole house to be

sy NGO
Hemant Jalan:
Moderator:
Hemant Jalan:

painted, that's like painting activity. Do you think that -- because in this world, like I'm relating it...
Manish. I mean

, many, many implements and tools have come up and the market 1s flooded with them and most painting contractors have access to them. For grinding the surface, there are tools available.
For painting, there are now many people are using sprays instead of using a brush, which works much faster. This business about professionalizing and shifting your furniture and shifting it back after the painting is done is also something that is slowly being acquired by the better painting contractors. And it's a habit that will slowly come.
The penetration of all these tools is much better. But most of these tools are relevant more for interior. For exterior painting, as you were saying, dislocation of furniture 1s not really involved. And generally, spray painting is not used as much for exterior as 1t 1s used for interior.
And people are using brush and rollers for exterior and the habits of the painters vary a lot from one corner of India to another. But when you say that you are from Trivandrum, I mean, Kerala 1s a slightly more sophisticated and advanced market compared to the rest of India. So most contractors that we have seen in Kerala have been the early adopters of all these moder tools, which are available, which do shorten the painting cycle a little bit.
Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments.
Well, thank you for hosting this call, and thank you all for patiently listening in. As I said, the gloomy days of the last 6 quarters seem to be coming to an end. We seem to be on the cusp of a demand revival. We are very hopeful that we'll come back to you at the end of the present quarter with significantly better numbers. And hopefully, the industry as a whole will also be back on track with good growth numbers in the days to come. Thank you all.
Thank you very much, sir. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Registered Office: INDIGO Paints Limited, Indigo Tower, Street -5, Pallod Far m-2, Baner Road, Pune - 411045
T: +91 20 6681 4300, Email: info@indigopaints.com, Website: www.indigopaints.com , CIN: L 24114PN2000PLC014669

February 22
, 202
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To,
BSE Limited
Corporate Relationship Department
25th Floor, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai
-
400001
Scrip Code: 543258
To
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C
-
1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai
-
400051
NSE Symbol: INDIGOPNTS

Dear Sir/Madam,

Sub: Intimation
under
Regulation 30 of the
SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015
for
Transcript of Earnings Call for the quarter
and
nine months
ended
December 31
, 2025
held on
February 16
, 202
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Pursuant to the Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the
SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015
("Listing Regulations")
, please
find enclosed the transcript of the earnings conference call held with the analyst and investors on
February 16
,
2025 at
11
:00 hrs
(IST) to discuss the
un
audited standalone and consolidated Financial
Results of the Company for the quarter
and
nine months
ended
December 31

, 2025
.

Pursuant to the provisions of Regulation 46 of the Listing Regulations
t
he above information will also
be made available
on the website of the company
at
https://indigopaints.com/investors/analyst
-
investors
-
meets/

You are requested to take note of the same.

Thanking you.

For Indigo Paints Limited

Sayalee Yengul
Company Secretary & Compliance Officer
Membership No.
A37267

Encl.: As Above

"Indigo Paints Limited
Q3 FY '26 Earnings Conference Call "
February 16 , 202 6

MANAGEMENT : MR. HEMANT JALAN – CHAIRMAN AND MANAGING
DIRECTOR – INDIGO PAINTS LIMITED
MR. CHETAN HUMANE – CHIEF FINANCIAL
OFFICER – INDIGO PAINTS LIMITED
MR. SRIHARI SANTHAKUMAR – GENERAL MANAGER
FINANCE AND INVESTOR RELATIONS – INDIGO PAINTS
LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Indigo Paints Q3 FY '26 Earnings Conference
Call hoste d by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -
only mode and there will be an opportunity for you to ask questions afte r the presentation
concludes. Should you need assistance during this conference call, please signal an operator by
pressing star then zero on your touchtone phone. Please note that this conference is being

recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities Limited.
Thank you, and over to you, sir.
Aniruddha Joshi: Yes. Thanks, Shubham. On behalf of ICICI Securities, we welcome you all to Q3 FY '26 and 9 months FY '26 Results Conference Call of Indigo Paints Limited. Now I hand over the call to Mr. Srihari Santhakumar, General Manager, Finance and Investor Relations, to introduce the senior management and take the call forward. Thanks, and over to you, Srihari, sir.
Srihari Santhakumar: Thanks, Anirud dha. Good morning, everyone, and thanks for joining our investor call today to discuss our quarterly performance as well as the 9 months ending December. Today, for discussion of the results, we have with us Mr. Hemant Jalan, Chairman and Managing Director of the company; Mr. Chetan Humane, the CFO; and myself will be taking the queries -- Q&A session as well as any other queries we have. We have uploaded the investor presentation in the stock exchange portals. Please go through the disclaimer section as well. We'll start with the overview of the results. Over to you, sir.
Hemant Jalan: Good morning, everyone, and thank you for joining us to discuss Indigo Paints performance during the third quarter of FY '26. We have uploaded the investor presentations on the stock exchange portals, and hopefully, you've had a chance to review our financ ial results. Now we are delighted to report sustained and resilient growth for Indigo Paints in Q3 FY '26, even amidst a temporary setback in the month of October, which was triggered by delayed withdrawal of monsoons and an early Diwali fest ival, which together compressed the typical sales window. This October softness, notwithstanding, our team delivered impressive double -digit growth in both November and December, which more than offset the early quarter headwinds and propelled us to a respectable overall top line performance for the period. What truly stands out is the expansion in our profitability. Both our EBITDA and PAT numbers grew at a significantly faster pace than revenue growth, powered by a favorable product mix that emphasized premium offerings alongside rigorous cost management initia tives that optimized operational efficiencies across the board.
First, let me come to the stand -alone results. Our stand -alone revenue from operations for Q3 FY '26 was INR338.9 crores, which is a Y -on-Y growth of 3.5%. We sustained our leadership position in gross margins, which stood at 47.1%. Our EBITDA margin signi ficantly improved from 17.5% in Q3 of last year to 19.4% in Q3 of this fiscal with an absolute EBITDA at INR65.6 crores, which was 14.5% higher on a Y -on-Y basis.
During the quarter, a onetime expense of INR5.85 crores was booked to provision for the impact on gratuity consequent to the draft labo ur code on wages notified by the government. The PAT, including this exceptional item was down towards INR36.16 crores, but to enable an apple -to-

apple comparison, we have excluded the effect of this onetime expense in our investor presentations.
And for the rest of today's discussion, we will refer to PAT, excluding this exceptional item.
Thus, for Q3 of FY '26, after excluding the effect of the exceptional item, PAT stood at INR40.5 crores with a PAT margin of 11.8%, up from 11.0% i

n Q3 of FY '25, reflecting an 11.2% growth in absolute terms compared to the same period last year.
On a 9 -month basis, on stand -alone, we recorded INR932.2 crores in revenue, which is a 2.4% Y-o-Y growth with an EBITDA margin of 16.6% and a PAT margin of 9.8%, maintaining healthy profitability. On absolute terms, during the 9 months, we clocked an EBITDA of INR155 crores, which was a 6.4% growth over the same 9 months of the last fiscal and a PAT of INR92.4 crores, which was a 6.2% growth over the same period last year.
Now coming to our consolidated results. For the quarter, our consolidated revenues were INR358.8 crores, which is a 4.7% Y -o-Y growth with an EBITDA margin of 19% and a PAT margin, excluding exceptional items of 11.5%. On an absolute basis, EBITDA grew significantly by 19.5% to INR68.3 crores and PAT grew by a healthy 16.4% to INR41.7 crores.
Our subsidiary, Apple Chemie, delivered stellar growth and solid profitability during the quarter. Apple Chemie recorded Q3 revenues of INR20 crores, which was a 31.5% increase from the revenue in Q3 of last fiscal. Gross margins for Apple Chemie improved notably, backed by a favorable product mix. Apple Chemie has also commenced production in its new sealant plant at Nagpur, and we expect st rong growth in Q4 as well from our subsidiary. We are also actively pursuing export opportunities for Apple Chemie.
For the 9 months, on a consolidated basis, Indigo Paints achieved a revenue of INR979.9 crores, which is a 2.8% growth over 9 months of FY '25. EBITDA grew by 9% to INR159.2 crores and PAT grew by 9.8% to INR93 crores. All other numbers are detailed in our investor presentation.
Let me now provide some operational details about the quarter going beyond the financial numbers. Now during the last 9 months, our A&P spend, as a percentage of revenue, has declined

to 5.9% of top line compared to 7% in the same period of FY '25. We have deliberately moderated traditional advertising expenses. Instead, we are ramping up investment in direct influencer engagements, yielding visible results through an improved product mix.
We are also steadily expanding our Indigo Colour Canvas stores, which is our exclusive paint store, at select dealer counters to showcase our full portfolio in immersive aesthetically crafted environments. We have also refreshed the packaging of our Indigo Protect Plus series, which is our waterproofing range and backed it with a new advertising campaign.
In line with our past disclosure practices, we have reported volume and value growth figures for each of the 4 major paint product categories in our investor presentations. During Q3 of FY '26, enamels and wood coatings led with a strong 18.9% value growth and 20.2% volume growth. This was followed by the category of primers, distempers and others, which registered a 12.5% value growth and a 7.4% volume growth. While the putty and cement paint category grew by 5.5% in value and 2.1% in volume.

The fourth category, which is emulsions, showed a modest 0.2% value growth and a slight 3.4% volume dip. However, in emulsions, we continued to see good growth in the premium end of the emulsions, which is why value growth outpaces volume growth. This prem ium mix resilience contrasts with down -trading trends reported by the industry, where peers have often seen value growth lagging the volume growth, which is a trend which has not been noticed by us in any quarter.
Our waterproofing products continue to grow at a phenomenal rate and now account for close to 7% of our top line. We continue to focus on expanding our dealer network, enhancing throughput per active dealer and increasing the number of tinting machines acr oss our network. And as on 31st December 2025, we had over 19,100 active dealers, more than 11,900 tinting machines. And during the quarter, we have opened one more d

epot in the state of Uttar Pradesh,
notably at Prayagraj to enhance service efficiency, t aking our overall depot count to 55.
On the capex front, production has commenced at our new solvent -based plant in Jodhpur, enabling us to better serve enamel demand in the Northern and Eastern regions of the country, which were previously catered from the Tamil Nadu facility. We have also started output from our brownfield putty plant expansion at Jodhpur.
What remains is the new water -based plant at Jodhpur with a capacity of 90,000 kiloliters per annum, which is now expected to start production sometime in June 2026. Despite the delay in implementation schedule, we have enough capacity to meet demands for water -based paint products as of now.
Under our ESG framework, we remain dedicated to advancing sustainable practices and deepening community ties. Key efforts include accelerating renewable energy adoption, highlighted by the recent commissioning of our 330 -kilowatt solar panels at Cochin fac tory, now generating power since last month after regulatory clearances, and also by expanding our community impact via our Indigo Seva Utsav initiative, wherein with close collaboration with local painters and communities, we have successfully repainted and revitalized over 200 government schools across Tier 2 and Tier 3 towns since the launch of this initiative.
On the CSR front, we are dedicated to initiatives delivering lasting social value. Through the Payal Jalan Charitable Trust Educare program, we continue supporting education for over 360 underprivileged girls around Pune. The nationwide Indigo Painter Heal th Benefit program now aids more than 36,000 painter families across the country. And over 950 painting contractors have gained from our Indigo SkillUp training, equipping them with business development skills, which go beyond traditional painting experti se.
Finally, the Indian paint industry is exhibiting unmistakable signs of a measured recovery, steady progress rather than a sharp exponential rebound. At Indigo Paints, we have successfully harnessed this improving environment. delivering consistent double -digit growth for 3 months in a row since November '25, that is November, December and January of '26, outpacing broader market trends through our focus on premiumization, operational resilience and targeted network expansion.

Looking ahead, we are quite optimistic that this robust momentum will persist through the remaining months of FY '26, positioning us strongly for the seasonally strong Q4. That's all I have to say in terms of my opening remarks, and I look forward to answering your questions.

Thank you.
Moderator: Thank you very much. The first question comes from the line of Prakash Kapadia from Kapadia Financial Services. Please go ahead.
Prakash Kapadia : A couple of questions from my end. Hemantji, it's been almost 2 years that painting demand has been muted. So any insights you could give in terms of consumption patterns changing because people seem to be traveling, people seem to be buying cars. And this is contradictory at a time when real estate sales were pretty buoyant after COVID. And even if you consider a 4, 5 -year cycle, rental markets have been strong. So why is the paint demand still not seeing recovery as anticipated? Any thoughts on that will be helpful.
Hemant Jalan: So you mentioned about people buying cars. Now notice that people were not buying very many cars until the GST cut happened very recently. And that has led to a big spurt in automobile purchase during the last 3, 4 months. Now unfortunately, paint sector h as not benefited from any GST cut, and I don't think we are expecting any.
But your comment about real estate going up, see, new construction accounts for a very small part of paint purchase. So the major is repainting that happens. Now while there ha

s been a
demand slump and the demand slump was not just in the paint sector, it was across all categories in consumer products. And I think the government was sufficiently alarmed with that trend for the last 1.5, 2 years that it undertook several steps starting from the last year's budget when a huge income tax relief was given to t he middle class, which was followed by, I think, 3 rounds or maybe 4 rounds of reduction in interest rates by RBI.
And finally, the GST cut, which did not impact paint. But overall, as far as the overall consumer basket is concerned, it provided a lot of relief to the middleman -- to the common man. And thereafter, you see that all consumer companies are reporting an u ptick in demand. I think the paint industry is also witnessing a revival of demand.
Unfortunately, since paint demand is impacted by weather, which is not the true for soaps, shampoos, biscuits and other things, that October was expectedly a bad month because last year, Diwali came -- I'm talking about 2024 October, Diwali came on 31st of October. And this time, it was around the 20th of October. So a shorter Diwali season, coupled with a very delayed monsoon withdrawal led to a very short purchase window pre -Diwali. So October of this year compared to October of last year was definitely bad, and that seems to have dampened the results, at least for us, and my guess is for the entire paint industry.
However, from what I hear in the market, everyone seems to be doing well in the last 3 months relative to the past. Now it's not a hockey stick recovery, but there is a very perceptible change. And for us, after 2 years, this is the first time when for 3 m onths in a row, November, December and January, we are seeing double -digit growth in value. I'm talking only value.

I'm not talking volume, which I think is irrelevant. So hopefully, fingers crossed, this maintains itself in the coming months. And if that happens, I'm sure you'll see significantly better results definitely from Indigo and, my guess is, from the entire p aint industry also as far as Q4 and going into FY '27 is concerned.
Prakash Kapadia : Understood. And any sense you could give in terms of the product mix now versus earlier, contribution of emulsions, enamels, value -added products versus a few years ago because we are trying to premiumize the portfolio and that end, we are doing relatively better. Any sense you would have in terms of contribution now versus earlier?
Hemant Jalan: I can talk about ourselves. So for ourselves, the share of the premium end of emulsions has been significantly rising continuously for the last 2 years. And that includes the demand slowdown period. The premium end of emulsions continued to do well for us and kept registering good value growth even during the worst of times.
During the last 1 year, the segment of enamels has done quite well. And we have specifically focused on that because it's a fairly large category, and we have a differentiated offering there by way of PU enamel, and we are kind of known as the PU enamel co mpany. Others have tried to imitate perhaps not with as much success. So enamels are giving us a big boost. Waterproofing segment is giving a very good boost.
What has not fared well for us in the last 9 months has been the economy range of the emulsions. So we have made corrections. And in January, we registered our highest ever growth and the highest ever sales figures for economy -range emulsions. So it's just a question of retargeting your focus in terms of trade discounts and influencer engagements. And we intend to go after that sector pretty strongly because it's a very large segment. And unfortunately, we have not done very well for that in the first 9 mo nths.
But if you talk in terms of macro in the last 2, 3 years, the waterproofing, which was zero for us 2 years ago, is now ac

counting for about 7% of our top line. Enamels, putty, et cetera, have more
or less maintained their share. There has been a readjustme nt in emulsions that the share of premium emulsions have gone up and economy emulsions have come down a little bit. That's the broad change that I can talk about in our product mix.

Prakash Kapadia : Hoping to have a great Q4 and FY '27.

Hemant Jalan: Thank you Prakashji.

Moderator: The next question comes from the line of Abneesh Roy from Nuvama.

Abneesh Roy: My question is on the advertising spend. Last 3 years, you have saved almost 400 bps in terms of A&P to sales ratio at 5.87% in the last 9 months. Now you're pretty close to the larger players, which are broadly 4% to 5% of their sales goes to advertising. So are you now almost at the fag end of these cost savings?

Second is, if you could comment on how the advertising spend by the number 2, number 3 legacy players and the new players are, given overall competitive intensity change which has happened. That is my first question.

Hemant Jalan: So on advertising, Abneesh, there has been a drop as a percentage, but not as significantly a drop in absolute terms in terms of our advertising. Now it drops as a percentage if you maintain your ATL advertising at a constant absolute level and your turnov er keeps increasing, which it has significantly in the last 4 years. So that brings a natural drop in advertising expense as a percentage of revenue.

If you talk about where we are in terms of total advertising spends, we are certainly lower in advertising compared to the market leader, Asian Paints, and the new entrant, Birla Opus, both of whom spend a huge amount of advertising. We are somewhat lower than the number 2 player in terms of Berger.

But when we see our advertising TV ad spends, which is what we can track objectively, I think we are significantly higher than the number 3, number 4 player, that is both Nerolac and Akzo, and also from the other smaller players like JSW or Nippon, who have drastically reduced their advertising spends.

So I think on an absolute amount, we are fairly good. I mean, I would say that after Asian, Birla Opus and Berger, we are the next largest advertiser on television. And I think that, that is where we intend to stay. We have built a brand with consistent ad vertising at an elevated level for over 13, 14 years now. I think the brand is sufficiently well known. And we maintain a constant level of advertising for at least 9, 10 months in a year, excluding a couple of months during the monsoon.

So I think the brand recognition stays, the brand awareness is there. And in paint line, as opposed to certain FMCG, all you need is back of the mind brand recall. And you need to focus much more on influencer engagement so that they recommend your brand t o the consumer much more. And that is where our focus and spends are now directed in a much higher proportion.

Abneesh Roy: My second question is on dealer incentive, dealer promotions and overall intensity. In October, clearly, the entire industry saw weaker than the initial expectation. And my sense is maybe in November, December, there was a higher discounting to adjust on t he higher inventory in the market. And you also said that in the emulsion, you plan to now become more attuned to the market in terms of the influencer and the dealer discount.

So I wanted to understand how is the overall intensity? Yes, last 3 months, there is a recovery for you and the industry. But is it only on the volume, is it also on the sales side? Because for the number 2 legacy player, we did see that the gap between volume and sales was on the higher side this time versus initial expectation and their own trajectory. So if you could comment on net discounting, net pricing, how is the current situation?

Hemant Jalan: So Abneesh, we have always di

sclosed very granularly our value and volume growth across all
segments. And not just in this quarter, even for the preceding quarters, if you take out the disclosures, you'll find that there is hardly any gap between the value and the volume numbers,

utmost 1 percentage point here and there now and then. And in most cases, the value growth leads the volume growth rather than the other way around for the other people.

So why is the volume growth much higher for other players compared to their value growth is a question that you have to answer them -- is a question that you have to ask from them because there has been no noticeable price change in the industry. So I real ly don't understand as to why value and volume growth should be significantly different from each other.

Now over the last year, as raw material prices have softened, people have resorted or passed it on because rather than taking a price cut, the industry has kind of passed on higher discounts to the trade. And that is something that naturally happens and th at continues to happen for us also. We find that increasingly -- the discount compared to the same month of last year is slightly higher. And despite that, the gross margins maintain as to where they were. I mean, in Q3 of last year, our gross margin was 47.2%, and this time, it is 47.1%. So it's hardly any noticeable change.

Now having said that, we have been saying for the last 5 years that our gross margins are the highest in the paint industry, and they have been consistently the highest without exception of even a single quarter for the last 5 years. Now on one side, that is heartwarming. On the other side, it i s perhaps a missed opportunity.

Why should we not think of going even more aggressively on trade discounts and maybe sacrifice a percentage point from our gross margin, we'll still be the highest. But if sales can grow disproportionately higher, then our EBITDA margins will not be impact ed. They will, in fact, rise.

So that is the thinking going forward that let us treat this exceptionally high gross margin as an opportunity that we leverage properly in the market and try and get a disproportionately higher sales growth because we definitely have room for it in our gr oss margins to do that. And we have tried that in the last couple of months, and it has worked very well. And we intend to continue doing that going forward. And I'm quite hopeful that it will yield the desired results.

Abneesh Roy: Understood. Last quick question. Your active dealer count went down after Q2 FY '25 for 2 quarters and then started going up. So if you could tell us what was the reason at that point of time? And is that correction done? So you are now again expanding, bu t is that activity done in terms of correction?

Hemant Jalan: I don't think the active dealer count actually went down. Maybe it was kind of stagnant. We have given the dealer count -- okay, there was in Q4 of last year is the only time when I can see a dip in the dealer count happening.

Abneesh Roy: Q3 and Q4.

Hemant Jalan: Yes, Q3, very minor by maybe 100. Yes, you're right. I'm now seeing the slide presentation that we have done. So frankly speaking, the dealer count is not something that drives us very much. What we are looking at is throughput per dealer. With the active dealer count that we have,

which is only slig htly less than, let's say, the number 3 player, we technically could be doing 2.5x the sales that we are doing. So what we really need to pull up is the throughput per dealer. So I think a population around 19,000 active dealers is good enough. And that 19,000 organically may inch up to maybe 20,000 in the course of a year, but that is not what is going to give us our desired growth. We need to get 50% more out of the dealers th at we h

ave to get our real growth.

And that is what is important for us.

And therefore, the tinting machine count, which is a little more relevant, you'll find that the tinting machine population has been growing much, much faster than our dealer count. I mean, in the last 1.5 years, our dealer count may have grown by maybe 1,0 00, but our tinting ma chine count has grown by 2,000.

So the percentage of our dealers having tinting machines is now significantly higher than what they were a year ago or much, much higher than what they were 4 years ago. So that is what really leads to a dealer increasing his throughput with us. So althoug h we keep track of this active dealer count, I don't think we are overtly motivated by increasing that in a very significant way. That will inch up on its own in a small way as we go forward.

Moderator: The next question comes from the line of Rohit Ranjan from K L Securities.

Rohit Ranjan : I have just one question that was related to the Jodhpur plant coming live very soon. And that capacity has to get consumed at some point of time. So how exactly are we going to increase our market share with currently being at around 2% to 3%? And with ou r Jodhpur plant coming online, are we going to increase the throughput so that we are coming back to around the 25%, 30% margin? I remember growth projection that was given was that, okay, the industry players if they are growing at around middle single di gits, then we will be able to reach 25% to 30%. It's been 2 years, we have not see n the light of the day for that?

With this Jodhpur plant coming in, it is going to hit our PAT margin because your depreciation will come into play. So unless until we see a good top line growth with a good jump in net profit, are we still going to be seeing a similar pattern what we have seen in the last 2 years?

Or is the management thinking, really we're pushing and gaining market share by taking other dealers or increase in throughput? So if we can have some realistic and a very aggressive target around this, how exactly you're going to change the situation? Or are we going to depending

upon the low demand, which is going on up and down all the time?
Hemant Jalan: So Rohitji, in this industry, capacity and sales are not necessarily correlated. I mean having more capacity does not necessarily result in higher sales. So capacity expansion and modernization and automation is a continuous process that you indulge in for the long term. Now this expansion at the Jodhpur plant was undertaken 3 years ago when the demand scenario was very good and when we were growing at more than 20% per annum.
Now in between for 2 years, there has been a slump in demand across the sector. That does not mean that you hold back or go slow on your capacity expansion because sooner or later, you

know that this demand will come back. And this capacity expansion is for the next 5, 6 years put together.
So you are right, that once this plant comes on stream, there is a slightly added depreciation load, which definitely starts affecting PAT in some way. It won't affect EBITDA, but it will affect PAT. But hopefully, with the tailwinds that we are seeing in the last 3 months, as I said, we are hopeful of being close to double -digit growth in Q4. And if the demand comes back properly, we should go back to our 20% growth sometime next fiscal.
Of course, that is all presuming and keeping fingers crossed that the overall industry demand comes back robustly. So we have to wait and watch for that. But a capacity -- it was not only a capacity expansion at Jodhpur, it was a significant modernization. This was a legacy plant that was set up originally in 2006 when our annual turnover was less than INR10 crores. And incrementally, over time, we have grown by just adding more machinery.
But after 20 years of growing and reaching a leve

l of operation, which was 30x of what we were when the original plant was set up, it was time to completely modernize and automate the plant to cater to the scale at which we were operating. And that is some thing that we have done along with, of course, an expansion in the capacity.
And this will bring our significant capex to an end for the next foreseeable 4, 5 years. This will carry us through till maybe FY '29. So there will be a temporary dip in some ratios, like return on capital employed and all that. But that will recover itself in the next couple of years. And as far as operation is concerned, it is linked to demand in the market and what we can get and not so much related to the capacity that we have built up.
Rohit Ranjan : So Hemantji just a follow -up question about the Apple Chemie, right? So it is into your B2B kind of business, so working directly with the infrastructure related kind of development, which is going on, with its presence being mostly in Maharashtra and the Mumbai 3.0 and the various port-related developments, which are going on, huge investment in infrastructure being planned.
I mean, are we kind of wanting to double up on getting a good amount of revenue because there's a huge amount of pie ou t there. Can you focus on that?
Hemant Jalan: True, you're absolutely right. So as I said, they have grown by 31% or 31.5% in this quarter compared to the same quarter last year. So they are getting the benefit of the increased infrastructure spends in India. Yes, a large portion of their revenue does come from Maharashtra and some nearby states like Madhya Pradesh, but it is not confined to that. They're beginning to get a significant portion of their sales from Southern India, from various metro and road projects there and also from Eas tern India, in Assam and Bihar. And a small amount of exports have also started.
So all around, I think the future of Apple Chemie looks good. They have expanded their plant. They have added new product lines for self -manufacture, which they were getting a job worked earlier in a small way, which are the sealants and other adhesives. A nd I think the company has a bright future, and it's going along quite well.

Rohit Ranjan : Yes. And as investors, we have been patiently waiting for those days where we want to come back to 25% to 30%. It's been 5 years. Hopefully, we can turn the entire situation upside down and get back to a winning race here. Wishing you all the best.
Hemant Jalan: I sincerely -- well, like you, I personally am also a very large investor in Indigo Paints. And yes, it is disappointing, the performance, especially the last 2 years. Prior to that, it wasn't so bad. If you look at 2 years back, I mean, our growth numbers were quite healthy. So yes, just like you, we are also hoping that this demand turnaround accelerates in the days ahead, and we come back to good numbers.
If you're talking about investment in shares and all that, then you see those get also determined

by some other factors. I mean, during the last 4, 5 years, if you see our profitability growth has always been very good. Even in the worst of times, we have grown significantly in profit. Now unfortunately, because of the entry of a large new entrant, the sector got derated that various analysts started writing of this sector as a doomsday is coming to the paint industry and profitability is going to be ruine d, et cetera, which we were confident would not happen.
Time has borne itself out that we were right. Nobody's profitability has been impacted. Yes, a new entrant may have taken some market share at a significant cost to itself, that is their business.
But by and large, the industry dynamics, the profitability, gross margins, EBITDA margins have largely remained unaffected.
Unfortunately, it coincided with a downturn in the demand happening across consumer sectors.
So the effect was a little more depressing. But now that things are looking up, it's only a matter of time before people get back to their fancy for the paint sect or. And I think everything will get rerated in the market in the near future.
Moderator: The next question comes from the line of Bobby Ja y from F runze Investment.
Bobby Jay : So your IPO was actually during the COVID years when the growth was very strong because it was an abnormal period, right? So we don't really know what a company of your size can perform during normal times. And that will be new even to you. So now given th at your GDP is growing at 8%, there's good rainfall and the taxes are being cut and everything, but still we are unable to grow given a very small base. So what gives you the confidence that these high double - digit numbers that you talk about ca n be done in a normal market?
I mean, what edge do you have over the bigger players like Asian Paints? Because whatever innovation you come up with, they can come up with, they have far bigger budget. So could you explain that thinking? What gives you the confidence to increase capacit y and that you can actually grow at a high growth rate?
Hemant Jalan: Okay. Our IPO did happen 5 years ago. If you can look at 10 years preceding the IPO, our growth or CAGR was in the range of 30% to 40%. Of course, in the earlier days, if you talk about 2012 or 2014 or 2015 when the base was much lower, you can say that it was easy to grow at 40%. I don't quite think so because no other company of our size that time ever grew by 40%. So you have more than 2,000 companies in the paint sector of all shapes and sizes ranging from INR1 crores in size to INR50 crores in size to a few hundred crores and so on.

I think we have outstripped that growth over a very long period of time and at least reached the big league, so to say. Now today, if you say, let's not compare with Asian Paints because Asian Paints is too large a company compared to us. Let us compare wi th, let's say, the number 4 player, AkzoNobel, where the decorative paint net sales is around INR2,200 crores, and we are, let's say, at around INR1,400 crores, INR1,500 crores.
So I would say that we are in the same ballpark. And a company like Kansai Nerolac, which overall is a much larger company than us, but its decorative paint business is somewhere of the order of INR3,500 crores. So we are just around half of their size.
So we are not that disproportionately small compared to them. But if you compare the track record of ours versus these 2 companies, and you can take any time horizon that you want, of course, for these 2 companies, which get 50% of their business from indu strial paints, you will need to get granular insights as to how the decorative paint portfolio has been doing, and you will find that we have outstripped them many times over the past few years.
Now bigger companies have bigger budgets. Of that, there is no doubt. However, the differentiated products for which we are known for, which still account for anywhere from 28% to 29% of our portfolio, now these products were launched by us anywhere from 1 5 to 10 years ago, and they have been in the market for a long time.
Yes, other companies have budgets to replicate that, and they have replicated that and made repeated attempts to break into floor coats and metallic emulsions and tile coats and our PU enamels, et cetera, but they have not been very successful.
And we have managed to hold on to it with proprietary technology, very targeted advertising at these niche products and maintaining our goodwill and our product spread in the market. And if we have done so successfully for 15 years, I see no reason why we will not be able to do so in the forthcoming years also. So even after our IPO, maybe the first year after our IPO was not a very great year for us when our growth was similar to the industry growth. But after that, for the next 2 years, we did outpace al l the industry leaders as far as the growth rate was concerned.
Even in the last 2 years during demand slowdown, we have been better, but the multiples, I mean, if they are at a negative level, if the market leader is doing minus 2 or minus 4, and if we

manage to do even plus 2 or plus 4, I would consider that, that's pretty good. When there are headwinds in the market, it's very difficult to grow at 20% when the whole industry is saddled with a very weak demand.

Now as the demand comes back, you will start seeing that divergence between our growth rate and their growth rate. Our base is still a little lower than them. And I think we are an agile company with still a start -up mindset, although we are not exactly a start-up. And we are fairly confident of holding our own as we have held for the last 25 years.

Moderator: The next question comes from the line of Azharuddin Jariwala from Sameeksha Capital.

Azharuddin Jariwala : Most of my questions are already answered. You can skip me.

Moderator: The next question comes from the line of Dev Thacker from ithought PMS.

Dev Thacker: Sir, I just wanted to understand like what is our throughput ratio over the years between Tier 1, Tier 2 and Tier 3, Tier 4, like how it has improved and what are the plans going ahead?

Hemant Jalan: I'm sorry, I was on mute. Devji, the problem in giving a quantitative answer to your question is, I don't quite know whether there is a formal definition of what constitutes a Tier 1 market, what constitutes a Tier 2 market, etcetera. There is no formal de finition of that in India. And people draw their lines between these various tiers depending upon what they think is reasonable.

Having said that, broadly speaking and the definition that we use is that the top 12 cities in India, we classify them as like a metro. For us, a Tier 1 town would be a town which would be in excess of maybe 10 lakhs of population or something, a Tier 2 to wn would be something in the range of 3 lakhs to 10 lakhs or thereabouts roughly, a Tier 3 would be maybe 1 lakh to 3 lakh population and Tier 4 would be less than 1 lakh population.

And anything below 25,000, we'd kind of classify as rural. That's the kind of broad definition that we take. Now if you look at 4, 5 years ago, our presence in the metros and Tier 1 cities was abysmally low. Now today, that is not true. In Tier 1 and Tier 2 cities, we have a very strong presence now in almost all the Tier 1, Tier 2 cities.

As far as metros are concerned, there are some metros where we have made good inroads and there are many metros where our presence is still abysmally low. But overall, we are moving from being a predominantly Tier 3, Tier 4 focused company 5 years ago to b eing a company that has very good representation across Tier 1, Tier 2, Tier 3 and Tier 4. And we are trying to inch up further and do better as far as the metros are concerned.

So that is a long process. It's a gradual process, and it is something that happens naturally over a period of time. And along with that, even in our product portfolio, we have been consistently moving upwards in the premium end of the paints rather than o ur earlier portfolio 5, 7 years ago, which was predominantly in the economy and the sub -economy range of products. I hope that answers your question.

Dev Thacker: Yes, sir. Sir, if possible, could you also give us some index number like 3, 4 years back in Tier 1 if a dealer was doing INR1 crores of sales, how much the Indigo throughput was? And currently, what could be the throughput?

Hemant Jalan: So that would be very hard to pull out and very difficult to disclose at a public forum. So as I said, even giving any kind of quantitative number would first mean that you and I have to

reach
an agreement as to what constitutes each tier. And beyond that, how much our share has increased in Tier 1 or Tier 2 is not a number that we'd like to publicly disclose, except to say that it has risen very, very significantly.

Moderator: The next question comes from the line of Anirud dha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, 2 questions from my side. So we have seen there are a lot of different actions as far as pricing is concerned. Birla Opus has raised prices by 2% to 3%, whereas AkzoNobel has cut the prices

also. So how do you see the pricing discipline getting maintained? And how do you see the pricing actions for Indigo? So considering the commodity prices, at least, we believe at this stage, price hikes are not required, but will there be possibility of pr ice cuts just to gain or retain the market share? That is question number one.

Question number two, in terms of the differentiated products because that has been the backbone of the company. Now we don't see much of a discussion on these aspects. So how do you see the differentiated products and how they are doing? Any new launches o r plans to -- new plans of launches, et cetera? Anything i f you can elaborate a bit more?

Hemant Jalan: So Anirud dha, you talked about some price increase by Birla Opus. Now I think you're all well aware that Birla Opus was the product that was selling at the highest level of discount and the lowest price in the market compared to all other industry peers. So them havin g made a very minor price increase, I mean, their lower price was not of concern to anyone else in the industry and their increasing price by a small amount, they still remain the cheapest product available. So I don't think that matters to us or to anyone in the paint sector.

As far as Akzo is concerned, you will notice that the price decrease that they have announced are for very, very few products, and those were not significant selling products of Akzo at all. So if those are products that were really not selling in the mark et in any appreciable manner, then any price decrease or movement in that is also not likely to upset the pricing apple cart as far as the industry is concerned. Now what will happen for the pricing going forward, it's a question that only the market lead er can answer as to what is its strategy.

Now recently, I've seen from the number 2 player in Berger that for some products, they have lowered the prices and for some products, they have increased the prices. Now I have no idea why that has happened, and they can answer that question. That must be a strategic call that the company has t aken. Maybe for certain products, they're not doing well and they have chosen to drop prices and certain products, they are doing very well and they have chosen to counterbalance that by increasing prices there. But normally, pricing trends in the industry are dictated by the market leader.

Now if the market leader decides to either increase or reduce prices, and I don't see a trigger for either of that happening in the foreseeable future. But if for reasons best known to it, if it chooses to either increase or reduce prices, I think the whol e industry will be forced to follow suit. And whatever impact it has will be passed on to the dealer either by reduced dealer discounts or by increased dealer discounts depending on which way the pricing goes.

But I personally don't expect any significant change in the pricing in the foreseeable future. And therefore, I think pricing and trade discounts will kind of continue where they have been in the last couple of months.

As far as differentiated products are concerned, their overall share in our total revenue we disclose once a year after the year is over because those products have a seasonality inside them. And therefore, to talk about it on a quarterly basis does not

ma ke very much sense. And we will

come back next quarter when the year fiscal is over and tell you as to what percentage contribution comes from those differentiated products.

My guess so far is that there is no material change in the last 1 year. And they continue to hold their own and account for roughly the same share of the top line as they have been in the last few years. So we are not losing market share there. We might ha ve gained infinitesimally. We will know when the year is over as to where we are. But we seem to be holding our own as far as those products are concerned.

Aniruddha Joshi: Okay. Sure, sir. Just one last question from my side. Now with AI entering various business processes, there will be changes in the way decisions will be made across all business processes, be it manufacturing, be it sales, marketing, finance, legal, every thing. So how do you see it changing the dynamics in paint industry? Because a lot of decisions are made even now also on a lot of maybe channel feedback, which may not be 100% in organized way or a lot of demand planning, commodity sourci ng, everything is done, but may not be in a 100% organize d way, which may change post AI?

So how do you see things changing in the entire paint industry? And as far as Indigo is concerned, how do you see the preparedness? Means whether any large capex in terms of software or data management or any other will be required? And how should we think on those lines?

Hemant Jalan: Anirud dha, I mean, AI remains as much of a black box to us as to industry at large. It's a very fast-evolving space, although a lot of investments in AI are happening from the people who are inventing these AI models, its practical use on a large scale has begun to be evident in very, very select sectors. IT, like when it comes to coding, is one sector where you can see some meaningful use impact.

You can see some impact in medical research where the list of possible kinds of molecules that could cure a certain disease are getting generated by AI, and that's what we hear. We haven't heard of any great breakthrough that has yet happened in medical re search with AI. And a little bit in terms of -- I mean, we have been using AI in a small way for content creation and for visualizations, etcetera, in blogs on our website, but those are very small kind of case studies as far as what AI can do.

So I think that we have to hold our horses, let some practical use case scenarios emerge as to how AI can be used in day -to-day working. In the near future, I don't expect any major upheavals

to happen in the way in which we take decisions. I certainly do not expect any capex in investing
in AI in any significant way from a company of our size. We remain watchful.
And as and when we see some actual use case scenarios to which these AI models can be put to,
maybe in some data analytics or something is the only scenario where I can foresee that it can
help us analyze the vast amount of data that we collect more intell igently in a few years from
now as these things develop and give us some better insights on maybe how better to focus our
trade schemes or our influencer arrange -- interventions, etcetera. But I think in companies or in
industries like ours, we are yet to see any meaningful AI adoption as of now.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to
the management for closing comments. Thank you, and over to you, sir.
Hemant Jalan: Thanks. Well, thank you all for giving us a patient hearing and asking probing questions. We
seem to be feeling the tailwinds of the demand revival, I had mentioned that 3 months ago, and
the last 3 months have been good or significantly better than the pr evious 2 years. I sincerely
hope that thi

s demand comeback maintains itself and accelerates in the days to come, so that
Indigo Paints comes forward with a much better set of both top line and bottom line numbers in
the ensuing quarters. So t hank you all.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you
for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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